

ANNUAL REPORT 2014

In 2014 ...

We made
13,000
calls to customers

546,000
customers called
our call centre 

About
4 million
sign-ins to our app 

More than
100% 
increase in active
app users

We received 
1.2 million
visits to our branches

We visited
2,200
companies

Georg and friends
Íslandsbanki's first app attributed
to children
Nominated as the
best app
in 2014

10 million 
visits to our online bank

We are a
LEADER
in covered bonds
issuance in Iceland

New rating from
STANDARD
& **POOR'S**

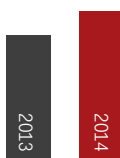
with a **positive** outlook

The financial restructuring
that began in 2008 was
completed 

22% 
increase in new lending
to corporates

€ The Bank's first
euro-denominated
bond issuance

New
mortgages
79%
increase 

ERGO:
18% 
increase in new lending

New mortgage package:

947 new accounts

VÍB's education
programme:

69 educational events
in 2014

3,600
guests attended
the events

Educational events 

22,000
views online

 We published
four reports in 2014

Íslandsbanki Reykjavík Marathon

15,654 
runners took part in 2014

That is
18% 
increase from
the previous year

In total
ISK 86 million
were raised for charity

The Bank's performance
attracted recognition

The Banker

EUROMONEY
Awards for excellence
2014 

ÍSLENSKA
ÁNÆGJUVOGIN 

We provided about
ISK 200 million
in grants

Company



1 To our Stakeholders

Íslandsbanki delivers another year of strong performance within all business divisions, with a record growth in corporate lending and increased demand for asset-based financing and mortgages.

The Bank's emphasis on being #1 for service is reflected in positive results from customer surveys and increased market share.

Birna Einarsdóttir, Chief Executive Officer and Fridrik Sophusson, Chairman of the Board

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- 3.1 Retail Banking
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4 The Bank

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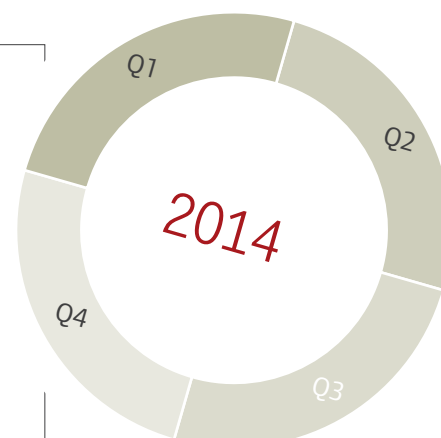
- 5.1 Board of Directors
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Financials

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- Independent Auditor's Report
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Pillar 3 Report

1 Introduction

2 Risk Management

3 Capital Management

4 Credit Risk

5 Market Risk

6 Liquidity Risk

7 Operational Risk

8 Remuneration

This is Íslandsbanki

Íslandsbanki delivered a strong performance in 2014 with majority of the Bank's income generated by core operations focusing on universal banking services to individuals, corporates and institutional investors.

Our team of 1,000 employees is dedicated to offering the best services to our customers and thus supporting our vision of being #1 for service.

Profit after tax

22.8bn

Of the Bank's net profit, ISK 14.8bn is profit from regular operations.

Return on equity

12.8%

Lower ROE is primarily driven by higher equity.

Equity

10.9% ↑

The Bank's equity continues to grow and was ISK 185.5bn at year end, 10.9% increase over the year.

VÍB's educational programme

22,000 

VÍB held 69 educational events in 2014, which were attended by 3,600 guests and watched online by 22,000 people.

Net fee and commission income

10% ↑

Net fee and commission income increased by 10% in 2014 and is now 27% of net operating income.

Branches

18 

Íslandsbanki continues to operate the most efficient branch network in Iceland and as part of cost synergies merged two branches in 2014.

Loans to customers

165bn

Loans to customers increased by 14% in 2014 with new lending of ISK165bn.

Taxes and levies

10.7bn

Taxation and other levies were ISK 10.7bn in 2014 with temporary Bank tax ISK 2.4bn.

Recognitions

 #1 for SERVICE

This year, Íslandsbanki was named the best bank in Iceland by both Euromoney and The Banker and ranked as "number one bank" in the Icelandic Customer Satisfaction Index.

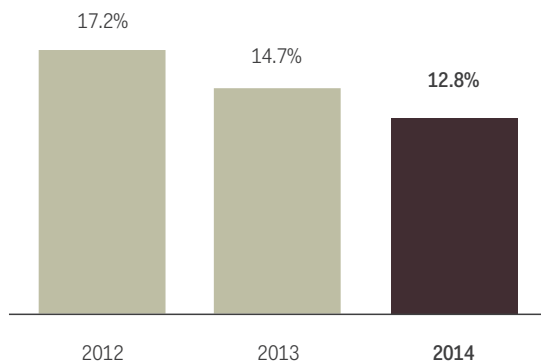
2014 Highlights

		2014	2013	2012
Profitability	ROE (after tax), %	12.8%	14.7%	17.2%
	ROE 14% CET1 (regular operations)	12.6%	10.6%	16.6%
	Net interest margin (of total assets), %	3.0%	3.4%	4.1%
	Cost to income ratio, %	57.7%	58.5%	53.8%
	Profit after tax, ISKbn	22.8	23.1	23.4
	Earnings from regular operations, ISKbn	14.8	12.2	16.6
Capital	Total equity, ISKbn	185.5	167.3	147.7
	Tier 1 capital ratio, %	26.5%	25.1%	22.0%
	Total capital ratio, %	29.6%	28.4%	25.5%
Balance Sheet	Total assets, ISKbn	911.3	866.0	823.4
	Risk-weighted assets, ISKbn	695.1	659.8	664.7
	Loans to customers, ISKbn	634.8	554.7	557.9
	Total loans, ISKbn	669.9	598.8	611.9
	Total deposits, ISKbn	555.2	519.0	509.4
	Total deposit / loan ratio, %	82.9%	86.7%	83.3%

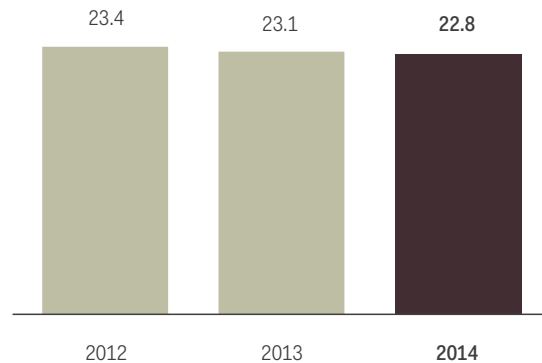
Income Statement

ISKm	2014	2013	2012
Net interest income	27,105	28,430	32,940
Net fee and commission income	11,483	10,433	9,459
Net financial income	1,568	4,612	1,517
Net foreign exchange gain (loss)	165	(2,423)	2,737
Other operating income	2,122	1,545	996
Total operating income	42,443	42,597	47,649
Salaries and related expenses	(13,307)	(13,361)	(13,080)
Other operating expenses	(9,594)	(12,190)	(11,509)
Administrative expenses	(22,901)	(25,551)	(24,589)
Impairment of goodwill	0	0	(425)
Contribution to the Depositors' and Investors' Guarantee Fund	(1,055)	(1,016)	(1,055)
Bank Tax	(2,444)	(2,321)	(858)
Total operating expenses	(26,400)	(28,888)	(26,927)
Profit before impairment charges and net valuation changes	16,043	13,709	20,722
Loan impairment charges and net valuation changes	8,810	16,299	5,710
Profit before tax	24,853	30,008	26,432
Income tax	(6,239)	(7,866)	(6,253)
Profit for the year from continuing operations	18,614	22,142	20,179
Profit from discount operations, net of income tax	4,136	927	3,239
Profit for the year	22,750	23,069	23,418
Earnings from regular operations	14,846	12,169	16,552

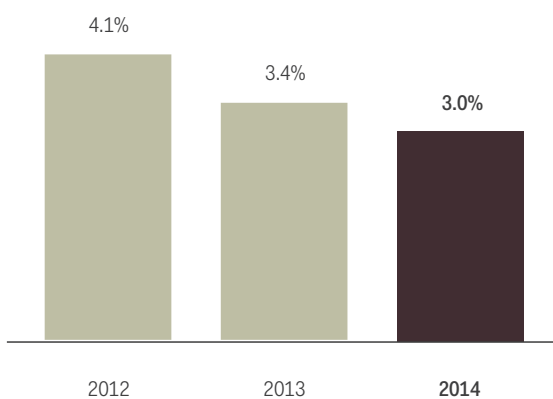
ROE (%)



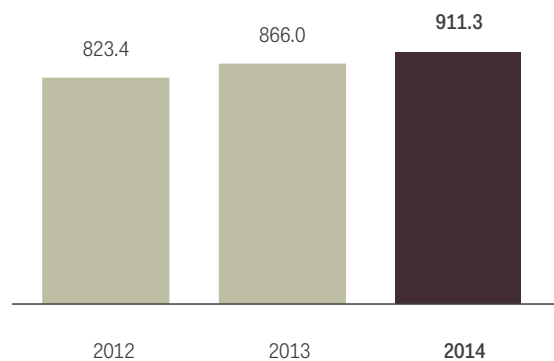
Profit after tax (ISKbn)



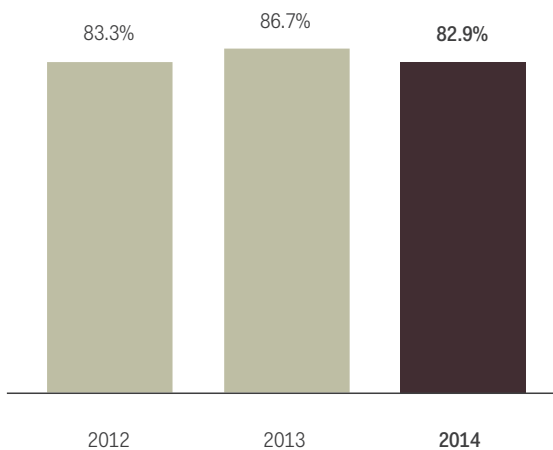
Net interest margin (%)



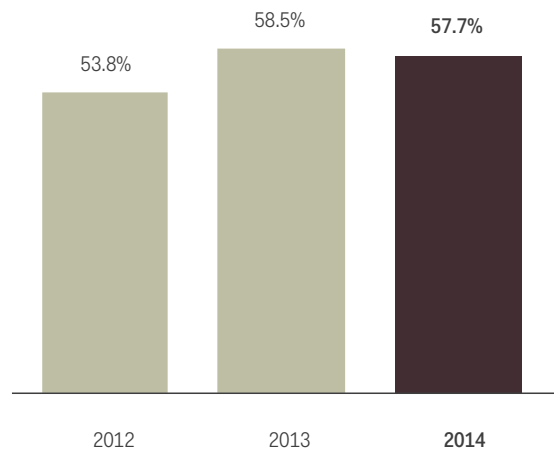
Total assets (ISKbn)



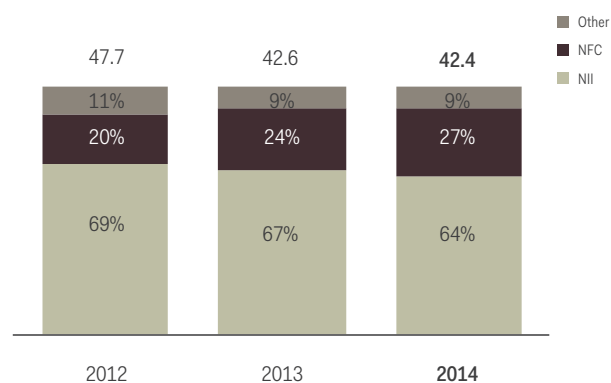
Total deposit / loan ratio (%)



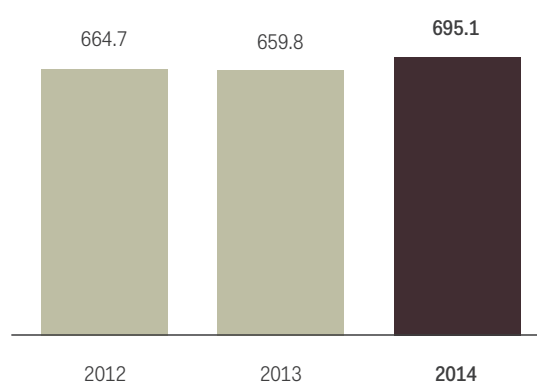
Cost / income ratio (%)



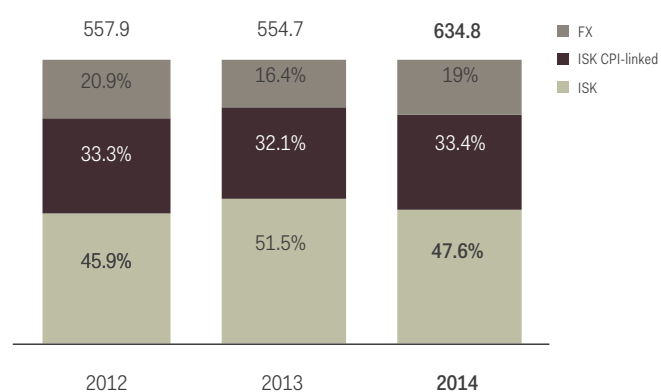
Total operating income split (ISKbn)



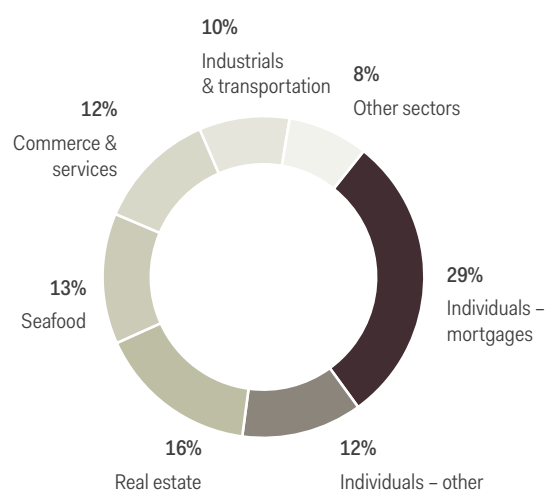
Risk-weighted assets (ISKbn)



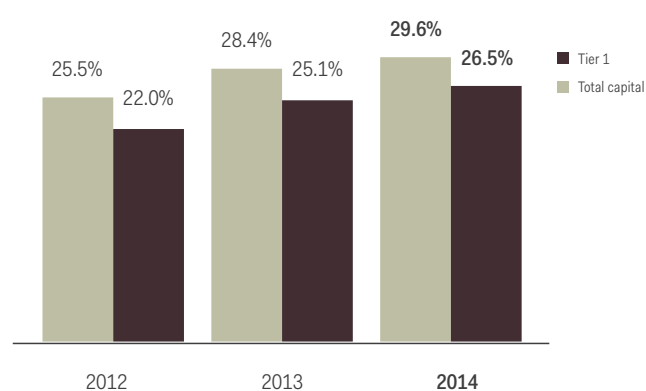
Loans to customers by currency (%)



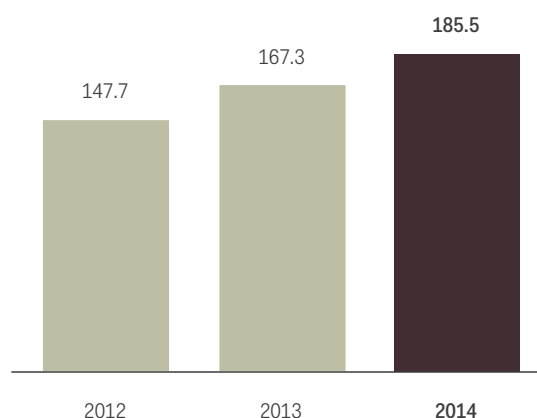
Loans to customers by sector (%)



Capital ratios (%)



Equity (ISKbn)



Company

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COMPANY

1 To our Stakeholders

The year 2014 was favourable for Íslandsbanki. Business proceeded smoothly on all fronts and growth in the loan portfolio was the strongest since the Bank's establishment, stimulating an increase in its market share. The Bank's performance attracted recognition abroad, with both Euromoney and The Banker recognising Íslandsbanki as the best bank in Iceland. In addition, the Bank received the best score of all credit institutions in the Icelandic Customer Satisfaction Index.

Best bank in Iceland 2014
according to Euromoney and
The Banker

The Bank reported an after-tax profit of ISK 22.8bn with a 12.8% return on equity, a strong return in spite of increased equity levels. The Bank's capital ratio was 29.6%, which is high by international comparison. Some 91% of the operating income for 2014 derived from net interest and net fee and commission income, which is in line with the Bank's emphasis on core operations and its objective of generating stable long-term cash flows.

The Bank has set in place a number of streamlining projects aimed at increasing the efficiency of its operations and reducing costs. These have included reviewing supplier contracts, simplifying processes and reducing the workforce by 240 full-time equivalents since November 2011. The Bank is involved in the upgrade of Iceland's deposit and payment system through its affiliate RB. This upgrade is expected to enhance operational security as well as increasing flexibility and shortening the time-to-market. In addition, the Bank has announced its plans to consolidate the head office operations by expanding its headquarters at Kirkjusandur.

New lending grew by 65%
and resulted in an
increased market share

The Bank has enjoyed the largest growth in lending since its establishment. New lending amounted to ISK 165 billion, a 65% increase year-on-year, primarily through corporate lending but also as a result of growing demand in asset-based financing and residential mortgages. The Bank's international activities grew further in 2014 when the Corporate Banking division participated, both in the financing and acting as an advisor to Fálnir Offshore, in the transaction of Iceland's first platform supply vessel (PSV), designed to service the oil and gas industry in the North Atlantic.

First bank to issue a
euro-denominated bond
since 2008

The Bank has been successful in diversifying its funding base and is now Iceland's largest issuer of covered bonds. In 2014, the Bank was the first Icelandic bank to issue a euro-denominated bond since 2008 and further expanded its issue in Swedish Krona. Standard & Poor's affirmed its ratings for the Bank at BB+/B and revised its outlook from stable to positive in recognition of the Bank's near completion of loan portfolio restructuring.

The Markets division participated in a number of large transactions during the year, including arranging the offering and listing of a 23% stake in the insurance company Sjóvá and advising on Icelandair's bond issuance. The Icelandair bond was one of the first large unsecured bonds issued by a domestic operating company since 2008, marking a milestone in the revival of Iceland's securities markets.

New and enhanced product offerings produced good results for the Bank in 2014. VÍB, the Bank's asset management division, and the Retail Banking division combined their efforts in offering advice on pensions, thus achieving a 20% increase in private pension savings. The Bank's new mortgage package designed for first-time buyers, received an excellent response. In addition, the



Birna Einarsson, Chief Executive Officer and Fridrik Sophusson, Chairman of the Board

“Íslandsbanki delivers another year of strong performance within all business divisions, with a record growth in corporate lending and increased demand for asset-based financing and mortgages.

The Bank's emphasis on being #1 for service is reflected in positive results from customer surveys and increased market share ”

Bank decided to simplify its payment card offerings by offering MasterCard and American Express exclusively.

The Bank's branch network is currently undergoing a transition with traditional cashier services branches being converted to more complex advisory service centres and self-service branches. This automation goes hand in hand with the development in online banking, which saw a 100% increase in active users and a 144% increase in the number of financial transactions, as day-to-day banking is increasingly being carried out through online and mobile devices. The Bank's app has now been downloaded by some 50,000 users.

The Bank runs a professional educational programme, creating a platform for sharing knowledge and encouraging discussion of financial and economic affairs. These programmes, run by VÍB, are widely regarded and collaborators have included NASDAQ Iceland, Reykjavík University and the Association of Women Business Leaders in Iceland (FKA). For the past four years, the Bank's 222 seminars have attracted about 67,000 guests and online viewers. In addition, the Bank's retirement planning seminars have been attended by 15% of Iceland's senior citizens.

The Bank publishes annual analytical reports on municipalities, the fishing and energy industries. In addition, the first edition of a report on the Icelandic tourism sector is being published in March 2015.

Relationship Banking is a new division set up in support of the Bank's strategic themes. The new division integrates and supports sales, business analysis, online business, service, marketing and business development. In addition, it oversees the Bank's strategy and its implementation.

The Bank conducts annual Strategy Summits with the participation of its employees, shaping the Bank's strategy and its future development. Three new strategic themes have been selected as the main focus for the next 3-5 years. These themes are to simplify operations, to multiply sales by deepening relationships with customers, and to unify our objectives with society at large through a new social responsibility strategy.

Customer satisfaction is an essential part of a successful business. The Bank's management and its employees are committed to providing excellent services to customers and stakeholders in their quest to fulfil the Bank's vision of being #1 for service.

We would like to thank all our employees for their hard work. The growth we have experienced throughout 2014 has been driven by their loyalty and dedication to the banking business.

The Bank's new mortgage package designed for first-time buyers, received an excellent response

Relationship Banking oversees the Bank's strategy and its implementation

2 Economic Review

The post-crisis recovery of the Icelandic economy continued in 2014, with GDP growth measuring 1.9%. In contrast to the previous year, domestic demand was the primary driver of growth. The economy was close to equilibrium by several measures, as output returned to potential. Robust wage growth and dwindling inflation, largely due to imported deflation, helped fuel a sizeable increase in private consumption. The economic outlook is positive, although material challenges remain, not least of which is the easing of capital controls in coming quarters.

Economy close to equilibrium in 2014

GDP growth measured 1.9% in 2014, following on from 3.6% growth in the previous year. Domestic demand was the main driver of growth during the year, as the contribution from net trade was negative, with import growth outpacing export growth. This was a radical change from 2013, when GDP growth was driven almost entirely by surging exports – services exports in particular – while domestic demand contracted slightly. Year-2014 GDP growth was close to potential growth, as well as the economy which was near equilibrium by several measures.

Private consumption grew by 3.7% in real terms in 2014, Iceland's fastest rate of private consumption growth since 2007, and far above the 2013 figure of 0.5%. The surge is due to strong real wage growth, declining unemployment, population growth, and improved financial position of households. Public consumption was up 1.8% in 2014, the strongest growth rate seen since 2008, albeit well below the 2005-2008 average of 4.2% per year.

Investment growth was the strongest since 2006, measuring 13.7% for 2014 as a whole. All components of investment grew handsomely; business investment by 15.1% in real terms, residential investment by 14.9%, and public investment by 7.5%.

Although last year's upturn is good news, Iceland's overall low investment ratio gives cause for concern. It is noteworthy how little growth there is in R&D and industrial investment, although construction and tourism-related investment are both strong at the moment. Last year's investment-to-GDP ratio was 16.6%, a slight increase year-on-year but broadly in line with recent figures. A ratio of 20% is generally considered normal for industrialised countries, however, and Iceland has quite a bit of ground to cover in order to reach that level. It has done so before, in 1997-2008, when its average investment-to-GDP ratio was 25%.

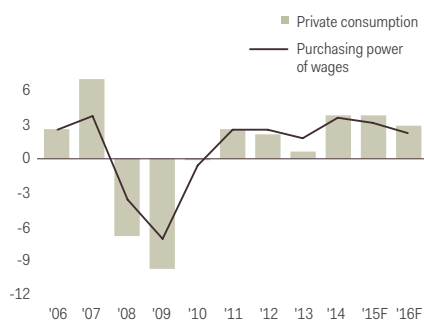
Significant current account surplus

Burgeoning growth in tourism and improving terms of trade in the second half of the year contributed to a strong surplus on external trade in 2014. The underlying current account surplus (excluding the effects of the collapsed banks' estates) measured 5.6% of GDP during the year. This is equivalent to about ISK 110bn, as opposed to ISK 150bn in 2013.

Iceland's tourism industry is expanding by leaps and bounds, with the number of foreign visitors rising 24.1% year-on-year in 2014. Services exports totalled ISK 499bn during the year, an increase of 2.9% from 2013. Goods exports grew 1.1% in nominal terms between years, to a total of ISK 554bn. Growth was hindered, however, by unfavourable developments in the price of Iceland's main exports during the first half of the year and by a poor capelin season.

Private consumption
surges as wages grow
and unemployment falls

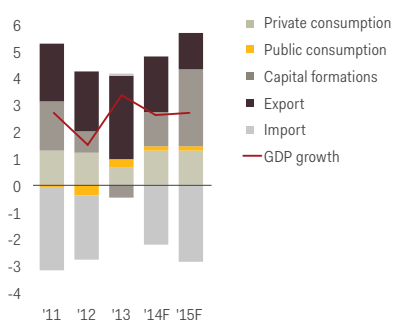
Private consumption and real wages (%YoY)



Source: Statistics Iceland and Íslandsbanki Research

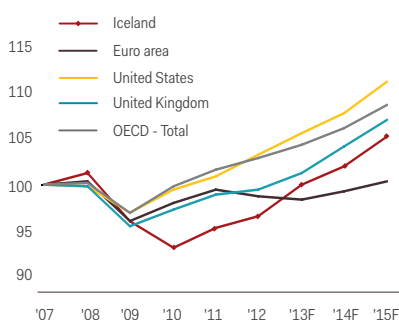
Tourism is giving the current
account surplus a major
boost, but the overall picture
is more mixed than in 2013

Contribution to GDP growth (%YoY)



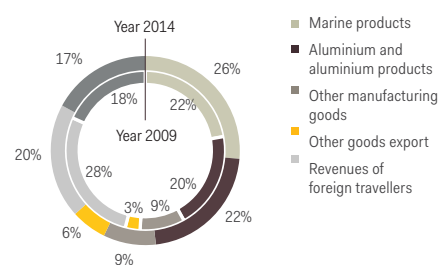
Source: Statistics Iceland and Íslandsbanki Research

GDP (Volume index)



Source: OECD and Statistics Iceland

Export revenues by sector



Source: Statistics Iceland

Imports of goods and services outpaced exports in 2014, reflecting increased domestic demand and exporters' increased use of inputs. In all, goods imports grew 4.4% and services imports by 6.3%. Goods imports totalled ISK 553bn during the year, and services imports totalled ISK 360bn. Terms of trade for goods and services improved markedly as the year progressed and were 2.4% better in 2014 than in 2013. The trade surplus amounted to ISK 128bn, as compared with ISK 154bn in 2013.

Real wages rose sharply

Wages rose substantially in the domestic labour market in 2014, and real wages followed suit, as inflation was unusually low. In terms of the wage index, wages were up 6.7% last year. Wages in the private sector rose by 6.0%, as opposed to 8.4% for public sector wages. Real wages rose 5.5% last year, which is unusually high by Icelandic standards. This rise in real wages is the cause of the strong growth during the year in private consumption and in residential investment, which grew 14.9%.

Unemployment declined markedly last year and is now close to equilibrium. On average, 5.0% of the labour force was without work last year, as opposed to 5.4% in 2013 and 6.0% in 2012, a decline of 1.0 percentage points in two years.

Inflation subsided rapidly in 2014, largely to the appreciation of the ISK in autumn 2013, falling commodity prices, and relatively modest domestic cost pressures. It measured 3.1% at the beginning of the year but had fallen to 0.8% by December, below the deviation threshold of the Central Bank of Iceland's inflation target and the lowest measurement recorded since late 1998.

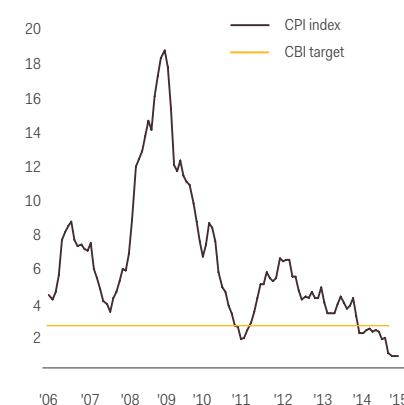
The Central Bank responded to declining inflation and an improving inflation outlook by lowering the policy rate 0.75 percentage points in the fourth quarter, putting an end to a two-year period of unchanged Central Bank rates. The Central Bank's seven-day collateralised lending rate was 6.0% at the beginning of 2014 and 5.25% at the year-end.

ISK very stable under capital controls

After a marked appreciation from November 2013 through March 2014, the ISK was extremely stable for the majority of the year. Foreign exchange inflows from external trade exceeded outflows for payment of net foreign debt. This enabled the Central Bank to buy a substantial amount of foreign currency in the market, thereby expanding its foreign exchange reserves and containing the appreciation of the ISK at the same time. This is in keeping with its intention, announced in spring 2013, to step up foreign exchange market intervention in order to mitigate exchange

Inflation falls to its lowest level for 17 years, despite strong wage growth

Inflation (12-month change, %)

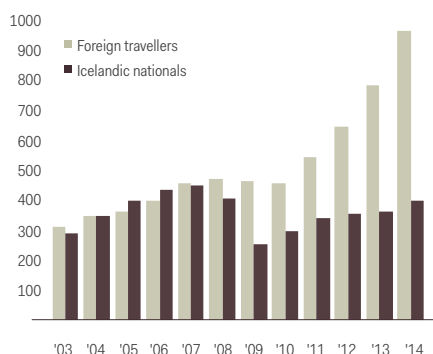


Source: Statistics Iceland

The Central Bank takes advantage of trade inflows to build up foreign exchange reserves

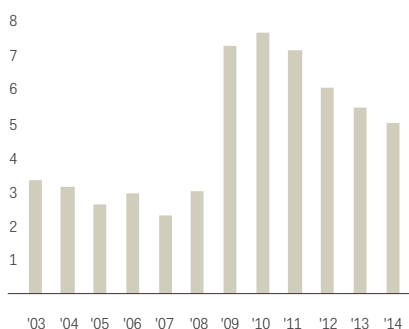
A relatively lacklustre year for debt and equity markets, growth seen in alternative markets

Departures from Keflavik Airport (thous.)



Source: Icelandic Tourist Board

Unemployment (%)



Source: Statistics Iceland

rate volatility. The exchange rate of the euro fell by 2.4% during the year, although the US dollar exchange rate rose by 6.0%. In trade-weighted terms, the ISK appreciated by an average of 3.6%.

There were no changes to the capital controls during the year. At mid-year, the authorities announced the establishment of a task force on capital controls liberalisation. The first preparatory step towards lifting the controls took place in the fourth quarter, with the extension of the foreign-denominated bond between Landsbankinn and the estate of the old Landsbanki Íslands (LBI). Further actions have been delayed, however.

Divergent developments in securities markets

The domestic equity market continued to expand in 2014, with two new listings and a corresponding increase in trading volume. Returns on shareholdings were modest, however, with the NASDAQ Iceland Main List rising by only 4.1%, as capital shifted increasingly towards unlisted investments. The Icelandic equity market has changed radically since 2008, as most companies now place less emphasis on growth than on distributing profits to shareholders through dividend payments and/or buybacks of their own shares in the market.

The domestic bond market changed little in 2014. It was ISK 2,269bn in size, or 114% of GDP, by year-end. There was some increase in corporate bond issuance, largely from real estate companies. Bond market turnover amounted to ISK 1,532bn, a decline of 15% between years. Yields on indexed bonds rose markedly, while non-indexed yields fell somewhat. The breakeven inflation rate in the market therefore fell considerably, reflecting the disinflation during the period.

Increased GDP growth in the offing

Íslandsbanki Research forecasts robust GDP growth in the near future, outpacing that in 2014. The department projects growth for 2015 and 2016 at 3.2% and 2.9%, respectively, owing largely to growing private consumption, which in turn is attributable to increased real wages, households' improved financial position, and a stronger labour market. Investment will grow markedly on all fronts – business, residential, and public sector investment – due to the accumulated investment need in all of these sectors. The investment-to-GDP ratio will probably reach 20% in 2016. Research also assumes that exports will continue growing, led by services exports and a buoyant tourism industry. On the other hand, import growth is likely to outpace export growth, and the contribution of net trade to GDP growth will probably be negative.

Inflation can be expected to rise in line with mounting tension in both the labour market and the general economy. Research projects inflation at 2.5% in 2015 and 2.8% in 2016. According to Research's forecast, the Central Bank will respond to rising inflation and a growing output gap by raising the policy rate by 0.75 percentage points in 2016, after keeping it unchanged throughout this year.

“We forecast
GDP growth
at 3.2% in 2015”

“We are
a universal bank”

3 Divisional Review

We are a dedicated team of 1,000 employees with a clear vision to be #1 for service.

We are a universal bank offering a full range of financial services to individuals, corporates and institutional investors for the benefit of our customers and society as a whole.

We are a leader in financial services in Iceland with 25-50% market share across all domestic franchise areas.

We divide our business activities into four main business segments: Retail Banking, Corporate Banking, Markets, and Wealth Management. In addition to our efficient network of 18 branches around the country, we also operate specialised units focused on credit card services, asset financing and funds management.

Meet our Bank. Meet Íslandsbanki.

3.1 Retail Banking

Retail Banking is the largest division within the Bank. It provides a broad range of personal and SME banking services, with an efficient nationwide branch network and dedicated and separately branded credit card and asset financing units. The Bank commands market shares of between 30% and 50% in its market segments.

About Retail Banking

Retail Banking offers its customers services ranging from current accounts, savings accounts, debit and credit cards, personal loans, and mortgages to equipment leases and specialised property loans.

Alongside its branch network, the division operates an extensive network of ATMs. Retail Banking has three support units: headquarters, a call centre and a cash centre. In 2014, there were 90,000 customer visits to the branches each month and 40,000 customers were serviced via the call centre. The division employed 446 people in 2014.

Most efficient
branch network



18

Branches

9 in greater Reykjavík
and 9 outside the capital area

A year of preparation and consolidation

The year was a time for cementing the advances made in previous years, with new product launches to an expanded customer base, and for preparing the roll-out of new services introduced in 2015. In addition, a number of improvements were made to service efficiency, as well as streamlining of the branch network in response to changing customer behaviour.

Following completion of customer loan restructuring, the division prepared for the implementation of the Government's new debt relief programme which aims at reducing the principal of CPI-linked mortgages. The programme enabled borrowers to divert some of their personal pension savings towards lowering their mortgage principal. In relation to the debt relief programme, Íslandsbanki made a highly successful effort in offering pension products to its customers.

Overall, business has been brisk, with increased credit card turnover and growing demand for mortgages, asset-based financing and consumer lending against a backdrop of a steadily improving economy supported by a robust tourism sector.

Revitalised card strategy

Following a strong growth in credit card turnover, the Bank has begun simplifying and improving its product line. In 2014, Íslandsbanki signed a contract with American Express to become the exclusive issuer of AmEx cards in Iceland. The Bank also began preparations for replacing the existing customer cards with a new line of MasterCard debit and credit cards. The new cards will stand alongside the new AmEx cards, launched in 2013, in a more streamlined product offering. The clear benefits to the customer are contactless payments, the possibility of using debit cards online and wider acceptance abroad. At the same time, the Bank is reconfiguring its online banking to improve the online experience for credit card users.

AmEx turnover
increased by

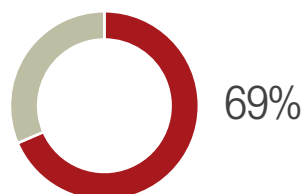
↑ 38%

Employees



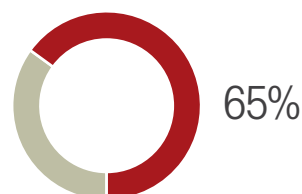
24% Men 76% Women

Total operating income



Retail Banking's proportion of business segment income

Loans to customers



Retail Banking holds 65% of the Bank's total loans to customers

Digital innovation and refocusing of branch activities

In 2014, Íslandsbanki continued to invest resources in the development of its digital channels. This is in line with the Bank's channel strategy of accelerating the shift of simple transactions onto online platforms and improving our customers' digital experience.

New functions added to the mobile app in 2014 greatly increased customers' use of the app. Among the new features are "easy bill payments" and a new "my page" providing a quick financial overview and higher transfer limits for "quick payments". For its youngest customers, Íslandsbanki introduced an app for children that will enhance their appreciation of numbers and the alphabet.

The online bank's user interface underwent considerable changes aimed at improving customers' experience, and extensive technical improvements were made in order to enhance the operational efficiency and security of the online bank. In 2014, customers were introduced to a new, user friendly and more secure way of signing into the online bank, with electronic authentication (eID) using mobile phones. The Bank is planning further advancements in this area and aims to introduce new eID-based self-service features for its customers in 2015.

As the adoption of these digital services spreads, the need to transact day-to-day banking activities in branches is diminishing. This trend suggests a shift in focus from traditional cashier services to more complex advisory services. The Bank announced that in 2015 it would consolidate two of its branches in west and central Reykjavík into a new, larger banking centre at Grandi, which hails a new generation of branches that will focus on providing in-depth services to individuals and SMEs. Íslandsbanki converted its Kringlan branch into a self-service branch where customers, who were primarily seeking transaction banking, are now being serviced by a new generation of quick and convenient ATMs.

The new Grandi and Kringlan branches share the same characteristics of offering customers the type of service they need, where they need it. Íslandsbanki's new branch profile will also be supported by the call centre, which is set to take on an expanded role in offering front-line services.

A major overhaul of the deposit and payment clearing system is being undertaken industry-wide in Iceland. Íslandsbanki owns one-third of Reiknistofa bankanna (RB), the company that administers the clearing of payments between banks, and the resulting improvements to the service should mean greater efficiency and shorter time-to-market, giving the Bank the opportunity to provide better services.

144% ↑

Growth in financial functions in mobile banking

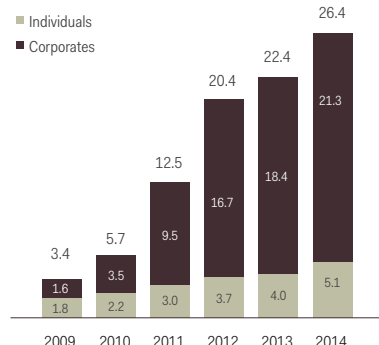
100% 📱

Growth in mobile banking

We serve
90,000 customers
every month in branches

We receive
40,000 calls every month
via the call centre

New leasing in Ergo (ISKbn)

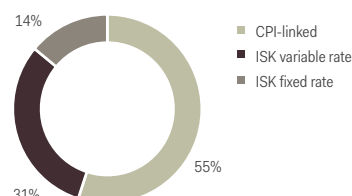


Ergo, the Bank's asset-based financing unit, strengthens its position as market leader

2014 was another year of growth for Ergo, with market share numbers improving across the board. Notably, Ergo reached its target of a 60% market share in the car rental market despite increased competition. New lending, fees and commissions all increased between years, with comparable growth in the SMEs and individuals sectors. Ergo also used 2014 to look inward, cutting costs, implementing a new organisational structure, and streamlining projects.

Whilst car rental agencies had a strong showing, private car sales had a better year, with new motor vehicle registrations totalling 10,400, up from 9,000 in 2013. Even though renewals within the motor vehicle fleet have been on the rise in recent years, there is still potential for further growth. A successful marketing campaign was launched in the autumn, and service surveys continue to show improvements on all indicators, confirming Ergo's position as the industry leader in market share, service, and professionalism.

New mortgages in 2014 (%)



A successful mortgage strategy

The Bank has been working actively to refine its mortgage services and educate customers about the choices they face when deciding on a mortgage. Residential property values have continued to rise gradually, and Íslandsbanki has been helping a growing numbers of buyers to take their first steps on the property ladder. The First-Time Buyers scheme, which offers young borrowers significant concessions on the cost and size of their mortgage, has proved highly successful. The Bank's overall performance in this important market has been encouraging, laying a solid foundation for a long-term banking relationship with many new customers.

Customers have more resources than ever before to assist them with the important decisions related to taking out a mortgage. The Bank's new online mortgage calculator, a more capable call centre and a team of certified mortgage advisers all contribute to a strong mortgage offering.

Operational excellence

The competitive landscape for Icelandic banks is fierce and it is paramount that the quest for efficiency goes hand in hand with good customer services. Retail Banking has economised significantly in its operations, yet our research continues to show an improvement in the customer experience. The thoughtful streamlining of the branch network, a considered approach to introducing new technologies, and an appreciation of the importance of personal contact have helped Íslandsbanki to top the customer service polls for another year.

Retail Banking

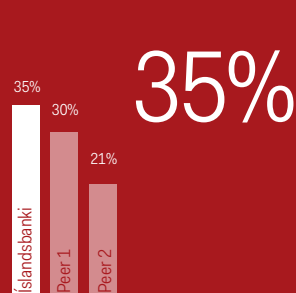
#1 for service

Retail Banking is proud of its record in looking after the financial affairs of Iceland's small and medium-sized businesses (SMEs). This record is supported by Íslandsbanki's customer-first approach; by aligning our sector-specific experts with our in-depth knowledge of our customers, we create solutions that deliver strong results.

Retail Banking favours a decentralised decision-making structure, which gives branches a strong mandate to make decisions for their customers. This enables local managers to act more quickly and to develop a closer relationship with customers. This is not only a more personal approach desirable for the Bank, but it is increasingly sought out by business customers requiring more sophisticated services. It also ties in with the service offered by the Corporate Banking division to SMEs in co-operation with the branches.

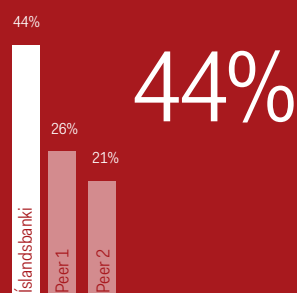
Retail Banking's strong focus on SMEs, including frequent site visits and improved call centre services, has supported the Bank's leading 32% market share and high customer satisfaction ratings, as well as ensuring a high level of professionalism.

Considered first choice
for SMEs



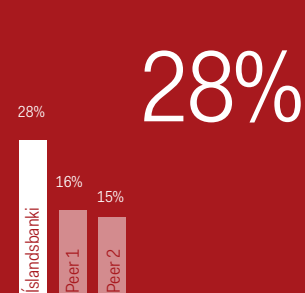
Source: Capacent Gallup – December 2014

Considered the most
professional bank for SMEs



Source: Capacent Gallup – December 2014

Considered to be the bank
that best serves SMEs



Source: Capacent Gallup – December 2014

3.2 Corporate Banking

Corporate Banking provides lending and advisory services to large companies and municipalities in Iceland. It also oversees Íslandsbanki's international business in the North Atlantic region, where the focus is on the seafood and offshore supply vessel industries. The division is a leading lender, with a 33% market share in Iceland. The team has attained extensive experience from working with the seafood and energy industries, as well as growing sectors such as retail and tourism.

About Corporate Banking

Corporate Banking is organised into four business units – Commerce & Services, Real Estate, Energy and Municipalities (REM), Seafood and International – and three support units. Corporate Banking employs 24 people with broad-based expertise in the division's areas of focus.

Maintaining close relationships with customers is at the core of the division's activities, and great care is taken to see that coverage is always as thorough, engaged and enterprising as the customers deserve. Corporate Banking's portfolio stands at ISK 225bn, an increase of 27% year-on-year.

2014 in review

The division enjoyed a very busy and encouraging year. The acceleration of economic activity in Iceland since 2011 culminated in a surge in corporate lending in 2014. The corporate environment that had steadily been reducing gearing since 2008 turned the corner in 2014. Companies that had not sought loans for several years returned to the Icelandic banks in search of new capital, and Corporate Banking participated actively in helping these customers invest for the future.

The division formulated three broad objectives for 2014, to expand its profile in the residential and commercial construction sector which was considered under-represented in the portfolio, to target some of Iceland's largest firms and municipalities that had not been active with the Bank in recent years, and to convert the division's new North Atlantic strategy into transactions. In 2014, the most successful of recent years, all of these goals were fulfilled beyond expectations.

Commerce & Services

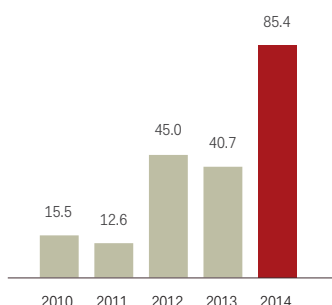
In addition to providing professional services to companies in the commerce and service sectors, the C&S team is responsible for the industrials and transportation sector. The team had an eventful and successful year, and with a well-diversified loan portfolio the unit is the principal lender to key players in each sector. Continued growth in tourism in 2014 led to increased activity with the team's main customers and, as a result, increased lending.

The C&S team has representatives in the Iceland Tourism cluster and the Iceland Health cluster. The Bank's presence is important both to maintain expertise and to get insight into the main challenges and opportunities that lie ahead in these sectors.

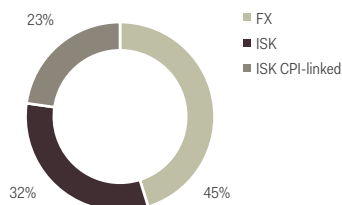
Real Estate, Energy & Municipalities

2014 was a great year for the Real Estate, Energy & Municipalities (REM) team, which greatly expanded its customer base and loan portfolio. Increased focus on the real estate sector resulted in a significant growth in lending to leading construction and real estate management companies.

New corporate lending (ISKbn)



Loan portfolio by currency (%)

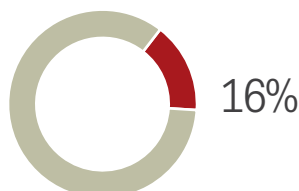


Corporate Banking manages about 60% of the Bank's total loans to corporates

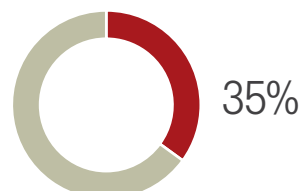
Employees

24

54% Men 46% Women

Total operating income

Corporate Banking's proportion of business segment income

Loans to customers

Corporate Banking holds 35% of the Bank's total loans to customers

Furthermore, the team's experience and expertise in the municipalities sector paid dividends this year, culminating in two sizeable transactions with Hafnarfjörður and Kópavogur.

The REM team published its annual report on Icelandic municipalities in spring 2014. This report is a source of important, useful and relevant information on the status of municipalities nationwide. The team strives to publish quality research material on a regular basis, with particular focus on the sectors in which it specialises, such as municipalities and energy.

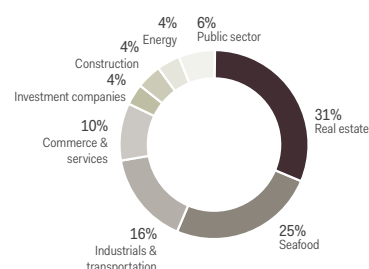
Seafood

The Icelandic seafood industry has long been one of the main sources of employment in Iceland and the foundation for a diversified economy. It has been one of the country's main food sources and has played an important cultural and financial role in Icelandic society.

Corporate Banking operates a dedicated, multidisciplinary seafood industry council representing various departments within the Bank. The team handles customer relations and services for domestic and foreign fisheries companies and publishes seafood industry reports. In 2014, the team published the Icelandic Market report with the assistance of Deloitte and the Icelandic Ocean Cluster.

The seafood team had a productive year, with new large customers and a number of successful events. The team had a booth at the Icelandic Fisheries Exhibition in Kópavogur and was one of the main sponsors of the Seafood Conference in November. A forum was held for investors in the Ocean Cluster House, and the team had booths at the seafood exhibitions in Boston and Brussels.

Loan portfolio by sector

**International**

The Bank's international activities grew significantly in 2014. The Bank's international strategy is built upon expertise gained through servicing Iceland's core industries. The unit's strategy is designed to provide another channel for growth, reduce risk through portfolio diversification, and generate attractive returns. The international business will also strengthen Corporate Banking's position towards large corporate customers in Iceland with operations abroad and will position the Bank as a preferred local partner for foreign investors and banks.

The strong growth of the international loan portfolio in 2014 is primarily the result of the close business relationships the Bank has maintained with leading seafood and offshore companies in Northern Europe, Canada and the United States.

In May 2014, the team published its annual North America Seafood Market report, in conjunction with the Bank's sponsorship of the IntraFish Leadership Luncheon at the Brussels Seafood Show.

Maintaining close business relationships resulted in strong international growth

Highlights of corporate lending activities in 2014

Reitir



Reitir is Iceland's largest provider of commercial property for rent. Íslandsbanki is proud to say that it was a key financial institution and played a prominent role in Reitir's successful refinancing in the fall of 2014, which was one of the largest refinancings in Iceland in recent years.



Isavia

Isavia provides services in the air and on the ground. The company handles the operation and development of all airports in Iceland and provides air navigation services within the Reykjavík control area which is among the largest control areas in the world. Íslandsbanki refinanced a large part of Isavia's debt in 2014.



Hafnarfjardarbær

Hafnarfjörður is Iceland's third largest municipality with a population of about 28,000. In the spring of 2014, Íslandsbanki played a key role when Hafnarfjörður refinanced its foreign denominated debt by providing a debt facility of up to ISK 13 billion.



Havila Shipping

Havila is one of the leading global providers of offshore supply services. Havila is listed on the Oslo Børs and has a fleet of 27 offshore vessels. Íslandsbanki is proud to be among Havila's preferred financial partners, providing the company both a bilateral facility and participating in a syndicated facility.



ÞORBJÖRN

Þorbjörn

Þorbjörn is one of the leaders in processing groundfish in Iceland. The company is located in Grindavík and focuses on fresh and salted products. Íslandsbanki refinanced a part of the company's long-term debt in 2014.



Kópavogsbær

Kópavogur is Iceland's second largest municipality with a population of about 33,000. Íslandsbanki is proud to say that it assisted the municipality in refinancing a part of its debt by providing a flexible debt solution that was tailored to its needs.



High Liner Foods

Íslandsbanki participated in High Liner's syndicated credit facilities. High Liner Foods is a leading North American processor and marketer of value-added frozen fish and frozen seafood.



Fáfnir Offshore

In March Fáfnir Offshore took delivery of Iceland's first platform supply vessel (PSV). The vessel, Polarsýssel, is specifically designed to service the oil and gas industry in the North Atlantic. Íslandsbanki participated both in the financing of the vessel and acted as an advisor in the transaction.



Skinney-Thinganes

Skinney-Thinganes is one of the largest fishing companies in Iceland and a leader in its field. The company operates seven vessels and plants for groundfish, pelagic and fishmeal. Íslandsbanki refinanced a large part of the company's debt in 2014.



CenterHotels

CenterHotels offers six friendly hotels, with a total of 478 rooms, in some of the stately houses in the city center. Íslandsbanki refinanced CenterHotels' total debt in the beginning of 2014.



Hótel Ísland

Hótel Ísland offers refreshing accommodation, with a total of 119 rooms. The focus is to serve tourists all year round with an emphasis on general hotel services during the summer, but in the winter time a majority of the hotel guests stay for post-op care. Íslandsbanki refinanced Hótel Ísland's total debt in 2014 and also provided a construction loan.



Mannverk

Mannverk is one of Iceland's fastest growing contracting and development company. Íslandsbanki and Mannverk successfully partnered up for several projects in 2014. Íslandsbanki is proud to say that this cooperation yielded 155 hotel rooms and 152 apartments as well as a development project in a key area in downtown Reykjavík.

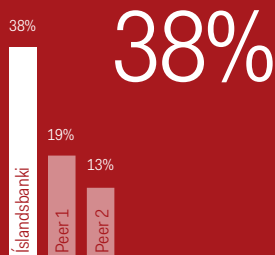
Corporate Banking

#1 for service

Corporate banking has invested considerable resources to ensure that it provides outstanding service to its customers. The team has wide-ranging experience in the financial markets and has broad sector expertise in Iceland and the division's area of focus in the North Atlantic region.

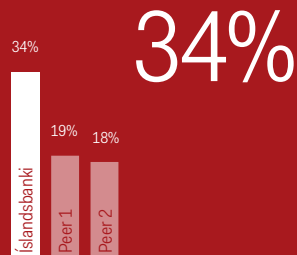
Annually, Capacent Gallup conducts a survey among the 300 largest Icelandic corporates asking them to rank the financial institutions that serve them. In 2014, and for the sixth year in a row, Corporate Banking ranked ahead of its two largest peers as giving the best service, and being the most professional.

Considered the leading bank
for large corporates



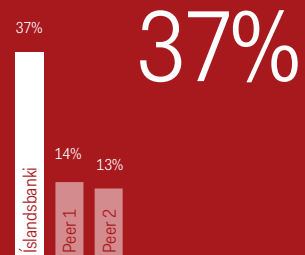
Source: Capacent Gallup – December 2014

Considered the bank that
best serves large corporates



Source: Capacent Gallup – December 2014

Considered the most
professional corporate bank



Source: Capacent Gallup – December 2014

3.3 Markets

Markets, Íslandsbanki's investment banking division, offers a comprehensive range of services – corporate finance, capital markets, derivatives, foreign exchange, and market research – to large firms and investors. Markets is a substantial player in Iceland's financial market, with market shares ranging from 20% to 35% across sectors.

About Markets

With a team of 41 people, Markets is split into six units: Corporate Finance, FX Sales, Securities Sales, Trading (Interbank and Securities Trading), Research and Finance & Operations. The division boasts some of the most experienced investment banking professionals in Iceland, with peerless market access and knowledge. The division enables its customers to take full advantage of the opportunities that the domestic financial market has to offer. In addition, Markets has played a key role in rebuilding Iceland's securities and derivatives markets.

Corporate Finance works with medium-sized and large companies, providing advice on mergers and acquisitions, listings and public offerings, as well as broad restructuring advisory services.

FX Sales provides businesses and foreign investors access to global currency markets, as well as giving advice on currency and interest rate risk management and hedging.

Securities Sales provides professional investors access to Icelandic equity and bond markets. Its principal customers are large pension funds and mutual funds.

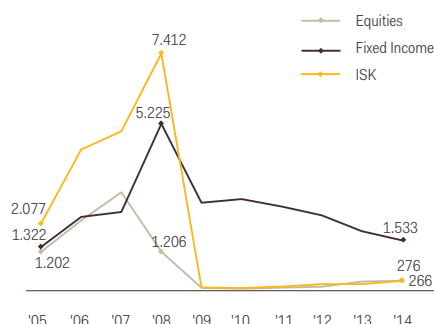
Trading provides a broad price service to customers including overseas financial institutions, other units in the division, and the Bank as a whole. Its activities include foreign exchange, equity and bond markets, and pricing of interest rate and currency swaps. Trading also works closely with Treasury in managing the Bank's liquidity in ISK and foreign currencies.

Finance & Operations ensures highest standards of business processes and development, compliance, and maintenance of market best practice.

Research believes that objective, high quality research is a critical and valuable part of the services we provide to institutional and corporate clients that are active in the capital markets.

Research operates as an independent department carrying out macroeconomic research for the Bank and its clients. The department carries out in-depth market analysis on main economic indicators such as forecasts on inflation and interest rate development. It also publishes earnings forecasts and stock valuation on companies listed on NASDAQ Iceland and publishes the widely read newsletter, Icelandic Market Daily, both in Icelandic and English.

Capital market turnover (ISKbn)

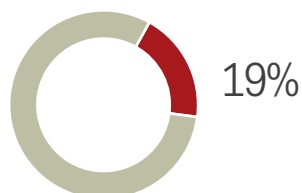


Source: NASDAQ Iceland

Employees

41

71% Men 29% Women

Net fee and commission income

Markets' proportion of business segment net fee and commission income

Transaction value

ISK 26.5bn

Transaction value of interest rate swaps increased by 108% in 2014

2014 in review

2014 yielded decidedly mixed results in comparison to the previous year, with both the equity and bond markets generally failing to live up to the expectations set in 2013. Although the economic environment in the country has strengthened from year to year, 2014 yielded fewer equity market listings than the previous year. It is apparent that competition will remain uncompromising in the coming year, increasing the pressure on Markets to continue to deliver outstanding service and value-added solutions to meet its customers' needs. Notwithstanding the reduction in mergers and acquisitions in Iceland, Markets participated actively in a number of landmark transactions and remained committed to excellent performance.

Second in equity trading, with a market share of around

22%

Equity market

Trading volumes in the equity market were lower than previously, although the market was enlivened by some large deals across the year, with an encouraging pick-up in activity in the fourth quarter.

Second in bond trading, with a market share of around

20%

For the most part of the year, the NASDAQ OMXI8 equity index was at or below its year-end 2013 level and reached its lowest level in July, down by 11.9%. The equity market finally broke new ground in late October and the index ended the year up by 4.1% from the beginning of the year.

Corporate bond issuance

Íslandsbanki was the sole arranger in the offering of a USD 23.6m senior unsecured bond for Icelandair. The bond was the first senior unsecured bond issuance by an operating company since 2008 and, as such, marks a significant milestone in the revival of the Icelandic corporate bond market. The proceeds will be used towards Icelandair's upcoming investment in 12 new aircraft, announced in late 2012, with delivery of the first aircraft scheduled in the first half of 2018.

Markets has been instrumental in rebuilding the market for corporate bonds in Iceland and it was particularly satisfying to bring this bond to the market.

Bond market

Bond markets had another quiet year, with limited corporate issuance, as companies continued to reduce gearing or, in a few notable cases, turned to banks for loans. Yields crept up across the board as the year progressed, and there was an observable move away from bonds and bond funds into property funds. The covered bond market remained an exception to this trend, and Markets successfully placed ISK 8.8bn of new transactions for Íslandsbanki.

Even though capital controls are still in place in Iceland, it is interesting to note that there has been little evidence of asset price bubble formation, as these relatively modest market performances seem to attest.

Corporate Finance acted on the following transactions

Sjóvá IPO

Acted as the sole arranger and adviser in the offering and listing of a 23% share in insurance company Sjóvá. Sellers were the private equity fund SF1, Glitnir and Íslandsbanki. The offering was the largest of the year in terms of participants, with over 7,800 valid subscriptions totalling ISK 35.7bn, translating to seven times oversubscription. The company was listed on the NASDAQ Iceland main market on 11 April 2014.

Icelandair

The arranger in the offering of a USD 23.6m senior unsecured bond for Icelandair. The issue was sold to Icelandic institutional investors. A special exemption from the Central Bank was obtained as the bonds were denominated in USD. The bond will be listed on the NASDAQ Iceland in the first half of 2015.

Norvik

Acted as an advisor to Norvik in the sale of a large part of its domestic retail operations, including supermarket chain Krónan and electronic retailer ELKO. The transaction is one of Iceland's largest in recent years.

Markets

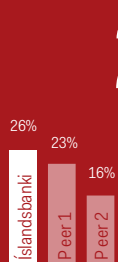
#1 for service

An investment bank's service offering includes providing larger companies and professional investors with access to capital markets. An efficient capital market is one of the cornerstones of a sound business environment.

Markets has been at the forefront of re-energising the hedging derivatives market for domestic companies. Although capital markets in Iceland are well on their way back to full health, companies, utilities and municipalities have not been able to manage their currency and interest rate risks as effectively as they would have wished. Markets played a leading role in the re-emerging derivatives markets, concluding several noteworthy deals such as IRS, CIRS and CPI swaps. These transactions resulted from initiatives taken by Markets to broaden its customer base and source of revenues.

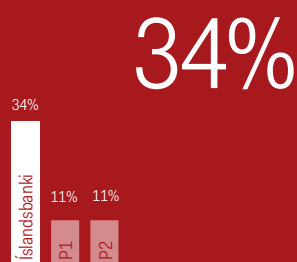
Underpinning the leading position of Íslandsbanki's investment banking services, Euromoney voted Íslandsbanki the best investment bank in Iceland in 2014. Furthermore, 34% of the largest corporations in Iceland consider Íslandsbanki to be the leading domestic provider of investment banking services.

Considered most professional
in securities sales



Source: Capacent Gallup – July 2014

Considered leading
in corporate finance



Source: Capacent Gallup – December 2014



3.4 Wealth Management

VÍB, Íslandsbanki's wealth management division, comprises three independently run units: VÍB and the Bank's subsidiaries IS Funds and Summa. VÍB offers comprehensive asset management and private banking services for private investors and institutional clients. VÍB also provides advisory services and investment and pension services for retail investors, as well as portfolio management services for affluent individuals and institutional investors.

About

VÍB employed 49, thereof 32 employees with VÍB, 13 with IS Funds and 4 with Summa. The division's customers range from regular savers to affluent individuals, pension funds, companies, public institutions and local authorities.

VÍB's structure was reorganised in 2014 to ensure the highest level of customer service. The three front-line customer-facing departments are Investment & Pension Services, Corporate & Institutional Services, and Private Banking.

Investment & Pension Services caters to private individuals requiring services related to securities and pensions, such as investment advice and brokerage, custodial, and pension services. Through online banking, customers have real-time access to their asset portfolios and current accounts and can conduct online trading in IS Funds' mutual funds.

Corporate & Institutional Services offers tailored asset management and consultancy services, such as portfolio and risk management, customised investment strategies, custody services, and market analysis. The unit's main customers are pension funds, insurance companies, local authorities, and other institutional investors.

Private Banking offers discretionary asset management and investment advice services to affluent individuals, investment companies, funds and charities. The portfolios of clients are monitored by a personal business manager who recommends investment opportunities as they arise.

Through its subsidiary IS Funds, VÍB is the largest distributor of fixed-income products in Iceland. VÍB offers advice on international asset portfolios and provides access to funds run by international partners such as Vanguard, BlackRock, iShares, DNB, Sparinvest, and Skagen. This service is currently limited to customers authorised to invest outside Iceland.

IS Funds manages mutual funds, investment funds, and other institutional investment schemes. It is an independently run, wholly owned subsidiary of the Bank that is licensed as a stand-alone fund management company. As the largest fixed-income fund manager in Iceland, IS Funds manages Icelandic Government bond funds in which individuals and institutional investors can invest. IS Funds has total assets of ISK 114bn and operates 19 mutual and investment funds. The IS Equity Fund has generated the highest annual returns of any Icelandic equity fund, with an average annual increase of 21.7% over the past five years.

Summa, an independent subsidiary jointly owned by the Bank and key employees, offers institutional investors services and advice on alternative investments. Summa is licensed as a stand-alone fund management company.

VÍB is the largest distributor
of fixed-income products in
Iceland

IS Funds has total assets of

ISK 114bn

and operates **19** mutual and
investment funds

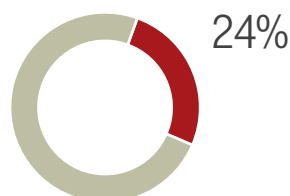
Employees



49

52% Men 48% Women

Net fee and commission income



Wealth Management's proportion of business segment net fee and commission income

New funds in 2014 reached

ISK 7.5bn

by year end

2014 in review

Wealth Management turned in a very sound performance in 2014 despite increasing competition and lacklustre market conditions in the first three quarters of the year. Several new products were launched and were well received and VÍB expanded its pension fund management business substantially.

IS Funds launched three new funds in 2014. The IS Interest Account Fund, a fund designed for investors looking for short-term investment with low volatility, was launched in September. The fund invests in deposits and Government-guaranteed bills, bonds and other short financial instruments. The fund grew quickly in 2014, reaching ISK 4.6bn by the year-end. The other two funds were launched in October: the Alpha Equity Fund, designed to broaden the range of funds available to institutional investors, and the IS Non-Index Fund, which ended the year at ISK 2.6bn.

Active product development led to the establishment of three new funds in 2014

AKUR

Akur Private Equity completed two investments in its first year of operation. The first investment was the acquisition of 13.5% of shares in HSV eignarhaldsfélag, a holding company that owns a 34.3% stake in HS Veitur, distributor of hot water and electricity in the Sudurnes region. The second investment was the acquisition of 30.2% of shares in Fáfir Offshore, an Icelandic shipping company that owns and operates Polarsysse, a platform supply vessel servicing the oil and gas industry in the North Atlantic.

FAST-1

FAST-1, a property company founded by VÍB in 2012, expanded its investments to ISK 20bn in co-operation with 28 institutional investors, including the largest pension funds in Iceland. The company owns several landmark buildings in Reykjavík.

FRAMTÍDARAUDUR VÍB

The private pension scheme Framtíðaraudur VÍB continued to grow during the year, owing to a surge in sales across all distribution channels. The client base grew by a very solid 20%, to around 20,000 people by the year-end. The private pension industry has received a tremendous boost from the Government's debt relief programme, which enables savers to divert some of their personal pension contributions towards reducing their mortgage principal.

 **28,000**
used the Bank's app

VÍB online services

For several years, VÍB has been at the forefront of Icelandic asset management companies in offering online information and functionality to its clientele. VÍB clients can expect to find thorough portfolio statements, transaction summaries, and pension services through Íslandsbanki's online bank.

In 2014, VÍB introduced security holdings and transaction reports that are accessible through Íslandsbanki's mobile app, giving clients the ability to monitor their securities whenever and wherever they choose. VÍB plans to extend this functionality in the near future.

VÍB increasingly uses social media in order to provide access to its content and to interact with customers. In addition to its presence on YouTube, Vimeo, and Twitter, VÍB has the largest following of any Icelandic asset management company on Facebook.

Focus on senior citizens

In 2014, VÍB stepped up its service for customers aged 60 years and older. A new part of VÍB's website is now dedicated to information on pensions, taxes, savings, and other relevant aspects of retirement. VÍB's staff hosted 24 lectures on retirement finances during the year, attracting 764 guests and over 2,000 online views.

In addition to lectures at the Bank's headquarters, VÍB offered courses in collaboration with the University of Iceland. Among those inviting VÍB to speak were retiree associations and some of the country's largest companies. Almost all of VÍB's retirement education is in response to specific demand.

Wealth Management

#1 for service

VÍB is committed to informing and educating its customers and the population at large about finance and investments, both as a valuable service to its clients and as a socially responsible initiative. A good example of VÍB's proactive stance is its successful cooperative effort with Reykjavík University's continuing education programme of free financial courses, with VÍB providing lectures.

In recent years, over 222 seminars and events have been held on a wide range of topics related to the Icelandic investment market. These have been made available to the general public, schools and university students.

VÍB's continuing efforts reached new heights in 2014, with 3,553 guests attending 69 educational events, 11,117 viewing live broadcasts from meetings, and 10,895 viewing recordings online. VÍB actively uses social media to educate and connect with its audience, and its Facebook friends grew by 70% in 2014.

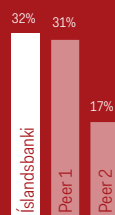
In order to enhance investment awareness among women, VÍB continued with a series of short courses in cooperation with NASDAQ Iceland and FKA (Association of Women Business Leaders in Iceland).

Total audience since 2011

66,903



Considered first choice
in funds management



32%

Hosted 69 educational events
in 2014, with a total audience of

25,565

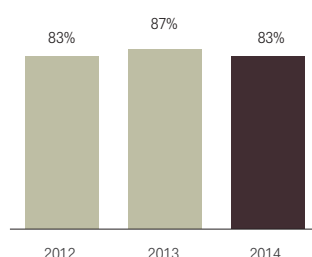


Source: Capacent Gallup – May 2014

3.5 Funding and Liquidity

Íslandsbanki runs one of the most diversified funding programmes in Iceland. In addition to its presence in the retail deposit market, the Bank leads the field in covered bonds issuance, was the first bank since 2008 to set up an MTN programme, and re-booted the Icelandic market for commercial paper. The Bank seeks to maintain a broad-based funding platform and access an increasing number of pools of investors at home and abroad.

Deposit to loan ratio – parent company (%)



A stable deposit base

Since its establishment in 2008, the Bank has been funded predominantly with deposits. At year-end 2014, the ratio of total deposits to total loans was 82.9% and the ratio of customer deposits to customer loans was 83.4%. The deposit-to-loan ratio has remained relatively stable in recent years, even though depositors are being offered an increasing number of other investment opportunities. Deposits are expected to remain the main source of funding for the Bank, but the deposit-to-loan ratio can be expected to fall over the next few years as banks are disintermediated in the face of a broadening choice for investors. The Bank's funding diversification strategy is aimed at managing such an eventuality.

First euro-denominated bond issue

In the summer of 2014, the Bank increased the size of its Global Medium Term Note Programme (GMTN) to a headline USD 750m to match more effectively the size of Íslandsbanki's foreign currency loan portfolio. The GMTN, which enables the listing of transactions on the Irish Stock Exchange, is the Bank's principal vehicle for raising foreign currency term funding, and it will afford the Bank all the usual flexibilities an MTN programme can offer.

In March 2014, Íslandsbanki issued an SEK 300m tap of its inaugural SEK 500m December 2017 Floating Rate Note. The new tranche was issued at a discounted spread to maturity of three-month STIBOR + 330 bp, 70bp tighter than the original issue in December 2013.

In May, the Bank followed that transaction with a EUR 100m fixed-rate bond, paying a 3% coupon for a two-year maturity. This bond, the first issued by an Icelandic bank in euros since 2008, was predominantly placed with investors in Germany and Scandinavia.

In February 2015, the Bank issued an SEK 300m four-year Floating Rate Note, paying a quarterly coupon of three-month STIBOR + 310bp.

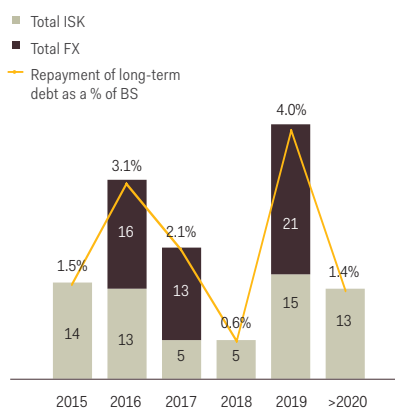
Standard & Poor's assigned Íslandsbanki ratings of BB+/B with a stable outlook in April, and revised its outlook from stable to positive in October. The Bank's ratings are somewhat constrained by those of the Icelandic sovereign and progress with the Government's plans to ease the capital controls will have a significant bearing on the Bank's own ratings.

The Bank will continue to explore its options in international markets and will take advantage of opportunities to access foreign currency funding as they arise.

Market leader in covered bonds

Íslandsbanki was the first Icelandic bank to issue covered bonds with its inaugural transaction in December 2011. The Bank held seven auctions during 2014 issuing ISK 8.8bn of covered bonds,

Maturity profile of long-term funding (ISK bn)



ISK 4.7bn non-indexed and ISK 4.1bn CPI-linked. The total outstanding covered bonds at year-end 2014 amounted to ISK 32.1bn.

The Bank has been able to issue on relatively attractive terms, and the spread between yields on its covered bonds and yields on Government-guaranteed paper has narrowed since the programme was launched in late 2011.

The covered bonds, which have been issued on a quarterly basis, have been well received by domestic investors. The Bank has issued both non-indexed and CPI-linked covered bonds in response to demand for different mortgage types. The Bank expects robust growth in covered bond issuance from the current total of ISK 10bn annually in the domestic market. The covered bonds are issued in accordance with Icelandic law, with maturities of up to 12 years, and are pledged against a pool of consumer mortgage loans.

Commercial paper issuance

In March 2013, Íslandsbanki issued short-term commercial paper, the first such issue by an Icelandic bank since 2008. In 2014, ten auctions were held where new six-month series were offered and an older series tapped. At year-end 2014, the Bank had just under ISK 4.4bn in short-term unsecured bonds, with maturities of 1-6 months outstanding.

Liquidity

Maintaining strong liquidity ratios is one of Íslandsbanki's key objectives. The Central Bank has set minimum liquidity requirements for the Icelandic banks. As of December 2013, the liquidity coverage ratio (LCR) replaced the previous regulatory liquidity requirements in the Icelandic market, well ahead of Europe's planned implementation on 1 January 2015.

The LCR requirements are twofold, with a separate, more stringent requirement for liquidity in foreign currency (FX LCR). The minimum LCR was 70% as of 1 January 2014, increasing to 80% as of 1 January 2015. The minimum FX LCR as of 1 January 2014 is 100%. The rules assume that banks must always have high-quality liquid assets sufficient to cover net outflows for the next 30 days under stressed conditions. The Bank's LCR ratios are significantly above the minimum requirements. The LCR ratio and FX LCR ratio at year-end were 130% and 617%, respectively.

The Bank holds liquid assets of 38% against total deposits and liquid assets in foreign currency of 96% against foreign currency deposits.

Stable funding

The Central Bank adopted a new funding ratio in foreign currencies based on the Basel Committee's rules concerning net stable funding ratios (NSFR). The rules took effect on 1 December 2014, well ahead of Europe's planned implementation on 1 January 2018. The funding ratio is intended to ensure a minimum level of stable one-year funding in foreign currencies, thus restricting the degree to which the commercial banks can rely on unstable short-term funding to finance long-term foreign-denominated lending. The Central Bank considers it important to reduce the risk that could result from excessive maturity mismatches between a commercial bank's assets and liabilities by limiting maturity mismatches in foreign currency. This is particularly important during the prelude to capital controls liberalisation.

As the methodology behind the NSFR ratio is still being tested, the Bank decided not to disclose the NSFR ratio as at 31 December 2014, in line with most Nordic banks.

Covered bonds

ISK 32.1bn

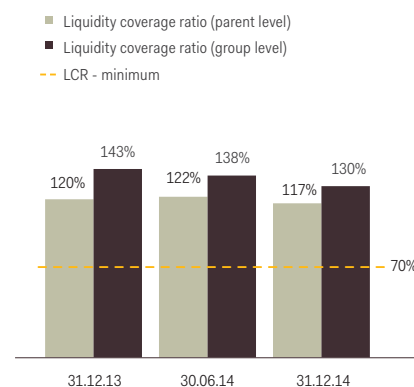
Íslandsbanki is the largest issuer of covered bonds in Iceland with a total of ISK 32.1bn outstanding, or about 3.5% of the balance sheet

International issuance

EUR 100m

Íslandsbanki issued its first euro-denominated bond in May 2014

Liquidity coverage ratio – all currencies



“Íslandsbanki has
a clear vision”

4 The Bank

Íslandsbanki's fundamental role is to provide universal financial services. We have a strong team of 1,000 dedicated skilled professionals who are fully committed to fulfilling the Bank's vision of being #1 for service.

We engage our employees in shaping the Bank's strategic policy in annual Strategy Summits. The strategic themes introduced in early 2014 are already integrated into our culture and have been put into practice in all stages of our work.

We lay great emphasis on recruiting and retaining top professionals within each division, who take great pride in working for Íslandsbanki.

We keep up with technological development by regularly introducing new features to our online and mobile banking and by providing new apps for our customers at all ages.

We seek to work in harmony with our community by giving financial support to culture, sports and community affairs and by promoting entrepreneurship and innovation through professional educational programmes and information sharing.

4.1 Strategy

Íslandsbanki places great importance on mapping out a clear strategic direction and developing its business model. The Bank's strategy, including role, values, and vision, has been defined at the Bank's annual Strategy Summits, in which customers, employees, and Board members have played an important part. The objective of the strategy is to create and deliver long-term sustainable value for all of the Bank's stakeholders. The strategy is implemented with annual Strategy Summits, workshops, key projects and with clear and measurable goals throughout the Bank.

Strategic direction

In the six years since the Bank's establishment, we have built a robust, reliable bank based on a sustainable and stable universal relationship banking model. Our recovery path can be described in terms of three strategic phases: back to basics, consolidation, and building a sustainable future.

Back to basics

Employees are encouraged to take part in mapping a strategic direction for the Bank

At the time of its establishment in 2008, the Bank faced significant challenges. It was of vital importance to engage the Bank's employees and encourage them to take active part in mapping a strategic direction for the Bank. Great care was taken to conduct households' and businesses' financial restructuring according to the highest professional standards in order to safeguard customers' relationships and regain their confidence. In addressing legacy issues and executing its strategy, the Bank has been transformed and has made a substantial effort to improve its infrastructure and promote sound governance practices.

Consolidation

Íslandsbanki wants to shape a responsible and sustainable future for banking in Iceland. In 2011-2012, the Bank participated in the much-needed consolidation of Iceland's financial market through acquisitions and mergers. In doing so, the Bank strengthened its balance sheet, increased its market share, and took another step towards running the most efficient branch network in the country.

Building a sustainable future

During the first two phases of its reconstruction, the Bank built a platform for organic growth. A significant increase in market share and a larger customer base gave the Bank the opportunity to leverage its relationship banking strategy. The core of this strategy is cross-selling; i.e., doing more business with existing customers by using data analytics, cross functional processes, and channels. At the same time, synergies will continue to be realised, with continuing focus on cost-efficiency. Internationally, the Bank will expand on its established expertise in the seafood, energy, and offshore service vessel industries throughout the North Atlantic region.

Strategy implementation

The current strategic themes are:
Multiply, Simplify and Unify

At Íslandsbanki, emphasis is placed on employee participation in the strategy formulation. The annual Strategy Summits play a key role in forming the Bank's strategy. Each year the Summit has had a specific theme based on the Bank's strategic focus.

Annual Strategy Summits

Since 2009, Íslandsbanki has held annual Strategy Summits with the participation of employees, managers and Board members. These Summits have focused on defining the Bank's fundamental

Íslandsbanki's strategic themes for the next 3-5 years



MULTIPLY

- We build relationships with our key customers and defined target groups
- We emphasise employee collaboration across departments and divisions
- We analyse data and information to meet our customers' needs more effectively



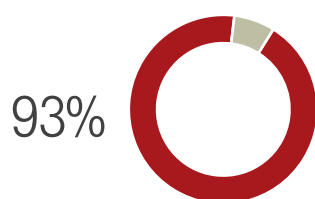
SIMPLIFY

- We streamline processes and operations through constant improvements
- We offer products and services in an innovative and economical way
- We improve our customers' experience and offer them services through the channel suited to them



UNIFY

- We make a positive impact on society and the environment
- We emphasise healthy operations based on sound business practices
- We offer a positive, constructive work environment



"The strategy workshop has increased my understanding of the strategy and the strategic themes" – 93% of employees agree

role and core values, the vision to be #1 for service, the importance of teamwork as a key ingredient of a successful service culture, and the future and the growth of online and mobile banking.

Employee participation in the Summits has grown year by year, revealing employees' growing interest in shaping the Bank's strategy and putting it into practice. Internal surveys confirm that employees are pleased with the summit format and recognise the importance of the summits in determining the direction the Bank is taking.

At the 2014 Strategy Summit, new strategic themes were introduced and, with employee participation, the first step in the implementation of the new strategic themes began.

Strategy workshops

As part of the strategy implementation process, workshops were organised, with the aim of familiarising employees with the Bank's strategy and providing them with in-depth knowledge of the three strategic themes.

In September and October 2014, the Bank held 22 workshops tailored to each business unit's operations. Internal surveys show that the employees were extremely satisfied with the workshops and the goals that were set.

Key projects

The Bank emphasised the following key projects in 2014.

Target group analysis and service experience

As part of the relationship banking strategy, data and target group analysis is carried out across the Bank, with the aim of improving service and increasing cross-sales.

Efficient operations and development of channels

Íslandsbanki firmly emphasises simplification and increased efficiency in the work environment as a means of fostering economical operations. The Bank also focuses on streamlining channels and constantly improving the quality of the customer experience.

New social responsibility strategy

A new strategy was formulated and approved in 2014. The emphasis was on ensuring that employees have a comprehensive knowledge of the strategy and its sub-projects.

Opportunities in the North Atlantic

The focus of this project was to analyse new opportunities for the Bank in the North Atlantic region, based on its experience and expertise in specified sectors.

Our strategy is implemented through key projects defined each year

Strategy pyramid

Íslandsbanki's strategy is represented in the strategy pyramid. First introduced in 2009, the pyramid consists of five building blocks that support one another. The top three blocks – role, values and vision – rarely change, whereas the bottom two strategic themes and key projects are reviewed more frequently.



Íslandsbanki

#1 for service

The Bank's vision is to be #1 for service, it indicates where the Bank is going and provides a guidepost for strategy formation. The key elements of the Bank's vision are:

- We listen and communicate with our customers
- We know our customers' needs and show initiative
- We educate our customers so that they can make informed decisions
- We are experts in our products and services
- We enable our customers to do their banking whenever and wherever they choose

Highest ranking bank in
the Icelandic Customer
Satisfaction Index



4.2 Íslandsbanki in Society

The Bank endeavours to understand the impact of its operations on the environment and society by defining and measuring economic, environmental and social impact. The Bank constantly searches for new and more efficient solutions that have a positive impact on customers, operations and the environment.

The Bank searches for solutions that have a positive impact on customers, operations and the environment

With a clear Corporate Social Responsibility (CSR) strategy, Íslandsbanki is committed to contributing to future generations and being a role model for other companies and institutions in Iceland. The new CSR strategy centres upon how business is conducted and is a part of the Bank's strategy and governance.

Íslandsbanki has adhered to the UN Global Compact on Social Responsibility since 2010 and has published an annual CSR report based on the Global Compact approach. To measure the performance of the Bank's new strategy and its implementation, a Global Reporting Initiative (GRI) report will be published in 2015. GRI contains indicators that state clearly what is to be measured and how information is presented and compared.

Íslandsbanki's management and employees are mutually responsible for the implementation and the process of the CSR strategy.

Work in progress

Considerable work has been carried out within the Bank with the formulation of the new policy on responsible banking. Special emphasis has been placed on employee participation at all stages. With considerable input from staff and management, external consultants helped refine the scope of the strategy, defining five focus areas or pillars:



Business

Pursuing responsible and healthy business practices and operations.



Education

Informing and educating customers so as to enable them to make better decisions about their finances.



Environment

Minimising negative environmental effects of the Bank's operations.



Human capital

Increasing employee engagement through participation in community projects, wellbeing, and employee education.



Society

Participating in various community projects through employee participation and financial support.

Subsequently, the framework and ideology of CSR was introduced more widely to employees at strategy workshops held in September and October.

CSR projects

Employees formulated sub-projects with the assistance of the external consultants. Steering groups were formed around the largest projects and each project assigned a defined scope and timeline. Implementation of most projects will begin in 2015 and those projects will be detailed in the CSR report published later this year.



BUSINESS

Responsible investments

As one of Iceland's largest companies, the Bank is in a favourable position to have a positive impact on society and minimise negative environmental, social and governance factors, so as to ensure that the market remains healthy and stable. A steering group is formulating a policy on responsible investments and a policy on ownership. The Bank is committed to being an active investor that will use its influence in favour of social responsibility in reasonable proportion to profitability.

Responsible lending

A steering group is formulating a responsible lending strategy that will be incorporated into current lending policies and guidelines. The goal is to prevent the extension of credit to activities that are questionable from an environmental, social and ethical point of view. Lending should always be based on sound banking practices. The Bank should not compromise generally accepted ethical standards, nor undertake business with entities that are suspected to fall short of moral and ethical norms.

Responsible purchases

As a large buyer in a relatively small market, Íslandsbanki is in an excellent position to be a motivator of positive change in society. Its goal is to commit to social responsibility when purchasing goods and services. By setting out specific requirements, the Bank can encourage members of its supply chain to show more social responsibility in their actions and therefore add value to society. Criteria currently under examination centre on environmental, ethical and financial standards, as well as labour rights.

Information security

Íslandsbanki believes that information security plays an important role in the banking industry. To manage information security, the Bank has a security policy that has been approved by the Executive Board and is compliance with the ISO 27001 standard with respect to information security. Íslandsbanki is working towards certification in the PCI-DSS standard to ensure the safe storage, handling, and transmission of credit card information. Information and network security is a major factor in PCI-DSS certification.

The Bank performs regular vulnerability scans and penetration testing and works closely with internal and external security experts. Security awareness is a major part of the Bank's information security programme, and all business units receive tailored awareness training on an annual basis.

Íslandsbanki is working towards certification in the PCI-DSS standard to ensure the safe storage, handling, and transmission of credit card information

EDUCATION

Educating customers

Íslandsbanki runs an ambitious education programme with the aim of encouraging discussion and information sharing on investments and economic affairs. The Bank's aim is to provide financial education so that our customers will be better equipped to make enlightened decisions about their finances. Over the past four years, VÍB has held 222 lectures and seminars, which 67,000 people either attended or watched online. VÍB has held several series of popular seminars, including seminars for young investors hosted by Reykjavík University, and retirement planning courses for senior citizens. The Bank aims to improve the dissemination of its educational materials through new channels that will target specific groups, such as seniors.

HUMAN CAPITAL

Transportation policy

The Human Resources department is formulating a transportation policy based on the goal of improving employees' health and reducing pollution. Several actions have been taken to support a shift towards more environment-friendly transportation. Changing rooms have been installed in the Bank's headquarters, and employees are entitled to a special interest-free bicycle loan of up to ISK 250,000 for a term of 36 months.

In the annual workplace audit, employees' commuting habits were analysed. About 20% of employees do not travel to work in their own car. In the audit, employees were asked whether they could commit to leaving their car at home at least 3 days a week if the Bank would support them with a tax-free transportation grant. About 55% were positive, 8% were neutral and 37% considered it unlikely.

Equality policy

Since its establishment, the Bank has focused on gender equality and the current gender distribution of managers is 52% women and 48% men. Several steps have been taken to achieve this. Women have been encouraged to develop and maximise their potential through mentoring and coaching programmes offered by the Bank. The human resource policy has recently been expanded to include a new chapter focusing specifically on gender equality and non-discrimination.

Although job advertisements are non-gender based, the recruitment process is designed to favour gender-balanced departments in instances of equally qualified candidates for a position.

Where possible, the Bank helps employees to achieve a healthy work-life balance with flexible working hours and efficient work habits. Expectant parents are encouraged to exercise their right to parental leave. Furthermore, Íslandsbanki offers a flexible adaptation for employees returning from parental leave.

ÍSLANDBANKI REYKJAVÍK MARATHON

 **15,654**
runners

participated in 2014

ISK 85.6m
raised for **163 charities**

SOCIETY

Grants and sponsorship policy

A steering group is forming a new comprehensive policy on grants and sponsorships aimed at making distribution more efficient and transparent. The Bank has supported causes on a national scale, and the branch network supports charities in their immediate localities. In 2014, the Bank provided grants for the amount of ISK 197m.



Borgarleikhúsið



FKA

Helping hand

Since 2012, Íslandsbanki has invited all employees to devote one working day per year to a good cause. Employees have chosen the charities to which they wish to lend a helping hand. Their activities have ranged from gardening, clearing litter and helping homeless people to providing charities with expert assistance. The goal is to increase employee's participation so that, in three years' time, 40% of employees will have lent a helping hand in this manner.

4.3 Human Resources

Íslandsbanki knows that banking is essentially a people business. Engaged and skilled employees are the bedrock of quality service, satisfied customers, a positive image, and sound financial performance. The Bank endeavours to create a culture that attracts and develops talented individuals. We believe the best way to support our employees is through managerial support, leadership and development, improved information flow, and measures to enhance their overall wellbeing.

People strategy

The Bank aspires to attract and retain a group of ambitious employees with differing backgrounds and experiences, so as to be better prepared to meet the various needs of its customers and provide outstanding service. The Bank focuses on strategic human resource initiatives and considers it important that all employees share its values and have a sound knowledge of the Bank's vision and strategic themes. Human Resources is responsible for creating a corporate culture that places great emphasis on strong leaders, information sharing, employee development, and the general wellbeing of the workforce. These factors produce greater job satisfaction, which is reflected through better service for our customers and stronger overall results.

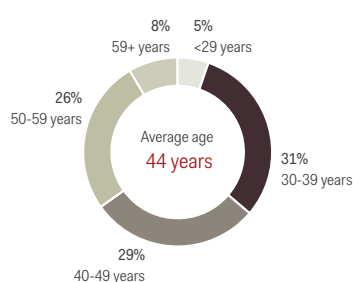
Our people

The Bank employed 990 people on average in 2014 and at year-end there were 945 full-time positions in the Bank. Of that total, 66% are women and 60% have a university degree. The age distribution of employees is broad, with an average age of 44 years. The average length of employment is 12 years.

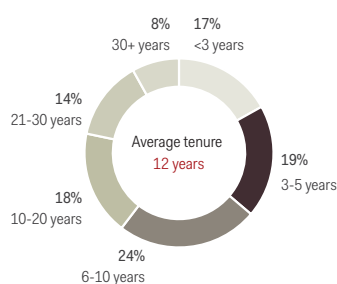
As a result of cost synergies and continued efficiency-enhancing projects, the average number of employees has fallen by 6.3% since 2013. Most of the downsizing has occurred through natural attrition, internal transfers, and minimal external recruitment.

The employee turnover rate in 2014 was 9.8%. The voluntary turnover rate was 3.5%, indicating a healthy workplace.

Employee age



Employee tenure



Open communication

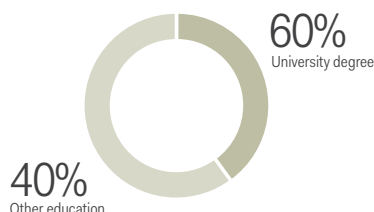
A positive work environment is vital for the wellbeing of employees, and all employees are responsible for creating a working environment with open and constructive communication.

The Bank encourages internal dialogue among staff members. We believe that every employee can make a contribution to the creation of a results-driven culture that reflects our values of being professional, progressive, and positive, and helps us to achieve our vision of being #1 for service. Central to our focus on feedback are our yearly workplace audit, internal service audit, annual performance reviews, and strategy meetings. Quarterly staff meetings are held to present the Bank's main financial results and strategic initiatives. Staff members are also encouraged to express themselves on the intranet by using tweets and comments. Regular, structured performance appraisals provide employees with systematic feedback on key competencies and give them status updates on long- and short-term goals. In addition to focusing on past performance, the appraisals identify each employee's personal strengths and objectives and how they can be mobilised to meet future challenges.

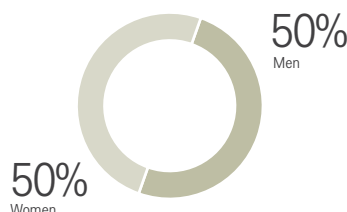
Average number of employees



Employee education



Gender split of new recruits



Opportunities to develop

The Bank derives its strength from the wide expertise of its employees and, therefore, setting optimum conditions for job development is vital. The Bank has placed the creation of a motivational environment at the forefront of its human resource strategies. This was endorsed in the 2014 workplace audit, where 82% of employees said that they have the opportunity to learn and grow in the workplace.

More than a hundred training courses are offered every year, based on a detailed analysis of educational needs. Our employees attended an average of five courses each in 2014, demonstrating their dedication to maintaining and enhancing their skills. In addition to conventional classroom training, all employees can apply for a mentor or a coach. All employees also have the opportunity to spend half a day in another department in order to broaden their knowledge of the Bank's operations.

All job vacancies are advertised on the intranet. In 2014, a total of 97 employees, or 10% of all staff members, transferred to another job inside the Bank.

Managers with strong leadership skills

The results of the 2014 workplace audit show that the Bank's managers are continuously improving their leadership skills. According to the audit, 94% of employees trust their manager, 93% agree that their manager has a clear vision, and 91% agree that their manager leads by example. Strong emphasis on leadership training in 2013-2014 has resulted in more efficient and motivating managers at all levels. In accordance with the Bank's emphasis on employee development, most managers are recruited internally. In 2014, 75% of managers were recruited from within the Bank.

A great place to work

According to the results of the 2014 workplace audit, Íslandsbanki is a great place to work. Despite the challenges in the Bank's working environment, overall job satisfaction is now stronger than ever, with:

92%

JOB SATISFACTION

and 89% stating that they would recommend the Bank as a good place to work.

Equality and non-discrimination



The Bank endeavours to be an equal opportunity employer, where women and men have the same opportunities. The Bank has always stressed non-discrimination and considers equal rights extremely important. In 2014, the human resource strategy was updated in order to place greater emphasis on non-discrimination. A new chapter focuses on guidelines for gender equality in the Bank, where the principles of total non-discrimination and impartiality are observed in all areas relating to human resources.

Promotion of equality also aims to make it easier for both men and women to combine employment with parenthood. In 2014, the Bank began to offer employees who return to work after parental leave a transitional period, during which where they can negotiate their work percentage.

5 Corporate Governance

Sound governance promotes improved work habits and communications, which in turn enhances confidence among shareholders, Board members, management, employees, and other stakeholders. One of the Board of Directors' main objectives is to continuously develop and strengthen its governance framework, reflecting compliance with best practice in the financial market at all times.

The legal and regulatory framework for corporate governance practices within the Bank consists mainly of the laws governing entities subject to supervision by the Financial Supervisory Authority (FME). Applicable legislation includes the Act on Financial Undertakings, no. 161/2002; the Act on Securities Transactions, no. 108/2007; the Competition Act, no. 44/2005; and the Act on Public Limited Companies, no. 2/1995. These statutory instruments, together with the Bank's Articles of Association, lay the foundation for the Bank's activities.

The Bank also follows the Corporate Governance Guidelines issued in March 2012 (4th ed.) by the Iceland Chamber of Commerce, NASDAQ Iceland, and the SA-Business Iceland (formerly Confederation of Icelandic Employers).

Recognised for exemplary performance in corporate governance

Íslandsbanki is exemplary
in corporate governance

The Bank is committed to maintaining high standards of governance and complying with the best governance practices that are in the interests of the organisation, its stakeholders and customers. In March 2014, The Centre for Corporate Governance at the Institute for Business Research at the University of Iceland, in cooperation with the Icelandic Chamber of Commerce, the SA-Business Iceland, and NASDAQ Iceland, formally recognised the Bank as "Exemplary in Corporate Governance". The recognition was granted after a formal assessment of the practices of the Board, Board subcommittees and management and is valid for three years unless there are substantial changes in Board of Directors or ownership of the Bank. The Bank will continue to focus on sound corporate governance and strive to maintain the recognition.

Corporate governance structure

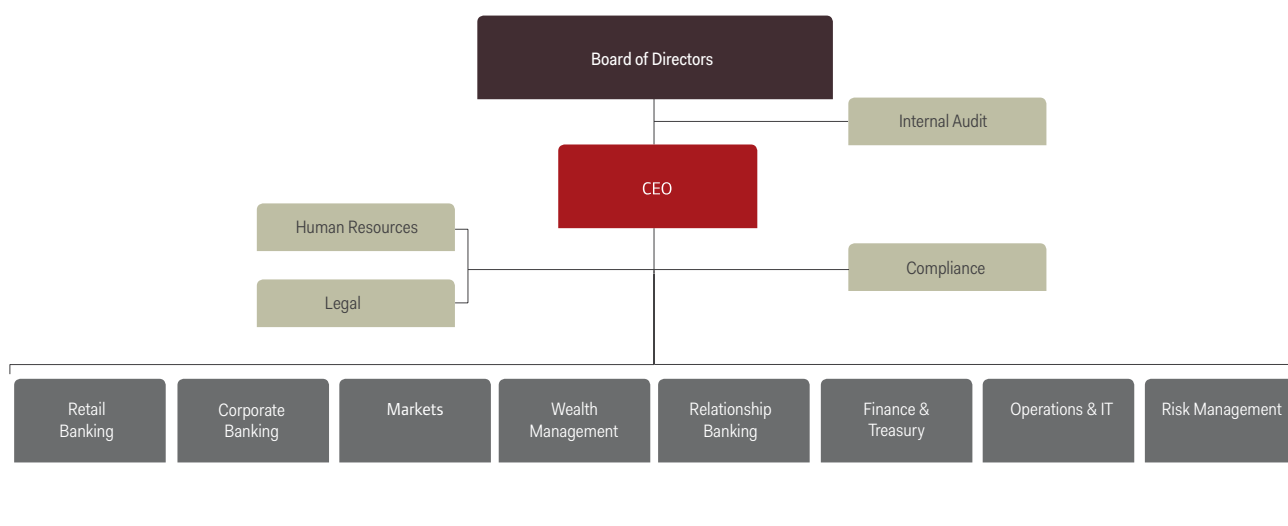
The management and control of Íslandsbanki are shared by shareholders, the Board of Directors, and the Chief Executive Officer, in accordance with the Bank's Articles of Association, other Board directives, and the external legal and regulatory environment described above.

Shareholders' meetings

In accordance with the Act on Public Limited Companies and the Bank's Articles of Association, shareholders have the ultimate authority in all matters discussed at shareholders' meetings. At the Annual General Meeting (AGM), which must be held before the end of April each year, the Board of Directors and auditors are elected, the annual accounts for the previous year and the compensation policy are presented for approval. Furthermore, decisions are made about dividend payments and amendments to the Articles of Association, if applicable.

Shareholders or their representatives are authorised to attend shareholders' meetings, as are their advisors. At shareholders' meetings, each share carries one vote, and matters are decided by majority vote unless otherwise stipulated by law or in the Articles of Association.

Administrative structure



The AGM is held in Reykjavík. The minutes of past AGMs can be found on the Bank's website in Icelandic.

Articles of Association

The Bank's Articles of Association contain provisions on the Bank's purpose, share capital, and shareholders' meetings, as well as the election and responsibilities of the Board of Directors and the procedures governing amendments to the Articles of Association. The Articles of Association can be found on the Bank's website.

Board of Directors

The Board of Directors (the Board) comprises seven non-executive directors and three alternates, all of whom are elected at each AGM for a term of one year. There are no limitations on duration of Board membership.

The Board of Directors has the ultimate authority over the Bank's affairs, subject to shareholders' meetings, unless otherwise stipulated by law or in the Articles of Association. The Board is responsible for the formulation of the Bank's general strategy and instructs the CEO on its implementation. It also has a supervisory role in overseeing that the Bank's organisation and activities comply at all times with the pertinent regulatory provisions and with sound business practices, and that its overall financial position meets the requirements set forth in the relevant internal and external regulatory framework.

The Board adopts its own Rules of Procedure in accordance with Article 70 of the Act on Public Limited Companies and Article 54 of the Act on Financial Undertakings. The Board's current Rules of Procedure, adopted on 27 August 2013, can be found on the Bank's website.

According to the Board's Rules of Procedure, at least five members must attend Board meetings in order to constitute a quorum. In 2014, the Board held 13 meetings, with a quorum each time.

Board of Directors

 4 MEN
  3 WOMEN

The tasks of the Board include but are not limited to the following:

- Approving the main elements of the Bank's organisational structure
- Appointing the CEO (one or more)
- Appointing the Chief Audit Executive
- Determining which employees may obligate the Bank and setting rules governing such authorisations
- Approving policy documents on major risk factors in the Bank's operations, in consultation with the CEO
- Approving final write-offs of the Bank's assets and loans
- Creating a framework for and monitoring the Bank's risk management and defining its risk appetite
- Bearing ultimate responsibility for internal control
- Addressing other issues related to the Act on Financial Under takings or the Act on Public Limited Companies
- Presenting proposals to the AGM concerning allocation of profits
- Approving actions by the Bank which are extraordinary or of major importance. The Decision Making Matrix defines major Bank actions handled by the Board

Further information on the Bank's Board members can be found in [Chapter 5.1](#).

Chairman of the Board

The Chairman of the Board is elected at a shareholders' meeting. The Board elects the Vice-Chairman from among its members. The Chairman of the Board is responsible for ensuring that the Board carries out its role effectively and in an organised manner. The Chairman organises and leads the activities of the Board and calls Board meetings. He or she is also required to maintain regular communications with the CEO, ensure that the Board receives satisfactory information and access to documents and data, and ensure that the Board completes the mandatory self-assessment of its activities each year. In addition to its regular meetings, the Board must meet if the Chairman or the CEO requests it. The number of votes cast determines the outcome of elections and of matters subjected to a vote. In the event of a tie, the vote of the Chairman determines the outcome of the matter under consideration. In the Chairman's absence, the Vice-Chairman casts the deciding vote.

The Chairman of the Board is responsible for ensuring that the Board carries out its role effectively and in an organised manner

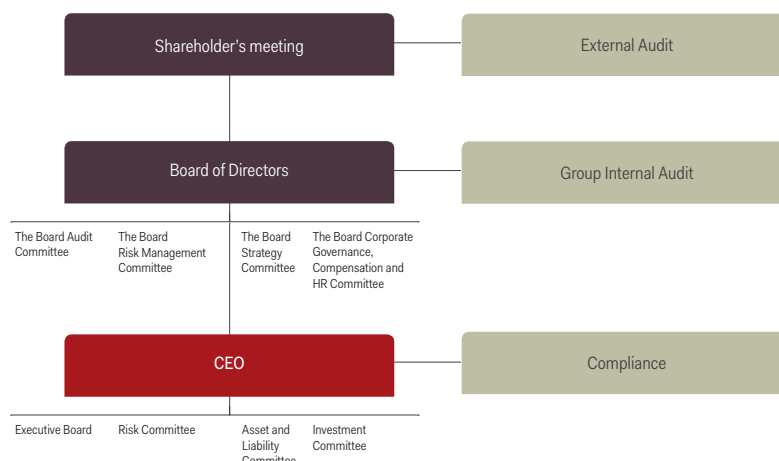
Board subcommittees

In accordance with the Board's Rules of Procedure, the Board has appointed subcommittees comprising Board members. The committees are the Board Audit Committee; the Board Risk Management Committee; the Board Strategy Committee; and the Board Corporate Governance, Compensation, and Human Resource Committee.

Board Audit Committee

The Board Audit Committee, comprising three Board members, assists the Board in fulfilling its oversight responsibilities concerning the financial reporting process, the system of internal control, the audit process, and the Bank's process for monitoring compliance with laws and regulations and its code of ethics. The Audit Committee's remit includes the parent company, its subsidiaries, and the group as a whole.

Organisational chart



Board Audit Committee tasks include the following, among others:

- Assessing the information provided by managers on financial matters
- Presenting proposals for the selection of external auditors, assessing their independence, and evaluating other tasks undertaken by the auditors
- Monitoring the accounting process and supervising the audit of the Bank's consolidated financial statements
- Reviewing audit plans, activities, staffing, organisation, and authorisations of Group Internal Audit, and making a proposal to the Board on the appointment of the Chief Audit Executive
- Reviewing audit reports, significant findings, and recommendations
- Considering the effectiveness of the Bank's internal control systems and monitoring the execution of risk management and compliance
- Determining whether the Bank's accounts are in accordance with the information available to committee members and with accepted accounting principles

Board Audit Committee oversees the financial reporting process, internal control and audit process

Board Risk Management Committee

The Board Risk Management Committee, comprising three Board members, is responsible for assisting the Board of Directors in providing oversight of senior management's activities in managing risks relevant to the Bank's operations. It is also responsible for reviewing the Risk Management and Internal Control Policy set by the Board.

The Board Risk Management Committee reviews and makes recommendations on the following topics, among others:

- Risk appetite and strategy
- Financial objectives of importance for risk management
- Internal Capital Adequacy Assessment Process (ICAAP)
- Authorisation limits by risk level for credit decisions
- Restrictions on holdings of own shares
- Restrictions on large exposures
- Restrictions on foreign exchange risk, liquidity risk, and interest rate risk
- Use of risk measurements in credit pricing
- Guidelines for restrictions on maximum exposure to individual borrowers by risk class

Board Risk Management Committee oversees the Bank's risk management activities

Board Strategy Committee

The Board Strategy Committee, comprising four Board members, oversees and approves key issues related to the Bank's overall strategy and formulates general policies to implement that strategy effectively. The committee sets out strategic and financial targets and priorities and monitors their progress.

The committee's main responsibilities, subject to the approval of the Board, when appropriate, are as follows:

Board Strategy Committee oversees the Bank's strategy and formulates general policies

- Overseeing key issues related to the Bank's overall strategy and formulating general policies to implement that strategy effectively
- Setting strategic and financial targets and priorities for the Bank's short-, medium- and long-term development and monitoring their progress
- Approving strategic decisions and overseeing the work of executive management regarding strategy, business plans, financial and strategic targets, risk profile, and overall performance
- Assisting and advising the Board of Directors on any development in the Bank's domestic competitive landscape

Board Corporate Governance, Compensation, and Human Resource Committee

The Board Corporate Governance, Compensation, and Human Resource Committee, comprising four Board members, aims to assist the Board of Directors in overseeing the development and assessment of the Bank's approach to corporate governance issues. Furthermore it is responsible for providing oversight regarding compensation and human resource issues, ensuring that they are consistent with the Bank's culture, objectives, strategy and environment.

The Board Corporate Governance, Compensation, and Human Resource Committee is responsible for:

Board Corporate Governance, Compensation and HR committee ensures that issues overseen by the committee are consistent with Bank's culture, objectives, strategy and business environment

- Overseeing the Bank's relationship with management, the Board, shareholders, and other stakeholders
- Helping the Board to assess Board members' performance
- Establishing clear lines of responsibility and accountability
- Preparing guidelines to ensure satisfactory oversight by senior management
- Helping the Board to set goals relevant to the committee's purview
- Providing general guidance on employee stock option plans and on the Bank's compensation policy and other terms of employment, appointment, or dismissal of the CEO
- Advising the Board on how the Bank's human resources are best allocated

Chief Executive Officer

The Chief Executive Officer (CEO) is responsible for the day-to-day operations of the Bank, pursuant to the policy and resolutions of the Board. Moreover, it is the task of the CEO to ensure that the Bank's operations are consistent at all times with applicable legislation and the Bank's Articles of Association.

Structure of Board's subcommittees

	The Board Audit Committee	The Board Risk Management Committee	The Board Strategy Committee	The Board Corporate Governance, Compensation and HR Committee
Fridrik Sophusson				
John E. Mack				
Árni Tómasson				
Helga Valfells				
Marianne Økland				
Neil Graeme Brown				
Dr. Thórunna Jónsdóttir				

 Member
 Chair

The CEO engages members of the Executive Board and the Compliance Officer. Furthermore the CEO appoints members of management committees.

Management committees

The Board monitors the execution of its policies and the sound control of accounting and financial management, and ensures that Group Internal Audit, Compliance, and Risk Management are effective at all times. The Executive Board, Risk Committee, Asset and Liability Committee, and Investment Committee are responsible for implementing risk management practices and internal monitoring in accordance with Board authorisation. Under this authorisation, these management committees issue detailed guidelines for risk assessment and individual risk thresholds in accordance with the Bank's defined risk appetite.

Members of management committees are appointed by the CEO, and their mandate and rules of procedure are documented in a charter, presented to the Board.

The Bank publishes a separate Pillar 3 Report providing detailed information on the Bank's risk management structure, capital structure, capital adequacy assessment, large exposures, and risk assessment procedures. The Pillar 3 Report can be found on the Bank's website.

Management committees are responsible for implementing risk management practices and internal control in accordance with Board authorisations

Executive Board

The Executive Board is responsible for the Bank's operational risk framework and governs the Bank's Operational Risk Policy. The operational risk framework covers how operational risk is identified, assessed, measured, monitored, controlled, and mitigated at the Bank. In addition, the Executive Board supervises reputational risk, business risk, strategic risk as well as the Bank's formal product approval process.

In order to enhance its effectiveness, the Executive Board has two subcommittees that meet weekly: the Operational and Monitoring Committee, which includes managers of support units as well as the CEO, and the Business Committee, which includes managers of business units as well as the CEO.

Risk Committee

The Risk Committee is responsible for supervising and monitoring the Bank's credit and credit concentration risks. The Risk Committee governs the Bank's Credit Risk Policy and other credit rules and procedures. The Risk Committee may delegate authorisation powers to subcommittees and decides on credit authorisation limits to individuals.

Both the Risk Committee and each of its subcommittees have the authority to decide on credit proposals, credit risk, and counterparty credit risk within defined limits set by the Board of Directors. Decisions on exposures that exceed committee limits must be referred to a more senior committee, and credit decisions exceeding the limits of the Risk Committee must be referred to the Board for approval.

The Risk Committee is also responsible for approving products and services according to a formal product approval process within the Bank.

Asset and Liability Committee

The Asset and Liability Committee (ALCO) supervises other financial risks, including market risk, liquidity risk, and interest rate risk in the banking book (non-trading portfolio). The ALCO decides on and sets limits for these risks and governs the Bank's Market Risk Policy and Liquidity Risk Policy. The ALCO also oversees the Bank's capital allocation framework and transfer pricing mechanism.

Investment Committee

The Investment Committee makes decisions pertaining to the purchase or sale of equity stakes in companies, as well as other types of investments, including investment funds and real estate.

The Decision Making Matrix

As part of the Bank's commitment to sound corporate governance, the Board adopted Íslandsbanki's Good Governance Policy, a decision-making matrix, in 2012. The policy was updated in 2014. The Decision Making Matrix outlines all major decisions that the Bank may wish to take under given circumstances. The matrix sets specific conditions for all major decision-making and requires that all such decisions shall be taken both with the input of the best qualified parties within the Bank and on the basis of the best information available at the time. This procedure was introduced in order to foster improved decision-making and ensure that decisions taken within the Bank fulfil the appropriate requirements at any given time.

Methodology

The Decision Making Matrix defines the following set of principles for major decisions:

- The Bank's decisions serve the best interests of the Bank and its stakeholders, in compliance with applicable law, the bank's Articles of Association, and the Bank's existing contractual obligations
- Decisions are taken by the parties (shareholders, Board members, supervisors, managers, or employees) best qualified to carry them out effectively and efficiently in view of their professional obligations, sphere of responsibility and interest, knowledge and expertise, and access to the appropriate information
- Decisions are based on the best available information at any given time following a careful consideration

The Decision Making Matrix contributes to a better and more thorough decision making process within the bank

Group Audit

Group Internal Audit

Group Internal Audit provides the Bank with independent, objective assurance and consulting services designed to add value and improve the Bank's operations. It helps the Bank to evaluate and improve the effectiveness of its risk management, controls, and governance processes. Summary reports are regularly submitted to the Board Audit Committee, Board of Directors and external supervisory authorities. Furthermore, Group Internal Audit leads investigations of suspected fraudulent activities in the Bank's operations.

The role of Group Internal Audit is to determine whether the risk management framework, control, and governance processes as designed and represented by management are adequate and functioning in a manner to ensure that:

- Risks are appropriately identified and managed
- Legal and regulatory issues are recognised and addressed appropriately
- Employees' actions are in compliance with policies, standards, procedures, and applicable laws and regulations
- Programmes, plans, and objectives are achieved
- Quality and continuous improvement are fostered in the Bank's control process
- Significant financial, management, and operational information is accurate, reliable, and timely
- Resources, including outsourced activities, are acquired economically, used efficiently, and protected adequately

Group Internal Audit determines whether the risk management framework, control and governance processes are adequate

The Chief Audit Executive is appointed by the Board and directs Group Internal Audit by Board authorisation. The Chief Audit Executive is responsible for internal audit matters within the group, the Bank and its subsidiaries, including outsourced projects. Group Internal Audit is not responsible for internal control or its implementation.

External Audit

As is provided for in the Articles of Association and the Act on Financial Undertakings, the Bank's audit firm is elected at the AGM for a term of five years. At the 2010 AGM, Deloitte hf. was elected to serve as Íslandsbanki's independent external auditing firm. Deloitte is a chartered auditing firm and an independent legal entity belonging to the network of member firms of Deloitte Touche Tohmatsu Limited. A new independent external audit firm will be elected by the shareholders at the Bank's 2015 AGM.

Compliance

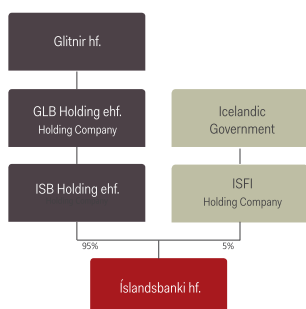
As a financial undertaking licensed to conduct securities trading and an issuer of listed financial instruments, the Bank operates a Compliance department. The Bank's Compliance Officer is appointed by the CEO, subject to Board confirmation, conferring the department's mandate in accordance with Article 130 of the Act on Securities Transactions, no. 108/2007.

Compliance ensures that the Bank's operations concerning securities transactions are consistent with internal and external regulatory framework and appropriate business practices

The Compliance Officer is responsible for regular monitoring and assessment of the suitability and efficacy of the Bank's measures concerning securities transactions. Its aim is to ensure that the work of the Bank and its Board and employees is consistent at all times with the applicable internal and external regulatory framework and with sound, appropriate business practices. The Board is authorised to entrust the Compliance department with additional tasks if they are in accordance with statutory requirements. The Compliance Officer submits a report on its activities to the CEO and the Board at least twice a year. In cooperation with Group Internal Audit, the Compliance department administers a special "fit-and-proper" test to managers and key employees.

Compliance monitors the following:

- Compliance with current laws, regulations, and internal Bank rules on investor protection, pursuant to Chapter II of the Act on Securities Transactions
- Separation of operational units and systems (Chinese walls) in accordance with current regulatory instruments
- Compilation and maintenance of lists of the Bank's insiders
- Administration and reporting of primary insiders' transactions with the Bank's financial instruments
- Treatment of insider information on the Bank's operations in accordance with current regulatory instruments
- Compliance with the Bank's rules on measures to combat money laundering and terrorist financing
- Compliance with the Bank's policy on conflicts of interest
- Employee participation in business activities in accordance with current regulatory instruments and Bank rules
- Handling of employee reports of suspected market abuse
- Dissemination of information on the role and tasks of the Compliance department to Board members and employees



Ownership structure

Glitnir hf. holds 95% of the share capital in Íslandsbanki through its subsidiary, ISB Holding ehf. The remaining 5% is held by the Icelandic Government and is administered by Icelandic State Financial Investments.

Competition

Competition rules are part of the legal environment of the Bank as a financial undertaking competing in the market. Competition rules play a vital role in a free market economy by ensuring that effective competition benefits both consumers and society as a whole.

The Bank's goal is to comply in full with the relevant competition legislation and to work towards identifying areas of concern and interpreting the law so as to understand fully where special care should be taken.

In April 2012, the Executive Board adopted a Competition Policy for the Bank. The aim of the Policy is to ensure that the Bank's operations are carried out with due regard to the principles of fair competition and in full compliance with the applicable competition rules. A competition law officer is responsible for conducting internal competition surveillance and educating employees on matters of competition. This is in line with the Bank's conviction that a level playing field is in its customers' best interests.

5.1 Board of Directors



Fridrik Sophusson | Chairman of the Board since January 2010

Fridrik Sophusson has a comprehensive experience in fiscal policy making, management and public service in Iceland. He has also served as a board member in several companies and institutions. He was Managing Director of the Icelandic Management Association 1972-1978 when he was elected to Parliament, during his time as an MP he held the position of Minister of Industry and Energy in 1987-1988 and Minister of Finance in 1991-1998. Mr Sophusson was appointed the CEO of Landsvirkjun, the National Power Company of Iceland, in 1999 and held that position for almost 11 years.

Mr Sophusson holds a Cand. Jur. degree in Law from the University of Iceland.

Sub-Committees: Chairman of the Board Corporate Governance, Compensation and Human Resource Committee and member of the Board Strategy Committee.



John E. Mack | Vice-Chairman of the Board since January 2010

John E. Mack, a US national, has extensive experience in international banking and mergers & acquisitions. He was CEO and CFO of Shinsei Bank in Tokyo in 2002-2005. Prior to that, he spent 27 years working for Bank of America and its affiliates, most recently as a funding executive for the parent company. He has specific experience in corporate workouts and problem loans through his former role as Director of Strategic Solutions Inc, a majority-owned subsidiary of Bank of America.

Mr Mack holds a B.A. degree in Economics from Davidson College and an MBA from the University of Virginia, Darden School of Business.

Sub-Committees: Chairman of the Board Strategy Committee and member of the Board Corporate Governance, Compensation and Human Resource Committee.



Árni Tómasson | Board Director since January 2010

Árni Tómasson has worked in bank and financial institution auditing since 1985. He was partner and later chairman of Deloitte Ltd. in Iceland until 2001. He has 30 years' teaching experience at the University of Iceland and Reykjavík University. He was CEO of Búnadarbanki Íslands (later Kaupthing Bank) in 2001-2003 and has since worked as an independent consultant. From October 2008 to 2011, Árni was chairman of Glitnir's Resolution Committee.

Mr Tómasson holds a Cand. Oecon. in Business Administration from the University of Iceland and is a Chartered Accountant.

Sub-Committees: Member of the Board Audit Committee and the Board Risk Management Committee.



Helga Valfells | Board Director since September 2013

Helga Valfells is the Managing Director of NSA Ventures, an Icelandic venture capital fund. Previous employers include Estée Lauder UK, Merrill Lynch Europe, and the Trade Council of Iceland, where she worked with a wide range of export companies in the early stages of export. She is an entrepreneur, having participated in founding start-up companies as well as working as an advisor to the Icelandic Minister of Business Affairs. Furthermore, she has worked as an independent consultant to a number of export companies from Iceland, the UK and Canada.

Ms Valfells holds a B.A. in Economics and English Literature from Harvard University and an MBA from London Business School.

Sub-Committees: Member of the Board Risk Management Committee and the Board Corporate Governance, Compensation and Human Resource Committee.



Marianne Økland | Board Director since January 2010

Marianne Økland, a Norwegian national, currently holds the position of Managing Director of Avista Partners, an independent investment banking firm. She has spent most of her career in banking, dealing with debt financing in various positions at JP Morgan and UBS, focusing on Nordic debt origination and structuring. Prior to that she managed the European operations of Marsoft Ltd., a Boston, Oslo and London based consulting firm specialising in shipping investments.

Ms Økland holds an M.Sc. in Finance and Economics from the Norwegian School of Economics and Business Administration.

Sub-Committees: Chairman of Board Risk Management Committee and a member of Audit Committee.



Neil Graeme Brown | Board Director since January 2010

Neil Graeme Brown, a British national, has extensive experience of finance and restructuring of international businesses. He was a partner at Coopers & Lybrand (now PwC) in London in 1990-1996. He has 20 years of experience in international private equity and is an expert in US and European mergers & acquisitions markets. Furthermore, he has been involved in listing companies on the London, AIM and NASDAQ markets. Neil has served and serves as a board member for a number of international companies.

Mr Brown holds an M.A. in Classics from Emmanuel College, Cambridge and is an associate of the Institute of Chartered Accountants (ACA).

Sub-Committees: Chairman of the Board Audit Committee and member of the Board Strategy Committee.



Dr. Thórunna Jónsdóttir | Board Director since September 2013

Thórunna Jónsdóttir serves as Dean of the School of Business at Reykjavík University. Her previous posts include Senior Executive Director of Administration at Reykjavík University, Managing Director of Business Communications at Audur Capital, Managing Director of Business Development at Veritas Capital/Vistor, as well as assistant professor, director and management consultant at Reykjavík University School of Business.

Dr. Jónsdóttir holds an M.Sc. in Pharmaceuticals, an MBA from IESE and a Doctor of Business Administration (DBA) from Cranfield University, and she has completed an examination on securities transactions.

Sub-Committees: Member of the Board Corporate Governance, Compensation and Human Resource Committee and the Board Strategy Committee.

5.2 Executive Board



Birna Einarsdóttir | Chief Executive Officer since October 2008

In 2007 Birna accepted the position of Executive Vice President of Commercial Banking at Íslandsbanki, previously serving as Managing Director of Sales and Marketing, Branch Manager and Marketing Director at the Bank. From 1998-2004, she was senior product manager at the Royal Bank of Scotland. Birna has also worked as Marketing Manager for the Icelandic Broadcasting Company Stöð 2 (Channel 2) and Íslensk getspá.

Birna holds a Cand. Oecon. in Business Administration from the University of Iceland and an MBA from the University of Edinburgh. Birna has been with Íslandsbanki and its predecessors for 19 years.



Jón Gudni Ómarsson | Chief Financial Officer since October 2011

Jón Gudni was Head of Treasury at the Bank from 2008-2011. Jón Gudni has had various other roles within the Bank and its predecessors, e.g. advising customers on hedging strategies and leading arrangements and participations in syndicated loans. He also worked as an ALM consultant at SunGard in Boston.

Jón Gudni holds a B.Sc. in Industrial Engineering and an M.Sc. in Quantitative and Computational Finance (QCF) from the Georgia Institute of Technology in Atlanta. Jón Gudni is a CFA charter holder and has completed an examination on securities transactions. Jón Gudni has been with Íslandsbanki and its predecessors for 12 years.



Björgvin Ingi Ólafsson | Managing Director of Relationship Banking since October 2014

Björgvin Ingi has worked in the financial market for 10 years. Björgvin Ingi was previously a CFO at Meniga, a personal finance management solution. He also worked at McKinsey & Company for two years.

Björgvin Ingi holds a B.Sc. in Economics from the University of Iceland and an MBA degree from Kellogg School of Management and has completed an examination on securities transactions. Björgvin Ingi has been with Íslandsbanki and its predecessors for 6 years.



Elín Jónsdóttir | Managing Director of VÍB Wealth Management since July 2014

Elín has extensive experience in the financial markets. She was the Director General of the Icelandic State Financial Investments (ISFI) from 2009-2011. Before that Elín was the Managing Director of Arev securities and a lawyer at the Icelandic Financial Supervisory Authority. Elín has served on the boards of various companies in Iceland.

Elín holds a cand. jur. degree from the University of Iceland and an LL.M. degree from Duke University. Elín has also completed an examination on securities transactions.



Sigríður Olgeirsdóttir | Chief Operating Officer since September 2010

Sigríður has extensive experience in the field of information technology and has held varied positions within the IT industry from 1984, e.g. Executive Director of the IT Division of Tæknið hf., the Managing Director of Ax Business Intelligence A/S, Denmark as well as Ax Business Intelligence, Iceland. Sigríður has served on the boards of various companies, both abroad and in Iceland.

Sigríður is a systems analyst from EDB skolen in Odense, Denmark and holds a diploma in Business Operations from the Institute of Continuing Education at the University of Iceland, as well as an MBA from Reykjavík University. Sigríður has been with Íslandsbanki for 4 years.



Sverrir Örn Thorvaldsson | Chief Risk Officer since November 2010

Sverrir Örn has worked in risk management since 2006. Prior to joining the Bank, he worked for 6 years on research, data analysis and software development at Decode Genetics. Sverrir Örn is also Adjunct Lecturer in the Faculty of Economics at the University of Iceland where he gives lectures in the master's programme in financial economics.

Sverrir Örn holds a B.Sc. in Mathematics from the University of Iceland and an M.Sc. in Financial Mathematics from Stanford University. Sverrir Örn has completed an examination on securities transactions and is a Financial Risk Manager (FRM) certified by the Global Association of Risk Professionals (GARP). Sverrir Örn has been with Íslandsbanki and its predecessors for 9 years.



Tryggvi Björn Davidsson | Managing Director of Markets since September 2011

Tryggvi Björn has comprehensive experience of international financial markets. He worked as a Director of Distressed Debt at Barclays Capital in London for 7 years. Before his time at Barclays, he was an analyst in Asset Trading at Íslandsbanki-FBA, a research associate in the Central Bank of Iceland and a commercial attaché for the Icelandic Ministry of Foreign Affairs in Paris.

Tryggvi Björn holds a B.Sc. in Economics from the University of Iceland, an MBA from INSEAD in France and Singapore, and an M.Sc. in Finance and Econometrics from Université de Toulouse. Tryggvi Björn has worked in the financial markets for 15 years, thereof 7 years with Íslandsbanki and its predecessors.



Una Steinsdóttir | Managing Director of Retail Banking since October 2008

Una joined Íslandsbanki in 1991 and has a broad background from varied divisions within the Bank. Una was Managing Director of the Bank's branch network from 2007-2008, and the Keflavík Branch Manager from 1999. Prior to that Una held various positions in the Bank's International Banking division, loan supervision and service management. Una has served on the boards of various companies in Iceland.

Una holds a Cand. Oecon. in Business Administration from the University of Iceland. Una has been with Íslandsbanki and its predecessors for 24 years.



Vilhelm Már Thorsteinsson | Managing Director of Corporate Banking since October 2008

Vilhelm Már first joined Íslandsbanki in 1999 and has held various positions in Capital Markets, Corporate Banking and the CEO's office. In 2005 he was appointed head of Strategic Growth working on the Bank's external growth and later asset sales and various funding projects.

Vilhelm Már holds a B.Sc. in Business Administration from Reykjavík University, an MBA from Pace University, New York and has completed an examination on securities transactions. Vilhelm Már has been with Íslandsbanki and its predecessors for 14 years.

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FINANCIALS

“The return on equity
was 12.8%”

Chief Financial Officer's Review

Íslandsbanki had a prosperous year in 2014. The net profit, at ISK 22.8bn, was broadly in line with that in the previous two years. The return on equity was 12.8%, and 12.6% for core operations when adjusted for excess capital.

One-off items still had a strong impact on earnings, accounting for about half of the profit for the year. Overall, earnings are expected to be somewhat lower in coming years as operations return to normal. It is therefore of paramount importance that core operations continue to become more profitable. The Bank must continue to focus on strict cost control and strive to increase operational efficiency. At the same time, it is imperative to increase net fee income and maintain an acceptable net interest margin, so that the Bank can sustain a healthy return on normalised equity in line with Nordic peers.

The banking environment in Iceland needs to become more competitive, especially in terms of industry taxation. Upon implementing the increased bank tax rate in 2013, the Government stated that the increase would be a temporary four-year measure to fund its mortgage debt relief programme. It remains imperative that this indeed be the case.

Foreign capital markets were quite volatile in 2014, especially in the latter half of the year. Íslandsbanki continued to diversify its funding base through two issues under its GMTN programme. Although the foreign currency repayment profile is modest over the coming years, the Bank has a commercial incentive to refinance some of its existing facilities in order to support growth in new lending.

Domestically, the operating environment has been steadily improving, with low inflation and strong GDP growth. The effects are apparent in new lending, as the Bank's loan book grew by ISK 80bn in 2014, on the back of ISK 165bn in gross new lending. At the same time, deposits from customers grew by ISK 40bn, reducing the deposit-to loan-ratio to 82.9%.

The Icelandic tourism industry has exploded in recent years, generating a substantial current account surplus. As a result, the Central Bank has managed to expand its non-borrowed foreign reserves, which is an important preparatory step to the liberalisation of Iceland's capital controls. Lifting the controls will certainly affect the banking environment and the economy as a whole. With substantial excess capital and strong liquidity, Íslandsbanki is very well prepared for the liberalisation process.

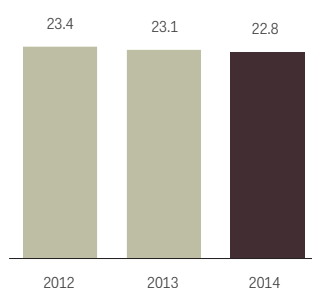
Jón Gudni Ómarsson, Chief Financial Officer

Financial Review

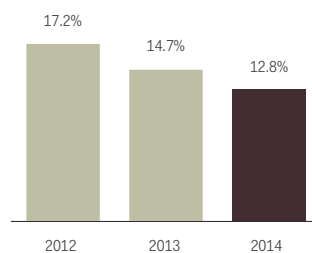
Íslandsbanki reported strong return on equity in spite of rising equity levels, with the total capital ratio reaching its highest level since the Bank's establishment. Core operations continued to produce stable income and the net interest margin reached a sustainable level.

The majority of the Bank's total operating income originates from net interest income and net fee and commission income. This is in line with the Bank's focus on core earnings and its objective of generating stable cash flows over the long term. Administrative expenses decreased as the Bank continued to realise cost synergies based on its strategic acquisitions.

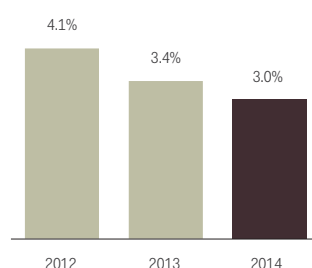
Profit after tax (ISKbn)



ROE (%)



Net interest margin (%)



Income Statement commentary

Profit

Profit before tax amounted to ISK 24.9bn in 2014, as compared with ISK 30.0bn in 2013. Profit after tax was ISK 22.8bn, as opposed to ISK 23.1bn in 2013. Return on equity was 12.8%, compared to 14.7% in 2013.

Earnings from regular operations showed gradual improvement with a pre-tax profit of ISK 14.8bn, compared to ISK 12.2bn in 2013 and a return on equity from regular operations on 14% CET1 of 12.6%, as opposed to 10.6% in 2013. Earnings from regular operations are defined as earnings excluding one-off items such as net valuation changes on the loan portfolio, fair value gains deriving from changes in accounting treatment, one-off costs, bank taxes, and net earnings from discontinued operations. In 2014, the items excluded in the calculation are: income from net valuation changes of ISK 7.8bn, bank tax of ISK 2.4bn, one-off credit of ISK 0.6bn, profit from discontinued operations of ISK 4.1bn and tax impact of the above of ISK 2.1bn.

Income

Total operating income amounted to ISK 42.4bn, compared to ISK 42.6bn in 2013. Net interest income amounted to ISK 27.1bn in 2014, as compared to ISK 28.4bn in 2013. The net interest margin, calculated as the ratio of net interest income to the average carrying amount of total assets, was 3.0% in 2014, compared to 3.4% in 2013. The decrease in the net interest margin is in line with the Bank's expectations and is largely explained by a decline in interest income due to a significantly reduced amortisation of discount following completion of restructuring of the loan portfolio acquired in 2008. Other factors impacting the net interest margin are inflation, average inflation was 2.0% in 2014 as opposed to 3.7% in 2013, and the average Central Bank policy rate which was 5.9% in 2014, compared to 6.0% in 2013.

Net fee and commission income amounted to ISK 11.5bn in 2014, compared to ISK 10.4bn in 2013, which is an increase of 10% over the year. The rise came predominately from Retail banking through changes in tariffs, increased lending and modifications in the structure of annual credit card turnover. The largest fee item is for card processing which partly originates in the Bank's subsidiary Borgun.

Net financial income amounted to ISK 1.6bn in 2014, compared to ISK 4.6bn in 2013, and is largely due to a fair value gain following the initial public offering of the insurance company Sjóvá.

The net foreign exchange gain amounted to ISK 165m in 2014, compared to a loss of ISK 2.4bn in 2013, and is primarily gains in the banking book. The gross foreign currency mismatch, which was ISK 26.6bn at year-end 2014, is strategically kept at 10-15% of total capital.

Other operating income which includes a gain from the sale of real estate, rental income, and service level agreement fees, was ISK 2.1bn in 2014, as opposed to ISK 1.5bn in 2013.

Administrative expenses

Total operating expenses amounted to 26.4bn in 2014, compared to 28.9bn in 2013. The cost-to-income ratio was 57.7% compared to 58.5% in 2013. The cost-to-income ratio excludes one-off costs, bank tax and other extraordinary items.

Administrative expenses amounted to ISK 22.9bn in 2014 compared to ISK 25.6bn in 2013. The 10% year-on-year decrease is attributable to cost efficiency projects as well as a decrease in the financial activities tax and a one-off charge of 1.6bn in 2013, as opposed to a one-off credit in 2014.

Salaries and related expenses were ISK 13.3bn, compared to ISK 13.4bn in 2013. The average number of full time employees (FTEs) was 1,253. Included in that number are 114 FTEs in disposal groups held for sale, whose salaries are included under the line item "profit from discontinued operations, net of tax" in the consolidated income statement. The average number of FTEs for the parent was 990 in 2014, a reduction of 6.2% since 2013. After adjusting for FTEs in disposal groups held for sale, the increase in average salary per full-time equivalent (FTE) is below the Icelandic wage index, which rose 5.8% over the period.

Other administrative expenses amounted to ISK 8.6bn, compared to ISK 11.1bn in 2013 and depreciation and amortisation decreased by ISK 109m between years. The Bank continues to emphasise cost control and efficiency and has introduced a number of initiatives to reduce administrative expenses over the long term.

Loan impairment charges and net valuation changes

Loan impairment charges and net valuation changes resulted in a net gain of ISK 8.8bn in 2014, compared to a net gain of ISK 16.3bn in 2013. Thereof, ISK 10.7bn is an income due to a revision of estimated future cash flows from loans and ISK 1.9bn is a charge for specific and collective impairment losses.

Taxes and levies

Total taxes and levies amounted to ISK 10.7bn in 2014, compared to ISK 12.4bn in 2013.

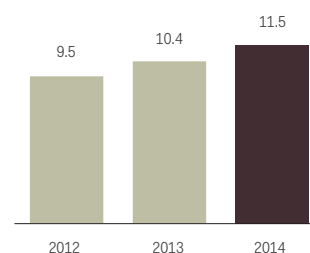
Total income tax expense was ISK 6.2bn in 2014, as opposed to ISK 7.9bn in the previous year. A special financial activities tax, of 6% on taxable profits above ISK 1bn, accounts for ISK 1.3bn of the income tax in 2014. The effective income tax rate for 2014 was 25.1%, compared to 26.2% in 2013. The nominal income tax rate for 2014 was 20%.

The bank tax amounted to ISK 2.4bn in 2014, compared to ISK 2.3bn in 2013. Expenses due to the Financial Supervisory Authority (FME) and the Debtors' Ombudsman amounted to ISK 354m in 2014, compared to ISK 448m in 2013.

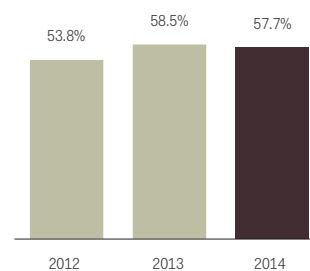
Contribution to the Depositors' and Investors' Guarantee Fund (TIF) of ISK 1bn was comparable with the previous year.

The profit from discontinued operations net of tax was ISK 4.1bn in 2014, compared to ISK 0.9bn in 2013. The profit comes from the sale of non-core subsidiaries and income from foreclosed assets.

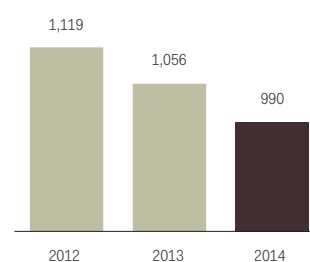
Net fee and commission income (ISKbn)



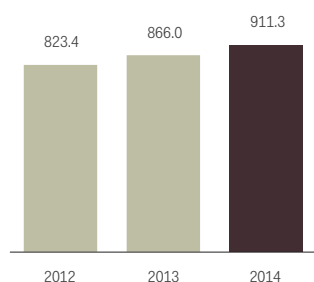
Cost / income ratio (%)



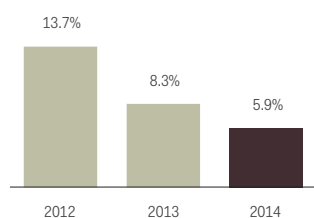
Average number of employees (parent)



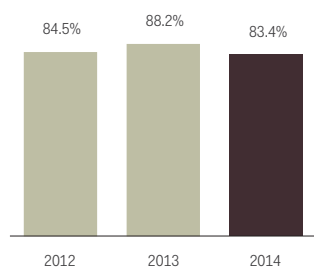
Total assets (ISKbn)



Loan portfolio analysis – LPA ratio (%)



Customer deposit / loan ratio (%)



Balance Sheet commentary

Assets

Total assets amounted to ISK 911.3bn at year-end 2014, as compared with ISK 866.0bn at year-end 2013, which is an increase of 5.2%.

Loans to customers amounted to ISK 634.8bn at year-end 2014, compared to 554.7bn at year-end 2013. Demand for new lending to households and corporations rose during the year, mainly in mortgages and asset financing. New lending amounted to ISK 165bn, an 80% increase year-on-year, primarily through corporate lending.

Real estate remains the Bank's most important type of collateral. The weighted average loan-to-value (LTV) ratio for the residential mortgage portfolio was 74% at year-end 2014. The calculation is based on the tax value of the underlying property.

Credit quality continued to improve during the year, with a 48% decrease in impaired loans. The Loan Portfolio Analysis (LPA) ratio, which measures the progress of restructuring, has decreased sharply, from 8.3% at year-end 2013 to 5.9% at year-end 2014. The ratio of loans more than 90 days past due (both impaired and unimpaired loans) has continued to decrease, from 3.5% as of year-end 2013 to 2.5% at year-end 2014. A more detailed discussion on the loan portfolio and credit risks can be found in the Bank's Pillar 3 Report 2014.

A significant reduction in non-current assets held for sale since 2013 is attributable to the sale of real estate companies owned by the Bank. These include HTO, EFF4, Bláfugl, and GREF. This is in line with the Bank's commitment to divest assets acquired as part of financial restructuring.

Liabilities

Total liabilities amounted to ISK 725.8bn at year-end 2014, compared to ISK 698.7bn at the beginning of the year, an increase of 3.9%.

Total deposits grew by 7.0% and were ISK 555.2bn at year-end, compared to ISK 519.0bn in 2013. The total deposit-to-loan ratio was 82.9% and the customer deposit-to-customer loan ratio was 83.4%. Deposits are still the Bank's main source of funding and the concentration is monitored closely. New term deposit products have been successfully introduced, with the objective of reducing liquidity risk.

Debt issuance and other borrowings increased during the year by ISK 7.7bn, primarily reflecting the Bank's issuance under the Bank's Global Medium Term Note Programme (GMTN). At year-end 2014, the Bank's outstanding covered bond issuances amounted to ISK 32.1bn and there were just under ISK 4.4bn outstanding in short-term unsecured bonds, with maturities of 1-6 months. The Bank also issued an SEK 300m floating rate note and EUR 100m fixed rate bond during the year 2014.

The subordinated loan totalling ISK 21.3bn is a EUR 138m Tier 2 Government bond issued in September 2009.

Other liabilities totalling ISK 37.3bn at year-end 2014 include a provision for credit card retailers of ISK 22.6bn and provisions for ISK 4.4bn.

Equity

The Bank's total equity amounted to ISK 185.5bn at the end of 2014, compared to ISK 167.3bn at year-end 2013, an increase of 10.9%. Thereof, ISK 1.7bn is attributable to minority interests. The nominal value of the Bank's authorised share capital was ISK 10bn at the end of 2014 and paid up share capital amounted to ISK 65bn.

At year-end 2014, the Bank's total capital ratio was 29.6%, compared to 28.4% at year-end 2013. The Bank's Tier 1 ratio was 26.5%, compared to 25.1% at year-end 2013. This exceeds both internal and regulatory requirements.

The Bank's capital position is strong compared to both domestic and European regulatory minimum and the Bank is well prepared for the eventual liberalisation of the capital controls, currently in place in Iceland. The current minimum capital target ratio approved by the Board of Directors is 18%. This target may be revised as more clarity is gained regarding the implementation of the new EU capital requirements directive (CRD IV) into Icelandic legislation.

Risk-weighted assets (RWA) amounted to ISK 695.1bn at year-end 2014, a 35.3bn increase between years. The increase in RWA is related primarily to the increase in corporate lending.

The Board of Directors proposes that up to 40% of the Bank's net profit be paid out as dividends to shareholders. The Board may convene a special shareholders' meeting later in the year, where a proposal regarding payment of dividends for profit in previous fiscal years could be suggested.

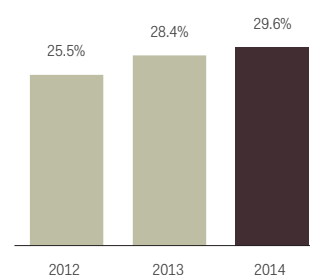
Imbalances

The Bank is exposed to inflation risk since the value of CPI-linked assets exceed CPI-linked liabilities. At year-end 2014 the Bank's net inflation imbalance amounted to ISK 57.5bn, compared to ISK 6.4bn at year-end 2013. The growth is due to prepayment of CPI-linked borrowings and new CPI-linked lending, mainly in the form of corporate loans to real estate companies and CPI-linked mortgages.

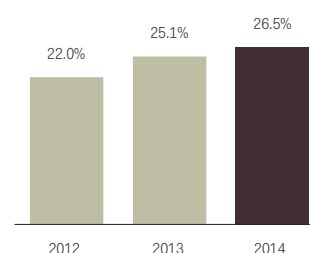
The net foreign currency imbalance amounted to ISK 26.6bn at year-end 2014. The Bank's imbalances are strictly monitored and within the regulatory limits.

Imbalances 31.12.2014 (ISKbn)	FX denominated	CPI-linked
Assets	257.6	252.6
Liabilities	231.0	195.1
Net gap	26.6	57.5

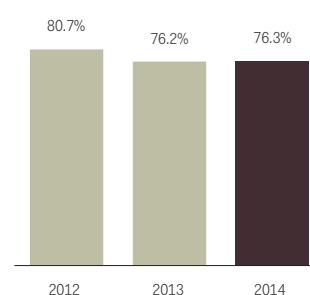
Total capital ratio (%)



Tier 1 capital ratio



Risk-weighted assets to total assets (%)



CONSOLIDATED
FINANCIAL STATEMENTS
2014

Endorsement and Statement by the Board of Directors and the CEO

The consolidated financial statements of Íslandsbanki hf. for the period ended 31 December 2014 comprise the financial statements of Íslandsbanki hf. and its subsidiaries, together referred to as “the Bank”.

Operations and ownership

Íslandsbanki (the “Bank”), is a universal bank offering comprehensive financial services to households, corporations and professional investors in Iceland and overseas. The Bank is one of Iceland's largest banking and financial services groups with strong domestic market share.

The Bank, which traces its roots back to 1884, builds on a solid heritage of lending to industry in Iceland. The Bank has developed specific expertise in lending to selected industry sectors i.e. tourism, seafood, municipalities and energy. With its focused approach in these fields, Íslandsbanki offers valuable services to industry players and investors.

The Bank is divided into six business segments: Retail Banking, Corporate Banking, Markets, Wealth Management, Treasury and Subsidiaries & Equity Investments. The Bank operates a diverse and efficient branch network with 18 branches strategically located in the Reykjavík metropolitan area and larger towns across the country. At the reporting date there were 1,206 full-time employees at the Bank, thereof 945 were employees of the parent company.

The Bank has two shareholders, ISB Holding ehf., which holds 95% of the Bank's share capital and the Icelandic State Treasury which holds 5% through the Icelandic State Financial Investments (ISFI – Bankasýsla ríkisins). At a shareholders' meeting on 24 September 2014 it was decided to reduce the number of members of the Board of Directors from nine to seven. One board member is appointed by ISFI and the remaining six are appointed by ISB Holding ehf. The Bank conforms to a legislation stipulating that corporate entities with more than 50 employees must ensure that the proportion of each gender on their Board of Directors is not lower than 40%.

Risk Management

The Bank is exposed to various risks. The management of these risks is an integral part of the Bank's operations. The ultimate responsibility for ensuring an adequate risk management framework lies with the Board of Directors. The Board defines and communicates the acceptable level of risk through the Bank's risk management policies. The Bank's risk management framework and policies are discussed under Notes 59-84.

The reporting period

Íslandsbanki reports good results for the year 2014, with increase in asset values having significant impact on the earnings. The majority of the reported net profit derives from the Bank's core operations with two thirds of the Bank's regular income coming from net interest income. The Bank continued to realise cost synergies and improve cross-selling throughout the year as a result of strategic acquisitions. In line with the Bank's strategy of simplifying processes, the Bank is participating in the implementation of a new deposit and settlement system update. The main benefits of this new software are expected to be operational security, optimisation, increased flexibility and shorter time-to-market.

The customer loan portfolio grew by ISK 80 billion both through domestic and international lending at the same time as the Bank continued to reduce its non-performing loans. Market research conducted during the reporting period shows positive results for the Bank in all areas of financial services, particularly with regards to large and small corporates, and the Bank continues to be a leader in asset financing. The Bank's annual work survey returned positive results with increased work enjoyment, corporate pride and good knowledge of corporate strategy.

Close to 5,000 of the Bank's customers are entitled to a debt relief programme for CPI-linked mortgages implemented by the Icelandic government in 2014. The programme is funded through a special bank tax which in 2014 took ISK 2.4 billion out of Íslandsbanki's profits. It is important that temporary increased taxation does not remain in place for longer than is absolutely necessary, as it harms Icelandic banks in the long term by handing foreign banks a competitive advantage in lending to Icelandic corporates.

In 2014, Íslandsbanki issued a SEK 300 million tap of its inaugural SEK 500 million December 2017 Floating Rate Note. The Bank followed that transaction with a EUR 100 million fixed rate bond, the first Euro bond issued by an Icelandic bank since 2008. The bonds are issued under the Bank's Global Medium Term Note (GMTN) Programme. The Bank issued covered bonds for ISK 8.8 billion in 2014 and at year-end the Bank had ISK 4.4 billion in short-term unsecured bonds outstanding.

Standard & Poor's assigned Íslandsbanki ratings of BB+/B with a stable outlook in April, and revised its outlook to positive from stable in October. The rating is one notch under the rating assigned to the Icelandic Sovereign.

The financial magazine Euromoney awarded Íslandsbanki, for the second year in a row, the Award for Excellence as the best bank in Iceland. The Bank was also selected as the Bank of the Year 2014 in Iceland by the Banker magazine, which is published by the Financial Times, and received an award for marketing by the Icelandic Marketing Association ÍMARK.

Endorsement and Statement by the Board of Directors and the CEO

The Bank is focused on clear goal setting and strategy planning with the participation of its employees. The current strategy is to promote and develop customer service, to simplify operations for the benefit of customers, to pursue responsible banking opportunities based on sound business practices, and ensuring continuous improvement in the Bank's infrastructure and processes.

Corporate social responsibility

The Bank has issued a Global Compact Report that summarises key areas from the Bank's Corporate Social Responsibility ("CSR") policy which are business, human capital, community and environment. The United Nation's Global Compact strategic policy initiative provides the parameters within the Bank's policy. New CSR objectives were set for the year 2014 with a new policy implemented at year-end. The aim of the Bank is to be a forward looking and reliable bank, responsible in all its actions and playing a proactive role in the enhancement of the community and the environment in which it operates.

Outlook

The economic environment in Iceland continues to improve. The single biggest challenge currently facing the economy is the capital controls which were put in place in 2008 resulting in a substantial block of foreign capital being tied up in Icelandic krona (ISK). The controls provided stability in the foreign exchange market at a critical time, but will most likely slow growth in the long-term. Although the authorities have not issued a clear timeline for lifting the capital controls, they have indicated their willingness to do so in the near future. The authorities have, however, still to declare the nature of the exchange rate policy that might take effect after controls are lifted.

The Bank's solid funding, strong capital ratios and considerable liquidity buffer makes it well prepared for the eventual relaxation of the capital controls. The change in outlook by Standard & Poor's (now at BB+ with positive outlook) and their view that the Bank's leverage ratio is exceptional in a global comparison, will further ease the Bank's access to international capital markets. It allows the Bank to better serve its customers seeking foreign currency funding.

The Bank is well positioned in the Icelandic financial market with strong market share of 30-40% in most business lines.

Corporate Governance

Good governance practices are essential for long term performance of companies as they improve good work habits, transparency and accountability, and therefore protect and enhance the interests of shareholders as well as other stakeholders. The Board of Directors of Íslandsbanki is committed to excellence in its governance framework so that it reflects compliance with the best corporate governance practices in the financial market at all times. In that regard, Íslandsbanki was, after a formal review, recognised as "Exemplary in Corporate Governance" by the Centre of Corporate Governance at the Institute for Business Research at the University of Iceland in March 2014.

Íslandsbanki's management structure consists of the CEO and the Board of Directors, comprising seven non-executive directors and three alternates. The Board undertakes the Bank's affairs and is responsible for the formulation of the Bank's general strategy as well as instructing the CEO on its further implementation and execution. The Board has a supervisory role overseeing that the Bank's organisation and activities are at all times in accordance with relevant law, regulations and good business practices. There are four Board subcommittees comprising members of the Board; Board Audit Committee; Board Risk Committee; Board Strategy Committee; and Board Corporate Governance, Compensation and Human Resource Committee.

The CEO is responsible for daily operations of the Bank pursuant to the policies and resolutions of the Board of Directors. Moreover it is the task of the CEO to ensure that the Bank's operations are at all times consistent with the Bank's Articles of Association and applicable legislation. An Executive Board is appointed by the CEO, consisting of nine members, including the CEO. The Executive Board is responsible for the Bank's operational risk management framework.

Furthermore, the Board shall monitor the execution of its policies, the sound control of accounting and financial management, and ensure that Group Internal Audit, Compliance and Risk Management are effective at all times. Further information on the Bank's risk management and risk profile can be found in the Bank's annual Pillar 3 Report.

Group Internal Audit operates independently from other departments. The Chief Audit Executive is appointed by the Board and is responsible for internal audit on group basis and monitoring adequacy of the Bank's risk management, control and governance processes.

The Board confirms the CEO's appointment of the Compliance Officer who is responsible for monitoring and assessing on a regular basis whether the Bank's operations, regarding securities transactions, are in compliance with applicable law.

Endorsement and Statement by the Board of Directors and the CEO

The regulatory framework for corporate governance practices within Íslandsbanki consists of legislation governing entities subject to the supervision of the Financial Supervisory Authority (FME) as well as other applicable law and regulations, including those imposed by the FME and the NASDAQ OMX Nordic Exchange in Iceland. The applicable law includes inter alia the Act on Financial Undertakings no. 161/2002, the Act on Securities Transactions no. 108/2007, the Act on Public Limited Companies no. 2/1995 and the Act on Competition no. 44/2005, available on the Icelandic legislature's website (www.althingi.is).

The Bank follows the Corporate Governance Guidelines issued in March 2012 (4th ed.) by the Iceland Chamber of Commerce, NASDAQ OMX Iceland and SA-Business Iceland (former Confederation of Icelandic Employers), available on the website of Icelandic Chamber of Commerce. The Bank's practices are in compliance with the guidelines except for certain items in Articles 1.2., 2.10., 5.1. and 5.2.C.1. of the guidelines.

A detailed description of Íslandsbanki's governance framework and associated practices, as well as a discussion on deviations from the Corporate Governance Guidelines, can be found in the Bank's Corporate Governance Statement enclosed in the unaudited Appendix.

Accounting convention

The consolidated financial statements for the year ended 31 December 2014 have been prepared on a going concern basis in accordance with the International Financial Reporting Standards (IFRS) as adopted by the European Union (EU).

Profit from the Bank's operations for the year ended 31 December 2014 amounted to ISK 22,750 million, which corresponds to a 12.8% return on equity. The Board of Directors proposes that up to 40% of the net profit will be paid in dividends to shareholders, but otherwise the profit will be added to the Bank's equity. The Board may convene a special shareholder meeting later in the year where a proposal regarding payment of dividends of profit for the previous fiscal years could be suggested. The Bank's equity, according to the consolidated statement of financial position, amounted to ISK 185,487 million at year-end. The Bank's total capital ratio, calculated according to the Act on Financial Undertakings, was 29.6%. The Board of Directors refers to Note 83 for further understanding of the capital requirements of the Bank. The Bank's total assets amounted to ISK 911,328 million at year-end 2014.

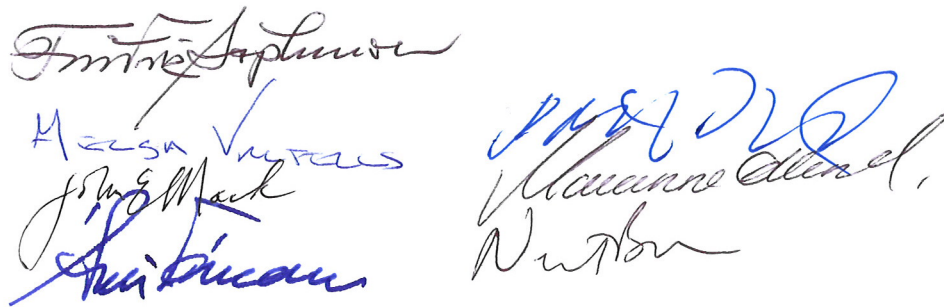
The Board of Directors draws special attention to the risks relating to the political and legal environment in Iceland where capital controls are still in place. The Bank has made appropriate provisions to reflect the risk associated with court rulings. The Board also notes that the Bank maintains a strong capital base and is therefore well positioned to meet future risks and challenges. The Board refers to Notes 4 and 57 for the principal risks and uncertainties currently faced by the Bank.

To the best of our knowledge, these consolidated financial statements provide a true and fair view of the Bank's operating profits and its financial position at 31 December 2014. It also describes the principal risks and uncertainties currently faced by the Bank.

The Board of Directors and the CEO of Íslandsbanki hf. hereby confirm the Bank's consolidated financial statements for the period 1 January to 31 December 2014 by means of their signatures.

Reykjavik, 23 February 2015

Board of Directors:



Handwritten signatures of the Board of Directors members in blue ink. The signatures are arranged in two columns. The left column contains four signatures, and the right column contains three signatures.

Chief Executive Officer:



Handwritten signature of the Chief Executive Officer, Birna Einarsdóttir, in blue ink.

Independent Auditors' Report

To the Board of Directors and Shareholders of Íslandsbanki hf.

We have audited the accompanying consolidated financial statements of Íslandsbanki hf., which comprise the consolidated statement of financial position as at 31 December 2014, consolidated income statement and consolidated statement of comprehensive income for the year 2014, consolidated statement of changes in equity and consolidated statement of cash flow for the year 2014, and a summary of significant accounting policies and other explanatory information.

Management's and the Board of directors Responsibility for the Consolidated Financial Statements

Management and the board of directors are responsible for the preparation and fair presentation of these consolidated financial statements in accordance with International Financial Reporting Standards as adopted by the EU. This responsibility includes: designing, implementing and maintaining internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error; selecting and applying appropriate accounting policies; and making accounting estimates that are reasonable in the circumstances.

Auditor's responsibility

Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

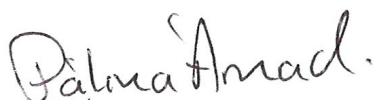
In our opinion, the Consolidated Financial Statements give a true and fair view, of the consolidated financial position of Íslandsbanki hf. as of 31 December 2014, and its consolidated financial performance and its consolidated cash flows for the period then ended in accordance with International Financial Reporting Standards as adopted by the EU.

Confirmation of Endorsement and Statement by the Board of Directors and the CEO

Pursuant to the requirements of Article 104 of the Icelandic Financial Statements Act No. 3/2006, we confirm to the best of our knowledge that the accompanying Endorsement and Statement by the Board of Directors and the CEO includes all information required by the Icelandic Financial Statements Act.

Kópavogur 23 February 2015

Deloitte ehf.


Pálína Árnadóttir
State Authorised Public Accountant


Gunnar Þorvarðarson
State Authorised Public Accountant

Consolidated Income Statement for the year 2014

	Notes	2014	2013
Interest income	12	51,006	54,333
Interest expense	12	(23,901)	(25,903)
Net interest income		27,105	28,430
Fee and commission income	13	17,984	16,695
Fee and commission expense	13	(6,501)	(6,262)
Net fee and commission income		11,483	10,433
Net financial income	14-16	1,568	4,612
Net foreign exchange gain (loss)	17	165	(2,423)
Share of profit or loss of associates	35	27	3
Other operating income	18	2,095	1,542
Other net operating income		3,855	3,734
Total operating income		42,443	42,597
Administrative expenses	19-23	(22,901)	(25,551)
Contribution to the Depositors' and Investors' Guarantee Fund		(1,055)	(1,016)
Bank tax		(2,444)	(2,321)
Total operating expenses		(26,400)	(28,888)
Profit before loan impairment charges and net valuation changes		16,043	13,709
Loan impairment charges and net valuation changes	24	8,810	16,299
Profit before tax		24,853	30,008
Income tax	26	(6,239)	(7,866)
Profit for the year from continuing operations		18,614	22,142
Profit from discontinued operations, net of income tax	25	4,136	927
Profit for the year		22,750	23,069

The notes on pages 14 to 92 are an integral part of these consolidated financial statements

Consolidated Statement of Comprehensive Income for the year 2014

	Notes	2014	2013
Profit for the year		22,750	23,069
Other comprehensive income			
Items that are or may be reclassified to profit or loss			
Foreign currency translation differences for foreign operations	54	64	(363)
Other comprehensive income for the year (net of tax)		64	(363)
Total comprehensive income for the year		22,814	22,706
Profit attributable to:			
Equity holders of Íslandsbanki hf.		21,740	22,977
Non-controlling interests		1,010	92
Profit for the year		22,750	23,069
Total comprehensive income attributable to:			
Equity holders of Íslandsbanki hf.		21,804	22,614
Non-controlling interests		1,010	92
Total comprehensive income for the year		22,814	22,706
Basic earnings per share			
From profit for the year	27	2.17	2.30
Diluted earnings per share			
From profit for the year	27	2.17	2.30

The notes on pages 14 to 92 are an integral part of these consolidated financial statements.

Consolidated Statement of Financial Position as at 31 December 2014

	Notes	31.12.2014	31.12.2013
Assets			
Cash and balances with Central Bank	28	103,389	111,779
Derivatives	30	1,810	843
Bonds and debt instruments	8	87,347	75,186
Shares and equity instruments	8	10,531	9,208
Loans to credit institutions	31	35,072	44,078
Loans to customers	32-33	634,799	554,741
Investments in associates	35-36	570	1,563
Property and equipment	40	7,402	8,772
Intangible assets	41	619	299
Deferred tax assets	49-51	521	1,275
Non-current assets and disposal groups held for sale	42	21,649	47,106
Other assets	43	7,619	11,159
Total Assets		911,328	866,009
Liabilities			
Derivative instruments and short positions	30	3,963	11,176
Deposits from Central Bank	44	69	63
Deposits from credit institutions	44	25,727	29,626
Deposits from customers	45-46	529,447	489,331
Debt issued and other borrowed funds	47	96,889	89,193
Subordinated loans	48	21,306	21,890
Current tax liabilities	49-51	8,386	10,806
Deferred tax liabilities	49-51	2	20
Non-current liabilities and disposal groups held for sale	42	2,790	9,456
Other liabilities	52	37,262	37,130
Total Liabilities		725,841	698,691
Equity			
Share capital	53	10,000	10,000
Share premium	53	55,000	55,000
Other reserves	54	2,535	2,471
Retained earnings		116,288	98,548
Total equity attributable to the equity holders of Íslandsbanki hf.		183,823	166,019
Non-controlling interests		1,664	1,299
Total Equity		185,487	167,318
Total Liabilities and Equity		911,328	866,009

The notes on pages 14 to 92 are an integral part of these consolidated financial statements.

Consolidated Statement of Changes in Equity for the year 2014

	Notes	Attributable to the equity holders of Íslandsbanki hf.				Non- controlling interests	Total equity	
		Share capital	Share premium	Other reserves	Retained earnings			
						Total		
Equity as at 31.12.2012		10,000	55,000	2,834	78,571	146,405	1,255	147,660
Translation differences for foreign operations	54			(363)		(363)		(363)
Net expense recognised directly in equity		-	-	(363)	-	(363)	-	(363)
Profit for the year					22,977	22,977	92	23,069
Total comprehensive income for the year		-	-	(363)	22,977	22,614	92	22,706
Dividends paid					(3,000)	(3,000)		(3,000)
Change in non-controlling interests						-	(148)	(148)
Acquisition of subsidiary with non-controlling interests						-	100	100
Equity as at 31.12.2013	53	10,000	55,000	2,471	98,548	166,019	1,299	167,318
Translation differences for foreign operations	54			64		64		64
Net income recognised directly in equity		-	-	64	-	64	-	64
Profit for the year					21,740	21,740	1,010	22,750
Total comprehensive income for the year		-	-	64	21,740	21,804	1,010	22,814
Dividends paid					(4,000)	(4,000)		(4,000)
Change in non-controlling interests						-	(645)	(645)
Acquisition of subsidiary with non-controlling interests							-	-
Equity as at 31.12.2014	53	10,000	55,000	2,535	116,288	183,823	1,664	185,487

The notes on pages 14 to 92 are an integral part of these consolidated financial statements.

Consolidated Statement of Cash Flows for the year 2014

	Notes	2014	2013
Cash flows from operating activities:			
Profit for the year		22,750	23,069
Adjustments to reconcile profit for the year to cash flows (used in) provided by operating activities:			
Non-cash items included in profit for the year and other adjustments		(1,710)	(2,902)
Changes in operating assets and liabilities		(32,627)	(9,038)
Income tax paid		(10,685)	(2,000)
Net cash (used in) provided by operating activities		(22,272)	9,129
Cash flows from investing activities:			
Refundable shares in subsidiaries and associates		896	-
Investments in associated companies		(62)	(37)
Proceeds from sale of property and equipment		1,543	1,241
Purchase of property and equipment	40	(758)	(858)
Purchase of intangible assets	41	(464)	(164)
Net cash provided by investing activities		1,155	182
Cash flows from financing activities:			
Proceeds from borrowings		39,590	35,535
Repayment of borrowings		(34,908)	(15,715)
Dividends paid		(4,000)	(3,000)
Net cash provided by financing activities		682	16,820
Net (decrease) increase in cash and cash equivalents		(20,435)	26,131
Effects of foreign exchange rate changes		22	(508)
Cash and cash equivalents at the beginning of the year		138,433	112,810
Cash and cash equivalents at year-end		118,020	138,433
Reconciliation of cash and cash equivalents:			
Cash on hand	28	2,256	2,472
Cash balances with Central Bank, certificates of deposit and term deposit	28	91,581	105,704
Bank accounts	31	24,183	30,257
Total cash and cash equivalents		118,020	138,433

The Bank has prepared its consolidated statement of cash flows using the indirect method. The statement is based on the net profit after tax for the year and shows the cash flows from operating, investing and financing activities and the increase or decrease in cash and cash equivalents during the year. Cash and cash equivalents consist of highly liquid assets that are readily convertible into cash and which are subject to an insignificant risk of change in value. These are cash on hand, unrestricted balances with Central Bank and demand deposits with credit institutions.

Interest received in 2014 was ISK 52,000 million (2013: ISK 47,781 million) and interest paid in 2014 was ISK 25,541 million (2013: ISK 23,515 million). Interest paid is defined as having been paid when it has been deposited into the customer account and is available for the customer's disposal.

The notes on pages 14 to 92 are an integral part of these consolidated financial statements

Consolidated Statement of Cash Flows for the year 2014

Non-cash items included in net profit and other adjustments:	2014	2013
Depreciation and impairment	820	979
Amortisation of intangible assets	144	126
Share of loss (gain) of associates	159	(3)
Accrued interest and foreign exchange gain on debt issued	3,320	2,802
Impairment on loans	1,856	8,378
Income due to revised estimated cash flows from loans	(10,666)	(24,677)
Foreign exchange (gain) loss	(165)	2,423
(Gain) on sale of property and equipment	(234)	(456)
Unrealised fair value gains through profit and loss	(1,491)	(1,734)
Net profit on non-current assets classified as held for sale	(4,136)	(927)
Bank tax	2,444	2,321
Income tax	6,239	7,866
Non-cash items included in net profit and other adjustments	(1,710)	(2,902)
Changes in operating assets and liabilities:		
Mandatory reserve with Central Bank	(5,949)	5,549
Loans and receivables to credit institutions	4,799	(2,133)
Loans and receivables to customers	(71,126)	701
Trading assets	(13,307)	(6,679)
Other operating assets	4,294	(6,013)
Non-current assets and liabilities held for sale	24,045	2,080
Deposits with credit institutions and Central Bank	(3,941)	(8,159)
Deposits from customers	37,918	25,333
Trading financial liabilities	(8,777)	(2,528)
Derivatives	597	(5,447)
Other operating liabilities	(1,180)	(11,742)
Changes in operating assets and liabilities	(32,627)	(9,038)

Non-cash transactions 2014

During 2014 the Bank entered into the following non-cash investing and financing activities which have been excluded from the consolidated statement of cash flows:

- a) The Bank changed a loan to a subsidiary for the amount of ISK 530 million to equity holding. This transaction had no cash effect on the Bank.

Non-cash transactions 2013

During 2013 the Bank entered into the following non-cash investing and financing activities which have been excluded from the consolidated statement of cash flows:

- a) The Bank reclassified shareholding in Atorka of ISK 1 billion from shares and equity instruments to investment in associates. This had no cash effect on the Bank.
- b) The Bank sold part of its shareholding in an associate company which was held for sale and as a result lost significant influence over the entity. The remaining equity shares of ISK 0,7 billion were subsequently reclassified from Non-current assets and disposal groups held for sale to Shares and equity instruments. This transaction had no cash effect on the Bank.
- c) The Bank acquired four subsidiaries EFF1 ehf., EFF2 ehf., EFF4 ehf. and Fergin ehf. in 2013 and as a result, the Bank reclassified ISK 9.9 billion from Loans to customers, ISK 4.2 billion to Property and equipment and ISK 5.7 billion to Non-current assets held for sale. This transaction had no cash effect on the Bank.

The notes on pages 14 to 92 are an integral part of these consolidated financial statements

Notes to the Consolidated Financial Statements

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Notes to the Consolidated Financial Statements

1. Reporting entity

Íslandsbanki hf. is a limited liability company incorporated and domiciled in Iceland. The address of its registered office is Kirkjusandur 2, 155 Reykjavík, Iceland.

The consolidated financial statements for the year ended 31 December 2014 were prepared on a going concern basis and comprise Íslandsbanki hf. (the parent company) and its subsidiaries (together referred to as "the Bank"). Comparative information refers to the year ended 31 December 2013.

The Bank was incorporated on 8 October 2008 and commenced trading on 15 October 2008 when it acquired assets and liabilities relating to the domestic operations of Glitnir Banki hf. ("Glitnir").

Ownership of Íslandsbanki hf. is divided between ISB Holding ehf., a private limited liability company owned 100% by GLB Holding ehf. which is a private limited liability company owned 100% by Glitnir hf., which wields 95% of the voting rights and the Icelandic State Treasury, which wields 5% of the voting rights. The Icelandic State Treasury's holdings in financial undertakings are managed by The Icelandic State Financial Investments (ISFI - Bankasýsla Ríkisins) which reports to the Minister of Finance.

The Bank provides a wide range of financial services such as retail banking, corporate banking, brokerage services, investment management and asset-based financing. The Bank operates in the Icelandic market.

2. Basis of preparation

Statement of compliance

The consolidated financial statements have been prepared in accordance with the International Financial Reporting Standards (IFRS) as adopted by the European Union.

Information about new IFRS standards and amendments to standards are disclosed in Notes 87.34-87.35.

The consolidated financial statements were approved and authorised for issue by the Board of Directors and the CEO of Íslandsbanki hf. on 23 February 2015.

The Bank's management has made an assessment of the Bank's ability to continue as a going concern and is satisfied that the Bank has the resources to continue in business for the foreseeable future. Therefore, these consolidated financial statements have been prepared on a going concern basis.

3. Functional and presentation currency

These consolidated financial statements are presented in Icelandic krona (ISK), which is the functional currency of Íslandsbanki hf. All amounts presented in ISK have been rounded to the nearest million, except when otherwise indicated.

4. Use of significant estimates and judgements in applying accounting policies

The preparation of the consolidated financial statements in conformity with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses recognised.

The accounting estimates and underlying assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances. Actual results may differ from these estimates. The accounting estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised and in any future periods affected

The Bank's management discusses with the Audit Committee the development, selection and disclosure of the Bank's critical accounting policies and their application, and assumptions made relating to major estimation uncertainties. Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment within the next financial year and about critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the consolidated financial statements is disclosed below.

a) Uncertainties relating to court rulings, pending court cases and investigations by regulators

Three court cases were filed against the Bank and other credit institutions, challenging the legality of fixing the principal of a mortgage to the consumer price index (CPI). Such indexation has been the industry standard for over 30 years. However, the method of calculating the index has changed over the years, most recently in 1995. The Supreme Court accepted a motion introduced by the plaintiff in the case against the Bank on seeking the opinion of the EFTA Court which concluded that indexation is permissible in consumer contracts, although Icelandic courts must decide if it is properly applied.

Notes to the Consolidated Financial Statements

4. Cont'd

The District Court of Reykjavik ruled on the case against the Bank on the 6 February 2015. It found that indexation was neither in violation of the EU Directive 93/13/EEC nor the Icelandic law on contracts. The Court also ruled on the compatibility of using zero inflation forecast in calculating the annual percentage rate of charge (APRC) and the payment schedule. Like the EFTA Court, it ruled that the increase of principal was nevertheless enforceable and that the plaintiff did not demonstrate in any way that the increase was beyond what should have been expected, given the widespread and common use of indexation in the past decades.

The Consumer Agency (the "Agency") published in September 2014 its decision in a matter regarding the terms of, and information relating to the granting of, a consumer mortgage with interest reset terms granted by the Bank's predecessor in 2005. The Agency found that the terms offered regarding the method and conditions of resetting interest to be in breach of Articles 6 and 9 of Act no. 121/1994 on Consumer Credit (superseded in November 2013). The Agency believes that the terms offer insufficient explanation on how or what can affect the decision on the revised interest rate.

The Bank has in many instances not enforced the terms in question and has decided to postpone the next scheduled interest rate change. Customers have the option of receiving better terms by restructuring their loans with the appropriate documentation, fully adapted to the new legislation on consumer loans. The decision of the Agency has been appealed to the Consumer Appellate Committee.

Several rulings of the Supreme Court of Iceland during the years 2010 to 2014 in relation to foreign currency-linked loans have affected the Bank. Most important of these rulings was a ruling in June 2010 on the illegality of a principal of loans in ISK being linked to foreign currencies. The Bank consequently recalculated illegally foreign currency-linked loans, outstanding as well as paid-up loans, in line with the instructions given by the rulings. The court rulings combined have effectively reduced the uncertainty regarding which foreign currency loans are illegal and how they should be recalculated.

The Icelandic Competition Authority ("ICA") has initiated an investigation concerning alleged violations of the Competition law by Íslandsbanki. Details of the investigation remain confidential. The Bank has presented its objections to the ICA's findings in the opposition document and will further cooperate with the ICA to resolve the case.

The Bank has recognised provisions in the consolidated financial statements 2014 relating to court rulings and sanctions which are presented under Note 52. Uncertainties are further discussed under Note 57.

b) Impairment of loans measured at amortised cost

The Bank's management reviews its loan portfolios on a quarterly basis to assess whether there is any objective evidence of impairment. In determining whether an impairment loss should be recognised in the income statement, the Bank's management makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from loans and receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a group, or national or local economic conditions that correlate with defaults on assets in the group.

When scheduling its future cash flows the Bank's management uses estimates based on loans and receivables with similar credit risk characteristics and objective evidence of impairment similar to those in the portfolio. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience. Impairment of loans and receivables is disclosed in more detail in Note 87.27.

c) Determination of fair value of financial assets and financial liabilities

The Bank determines the fair value of financial assets and financial liabilities that are not quoted in active markets by using valuation techniques as described in accounting policy Notes 87.5. To the extent that it is practical, models use only observable data. However, for financial instruments that trade infrequently and have little price transparency, fair value is less objective and requires varying degrees of judgement depending on liquidity, concentration, uncertainty of market factors, pricing assumptions and other risks affecting the specific instrument, such as credit risk (both own and counterparty).

d) The application of the effective interest method

The application of the effective interest method when calculating the amortised cost of financial assets and financial liabilities requires management to estimate future cash payments or receipts through the expected life of the financial instrument, considering all contractual terms of the financial instrument (for example, prepayment, call and similar options). Revisions to estimates of future cash flows, other than those arising from changes in market variables, generally result in the Bank having to adjust the carrying amount of the financial asset or financial liability to reflect actual and revised estimated cash flows. In such cases the adjustment is recognised as income or expense in profit or loss in the period in which the estimate is revised.

Notes to the Consolidated Financial Statements

4. Cont'd

e) Liquidity

Liquidity risk is considered a material risk factor in the Bank's operations. Sound and efficient management of liquidity risk is a key factor to ensure the viability of the Bank's operations and to achieve and maintain access to funding markets. The Bank's strategy for managing liquidity risk assumes that the Bank can at all times meet its financial obligations as they fall due. The risk appetite approved by the Board is reflected in the liquidity risk limit structure and guided through the liquidity risk management framework.

The contractual maturity profile along with more detailed information on the Bank's management of liquidity risk is set out in the liquidity risk disclosure in Note 70. The contractual maturity profile is based on the earliest date on which the Bank can be required to pay and does not reflect the expected due date.

f) Investment funds

The Bank has set up a formal procedure to assess whether or not to consolidate investment funds managed and administered by the Bank on behalf of its customers and other investors in the consolidated financial statements 2014. As part of this assessment, the Bank reviews all facts and circumstances including the purpose and design of the investment fund, to determine whether the Bank, as fund manager, is acting as agent or principal. The Bank is deemed to be a principal when the Bank acts as fund manager and cannot be removed without cause, has variable returns through significant holdings and is able to influence the returns of the funds by exercising its power. Holdings where all returns belong to the customers are not considered to be exposure to variable returns. Based on this assessment, the investment funds managed and administered by the Bank have not been included in the consolidated financial statements 2014.

Notes to the Consolidated Financial Statements

Business segments

5. A business segment is a distinguishable component of the Bank that is engaged in providing products or services that are subject to risks and rewards that may be different from those of other business segments. Transactions between the business segments are on normal commercial terms and conditions. No single customer generates 10% or more of the combined revenue of the Bank. The Bank operates in the Icelandic market.

The accounting policies for the reportable segments are in line with the Bank's accounting policies. The segment profit presented is the profit reported to the chief operating decision maker (CEO) and the Board of Directors for the purpose of resource allocation and assessment of segment performance.

The Bank is organised into six main business segments based on products and services:

- a) Retail banking provides comprehensive banking services to individuals and small and medium-sized enterprises through 18 branches, call centre, self service and digital banking platforms. Retail Banking also operates two separately branded units, Ergo for asset-based financing and Kreditkort, a special credit card branch.
- b) Corporate Banking provides lending and tailor-made financial services to larger companies and professional investors. Building on experience and industry expertise Corporate Banking offers universal banking services to customers through cross-selling and by connecting customers to other business units of the bank. Furthermore, Corporate Banking oversees the Bank's international business in the North Atlantic region where the focus is on the seafood, the offshore supply vessel and the energy industries.
- c) Markets incorporates brokerage services in securities, foreign currencies and derivatives as well as providing money market lending and interbank services. The division further offers an extensive range of corporate finance services.
- d) Wealth Management offers a range of wealth and asset management products and services for individuals, corporations and institutional investors. The Wealth Management unit consists of VÍB which offers a broad range of asset management products and services and the fund management companies Íslandssjódir and Summa.
- e) Treasury is responsible for the management of liquidity risk, foreign exchange risk and interest rate risk within regulatory requirements and internal limits established by the Board of Directors. Treasury is responsible for funding the Bank's operations and managing an internal pricing framework. Treasury also manages relations with investors and rating agencies.
- f) Subsidiaries and equity investments include equity investments in the banking book and subsidiaries, the most significant being:
 - Midengi, an asset management company managing commercial real estate and businesses which the Bank has acquired through repossessions following loan defaults, debt restructuring and bankruptcies of its customers
 - Borgun, a credit card settlement company
 - Allianz Ísland hf., an agent for the German insurance company Allianz, and its holding company Hringur eignarhaldsfélag ehf.
- g) Cost centres comprise Head Office, Human Resources, Legal, Risk Management, Finance, Operations & IT, Group Internal Audit, Compliance and Business Development

On the following page is an overview showing the Bank's performance with a breakdown by business segments.

Notes to the Consolidated Financial Statements

5. Cont'd

The year 2014

Operations

	Retail Banking	Corporate Banking	Markets	Wealth Manage- ment	Treasury	Subsidiaries & Equity Investments	Cost Centres & Eliminations	Total
Net interest income	17,261	4,427	911	731	4,736	(510)	(451)	27,105
Net fee and commission income	4,421	122	1,499	1,939	(80)	3,562	20	11,483
Other operating income (exps.)	77	386	(98)	79	15	3,003	393	3,855
Total operating income	21,759	4,935	2,312	2,749	4,671	6,055	(38)	42,443
Administrative expenses	(6,393)	(501)	(1,000)	(1,119)	(269)	(3,404)	(10,215)	(22,901)
Insurance fund	(921)	(21)	(0)	(74)	(39)	(0)	-	(1,055)
Bank tax	-	-	-	-	(2,444)	-	-	(2,444)
Impairment and net valuation changes on loans	6,588	1,489	-	(2)	34	1,016	(315)	8,810
Profit (loss) before cost allocation & tax	21,033	5,902	1,312	1,554	1,953	3,667	(10,568)	24,853
Net segment revenue from external customers	22,132	8,335	2,624	1,387	1,277	6,478	210	42,443
Net segment revenue from other segments	(372)	(3,401)	(312)	1,362	3,394	(423)	(248)	0

At 31 December 2014

Total segment assets	413,812	225,100	13,161	4,171	202,089	87,998	(35,003)	911,328
Total segment liabilities	397,343	14,401	783	49,867	243,479	43,231	(23,263)	725,841

The year 2013

Operations

	Retail Banking	Corporate Banking	Markets	Wealth Manage- ment	Treasury	Subsidiaries & Equity Investments	Cost Centres & Eliminations	Total
Net interest income	20,674	4,294	541	781	4,647	(572)	(1,935)	28,430
Net fee and commission income	3,468	163	1,723	1,814	(222)	3,241	246	10,433
Other operating income (exps.)	51	(95)	478	103	(2,389)	4,615	971	3,734
Total operating income	24,193	4,362	2,742	2,698	2,036	7,284	(718)	42,597
Administrative expenses	(7,889)	(623)	(1,016)	(931)	(278)	(3,269)	(11,545)	(25,551)
Insurance fund	(886)	(8)	(0)	(75)	(47)	-	-	(1,016)
Bank tax	-	-	-	-	(2,321)	-	-	(2,321)
Impairment and net valuation changes on loans	5,559	9,951	2	1,158	(51)	78	(398)	16,299
Profit (loss) before cost allocation & tax	20,977	13,682	1,728	2,850	(661)	4,093	(12,661)	30,008
Net segment revenue from external customers	25,999	11,828	2,689	(87)	(6,027)	8,356	(161)	42,597
Net segment revenue from other segments	(1,806)	(7,466)	53	2,785	8,063	(1,072)	(557)	0

At 31 December 2013

Total segment assets	395,292	182,184	261	2,823	223,219	116,868	(54,638)	866,009
Total segment liabilities	395,236	8,986	215	50,542	219,283	63,540	(39,111)	698,691

Notes to the Consolidated Financial Statements

Business combination

6. Changes within the group

Loss of control of subsidiaries

On 10 January 2014 the Bank sold 71.1% of its shareholding in Bláfugl ehf. The entity was classified as a non-current asset held for sale. The Bank has derecognised the assets and liabilities, any non-controlling interests and other components related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the line item "Profit from discontinued operations, net of income tax".

On 7 February 2014 the Bank sold 72.5% of its shareholding in HTO ehf. The entity was classified as a non-current asset held for sale. The Bank has derecognised the assets and liabilities, any non-controlling interests and other components related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the line item "Profit from discontinued operations, net of income tax".

On 31 March 2014 the Bank sold 100% of its shareholding in EFF 4 ehf. The entity was classified as a non-current asset held for sale. The Bank has derecognised the assets and liabilities and other components related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the line item "Profit from discontinued operations, net of income tax".

On 15 December 2014 the Bank sold its entire shareholding of 64.4% in GREF hf. The entity was classified as a non-current asset held for sale. The Bank has derecognised the assets and liabilities and other components related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the line item "Profit from discontinued operations, net of income tax".

Quarterly statements

7. Operations by quarters:

2014	Q4*	Q3*	Q2*	Q1*	Total
Net interest income	6,469	7,068	6,922	6,646	27,105
Net fee and commission income	2,962	2,849	2,818	2,854	11,483
Net financial income	603	83	19	863	1,568
Net foreign exchange gain (loss)	116	352	(12)	(291)	165
Share of profit of associates	-	-	27	-	27
Other operating income	509	233	240	1,113	2,095
Administrative expenses	(6,411)	(5,231)	(5,350)	(5,909)	(22,901)
Contribution to the Depositors' and Investors' Guarantee Fund	(265)	(272)	(260)	(258)	(1,055)
Bank tax	(565)	(664)	(623)	(592)	(2,444)
Loan impairment charges and net valuation changes	3,006	65	4,219	1,520	8,810
Profit before tax	6,424	4,483	8,000	5,946	24,853
Income tax	(1,434)	(1,255)	(2,156)	(1,394)	(6,239)
Profit for the period from continuing operations	4,990	3,228	5,844	4,552	18,614
(Loss) profit for the period from discontinued operations	(430)	307	515	3,744	4,136
Profit for the period	4,560	3,535	6,359	8,296	22,750

* The half year results were reviewed by the Bank's auditors, but the splits between quarters were not audited.

Notes to the Consolidated Financial Statements

7. Cont'd

2013	Q4*	Q3*	Q2*	Q1*	Total
Net interest income	6,547	7,365	7,045	7,473	28,430
Net fee and commission income	2,849	2,462	2,670	2,452	10,433
Net financial income	2,747	315	669	881	4,612
Net foreign exchange (loss) gain	(1,117)	409	(152)	(1,563)	(2,423)
Share of profit of associates	-	-	-	3	3
Other operating income	100	314	716	412	1,542
Administrative expenses	(7,928)	(5,208)	(6,179)	(6,236)	(25,551)
Contribution to the Depositors' and Investors' Guarantee Fund	(262)	(252)	(256)	(246)	(1,016)
Bank tax	(2,113)	(76)	(65)	(67)	(2,321)
Loan impairment charges and net valuation changes	7,894	555	4,857	2,993	16,299
Profit before tax	8,717	5,884	9,305	6,102	30,008
Income tax	(2,501)	(1,570)	(2,347)	(1,448)	(7,866)
Profit for the period from continuing operations	6,216	4,314	6,958	4,654	22,142
Profit (loss) for the period from discontinuing operations	1,456	(125)	(335)	(69)	927
Profit for the period	7,672	4,189	6,623	4,585	23,069

* The half year results were reviewed by the Bank's auditors, but the splits between quarters were not audited.

Notes to the Consolidated Financial Statements

Financial assets and liabilities

8. The following tables show the carrying value of financial assets and financial liabilities according to their IAS 39 classification.

At 31 December 2014

	Notes	Held for trading	Designated at fair value through P&L	Loans & receivables	Liabilities at amortised cost	Total carrying amount
Cash and balances with Central Bank	28	-	-	103,389	-	103,389
<i>Loans and receivables</i>						
Loans to credit institutions	31	-	-	35,072	-	35,072
Loans to customers	32-33	-	-	634,799	-	634,799
Loans and receivables		-	-	773,260	-	773,260
<i>Bonds and debt instruments</i>						
Listed		54,273	31,347	-	-	85,620
Unlisted			1,727	-	-	1,727
Bonds and debt instruments		54,273	33,074	-	-	87,347
<i>Shares and equity instruments</i>						
Listed		4,810	2,917	-	-	7,727
Unlisted		-	2,804	-	-	2,804
Shares and equity instruments		4,810	5,721	-	-	10,531
Derivatives	30	1,810	-	-	-	1,810
Other financial assets		-	-	3,931	-	3,931
Total financial assets		60,893	38,795	777,191	-	876,879
Derivative instruments and short positions	30	3,963	-	-	-	3,963
Deposits from Central Bank	44	-	-	-	69	69
Deposits from credit institutions	44	-	-	-	25,727	25,727
Deposits from customers	45-46	-	-	-	529,447	529,447
Debt issued and other borrowed funds	47	-	-	-	96,889	96,889
Subordinated loans	48	-	-	-	21,306	21,306
Other financial liabilities		-	-	-	25,363	25,363
Total financial liabilities		3,963	-	-	698,801	702,764

Notes to the Consolidated Financial Statements

8. Cont'd

At 31 December 2013

	Notes	Held for trading	Designated at fair value through P&L	Loans & receivables	Liabilities at amortised cost	Total carrying amount
Cash and balances with Central Bank	28	-	-	111,779	-	111,779
<i>Loans and receivables</i>						
Loans to credit institutions	31	-	-	44,078	-	44,078
Loans to customers	32-33	-	-	554,741	-	554,741
Loans and receivables		-	-	710,598	-	710,598
<i>Bonds and debt instruments</i>						
Listed		41,311	31,598	-	-	72,909
Unlisted		-	2,277	-	-	2,277
Bonds and debt instruments		41,311	33,875	-	-	75,186
<i>Shares and equity instruments</i>						
Listed		3,095	3,322	-	-	6,417
Unlisted		-	2,791	-	-	2,791
Shares and equity instruments		3,095	6,113	-	-	9,208
Derivatives	30	843	-	-	-	843
Other financial assets		-	-	9,036	-	9,036
Total financial assets		45,249	39,988	719,634	-	804,871
Derivative instruments and short positions	30	11,176	-	-	-	11,176
Deposits from Central Bank	44	-	-	-	63	63
Deposits from credit institutions	44	-	-	-	29,626	29,626
Deposits from customers	45-46	-	-	-	489,331	489,331
Debt issued and other borrowed funds	47	-	-	-	89,193	89,193
Subordinated loans	48	-	-	-	21,890	21,890
Other financial liabilities		-	-	-	22,561	22,561
Total financial liabilities		11,176	-	-	652,664	663,840

Notes to the Consolidated Financial Statements

Fair value information for financial instruments

9. Financial instruments carried at fair value

The fair value of a financial instrument is the transaction price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Where a market price is not readily available, the Bank applies valuation techniques based on estimates and assumptions that are consistent with that which market participants would use in setting a price for the financial instrument. In some instances the Bank uses approximation methods. These approximation methods are explained in more detail below.

The table below shows financial instruments carried at fair value categorised into levels of fair value hierarchy that reflect the significance of inputs used in making the fair value measurements as at 31 December 2014. The different levels have been defined as follows:

Level 1: Inputs that are quoted prices (unadjusted) in active markets for identical assets or liabilities that the Bank can access at the measurement date.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: Inputs that are unobservable, e.g. internal assumptions.

At 31 December 2014

Financial assets:	Level 1	Level 2	Level 3	Total
Bonds and debt instruments	54,618	31,539	1,190	87,347
Shares and equity instruments	7,618	98	2,815	10,531
Derivative instruments	-	1,810	-	1,810
Total financial assets	62,236	33,447	4,005	99,688
Financial liabilities:				
Short positions	686	0	-	686
Derivative instruments	-	3,184	93	3,277
Total financial liabilities	686	3,184	93	3,963

The following table shows financial instruments carried at fair value categorised into levels of fair value hierarchy as at 31 December 2013.

At 31 December 2013

Financial assets:	Level 1	Level 2	Level 3	Total
Bonds and debt instruments	42,071	31,836	1,279	75,186
Shares and equity instruments	6,417	-	2,791	9,208
Derivative instruments	-	843	-	843
Total financial assets	48,488	32,679	4,070	85,237
Financial liabilities:				
Short positions	9,252	210	-	9,462
Derivative instruments	-	1,629	85	1,714
Total financial liabilities	9,252	1,839	85	11,176

Notes to the Consolidated Financial Statements

9. Cont'd

Reconciliation of financial assets and liabilities categorised into Level 3

January-December 2014	Bonds and debt instruments	Shares and equity instruments	Derivatives
Fair value at 31 December 2013	1,279	2,791	(85)
Purchases	-	709	-
Sales	(32)	(383)	-
Net gains on financial instruments recognised in profit or loss	(57)	459	(8)
Transfers from level 1 or 2	-	-	-
Transfers to level 1 or 2	-	(760)	-
Fair value at 31 December 2014	1,190	2,816	(93)

January-December 2013	Bonds and debt instruments	Shares and equity instruments	Derivatives
Fair value at 31 December 2012	3,698	3,929	(5,154)
Purchases	-	1,237	-
Sales	-	(1,052)	-
Reclassified as associate	-	(1,021)	-
Settled	(759)	-	-
Net gains on financial instruments recognised in profit or loss	(437)	(164)	(5)
Transfers from level 1 or 2	-	52	-
Transfers to level 1 or 2	(1,223)	(190)	5,074
Fair value at 31 December 2013	1,279	2,791	(85)

One equity instrument, a total of ISK 760 million, was transferred from Level 3 to Level 1 because it was listed on the domestic market in Q1 2014. One foreign-currency denominated equity instrument, ISK 98 million, was transferred from Level 1 to Level 2 as its market price has been discounted by a certain percentage because it usually trades at a discount from its published market price. No other instruments were transferred between levels in 2014.

The responsibility for the valuation at fair value of financial instruments lies within the business units that are responsible for the positions. The business units are required to assess the valuation of their assets quarterly and present them to the Investment Committee which must give its approval of these valuations. Risk Management is responsible for reviewing the valuations, assessing the extent of market data used and categorising the valuation methods.

The objective of this valuation process is to arrive at a fair value measurement which reflects the price of the asset or liability that would be paid or received in an orderly transaction between market participants at the measurement date.

Where applicable, fair values are determined using quoted prices in active markets for identical assets and liabilities. The Bank defines an active market as one where transactions take place with sufficient frequency and volume. In other cases, where there is no active market, the fair value is estimated using valuation techniques such as net present value and discounted cash flow models; comparison with similar instruments for which observable market data exists; net asset value (NAV) for investment fund units or expected recovery for distressed bonds. These valuation techniques are based on various assumptions and inputs such as risk-free rate, expected revenue growth and credit and liquidity spreads. In some cases, where significant inputs into these models are not observable, expert judgement and estimation for these inputs are required.

Notes to the Consolidated Financial Statements

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In general, actively traded bonds and shares are classified as Level 1. The Bank classifies mutual fund units as shares and equity instruments in Level 3 and estimates the fair value for these units based on NAV where the unit prices are not readily available. Unlisted equities are initially booked at their transaction price but are revalued each quarter based on the models as described above. They are classified as Level 3. For interest rate derivatives contracts such as interest rate swaps (IRS) and cross-currency interest rate swaps (CIRS) the Bank calculates the net present value of estimated future cash flows based on yield curves with key inputs such as interest swap rates and forward-rate agreements (FRAs) rates. Foreign-currency forwards and foreign-currency swaps are valued using the FX spot rate adjusted for forward pricing points that can be obtained from market sources. These products are classified as Level 2. Bond forwards and equity forwards are also classified as Level 2 as they are valued using standard models with key inputs observed from stock prices, estimated dividend rates and funding rates. In general, standard bond options are classified as Level 2. The Bank classifies non-standard bond options as Level 3 due to the level of internal estimation used in their valuation.

The Bank's Level 1 financial assets and financial liabilities contain bonds and equities that are listed either domestically or abroad. Level 2 assets and liabilities contain illiquid bonds in the domestic markets as well as derivatives. Level 3 assets contain primarily unlisted and illiquid equities and bonds and bond options.

The valuation of Level 3 financial assets is done on a case-by-case basis if the book value exceeds ISK 50 million. Assets that are valued at less than ISK 50 million represent only a fraction (approximately 3%) of the total portfolio and are only revalued if their valuation is expected to change significantly between quarters. The valuation methods are disclosed in the table below.

Valuation techniques used in the measurement of fair value of financial assets and liabilities categorised into Level 3

Valuation technique	Bonds and debt instruments	Shares and equity instruments	Derivatives	Significant unobservable input	Range of estimates (weighted average) for unobservable inputs	Fair value measurement sensitivity to unobservable inputs
Expected recovery	1,190	-	-	Value of assets	Bonds: 0-75% (29%)	An increase or decrease in the expected recovery would result in a similar change in the fair value
Discounted cash flow	-	274	-	Weighted average cost of capital (WACC)	11% (11%)	An increase in the WACC would result in a lower fair value and a decrease would result in a higher fair value
EV/EBITDA multiplier	-	1,813	-	EV/EBITDA	13.2-13.9 (13.7)	A higher multiplier would result in a higher fair value and a lower multiplier would result in a lower fair value
Net asset value	-	729	-	Value of assets	ISK 0-253m (ISK 40m)	An increase in net asset value would result in a higher fair value and a decrease would result in a lower fair value
Other	-	-	(93)	Bond price volatility	6% (6%)	An increase in the volatility would result in a lower fair value and a decrease would result in a higher fair value
Total	1,190	2,816	(93)			

Notes to the Consolidated Financial Statements

10. Financial instruments not carried at fair value

The table below shows the fair value measurement and classification of financial assets and liabilities not carried at fair value at 31 December 2014. The different levels are defined as before (see note 9).

Assets

Loans to customers on the Bank's balance sheet that are carried at amortised cost consist of two types:

- 1) Loans whose carrying amount is less than their claim value, due to either impairments or deep discount.
- 2) Loans whose carrying amount equals the claim value.

Loans in category 1) are specifically measured at least every six months and every three months for significant amounts and therefore it is considered that their carrying amount is a good approximation of their fair value. Since measurement is partially based on internal models they are classified as Level 3. The fair value of the loans in category 2) may differ from their carrying amount because the interest rate they carry may not reflect the interest rate that similar new loans would carry. This difference stems from two sources:

- a) Credit migration: The debtors may not have the same credit-worthiness they had when the loans' interest rates were last reset and the collateralisation of the loan may have changed.
- b) Fixed rate loans: The interest rate level used as a base for pricing fixed rate loans may have shifted.

The Bank calculates the fair value of loans in category 2) by discounting from the carrying amount the resulting interest rate difference from 31 December 2014 to the loan's next interest reset or maturity, whichever comes first. Since the credit-worthiness is estimated using the Bank's internal models these assets are classified as Level 3.

For "Cash and balances with Central Bank", "Loans to credit institutions" and "Other financial assets" the fair value is very well approximated by the carrying amount since they are short term in nature. They are thus classified as Level 2.

Liabilities

The fair value of a financial liability with a demand feature, such as a demand deposit, is not less than the amount payable on demand, discounted from the first date that the amount could be required to be paid.

On the liabilities side most deposits are on demand or carry floating interest rates and as such their carrying amount is considered a good approximation of their fair value. For longer term, fixed rate deposits the Bank calculates the fair value with a duration approach, using the difference in each liability's current interest rate from the rate that a similar deposit would carry today. The fair value estimate of deposits does not take into account the effect of the Payment Service Directive on interest reset dates. All deposits are classified as Level 2 based on the use of observable market interest rates to estimate the fair value.

For the fair value of "Debt issued and other borrowed funds" the Bank uses an observed market value where it is available. Issued bonds and bills with quoted market prices are classified as Level 1. If there is no quoted market price the fair value of the debt is valued in the same manner as deposits if it carries a fixed rate. If the debt carries a floating rate its fair value is estimated by comparing the margin with the Bank's current funding premium on similar debt. These liabilities are classified as Level 2. The Bank estimates its funding premium based on the interest margin on its issued papers including covered bonds, commercial papers as well as foreign currency denominated bonds.

The fair value of liabilities in "Subordinated loans" is estimated using a duration approach by comparing the contractual interest margin with the interest margin in the market on the Bank's issuance in foreign currency plus a margin to account for the fact that the subordinated liabilities are junior to the market traded debt. These liabilities are classified as Level 2.

Other financial liabilities mainly include unsettled securities transactions and liabilities to retailers for credit card provision and are classified as level 2 since their value is not observable from active market prices. Due to the short term nature of these liabilities their carrying amount is considered a good approximation of their fair value.

The following table shows the fair value for the Bank's assets and liabilities recognised at amortised cost.

At 31 December 2014

	Level 1	Level 2	Level 3	Total fair value	Carrying amount
Financial assets:					
Cash and balances with Central Bank	-	103,389	-	103,389	103,389
Loans to credit institutions	-	35,072	-	35,072	35,072
Loans to customers	-	-	636,141	636,141	634,799
Other financial assets	-	3,931	-	3,931	3,931
Total financial assets	-	142,392	636,141	778,533	777,191

Notes to the Consolidated Financial Statements

10. Cont'd

At 31 December 2014

	Level 1	Level 2	Level 3	Total fair value	Carrying amount
Financial liabilities:					
Deposits from Central Bank	-	69	-	69	69
Deposits from credit institutions	-	25,727	-	25,727	25,727
Deposits from customers	-	529,519	-	529,519	529,447
Debt issued and other borrowed funds	37,293	59,601	-	96,894	96,889
Subordinated loans	-	21,306	-	21,306	21,306
Other financial liabilities	-	25,363	-	25,363	25,363
Total financial liabilities	37,293	661,585	-	698,878	698,801

At 31 December 2013

	Level 1	Level 2	Level 3	Total fair value	Carrying amount
Financial assets:					
Cash and balances with Central Bank	-	111,779	-	111,779	111,779
Loans to credit institutions	-	44,078	-	44,078	44,078
Loans to customers	-	-	556,068	556,068	554,741
Other financial assets	-	9,036	-	9,036	9,036
Total financial assets	-	164,893	556,068	720,961	719,634
Financial liabilities:					
Deposits from Central Bank	-	63	-	63	63
Deposits from credit institutions	-	29,626	-	29,626	29,626
Deposits from customers	-	489,430	-	489,430	489,331
Debt issued and other borrowed funds	33,049	56,674	-	89,723	89,193
Subordinated loans	-	21,880	-	21,880	21,890
Other financial liabilities	-	22,561	-	22,561	22,561
Total financial liabilities	33,049	620,234	-	653,283	652,664

Notes to the Consolidated Financial Statements

Offsetting financial assets and financial liabilities

11. Offsetting financial assets and financial liabilities

The table below provides a summary of the financial assets and financial liabilities which are subject to enforceable master netting agreements or similar arrangements, even if they have not been offset in the balance sheet.

a) Financial assets subject to offsetting, enforceable netting arrangements and similar agreements

	Financial assets subject to netting arrangements			Amounts not set off but subject to master netting arrangements and similar agreements					
	Gross recognised financial assets before balance sheet netting	Balance sheet netting with gross recognised financial liabilities	Financial assets recognised on the balance sheet, net	Recognised financial liabilities	Cash collateral received	Financial instruments collateral received	Net amount after consideration of potential effect of netting arrangements	Assets outside the scope of offsetting disclosure requirements	Total assets recognised on the balance sheet
At 31 December 2014									
Derivatives	1,810	-	1,810	(306)	(48)	(18)	1,438	-	1,810
Total assets	1,810	-	1,810	(306)	(48)	(18)	1,438	-	1,810
At 31 December 2013									
Derivatives	843	-	843	(60)	(98)	(152)	534	-	843
Total assets	843	-	843	(60)	(98)	(152)	534	-	843

b) Financial liabilities subject to offsetting, enforceable netting arrangements and similar agreements

	Financial liabilities subject to netting arrangements			Amounts not set off but subject to master netting arrangements and similar agreements					
	Gross recognised financial liabilities before balance sheet netting	Balance sheet netting with gross recognised financial assets	Financial liabilities recognised on the balance sheet, net	Recognised financial assets	Cash collateral pledged	Financial instruments collateral pledged	Net amount after consideration of potential effect of netting arrangements	Liabilities outside the scope of offsetting disclosure requirements	Total liabilities recognised on the balance sheet
At 31 December 2014									
Derivative instruments and short positions	3,277	-	3,277	(306)	-	(1,899)	1,072	686	3,963
Total liabilities	3,277	-	3,277	(306)	-	(1,899)	1,072	686	3,963
At 31 December 2013									
Derivative instruments and short positions	1,714	-	1,714	(60)	-	-	1,654	9,462	11,176
Total liabilities	1,714	-	1,714	(60)	-	-	1,654	9,462	11,176

Notes to the Consolidated Financial Statements

Net interest income

12. Net interest income is specified as follows:

	2014	2013
Interest income:		
Cash and balances with Central Bank	6,671	4,639
Loans and receivables	40,521	46,764
Financial assets held for trading	1,957	948
Financial assets designated at fair value through profit or loss	1,672	1,790
Other assets	185	192
Total interest income	51,006	54,333
Interest expense:		
Deposits from credit institutions and Central Bank	(479)	(505)
Deposits from customers	(16,919)	(18,174)
Borrowings	(4,940)	(5,753)
Subordinated loans	(911)	(951)
Other financial liabilities	(295)	(367)
Other interest expense	(357)	(153)
Total interest expense	(23,901)	(25,903)
Net interest income	27,105	28,430
Interest spread (as the ratio of net interest income to the average carrying amount of total assets)	3.0%	3.4%

Net fee and commission income

13. Net fee and commission income is specified as follows:

	2014	2013
Fee and commission income:		
Asset management	1,683	1,564
Investment Banking and brokerage	1,833	2,005
Payment processing	11,627	10,484
Loans and guarantees	1,267	1,141
Other fees and commissions income	1,574	1,501
Total fees and commission income	17,984	16,695
Commission expenses:		
Interbank charges	(157)	(331)
Brokerage	(128)	(126)
Clearing and settlement	(6,179)	(5,702)
Other commission expenses	(37)	(103)
Total commission expenses	(6,501)	(6,262)
Net fee and commission income	11,483	10,433

Notes to the Consolidated Financial Statements

Net financial income

14. Net financial income is specified as follows:

	2014	2013
Net gain on financial assets and liabilities held for trading	7	891
Net gain on financial assets designated at fair value through profit or loss	1,786	3,721
Net loss on loss of control over subsidiary	(225)	-
Net financial income	1,568	4,612

Net gain on financial assets and liabilities held for trading

15. Net gain on financial assets and liabilities held for trading is specified as follows:

	2014	2013
Shares and related derivatives	(274)	498
Dividend income on shares held for trading	185	115
Bonds and related derivatives	(176)	(71)
Other derivatives	272	349
Net gain on financial assets and liabilities held for trading	7	891

Net gain on financial assets designated at fair value through profit or loss

16. Net gain on financial assets designated at fair value through profit or loss is specified as follows:

	2014	2013
Shares	1,821	3,799
Bonds	(35)	(78)
Net gain on financial assets designated at fair value through profit or loss	1,786	3,721

Net foreign exchange gain (loss)

17. Net foreign exchange gain (loss) is specified as follows:

	2014	2013
Assets:		
Cash and balances with Central Bank	(42)	(145)
Financial assets held for trading	(1,314)	3,246
Loans	1,989	(15,321)
Other assets	754	(32)
Total	1,387	(12,252)
Liabilities:		
Deposits	(2,246)	7,582
Subordinated loans	584	1,576
Debt issued and other borrowed funds	1,106	(74)
Other liabilities	(666)	188
Total	(1,222)	9,272
Unadjusted net foreign exchange gain (loss)	165	(2,980)
Foreign exchange gain reversal on loans to customers with ISK cash flow*	-	557
Net foreign exchange gain (loss)	165	(2,423)

*Further discussed under Note 24

Notes to the Consolidated Financial Statements

Other operating income

18. Other operating income is specified as follows:

	2014	2013
Agency fees and service level agreement fees	269	338
Rental income from real estate	143	145
Rental income from foreclosed assets	282	349
Legal cost and fees	148	192
Realised gain on property and equipment	242	556
Other operating income (expenses)	1,011	(38)
Other operating income	2,095	1,542

Administrative expenses

19. Administrative expenses are specified as follows:

	2014	2013
Salaries and related expenses	13,307	13,361
Other administrative expenses	8,631	11,118
Depreciation	819	946
Amortisation	144	126
Administrative expenses	22,901	25,551

Salaries and related expenses

20. Salaries and related expenses are specified as follows:

	2014	2013
Salaries	10,193	10,220
Pension	1,491	1,409
Social security charges and financial activities tax	1,460	1,589
Other	163	143
Salaries and related expenses	13,307	13,361

The Bank made a provision of ISK 358 million (2013: ISK 271 million) for potential performance plan payments. In accordance with the FME rules no. 700/2011, part of the payment is deferred for a minimum of 3 years (see Note 22). Salary related expenses are included in the amount.

21. The Bank's total number of employees is as follows:

	At 31 December 2014		At 31 December 2013	
	Parent Company	The Bank	Parent Company	The Bank
Average number of employees	990	1,253	1,056	1,265
Positions at the end of the year	945	1,206	988	1,201

Average number of employees for the Bank in 2014 includes 114 employees (2013: 84 employees) in disposal groups held for sale, whose salaries are not included in the salaries and related expenses.

Notes to the Consolidated Financial Statements

Employment terms for the Board of Directors, the CEO and Management Board

22. Employment terms for the Board of Directors, the CEO and Management Board are specified as follows:

2014	Salaries
Fridrik Sophusson, Chairman of the Board	7.5
John E. Mack, Vice-Chairman of the Board	5.4
Árni Tómasson, member of the Board	5.4
Helga Valfells, member of the Board	5.8
Marianne Økland, member of the Board	5.4
Neil Graeme Brown, member of the Board	5.4
Póranna Jónsdóttir, member of the Board	5.8
Daniel Levin, former member of the Board	3.6
María E. Ingvadóttir, former member of the Board	4.1
Total	48.4

	Salaries	Performance based payments
2014		
Birna Einarsdóttir, CEO	38.6	4.8
8 Managing Directors	198.7	22.4

2013	Salaries
Fridrik Sophusson, Chairman of the Board	7.5
John E. Mack, Vice-Chairman of the Board	5.8
Árni Tómasson, member of the Board	5.4
Daniel Levin, member of the Board	5.7
Helga Valfells, member of the Board	1.4
Marianne Økland, member of the Board	5.7
María E. Ingvadóttir, member of the Board	5.4
Neil Graeme Brown, member of the Board	5.7
Póranna Jónsdóttir, member of the Board	1.4
Alternate board members	0.2
Total	44.2

	Salaries	Performance based payments
2013		
Birna Einarsdóttir, CEO	36.4	3.6
7 Managing Directors	180.7	18.2

The employer's contribution to pension funds and other benefits for the Board, CEO and Management Board amounted to ISK 42.5 million in 2014 (2013: ISK 51.8million). There were no share based payments in the years 2014 and 2013.

The performance based salaries are based on FME rules on remuneration policy for financial undertakings (700/2011). The rules reflect a conservative framework for remuneration schemes within the financial sector. The remuneration policy shall not encourage unreasonable risk taking, nor contravene the long-term interests of the undertaking and the stability of the financial system. The policy shall conform to viewpoints related to the protection of the undertaking's customers, its creditors and shareholders or guarantee capital owners and in other respects conform to proper and sound business practices. The rules state that the aggregate of variable remuneration including deferred payments shall not amount to more than 25% of the annual salary of the person in question, exclusive of variable remuneration. Payment of at least 40% of the variable remuneration shall be deferred for a minimum of three years if the variable remuneration is in excess of 10% of the annual salary of the person in question, exclusive of variable remuneration. Risk management, compliance and internal audit shall review and analyse whether variable remuneration complies with the undertaking's remuneration policy and the FME rules. The rules prohibit employees in these units to be paid performance based salaries.

Notes to the Consolidated Financial Statements

Auditors' fees

23. Auditors' fees are as follows:

	2014	2013
Audit of the annual accounts	94	104
Review of interim accounts	27	33
Other services	42	31
Auditors' fees	163	168

Loan impairment charges and net valuation changes

24. Loan impairment charges and net valuation changes:

	2014	2013
Impairment charged to the income statement:		
Specific impairment losses on financial assets	(2,822)	(6,438)
Impairment of foreign exchange gain	-	557
Net specific impairment losses on financial assets	(2,822)	(5,881)
Collective impairment	967	(1,940)
Total impairment charged to the income statement (see Note 34)	(1,855)	(7,821)
Net valuation changes on loans:		
Income due to revised estimated future cash flow from loans	10,665	24,677
Net specific impairment losses on financial assets	(2,822)	(5,881)
Foreign exchange loss (see Note 17)*	-	(557)
Net valuation changes on loans	7,843	18,239
Collective impairment	967	(1,940)
Loan impairment charges and net valuation changes	8,810	16,299

* In 2013 foreign exchange gain on foreign currency loans to customers with revenue and cash flows in ISK was impaired and offset against total foreign exchange gain as per Note 17.

Profit from discontinued operations

25. Profit from discontinued operations are specified as follows:

	2014	2013
Net profit from sale of foreclosed mortgages	1,589	785
Net share of loss from disposal groups held for sale	(941)	(822)
Net profit from sale of subsidiaries and associates	3,488	964
Profit from discontinued operations	4,136	927

Notes to the Consolidated Financial Statements

Effective income tax

26. Income tax for the year 2014 is calculated at 20%. Special financial activities tax (FAT) is calculated as 6% of taxable profits above ISK 1 billion. The effective income tax rate in the Bank's income statement for 2014 is 25.1%.

Income tax recognised in the income statement is specified as follows:

	2014	2013
Current tax expense	4,423	6,496
Special financial activities tax	1,275	1,833
Difference in prior year's imposed and calculated income tax	(103)	(52)
Origination and reversal of temporary differences due to deferred tax assets	644	(411)
Total	6,239	7,866

The effective income tax rate is specified as follows:

	2014		2013	
Profit before tax	24,853		30,008	
20% income tax calculated on the profit of the year	4,971	20.0%	6,002	20.0%
Special financial activities tax	1,275	5.1%	1,833	6.1%
Tax on income not subject to tax	(976)	(3.9%)	(938)	(3.1%)
Non-deductable expenses	471	1.9%	667	2.2%
Other differences	498	2.0%	302	1.0%
Effective income tax	6,239	25.1%	7,866	26.2%

The Bank is taxed jointly with its subsidiary Íslandssjóðir hf. whereby the taxable income of the subsidiary is added to the taxable income of the parent and taxed as one. Joint taxation is only applicable for calculation of income taxes. Tax losses brought forward which originate before the permission for a joint taxation was issued by the tax authorities cannot be used except to offset taxes of the entity where they originated.

Earnings per share

27. Earnings per share are specified as follows:

Basic earnings per share, ISK

Profit attributable to ordinary shareholders	2014	2013
Net profit to the equity holders of the parent, according to the statement of comprehensive income	21,740	22,977
Average outstanding shares:		
Weighted average number of outstanding shares for the period, million	10,000	10,000
From profit for the year	2.17	2.30

Diluted earnings per share, ISK

Profit attributable to ordinary shareholders (diluted)		
Average outstanding shares for the calculation of diluted earnings per share	10,000	10,000
Number of total shares at the end of the period, million, diluted	10,000	10,000
From profit for the year	2.17	2.30

There have been no transactions involving ordinary shares or potential ordinary shares between the reporting date and the date of the completion of these consolidated financial statements which would require the restatement of earnings per share.

Notes to the Consolidated Financial Statements

Cash and balances with Central Bank

28. Specification of cash and balances with Central Bank:

	31.12.2014	31.12.2013
Cash on hand	2,256	2,472
Balances with Central Bank other than mandatory reserve deposits	10,738	6,619
Term Deposit	80,843	-
Certificates of deposit	-	99,085
Included in cash and cash equivalents	93,837	108,176
Mandatory reserve deposits with Central Bank	9,552	3,603
Cash and balances with Central Bank	103,389	111,779

The average balance of the Central bank current account for each month must be equivalent to at least mandatory reserve deposits, amounted to ISK 9,629 million (December 2013: ISK 8,153 million).

The Central Bank's auctions of 28-day Certificates of deposit have been discontinued. Instead, financial institutions that engage in transactions with the Central Bank are offered two types of term deposits that are eligible as collateral for Central Bank facilities.

Pledged assets

	31.12.2014	31.12.2013
29. Financial assets which have been pledged as collaterals for liabilities	96,633	106,062

The Bank has issued covered bonds under Icelandic law, with maturities of up to 12 years, which are pledged on a pool of consumer mortgage loans. The underlying cover pool must withstand a weekly stress test with regards to interest rates and exchange rates. The Bank also pledged a pool of customer loans as collateral for an asset-backed bond issued to the Central Bank. Furthermore, the Bank pledged a pool of customer loans as collateral in a currency swap agreement with the Central Bank in order to reduce the Bank's foreign exchange imbalance and has also pledged cash collateral in foreign currency for International Swaps and Derivatives Association (ISDA) agreements with foreign financial institutions.

Derivative instruments and short positions

30. Derivative instruments and short positions:

At 31 December 2014

	Assets	Notional values related to assets	Liabilities	Notional values related to liabilities
Interest rate swaps	360	10,800	1,027	18,950
Cross currency interest rate swaps	886	34,369	1,926	24,252
Equity forwards	144	1,605	117	1,482
Foreign exchange forwards	16	1,468	97	3,695
Foreign exchange swaps	306	4,744	2	963
Bond forwards	98	4,371	15	1,100
Bond options			93	25,000
Derivatives	1,810	57,357	3,277	75,442
Short positions in listed bonds	-	-	686	-
Total	1,810	57,357	3,963	75,442

Notes to the Consolidated Financial Statements

30. Cont'd

At 31 December 2013

	Assets	Notional values related to assets	Liabilities	Notional values related to liabilities
Interest rate swaps	21	2,000	1,364	19,500
Cross currency interest rate swaps	525	28,240	28	6,585
Equity forwards	21	7	182	104
Foreign exchange forwards	197	6,498	34	712
Foreign exchange swaps	42	1,176	7	3,193
Bond forwards	37	1,987	14	2,065
Bond options	-	-	85	25,000
Derivatives	843	39,908	1,714	57,159
Short positions in listed bonds	-	-	9,462	-
Total	843	39,908	11,176	57,159

The Bank uses derivatives to hedge currency exposure, interest rate risk in the banking book as well as inflation risk. The Bank carries relatively low indirect exposure due to margin trading with clients and the Bank holds collaterals for possible losses. Other derivatives in the Bank held for trading or for other purposes are insignificant.

Short positions are in Icelandic government bonds and institutions with government guarantees. As a primary dealer the Bank has access to securities lending facilities provided by the Central Bank and the Housing Financing Fund. Majority of the securities lending facilities have a maturity of less than a year.

Loans

31. Loans to credit institutions:	31.12.2014	31.12.2013
Money market loans	10,889	13,821
Bank accounts	24,183	30,257
Loans to credit institutions	35,072	44,078
32. Loans to customers:	31.12.2014	31.12.2013
Loans and advances to customers at amortised cost	634,799	554,741
Loans to customers	634,799	554,741

Notes to the Consolidated Financial Statements

33. Loans to customers at amortised cost:

At 31 December 2014

	Gross amount	Specific impairment allowance	Loans less impairment allowance
Loans to customers:			
Individuals	268,053	(5,205)	262,848
Commerce and services	83,590	(3,932)	79,658
Construction	21,472	(2,721)	18,751
Energy	7,315	-	7,315
Financial services	121	-	121
Industrial and transportation	63,019	(1,141)	61,878
Investment companies	15,531	(1,620)	13,911
Public sector and non-profit organisations	12,234	(18)	12,216
Real estate	100,774	(1,234)	99,540
Seafood	82,449	(1,037)	81,412
Loans to customers before collective impairment allowance			637,650
Collective impairment allowance			(2,851)
Loans to customers	654,558	(16,908)	634,799

At 31 December 2013

	Gross amount	Specific impairment allowance	Loans less impairment allowance
Loans to customers:			
Individuals	263,446	(8,402)	255,044
Commerce and services	85,340	(3,818)	81,522
Construction	20,656	(2,016)	18,640
Energy	3,614	-	3,614
Financial services	34	-	34
Industrial and transportation	48,224	(1,791)	46,433
Investment companies	13,839	(3,533)	10,306
Public sector and non-profit organisations	6,943	(49)	6,894
Real estate	69,732	(3,085)	66,647
Seafood	70,829	(1,540)	69,289
Loans to customers before collective impairment allowance			558,423
Collective impairment allowance			(3,682)
Loans to customers	582,657	(24,234)	554,741

Notes to the Consolidated Financial Statements

34. Financial assets - impairments

The following table shows the movement in the provision for impairment losses for loans and receivables.

	Specific impairment allowance	Collective impairment allowance	Total
At 1 January 2014	24,234	3,682	27,915
Reclass 1 January	(137)	137	-
Amounts written-off	(9,745)	-	(9,745)
Recoveries of amounts previously written-off	934	-	934
Principal credit adjustment	(1,200)	-	(1,200)
Charged to the income statement	2,822	(967)	1,855
At 31 December 2014	16,908	2,851	19,759

	Specific impairment allowance	Collective impairment allowance	Total
At 1 January 2013	45,191	1,738	46,929
Amounts written-off	(19,254)	4	(19,251)
Recoveries of amounts previously written-off	1,240	-	1,240
Principal credit adjustment	(8,824)	-	(8,824)
Charged to the income statement	5,881	1,940	7,821
At 31 December 2013	24,234	3,682	27,915

	2014	2013
Impairment losses charged to the income statement:		
Loans to customers	1,855	7,821
Impairment losses charged to the income statement	1,855	7,821

Specific impairment allowance comprises impairment for financial assets that are assessed individually and collectively assessed allowance comprises estimates of impairment losses that have been incurred but not identified in the reporting period for a group of loans that have similar credit risk characteristics.

Notes to the Consolidated Financial Statements

Investment in associates

35. Changes in investment in associates:	31.12.2014	31.12.2013
Investments in associates at the beginning of the year	1,563	503
Additions during the period	62	37
Transfers	-	1,020
Revaluation	(20)	-
Share of results	27	3
Distribution of capital	(1,062)	-
Investment in associates	570	1,563

36. The Bank's interest in its principal associates are as follows:

	Ownership at year-end
FAST GP ehf., Kirkjusandi 2, 155 Reykjavík	35.0%
Atorka Group hf., Túngötu 14, 101 Reykjavík	26.8%
Reiknistofa bankanna hf., Katrínartúni 2, 105 Reykjavík	30.8%
Audkenni hf., Borgartúni 31, 105 Reykjavík	20.9%

Summarised financial information in respect of the Bank's associates is set out below:

	31.12.2014	31.12.2013
Total assets	8,644	12,046
Total liabilities	(5,352)	(7,517)
Net assets	3,292	4,529
Bank's share of net assets of associates	570	1,563

	2014	2013
Total revenue	4,620	3,979
Total loss of associates for the year	(1,232)	(78)

Notes to the Consolidated Financial Statements

Investment in subsidiaries

37. Significant subsidiaries:

	Location	Owner-ship
Borgun hf., Ármúla 30, 108 Reykjavík	Iceland	63.5%
Íslandssjóðir hf., Kirkjusandi 2, 155 Reykjavík	Iceland	100%
Midengi ehf., Lækjargötu 12, 155 Reykjavík	Iceland	100%
Hringur eignarhaldsfélag ehf., Digralesvegi 1, 200 Kópavogur	Iceland	100%
Allianz Ísland hf., Digralesvegi 1, 200 Kópavogur	Iceland	100%
D-1 ehf., Kirkjusandi 2, 105 Reykjavík	Iceland	100%
Geysir Green Investment Fund slhf., Kirkjusandi 2, 105 Reykjavík	Iceland	100%
Fergin ehf., Hesthálsi 6-8, 110 Reykjavík	Iceland	80%
Frumherji hf., Hesthálsi 6-8, 110 Reykjavík	Iceland	100%
23 other subsidiaries (SME)		

38. Net comprehensive income (NCI) in subsidiaries

The following table summarises the information relating to the Bank's subsidiary that has material NCI.

Borgun hf.

Non-controlling interests percentage	36.5%	36.5%
	2014	2013
Loans and receivables	4,118	3,897
Other assets	24,818	21,092
Liabilities	24,571	21,939
Net assets	4,365	3,050
Carrying amount of NCI	1,593	1,113
Revenue	4,212	3,615
Profit	1,316	994
Total comprehensive income	1,316	994
Profit allocated to NCI	480	363
Cash flows from operating activities	3,300	2,993
Cash flows from investing activities	(485)	(1,295)
Cash flows from financing activities	-	-
Net increase in cash and cash equivalents	2,815	1,698

Notes to the Consolidated Financial Statements

Related party disclosures

39. Ultimate controlling party

The Bank has determined that ISB Holding ehf. is the ultimate controlling party of the Bank with GLB Holding ehf. having significant influence. This is reflected in related party transactions.

Entities which are controlled, jointly controlled or significantly influenced by the government (state-controlled entities) are not considered as being a related party if neither entity actually influenced the other and if the state did not actually influence either entity with regards to transactions between them. The Bank's transactions with state-controlled entities during the year were based on general business terms of the Bank.

Related party transactions

The Bank has a related party relationship with its associates, the Board of Directors of the parent company and the ultimate controlling party, the Management Board, close family members of individuals referred to herein, and entities with significant influence as the largest shareholders of the Bank.

All loans to employees are provided on general business terms of the Bank. Included in assets are loans to key management.

Related parties have transacted with the Bank during the period as follows:

	31.12.2014			31.12.2013		
	Assets	Liabilities	Total	Assets	Liabilities	Total
CEO and Man. Directors (incl. comp. owned by them)	253	(130)	123	178	(285)	(107)
Members of the Board (incl. comp. owned by them)	8,658	(1,133)	7,525	462	(2,393)	(1,931)
Associated companies and other related parties	553	(1,316)	(763)	288	(3,824)	(3,536)
Total	9,464	(2,579)	6,885	928	(6,502)	(5,574)

	31.12.2014	31.12.2013
Guarantees	544	478
Loan commitments, overdrafts and credit card commitments	609	124

Impairment allowances of ISK 165 million (2013: credit of ISK 70 million) were recognised during the year against balances outstanding with associated companies. No share option programmes were operated during 2014. For related party remuneration see Note 22.

Notes to the Consolidated Financial Statements

Property and equipment

40. Property and equipment are specified as follows:

At 31 December 2014	Land and buildings	Fixtures, equipment & vehicles	Total
Historical cost			
Balance at the beginning of the year	7,843	4,402	12,245
Additions during the year	376	382	758
Disposals and write-offs during the year	(1,466)	(251)	(1,717)
Balance at 31.12.2014	6,753	4,533	11,286
Accumulated depreciation			
Balance at the beginning of the year	(1,386)	(2,087)	(3,473)
Depreciation during the year	(120)	(512)	(632)
Disposals during the year	66	155	221
Balance at 31.12.2014	(1,440)	(2,444)	(3,884)
Carrying amount at 31.12.2014	5,313	2,089	7,402
Depreciation rates	0-2%	8-33%	
Official real estate value of buildings and leased land			4,091
Insurance value of buildings as at 31.12.2014			5,848
Insurance value of fixtures, equipment and vehicles as at 31.12.2014			2,300

At 31 December 2013	Land and buildings	Fixtures, equipment & vehicles	Total
Historical cost			
Balance at the beginning of the year	3,198	4,117	7,315
Change from previous year	1,004	-	1,004
Additions during the year	233	625	858
Net acquisition through business combinations	4,100	-	4,100
Disposals and write-offs during the year	(692)	(340)	(1,032)
Balance at 31.12.2013	7,843	4,402	12,245
Accumulated depreciation			
Balance at the beginning of the year	(51)	(1,685)	(1,736)
Change from previous year	(1,004)	-	(1,004)
Depreciation during the year	(135)	(630)	(765)
Impairment during the year	(214)	-	(214)
Disposals during the year	18	228	246
Balance at 31.12.2013	(1,386)	(2,087)	(3,473)
Carrying amount at 31.12.2013	6,457	2,315	8,772
Depreciation rates	0-2%	8-33%	
Official real estate value of buildings and leased land			4,383
Insurance value of buildings as at 31.12.2013			7,523
Insurance value of fixtures, equipment and vehicles as at 31.12.2013			2,086

Notes to the Consolidated Financial Statements

Intangible assets

41. Intangible assets are specified as follows:

At 31 December 2014	Purchased software	Developed software	Total
Historical cost			
Balance at the beginning of the year	478	200	678
Additions during the year	462	-	462
Internal development	-	2	2
Balance at 31.12.2014	940	202	1,142
Accumulated amortisation and impairment losses			
Balance at the beginning of the year	(246)	(133)	(379)
Amortisation during the year	(94)	(50)	(144)
Balance at 31.12.2014	(340)	(183)	(523)
Carrying amount at 31.12.2014	600	19	619
Amortisation rates	25%	25%	

At 31 December 2013	Purchased software	Developed software	Total
Historical cost			
Balance at the beginning of the year	314	200	514
Additions during the year	164	-	164
Balance at 31.12.2013	478	200	678
Accumulated amortisation and impairment losses			
Balance at the beginning of the year	(170)	(83)	(253)
Amortisation during the year	(76)	(50)	(126)
Balance at 31.12.2013	(246)	(133)	(379)
Carrying amount at 31.12.2013	232	67	299
Amortisation rates	25%	25%	

Notes to the Consolidated Financial Statements

Non-current assets and disposal groups held for sale

42. Specification of non-current assets and disposal groups held for sale:

	31.12.2014	31.12.2013
Reposessed collateral	8,592	10,722
Assets of disposal groups classified as held for sale	13,057	36,384
Total	21,649	47,106

Reposessed collateral:

	31.12.2014	31.12.2013
Land and property	8,176	8,544
Industrial equipment and vehicles	51	34
Shares and equity instruments	365	2,144
Total	8,592	10,722

The Bank classified the assets and liabilities of its subsidiaries Fastengi ehf., Hafnargata 7 ehf., IG Invest ehf., Fjárvari ehf., Bréfabær ehf., Smyrlaheidi ehf., LT Lódir ehf., Geysir Green Investment Fund slhf., Gráhellla ehf., ÍSB fasteignir ehf., Fergin ehf., Frumherji hf., and Manston Properties Ltd. as assets and liabilities of disposal groups held for sale.

Shares and equity instruments comprise shares in the Bank's associates and are classified as non-current assets held for sale.

Assets of disposal groups classified as held for sale:

	31.12.2014	31.12.2013
Cash	150	535
Equity instruments	775	775
Receivables	1,050	785
Tax assets	78	225
Properties and land	6,820	29,256
Equipment	411	379
Other assets	3,773	4,429
Total	13,057	36,384

Liabilities associated with assets classified as held for sale:

	31.12.2014	31.12.2013
Payables	80	502
Deferred tax liabilities	76	644
Income tax payables	45	416
Borrowings	2,284	7,148
Other liabilities	305	746
Total	2,790	9,456

Other assets

43. Other assets are specified as follows:

	31.12.2014	31.12.2013
Receivables	4,845	4,816
Unsettled securities transactions	1,660	5,099
Accruals	606	731
Prepaid expenses	213	200
Other assets	295	313
Other assets	7,619	11,159

Notes to the Consolidated Financial Statements

Deposits from Central Bank and credit institutions

	31.12.2014	31.12.2013
44. Deposits from Central Bank and credit institutions are specified as follows:		
Repurchase agreements with Central Bank	69	63
Deposits from credit institutions	25,727	29,626
Deposits from Central Bank and credit institutions	25,796	29,689

Deposits from customers

	31.12.2014	31.12.2013
45. Deposits from customers are specified by type as follows:		
Demand deposits	421,332	394,345
Time deposits	108,115	94,986
Deposits from customers	529,447	489,331

Demand deposits include deposits with maturity of up to 3 months.

46. Deposits from customers are specified by owners as follows:

	Amount	31.12.2014 % of total	Amount	31.12.2013 % of total
Central government and state-owned enterprises.....	11,437	2%	5,086	1%
Municipalities.....	6,810	1%	4,193	1%
Other companies.....	310,317	59%	292,792	60%
Individuals.....	200,883	38%	187,260	38%
Deposits from customers	529,447	100%	489,331	100%

Debt issued and other borrowed funds

	31.12.2014	31.12.2013
47. Specification of debt issued and other borrowed funds:		
Non-listed issued bonds	27,810	46,758
Listed issued bonds	66,460	41,006
Loans from credit institutions	2	2
Other debt securities	2,617	1,427
Debt issued and other borrowed funds	96,889	89,193

Non-listed bonds include an asset-backed bond issued to the Central Bank which matures in July 2019 and is pledged on a pool of loans to customers. Listed bonds are covered bonds pledged on a pool of mortgage loans, short-term unsecured bonds (commercial paper) and bonds issued under the Bank's GMTN programme. The Bank did not repurchase any of its own debt during 2014.

At the beginning of 2014, the Bank had five listed covered bond series, three CPI-linked and two non-indexed. The CPI-linked issues had a total outstanding amount of ISK 19.1 billion but the non-indexed issues a total of ISK 4.2 billion. Seven auctions were held during the year and both the CPI-linked and the non-indexed issues were offered to investors quarterly except in the third quarter when only the CPI-linked issues were offered. Two new covered bond series were issued in 2014, the CPI-linked issue ISLA CBI 20 and the non-indexed issue ISLA CB 19. The total amount of covered bonds issued in 2014 was ISK 8.8 billion, thereof ISK 4.7 billion non-indexed and ISK 4.1 billion CPI-linked. Outstanding covered bonds at year-end amounted to ISK 32.1 billion.

The Bank continued to sell short-term unsecured bonds (commercial paper) in 2014. Ten auctions were held where a new 6-month series was offered and older series tapped. The total outstanding amount of commercial paper at year-end was ISK 4.4 billion.

During 2014 the Bank issued two issues of unsecured bonds under the GMTN programme. In March SEK 300 million were tapped into the outstanding four-year issue since December 2013. The tap issue has a coupon rate of 3-month STIBOR + 330 bp which is 70 bp lower than the official issue. In May the Bank issued for the first time in Euros. The senior unsecured 2-year bond has a fixed rate of 3% and EUR 100 million were issued.

The Bank has not had any defaults of principal, interest or other breaches with respect to its debt issued and other borrowed funds.

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Subordinated loans

48. Specification of subordinated loans:

	Currency	Interest	Maturity date	Book value 31.12.2014
Loans which qualify as Tier 2 capital:				
Subordinated loans - unlisted	EUR	4.1%	31.12.2019	21,306
Tier 2				21,306
Subordinated loans				
				21,306

	Currency	Interest	Maturity date	Book value 31.12.2013
Loans which qualify as Tier 2 capital:				
Subordinated loans - unlisted	EUR	4.2%	31.12.2019	21,890
Tier 2				21,890
Subordinated loans				
				21,890

Subordinated loans consist of a Tier 2 government bond of EUR 138 million.

Subordinated loans are financial liabilities of the Bank which consist of liabilities in the form of subordinated loan capital which, in case of the Bank's voluntary or compulsory winding-up, will not be repaid until after the claims of ordinary creditors have been met. In the calculation of the capital ratio the subordinated loans are included within Tier 2. Subordinated loans usually have a maturity of a minimum of 10 years. To ensure that the amount of capital outstanding doesn't fall sharply, once a Tier 2 issue matures, the regulator demands that the subordinated issue is subjected to a progressive discount, of 20% per annum, during the last five years of its maturity.

Tax assets and tax liabilities

49. Tax in the balance sheet:

	31.12.2014		31.12.2013	
	Assets	Liabilities	Assets	Liabilities
Current tax	-	8,386	-	10,806
Deferred tax	521	2	1,275	20
Tax in the balance sheet	521	8,388	1,275	10,826

The deferred tax assets are mainly due to the write-off of goodwill in relation to the acquisition of Byr in December 2011. The goodwill is deductible for tax purposes over a period of 5 years.

50. Changes in the deferred tax assets and the tax liabilities during the year are as follows:

	Assets	Liabilities
Deferred tax assets and tax liabilities 1.1.2013	864	20
Transferred deferred tax liabilities to deferred tax assets 1.1.2013	(20)	(20)
Calculated income tax for 2013	(6,170)	46
Income tax payable in 2014	6,626	(26)
Prior year income tax adjustment	(25)	-
Deferred tax assets and tax liabilities 31.12.2013	1,275	20
Calculated income tax for 2014	(5,331)	67
Income tax payable in 2015	4,659	(66)
Prior year income tax adjustment	(82)	(19)
Deferred tax assets and tax liabilities 31.12.2014	521	2

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51. Movements in temporary differences during the year were as follows:

2014	Net balance at 1 January	Recognised in profit or (loss)	Balance at 31 December		
			Net	Deferred tax assets	Deferred tax liabilities
Property and equipment	(212)	8	(204)	-	(204)
Assets and liabilities denominated in foreign currency	(156)	(31)	(187)	-	(187)
Other intangible assets	1,433	(740)	693	693	-
Deferred foreign exchange difference	127	90	217	218	(1)
Tax loss carry forwards	63	(63)	-	-	-
	1,255	(736)	519	911	(392)
Set-off of deferred tax assets together with liabilities of the same taxable entities			-	(390)	390
Tax assets (liabilities)	1,255	(736)	519	521	(2)

2013	Net balance at 1 January	Recognised in profit or (loss)	Balance at 31 December		
			Net	Deferred tax assets	Deferred tax liabilities
Property and equipment	(225)	13	(212)	-	(212)
Assets and liabilities denominated in foreign currency	(159)	3	(156)	-	(156)
Other intangible assets	2,154	(721)	1,433	1,433	-
Deferred foreign exchange difference	(973)	1,100	127	134	(7)
Tax loss carry forwards	47	16	63	63	-
	844	411	1,255	1,630	(375)
Set-off of deferred tax assets together with liabilities of the same taxable entities			-	(355)	355
Tax assets (liabilities)	844	411	1,255	1,275	(20)

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Other liabilities

52. Specification of other liabilities:

	31.12.2014	31.12.2013
Accruals	3,250	3,163
Liabilities to retailers for credit card provision	22,639	20,563
Provision for effects of court rulings*	2,808	4,699
Provision for estimated losses from guarantees and others**	1,629	2,211
Capital gains tax	1,623	1,816
Unsettled securities transactions	1,798	840
Deferred income	192	206
Sundry liabilities	3,323	3,632
Other liabilities	37,262	37,130

Provision:	Provision for effects of court rulings*	Provision for estimated losses from guarantees and others**	Total
Balance 1 January 2014	4,699	2,211	6,910
Provision used during the year	(1,891)	-	(1,891)
New provisions and reversed provisions during the year	-	(582)	(582)
Balance at 31.12.2014	2,808	1,629	4,437

*The provision above reflects amounts owed to customers with paid-up loans as a result of court rulings and subsequent recalculations of illegal foreign currency-linked loans.

Equity

53. Share capital

Authorised share capital of the Bank is 10,000 million ordinary shares of ISK 1 each. At 31.12.2014 paid up share capital totalled ISK 65,000 million which is the total stated share capital of the Bank.

Issued share capital	31.12.2014	31.12.2013
Ordinary fully paid shares of ISK 1 krona each	10,000	10,000
Share capital	10,000	10,000

The Bank has one class of ordinary shares which carry no right to fixed income.

Share premium account	31.12.2014	31.12.2013
Premium arising on issue of equity shares	55,000	55,000
Share premium account	55,000	55,000

Total share capital	31.12.2014	31.12.2013
Ordinary share capital	10,000	10,000
Share premium account	55,000	55,000
Total share capital	65,000	65,000

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54. Other reserves are specified as follows:

	Other reserves
Other reserves as at 1.1.2013	2,834
Translation differences	(363)
Other reserves as at 31.12.2013	2,471
Translation differences	64
Other reserves as at 31.12.2014	2,535

Operating lease commitments

55. Future non-cancellable minimum operating lease payments, where the Bank is the lessee, are due as follows:

	31.12.2014	31.12.2013
Up to 1 year	240	199
1-5 years	760	828
Later than 5 years	493	365
Operating lease commitments	1,493	1,392

The Bank leases a number of branch and office premises under operating leases. The typical lease period is 20 years with a continuation clause. In some leases the rent is based on the consumer price index and changes accordingly.

Balance of custody assets

56. Balance of custody assets:

	31.12.2014	31.12.2013
Custody assets	666,715	754,166

Custody assets are under custody, but not managed by the Bank.

Contingencies

57. Indexed loans

Three court cases have been filed, one against the Bank and the others against the Housing Financing Fund (HFF) and Landsbanki, challenging the legality of fixing the principal of a mortgage to the consumer price index (CPI). Such indexation has been the industry standard in Iceland for over 30 years. However, the method of calculating the index has changed over the years, with the most recent change being introduced in 1995. The courts have upheld a motion by the plaintiffs in both cases to seek an opinion of the EFTA court on some key issues.

The case against the Bank is based on the indexation being in violation of the EU Directive 93/13/EU on unfair terms in consumer loan contracts. The Directive does not prohibit the use of price indexation, provided that the consumer is adequately informed about the method of calculating the index and the factors that affect changes in the index. Thus, the case does not challenge the indexation as such, but only the context in which it is deployed. It will not affect corporate customers as the EU directive is limited to consumer loans. As the directive does not require full harmonisation, it was not adopted by Iceland in its entirety. Instead, the existing contract law was amended by adding four new articles. The Supreme Court accepted the motion introduced by the plaintiff on seeking the opinion of the EFTA Court on the implications of the differences between the directive and the local law. The case was heard on 9 April 2014 and the opinion was published on 28 August 2014. In short, the Court stated that:

1. The EU Directive 93/13/EEC does not generally prohibit contractual terms on the indexation of mortgage loans in contracts between a supplier and a consumer. It is for the referring court to assess whether the term at issue is deemed to be unfair.
2. The Directive does not limit the discretion of an EEA State to determine, whether through legislation or by means of administrative regulation, the factors that may cause changes in a pre-determined index, such as the Icelandic consumer price index, as well as the methods for measuring those changes, provided they are explicitly described in the contract.
3. It is for the competent court to establish whether a particular contract term has been negotiated individually within the meaning of the Directive.

Notes to the Consolidated Financial Statements

57. Cont'd

4. It is for the competent court to establish whether a contract term relating to the indexation of repayment instalments of a loan to finance real estate purchases must be regarded as having been explicitly and comprehensibly described to the consumer.

5. Article 6(1) of the Directive must be interpreted as meaning that, where a national court considers that a given term is unfair within the meaning of the Directive, that court must ensure that such a clause is not binding to the consumer provided that the contract is capable of continuing in existence without the unfair term, in so far as, in accordance with the rules of domestic law, such a continuity of the contract is legally possible.

Thus, the general conclusion of the EFTA court was that indexation is permissible in consumer contracts, but Icelandic courts must decide if it is properly applied and described to the consumer.

The District Court of Reykjavik ruled on the case (and the HFF case) on 6 February 2015. It found that indexation was neither in violation of EU Directive 93/13/EEC nor the Icelandic law on contracts. Although not presented as an argument by the plaintiff in the beginning of the court proceedings, the Court also ruled on the compatibility of using zero-inflation forecast in calculating the annual percentage rate of charge (APRC) and the payment schedule. Like the EFTA Court and the Consumer Agency (see below), it found that although such a forecast was not satisfactory in light of the 1994 Act on Consumer Credit, the increase of principal was nevertheless enforceable. The Court found that the plaintiff did not demonstrate in any way that the increase was beyond what he should have expected, given the widespread and common use of indexation in the last decades. The ruling in the HFF case was founded on the same arguments.

The Landsbanki case changed during the court process making the case very similar to the one the Bank is defending aside from the issue regarding the assumption of no inflation when calculating the APRC. An EFTA Court opinion on the Landsbanki case was published on 24 November 2014. The Court opinion stated that: "although the Court considers the granting of CPI-linked mortgages to be legal, it however found that the procedures applied by Landsbanki, and its predecessor, in calculating the annual percentage rate of charge in the payment plan, to be in breach of Article 12 of Act No. 121/1994 on Consumer Credit, and possibly Article 6 of the same Act and moreover Article 5 of Act No. 57/2005, on the surveillance of unfair business practices and market transparency. The Court believed the breach to have occurred when the calculation of the APRC assumed that the CPI would remain unchanged until the end of the contract. The Court believes that the known index level should have been applied when calculating the APRC and hence the payment schedule."

The Consumer Agency (the "Agency") published in February 2014 its decision on a matter regarding the terms of, and information relating to the granting of, a consumer price indexed ("CPI-linked") mortgage by Íslandsbanki in 2005. In short, the decision was based on the arguments later presented by the EFTA Court. Presumably, the Consumer Appellate Committee will decide on the case along the same lines now presented by the Icelandic Courts.

The procedure in question has been upgraded following the implementation of the new Act on Consumer Credit.

Variable rate loans

The Consumer Agency (the "Agency") published in September 2014 its decision on a matter regarding the terms of, and information relating to the granting of, a consumer mortgage with interest reset terms by Íslandsbanki in 2005. The Agency found that the terms offered by Íslandsbanki, and its predecessor, regarding the method and conditions of resetting interest to be in breach of Articles 6 and 9 of Act no. 121/1994 on Consumer Credit (superseded in November 2013). The Agency believes that the terms offer insufficient explanation on how or what can affect the decision on the revised interest rate. To support its decision, the Agency cites among other things a former 2009 decision of the Consumer Appellate Committee. The Bank has stated officially that it disagrees with the Agency's decision on the point that the law requires such detailed explanations on the outcome of a change in interest rate. The terms explicitly state the time period when the Bank can change the interest rate (every 5 years) and, moreover, that the borrower can settle the loan without a pre-settlement charge if he or she is not content with the change. The precedent quoted by the Agency did not involve such terms.

As previously mentioned, Article 12 of the former Consumer Credit Act allows the calculation of the APRC on the assumption that the price level, interest rate and other charges will remain unchanged to the end of the credit agreement. Thus, the Bank notified each borrower on the effects of variable interest rates, for example the payment schedule document did state: "Please note that this schedule is based on the present CPI, interest rate and service charges list in effect at Íslandsbanki at the time of issuance.

There is no doubt that similar terms were applied by all major financial institutions serving the housing loan market, including the Housing Financing Fund (HFF). The Bank has not enforced the terms in question in many instances and has decided to postpone the next scheduled interest rate change. Customers have the option of receiving better terms by restructuring their loans with the appropriate documentation, fully adapted to the new legislation on consumer loans. The decision of the Agency has been appealed to the Consumer Appellate Committee.

Foreign currency loans

Several rulings of the Supreme Court of Iceland during the years 2010 to 2014 in relation to foreign currency-linked (FX-linked) loans have affected the Bank. Most important of these rulings was a ruling in June 2010 on the illegality of the principal of loans in ISK being linked to foreign currencies. Consequently, such loans could not carry Libor/Euribor interest rates.

The effects of these rulings and the subsequent corrections to the recalculations of illegal FX-linked loans have been reflected in the value of the loans in the Bank's Consolidated Financial Statements.

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The court rulings combined have to this day effectively reduced the uncertainty regarding which foreign currency loans are illegal and how they should be recalculated. The Bank made an announcement to the effect that it would recalculate illegally FX-linked loans, outstanding as well as paid-up loans, in line with the instructions given by the rulings. This process is in its final stages, the last mass-recalculation in process involves corporate financial leasing contracts.

As for later developments, some former rulings were based on the Bank being the dominant and expert party in the contractual relationship. Recent judgements imply that former rulings do not necessarily apply to other financial institutions or large companies as counterparties, especially if those conduct their business in part abroad or deal in foreign currency contracts on a regular basis. Moreover, the Supreme Court found in favour of a bank in a case in which a customer did not pay instalments on a regular basis and deviated significantly from the original payment schedule. Consequently, the Bank revised its categorisation on which loans should be recalculated. The result did only slightly differ from the previous categorisation.

Two significant court cases in which the plaintiffs contested the legality of three corporate Glitnir/Íslandsbanki loan contracts were concluded in February 2015. Although such contracts are not great in numbers, they carry the greatest sums. Thus, the precedent value was significant (approx. ISK 3-5 billion in the two cases). In the District Court the Bank argued that the contracts differ from those previously ruled on by way of the method by which the loan was disbursed. If the contract says that the debtor can explicitly request payment in any currency and the contract is fulfilled in that manner, the maximum contract amount can be presented in ISK without offsetting the foreign currency loan validity of the contract. The District Court ruled in favour of the Bank in both cases, finding the contracts in question valid and fully enforceable as foreign denominated loans. The Supreme Court agreed in both cases, with verdicts passed on 15 January 2015 and 12 February 2015. In light of these precedents, one or two additional court cases involving smaller sums are expected to be dropped by the plaintiffs.

Settlement of the 2011 Byr acquisition

The Bank acquired Byr (a former Savings Bank) in 2011 from the Byr Winding-up Committee (the "Committee") and the Icelandic Ministry of Finance and Economic Affairs (the "Ministry"). According to standard practice, the Bank retained the right to re-evaluate the value of the assets acquired and subsequently to demand a refund if the value of the assets was not in line with what was presented in the official accounts of the company. A claim amounting to ISK 6,943 million plus interest was filed with the Committee in June 2013. The claim is filed as a priority claim, according to Article 110 of Law 21/1991, to be set off against a bond amounting to ISK 5,834 million (with settlement dates in November 2014 and 2015). Payments on the bond have been, and will be, made with reservation. The Committee rejected the claim with a letter dated 30 September 2013. At a creditors meeting in December 2013 it was decided that the Committee would refer the dispute to the District Court of Reykjavík. A formal claim amounting to ISK 911 million plus interest was filed with the Ministry on 24 September 2014. Both claims, on the Ministry and on the Committee, have been filed with the District Court of Reykjavík. Furthermore, the District Court has appointed two independent professionals, at the request of Íslandsbanki, to perform a formal evaluation of the Bank's claim on the Ministry and the Committee. The evaluation is expected to be completed before the end of the second quarter of 2015. The Bank has not recognised any revenues relating to this claim in its Consolidated Financial Statements.

Formal investigation by the Icelandic Competition Authority regarding an alleged violation of competition law by Íslandsbanki

The Icelandic Competition Authority ("ICA") has initiated an investigation concerning alleged violations of the Competition law by the Bank. Details of the investigation remain confidential.

The ICA has requested and received information from the Bank and has, following its review, sent the Bank an opposition document. The ICA considers the violations to be extensive, to have been in existence for a considerable period of time and to concern important markets. The opposition document is one stage in the processing of the case and does not comprise a final administrative decision.

The Bank strongly disagrees with the ICA's findings and has presented its objections and is working with the ICA to resolve the case. However, should the ICA's findings be final, sanctions may come into consideration, in accordance with Article 37 of the Competition Act.

The Bank has made a settlement with the ICA regarding a particular implementation on the payment card market. The Bank was the first to reach a settlement with the ICA but the examination also included Arion Bank, Landsbanki, Borgun and Valitor. It is stated in the settlement with the ICA that the Bank has shown a great will to cooperate and thereby shortened the time of investigation but the Bank believes good cooperation with the ICA is important to promote sound business practices in local financial markets.

Formal request for information by the EFTA Surveillance Authority into alleged unlawful state aid to Íslandsbanki

On 22 October 2013 the EFTA Surveillance Authority ("ESA"), following a complaint dated 23 September 2013, formally requested information on alleged unlawful state aid granted to Íslandsbanki hf. through long term funding at favourable interest rates by the Central Bank of Iceland.

The Icelandic authorities and the Bank have sent all relevant information and their observations as per the ESA request, in order to determine whether or not the measures complained of involve state aid based on interpretation of Article 61 of the EEA Agreement, or qualify for an exemption under Article 61(2) or (3) of the EEA Agreement. Both parties state that the measures, which are the topic of the complaint, cannot be considered state aid within the meaning of Article 61 (1) of the EEA Agreement, as the funding in question was provided at what has to be considered market rates at the time and were indeed favourable to the Central Bank. However, should ESA disagree, then the measures must be considered state aid compatible with the functioning of the EEA Agreement under Article 61(3) (b) of the EEA Agreement.

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The Depositors' and Investors' Guarantee Fund

In 2010, under a previous legislation, the Bank was required to grant the Depositors' and Investors' Guarantee Fund a declaration of guarantee in case the fund's assets did not meet the required minimum amount. Accordingly, the Bank issued a declaration of guarantee for future obligations amounting to ISK 3,724 million. The Bank did not recognise a liability in its financial statement in respect of this declaration which is now considered void. The amended legislation does not stipulate a requirement for such a declaration of guarantee. However, there remains some uncertainty as to its validity in relation to losses originated in the period from October 2008 to June 2012.

Events after the balance sheet date

58. No events have arisen after the reporting period that require amendments or additional disclosures in the consolidated financial statements for the year 2014.

Risk management

59. Risk governance

The Bank is exposed to various risk factors and managing these risk factors is an integral part of the Bank's operations.

Íslandsbanki's management body has a dual structure, meaning that the Board of Directors has a supervising role and the CEO has responsibility for daily operations.

The ultimate responsibility for ensuring an adequate risk management framework lies with the Board of Directors. The Board defines and communicates the acceptable level of risk through the Bank's Risk Appetite Statement and the risk management policies.

The Chief Executive Officer (CEO) is responsible for developing and maintaining adequate and effective risk management and internal control functions within Íslandsbanki. In addition, the CEO appoints the Chief Risk Officer (CRO) as well as other members of the Executive Board, the Risk Committee, the Asset and Liability Committee and the Investment Committee.

The Chief Audit Executive is appointed by the Board and directs Group Internal Audit by Board authorisation. The Chief Audit Executive is responsible for internal audit matters within the group, the Bank and its subsidiaries, including outsourced projects. Group Internal Audit provides the Bank with independent, objective assurance and consulting services designated to add value and improve the Bank's operations. It helps the Bank to evaluate and improve the effectiveness of its risk management, controls, and governance processes.

The Compliance Officer is responsible for regular monitoring and assessment of the suitability and efficacy of the Bank's measures concerning securities transactions. Its aim is to ensure that the work of the Bank, its Board and employees is consistent at all times with the applicable internal and external regulatory framework and with sound, appropriate business practice. The Board is authorised to entrust the Compliance department with additional tasks if they are in accordance with statutory requirements.

The Chief Risk Officer (CRO) is a member of the Executive Board and is responsible for the risk management organisation within Íslandsbanki. The CRO heads the risk management department and is responsible for defining the daily tasks of the department and to assess the adequacy of its professional skills. In addition, the CRO is responsible for organising risk management within Íslandsbanki in order to ensure that Íslandsbanki has the right resources and an appropriate organisation to manage its risks efficiently. This includes risk management functions in branches and subsidiaries.

Risk Management is responsible for maintaining and developing internal directives and frameworks regarding risk management and internal control. The department is also responsible for setting competency standards, for training staff on the Bank's policies, internal directives and frameworks related to risk management and internal control. In addition, Risk Management provides the managers of business units with information and guidance regarding risk management and internal control issues.

Risk Management advises on risk and risk assessment. It develops, maintains and tests risk models and provides other forms of support within its expertise.

Risk Management reports on risk and compliance to limits to internal and external stakeholders and ensures an appropriate escalation in the event of limit breaches.

Risk Management is independent from business lines but provides strategic support aligned with the Bank's business objectives. The existence of an independent risk management department does not absolve management from its responsibility to manage all risks arising in their business and function.

60. Risk management committee structure

The implementation of the risk management practises and internal monitoring in accordance with Board authorisation is delegated to the management committees: the Executive Board, the Risk Committee, the Asset and Liability Committee, and the Investment Committee. Under this authorisation, these management committees issue detailed guidelines for risk assessment and individual risk thresholds in accordance with the Bank's defined risk appetite. The members of the management committees are appointed by the CEO, and their mandate and rules of procedure are documented in a charter, presented to the Board.

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The Executive Board is responsible for the operational risk framework and governs the Bank's Operational Risk Policy. The operational risk framework covers how operational risk is identified, assessed, measured, monitored, controlled and mitigated in the Bank. In addition, the Executive Board supervises reputational risk, business risk and strategic risk. The Executive Board approves concepts for new products and its approval is a prerequisite for product development according to the Bank's formal product approval process.

The Risk Committee is responsible for supervising and monitoring the Bank's credit risk and credit concentration risk. The Risk Committee governs the Bank's Credit Risk Policy and other credit rules and procedures. The Risk Committee can delegate authorisation power to subcommittees and decides on credit authorisation limits to individual employees.

The Risk Committee and each of its subcommittees have the authority to decide on credit proposals, credit risk and counterparty credit risk within defined limits. Decisions on exposures that exceed committee limits shall be referred to a more senior committee. In particular, if a credit decision exceeds the authorisation limits of the Risk Committee an extension of the limit needs to be approved by the Board.

The Risk Committee is also responsible for final approval of products and services according to a formal approval process.

The Asset and Liability Committee (ALCO) supervises other financial risks, including market risk, liquidity risk and interest rate risk in the banking book (non-trading portfolio). ALCO decides on and sets limits for these risks and governs the Bank's Market Risk Policy and Liquidity Risk Policy. ALCO also oversees the Bank's capital allocation framework and transfer pricing mechanism. The committee supervises the capital management framework and makes proposals to the Board regarding issues related to capital management.

The Investment Committee makes decisions pertaining to the purchase or sale of equity stakes in companies as well as other types of investments such as in investment funds and real estate.

Credit risk

61. Credit risk is defined as current or prospective risk to earnings and capital arising from an obligor's potential failure to meet the terms of any contract with the Bank or to otherwise fail to perform as agreed.

This risk comprises default risk, recovery risk, country risk, settlement risk and credit concentration risk.

Credit concentration risk is the significantly increased risk that is driven by common underlying factors, e.g. sector, economy, geographical location, type of financial instrument or due to connections or relations among counterparties. This includes large individual exposures to parties under common control and significant exposures to groups of counterparties whose likelihood of default is driven by common underlying factors.

Credit risk arises principally from the Bank's loans and advances to customers and other banks but also from balances with the Central Bank and off-balance sheet items such as guarantees, loan commitments and derivatives.

The Bank has policies and procedures dedicated to accepting, measuring, and managing credit risk. The objective of the Bank's credit risk management is to achieve an appropriate balance between risk and return and to minimise potential adverse effects of credit risk on the Bank's financial performance.

A thorough analysis of the counterparty's financial standing, analysis of past and estimated future cash flows as well as the borrower's general ability to repay its obligations forms the basis for all credit decisions. The Bank structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, groups of borrowers, countries and industry segments. The Bank measures and consolidates its credit risk for each counterparty or group of connected clients in accordance with internal and external criteria of connection between parties.

The Bank employs a range of policies and practices to mitigate credit risk. The most traditional of these is the taking of security in borrower's assets. The principal collateral types for loans are real properties, vehicles, equipment, vessels and securities. When applicable, other credit risk mitigants are employed.

62. Maximum credit exposure

The Bank's credit risk exposure comprises both on-balance sheet and off-balance sheet items. Maximum exposure to credit risk for on-balance sheet assets is the net carrying amount as reported in the statement of financial position before the collective impairment allowance is subtracted, see note 33. The maximum exposure for off-balance sheet items is the amount that the Bank might have to pay out against financial guarantees and loan commitments, less provisions the Bank has made because of these items. The maximum credit exposure for a derivative contract is calculated by adding future credit exposure to the market value of the contract as described in Annex III of the European Parliament directive 2006/48/EC (Basel II).

The industry breakdown shows the Bank's credit exposure by industry classification. The breakdown follows an internal industry classification which is based on the Icelandic ISAT2008 that derives from the European NACE Rev. 2 classification standard.

The Bank's credit exposure, before taking account of any collateral held or other credit enhancements, is as follows:

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Credit risk exposure

62. Cont'd

Maximum credit exposure 31.12.2014

	Individuals	Central governments	Commerce and services	Construction	Energy	Financial services	Industrial and transportation	Investment companies	Public sector and non-profit organisations	Real estate	Seafood	Total
Cash and balances with CB	-	103,389	-	-	-	-	-	-	-	-	-	103,389
Derivatives	28	-	423	17	805	2,644	28	16	121	49	-	4,131
Bonds and debt instruments	-	79,834	-	-	291	5,785	-	890	251	296	-	87,347
Loans to credit institutions	-	-	-	-	-	35,072	-	-	-	-	-	35,072
Loans to customers:	262,848	-	79,658	18,751	7,315	121	61,878	13,911	12,216	99,540	81,412	637,650
Overdrafts	12,751	-	10,075	3,432	34	60	4,762	549	1,343	2,164	2,058	37,228
Credit cards	15,583	-	1,334	156	4	23	355	29	132	43	31	17,690
Mortgages	186,583	-	-	-	-	-	-	-	-	-	-	186,583
Leases	10,241	-	15,559	2,581	-	1	5,960	213	196	1,249	231	36,231
Other loans	37,690	-	52,690	12,582	7,277	37	50,801	13,120	10,545	96,084	79,092	359,918
Off-balance sheet items:												
Financial guarantees	1,444	-	2,318	2,281	-	1,170	1,134	39	39	166	533	9,124
Undrawn loan commitments	-	-	996	8,248	5,816	-	2,639	1,400	7,247	4,234	443	31,023
Undrawn overdrafts	9,216	-	7,459	1,618	23	3,673	2,561	187	1,874	975	1,361	28,947
Credit card commitments	23,183	-	3,455	477	31	167	906	166	818	197	144	29,544
Total maximum credit exposure	296,719	183,223	94,309	31,392	14,281	48,632	69,146	16,609	22,566	105,457	83,893	966,227

The amounts are in ISK million

Notes to the Consolidated Financial Statements

62. Cont'd

Maximum credit exposure 31.12.2013

	Individuals	Central governments	Commerce and services	Construction	Energy	Financial services	Industrial and transportation	Investment companies	Public sector and non-profit organisations	Real estate	Seafood	Total
Cash and balances with CB	-	111,779	-	-	-	-	-	-	-	-	-	111,779
Derivatives	10	1,036	53	-	520	434	131	43	-	4	137	2,368
Bonds and debt instruments	-	67,268	-	-	58	6,326	-	967	116	451	-	75,186
Loans to credit institutions	-	-	-	-	-	44,078	-	-	-	-	-	44,078
Loans to customers:	255,044	-	81,522	18,640	3,614	34	46,433	10,306	6,894	66,647	69,289	558,423
Overdrafts	14,885	-	9,862	4,109	1	20	4,000	290	1,746	2,208	2,318	39,439
Credit cards	16,008	-	1,265	154	4	14	369	28	140	51	47	18,080
Mortgages	176,421	-	-	-	-	-	-	-	-	-	-	176,421
Leases	9,586	-	14,244	2,451	8	-	5,227	213	304	1,475	228	33,736
Other loans	38,144	-	56,151	11,926	3,601	-	36,837	9,775	4,704	62,913	66,696	290,747
Off-balance sheet items:												
Financial guarantees	1,299	-	2,559	2,343	-	1,500	1,298	24	11	48	492	9,574
Undrawn loan commitments	-	-	392	879	9,069	-	3,880	-	-	4,995	186	19,401
Undrawn overdrafts	9,646	-	5,634	1,013	202	1,102	2,125	195	1,704	726	1,324	23,671
Credit card commitments	22,594	-	3,267	408	12	91	800	124	887	160	144	28,487
Total maximum credit exposure	288,593	180,083	93,427	23,283	13,475	53,565	54,667	11,659	9,612	73,031	71,572	872,967

Notes to the Consolidated Financial Statements

63. Credit exposure covered by collateral

Collateral and other credit mitigants vary between types of obligors and credit facilities. Loans to credit institutions are usually unsecured. For loans to individuals the principal collateral taken is residential property against mortgages. In the case of corporate entities the Bank takes a charge over assets such as real estate, fishing vessels, cash and securities and as well as other collateral including accounts receivables, inventory, vehicles and equipment. Loans to government entities and to municipalities are more often than not unsecured. Derivative exposures are generally made under ISDA master agreements with Credit Support Annex or corresponding terms with pledged collateral in the form of cash and government bonds.

In some cases the Bank uses guarantees as a credit enhancement but since guarantees effectively transfer credit risk from one counterparty to another they do not represent a reduction in maximum exposure to credit risk. Covenants in loan agreements are also an important credit enhancement but do not reduce maximum credit exposure.

Valuation of collateral is based on market price, official valuation for tax purposes or the expert opinion of the Bank's employees, depending on availability. In the case of fishing vessels the associated fishing quota is included in the valuation. Collateral is allocated according to claim value of loans, not carrying amount, and is measured without including the effect of overcollateralisation. This means that if some loans have collateral values in excess of their claim value, then the excess is removed in order to reflect the Bank's actual maximum exposure to credit risk. The total value of pledged assets can thus be higher than the cover indicates.

An estimate of the collateral held by the Bank against credit exposure is shown below:

					Credit exposure	
At 31 December 2014	Real estate	Fishing vessels	Cash & securities	Vehicles & equipment	Other collateral	covered by collateral
Derivatives	-	-	2,500	-	-	2,500
Loans and commitments to customers:	391,139	74,032	5,991	33,473	24,174	528,809
Individuals	213,550	41	469	9,901	12	223,973
Commerce and services	40,484	290	472	14,525	8,838	64,609
Construction	13,217	269	59	2,473	1,592	17,610
Energy	1,260	-	411	1	152	1,824
Financial services	39	-	32	1	-	72
Industrial and transportation	16,487	-	148	5,760	7,914	30,309
Investment companies	4,973	-	3,434	248	2,642	11,297
Public sector and non-profit organisations	1,510	-	11	179	-	1,700
Real estate	94,859	-	650	143	564	96,216
Seafood	4,760	73,432	305	242	2,460	81,199
Total	391,139	74,032	8,491	33,473	24,174	531,309

					Credit exposure	
At 31 December 2013	Real estate	Fishing vessels	Cash & securities	Vehicles & equipment	Other collateral	covered by collateral
Derivatives	-	-	1,820	-	-	1,820
Loans and commitments to customers:	321,247	59,488	6,895	31,053	14,603	433,286
Individuals	202,593	26	1,410	8,791	5	212,825
Commerce and services	30,764	217	1,098	12,998	5,193	50,270
Construction	8,912	143	84	3,961	1,418	14,518
Energy	3,242	-	87	-	122	3,451
Financial services	4	-	-	-	-	4
Industrial and transportation	18,161	-	98	4,682	5,029	27,970
Investment companies	4,108	-	2,783	44	55	6,990
Public sector and non-profit organisations	1,438	3	3	223	-	1,667
Real estate	47,377	25	445	155	21	48,023
Seafood	4,648	59,074	887	199	2,760	67,568
Total	321,247	59,488	8,715	31,053	14,603	435,106

Notes to the Consolidated Financial Statements

64. Credit quality of financial assets

Loans are classified as impaired loans if there is objective evidence that an impairment loss has been incurred on loans, their carrying amount is reduced through the use of an allowance account to the present value of expected future cash flows, discounted at their original effective interest rate.

The full carrying amount of all loans which give rise to individual impairment is included in impaired loans, even if parts are covered by collateral. The collective impairment has not been subtracted from the carrying amount here.

	Neither past due nor impaired	Past due but not impaired	Classified as impaired	Total carrying amount
At 31 December 2014				
Cash and balances with Central Bank	103,389	-	-	103,389
Derivatives	4,131	-	-	4,131
Bonds and debt instruments	87,347	-	-	87,347
Loans to credit institutions	35,072	-	-	35,072
Loans to customers:	595,903	27,619	14,128	637,650
Individuals	237,253	18,752	6,843	262,848
Commerce and services	75,572	2,253	1,833	79,658
Construction	17,319	914	518	18,751
Energy	7,315	-	-	7,315
Financial services	84	37	-	121
Industrial and transportation	60,295	881	702	61,878
Investment companies	12,500	766	645	13,911
Public sector and non-profit organisations	12,165	51	-	12,216
Real estate	96,905	1,969	666	99,540
Seafood	76,495	1,996	2,921	81,412
Total	825,842	27,619	14,128	867,589

	Neither past due nor impaired	Past due but not impaired	Classified as impaired	Total carrying amount
At 31 December 2013				
Cash and balances with Central Bank	111,779	-	-	111,779
Derivatives	2,368	-	-	2,368
Bonds and debt instruments	75,186	-	-	75,186
Loans to credit institutions	44,078	-	-	44,078
Loans to customers:	496,705	34,618	27,100	558,423
Individuals	222,791	23,944	8,309	255,044
Commerce and services	71,177	3,759	6,586	81,522
Construction	16,780	1,005	855	18,640
Energy	3,614	-	-	3,614
Financial services	34	-	-	34
Industrial and transportation	43,175	1,318	1,940	46,433
Investment companies	9,293	506	507	10,306
Public sector and non-profit organisations	6,818	52	24	6,894
Real estate	58,694	2,356	5,597	66,647
Seafood	64,329	1,678	3,282	69,289
Total	730,116	34,618	27,100	791,834

Notes to the Consolidated Financial Statements

65. Neither past due nor impaired loans

The Bank uses internal rating models to assess the default probability of corporate and retail customers. The models assign each customer to one of ten risk classes. One risk class is for customers in default (risk class 10), and nine risk classes are for performing customers (risk classes 1-9). Risk classes are assigned on customer level and not facility level.

The rating of corporate customers is based on a company's most recent financial statement, together with a qualitative assessment of its management, market position and industry sector.

For retail customers the Bank uses two different statistical rating models. One model is for individuals and another is for small companies with a total exposure to the Bank of less than ISK 150 million. These models are behavioural scoring models and use information about a customer's payment history, amount of debt and deposits, and demographic variables to assess the probability that a customer will default on any of his obligations within 12 months of the rating assessment.

The table below shows loans that are neither past due nor impaired aggregated in five customer groups based on the default probability. Group 1-4 represents low risk, group 5-6 moderate risk, group 7-8 increased risk, risk class 9 high risk, and risk class 10 represents customers in default. Unrated are loans originating from subsidiaries of Íslandsbanki that do not have rating models, in addition to loans that are yet to be rated or with an expired rating.

Note that the same customer can have loans that are more than 90 days past due or impaired, and at the same time other loans that are neither past due nor impaired. Those customers will be in risk class 10 and their loans that are neither past due nor impaired are included in the table below.

	Risk class 1-4	Risk class 5-6	Risk class 7-8	Risk class 9	Risk class 10	Unrated	Total
At 31 December 2014							
Loans to customers							
Individuals	10,432	91,744	84,838	43,101	3,659	3,479	237,253
Commerce and services	15,240	35,903	18,182	3,891	1,873	483	75,572
Construction	381	6,698	7,032	846	2,321	41	17,319
Energy	3,877	3,396	42	-	-	-	7,315
Financial services	50	13	19	1	-	1	84
Industrial and transportation	21,850	30,334	6,822	1,128	161	-	60,295
Investment companies	1,143	7,013	2,604	1,450	25	265	12,500
Public sector and non-profit organisations	7,094	4,815	248	6	-	2	12,165
Real estate	31,145	46,626	14,369	2,686	2,012	67	96,905
Seafood	39,777	28,171	6,176	746	1,625	-	76,495
Total	130,989	254,713	140,332	53,855	11,676	4,338	595,903

	Risk class 1-4	Risk class 5-6	Risk class 7-8	Risk class 9	Risk class 10	Unrated	Total
At 31 December 2013							
Loans to customers							
Individuals	8,388	77,267	82,203	44,295	7,609	3,029	222,791
Commerce and services	14,544	20,982	27,505	2,751	2,768	2,627	71,177
Construction	-	4,279	10,864	606	601	430	16,780
Energy	2,150	1,445	19	-	-	0	3,614
Financial services	6	1	19	5	-	3	34
Industrial and transportation	13,909	16,431	8,796	3,278	410	351	43,175
Investment companies	837	3,220	3,654	924	142	516	9,293
Public sector and non-profit organisations	1,756	3,060	1,804	93	3	102	6,818
Real estate	127	35,019	11,140	1,470	8,093	2,845	58,694
Seafood	21,363	29,347	11,719	300	1,339	261	64,329
Total	63,080	191,051	157,723	53,722	20,965	10,164	496,705

Notes to the Consolidated Financial Statements

66. Past due but not impaired loans

Past due but not impaired loans are loans where contractual interest or principal payments have passed the due date without the obligor making full payment, but where specific impairment is not appropriate. The reason is usually that contractual payments are eventually expected to be fulfilled or these loans are expected to be restructured without any loss to the Bank. In some cases, loss is avoided because of the difference between the claim value and the carrying amount resulting from the deep discount of the acquired loan portfolio. In other cases, there is sufficient collateral.

Amounts reported as loans past due refer to the total loan exposure and not only the payment or sum of payments that are past due. Payments three days in arrears or less are not considered to be past due and the corresponding loans are therefore omitted here. Past due but not impaired loans are as follows:

	Past due 4-30 days	Past due 31-60 days	Past due 61-90 days	Past due more than 90 days	Total past due loans
At 31 December 2014					
Loans to customers:					
Individuals	8,331	3,458	680	6,283	18,752
Commerce and services	1,144	516	256	337	2,253
Construction	429	116	76	293	914
Energy	-	-	-	-	-
Financial services	37	-	-	-	37
Industrial and transportation	390	156	104	231	881
Investment companies	145	363	47	211	766
Public sector and non-profit organisations	38	6	7	-	51
Real estate	914	602	179	274	1,969
Seafood	1,203	162	37	594	1,996
Total	12,631	5,379	1,386	8,223	27,619

	Past due 4-30 days	Past due 31-60 days	Past due 61-90 days	Past due more than 90 days	Total past due loans
At 31 December 2013					
Loans to customers:					
Individuals	8,615	4,181	786	10,362	23,944
Commerce and services	1,349	1,000	335	1,075	3,759
Construction	330	279	24	372	1,005
Energy	-	-	-	-	-
Financial services	-	-	-	-	-
Industrial and transportation	375	203	45	695	1,318
Investment companies	181	35	137	153	506
Public sector and non-profit organisations	38	6	1	7	52
Real estate	1,040	460	109	747	2,356
Seafood	790	107	78	703	1,678
Total	12,718	6,271	1,515	14,114	34,618

Notes to the Consolidated Financial Statements

67. Restructuring and forbearance

Restructuring of customers' debt has been one of the Bank's main tasks since October 2008. This has been a challenge as a large part of customers needed forbearance measures. Legal issues, the political environment and the general economy have contributed in ways of uncertainty and complications. The Bank set in place processes and resources to perform this task and the Bank's management team has been kept well informed on the status of the restructuring on a regular basis.

The Bank has offered several debt relief measures and restructuring frameworks for its customers since its establishment. These restructuring frameworks include principal adjustment and recalculation of currency linked loans, debt adjustment for companies and individuals, 110% adjustment of mortgages, the Government's debt relief scheme, write-offs and tailor made solutions in complicated cases where general solutions do not suffice.

Other forbearance measures which the Bank has made available to its customers include temporary payment holidays, extension of loan terms, capitalisation of arrears and waiving of covenants. In many cases these measures are precursors to the more formal restructuring process.

68. Assets obtained by taking possession of collateral

Details of non-financial assets obtained by the Bank during the year by taking possession of collateral held as security against loans.

	2014	2013
Property and land.....	5,307	7,941
Industrial equipment and vehicles.....	47	120
Vehicle.....	210	305

The Bank pursues realisation of the collateral in an orderly manner. The Bank does not generally use the non-cash collateral for its own operations. The Bank's employees are not permitted to purchase foreclosed assets.

69. Large exposure disclosure

When the Bank's total exposure to a group of connected clients is 10% or higher of the Bank's capital base it is considered a large exposure. Both on-balance sheet and off-balance sheet items from all types of financial instruments are included in the exposure as defined by FME rules 625/2013. The Bank has internal criteria that define connections between clients. These criteria reflect the Bank's interpretation of Article (1)(a) of law 161/2002 on Financial Undertakings, where groups of connected clients are defined.

The exposure is evaluated both gross and net of credit risk mitigating effects eligible according to the FME rules. Net of mitigating effects, the Bank has currently one large exposure which is 12% of its capital base. No large exposure is above the maximum 25% single large exposure limit set by the law.

The following tables show the Bank's large exposures as a percentage of the Bank's capital base, gross and net of eligible credit risk mitigating effects. Note that group references might change between reporting periods, i.e. Group 1 might not be the same group in the two tables.

	31.12.2014	
Client groups	Gross	Net
Group 1	69%	0%
Group 2	12%	12%
	31.12.2013	
Client groups	Gross	Net
Group 1	78%	0%

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Liquidity risk

70. The Bank defines liquidity risk as the risk of not being able to fund its financial obligations or planned growth, or only being able to do so substantially above the prevailing market cost of funds.

Liquidity risk management

The Bank's main source of funding is customer deposits. The Bank's Treasury is responsible for the Bank's funding and liquidity management within the limits approved by the Board and the Asset and Liability Committee. The Interbank desk manages the Bank's intraday liquidity.

Risk management is responsible for measuring, monitoring and reporting on the Bank's liquidity position.

The Bank's liquidity risk policy assumes that the Bank has at all times sufficient liquidity to meet liabilities and other obligations over the next twelve months.

The tables below show the contractual payments of principal and interest for the Bank's financial liabilities. Thus, the total figures for each liability class are higher than the respective balance sheet amount. Cash flows for payments of unknown nature, such as for floating rate, CPI-linked or foreign currency denominated instruments, are based on internal yield curves and forecasts.

For dated financial liabilities the amounts are grouped into maturity buckets according to contractual maturities of principal and estimated contractual payments of interest. For demand deposits or other non-dated liabilities, the figures are grouped according to the first possible required payment date.

In the table below the total amount for loans to customers is shown before collective impairment allowance and is therefore higher than the total amount shown in the financial statement. The tables showing the cash flow of assets only include principal payments whereas for the financial liabilities the cash flow includes both principal and interest.

Maturity analysis 31 December 2014

	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total	Carrying amount
Financial liabilities								
Short positions	686	-	-	-	-	-	686	686
Deposits from Central Bank	69	-	-	-	-	-	69	69
Deposits from credit institutions	22,262	3,054	434	-	-	-	25,750	25,727
Deposits from customers	341,454	80,037	72,685	20,602	28,342	-	543,120	529,447
Debt issued and other borrow. funds ...	2	4,255	18,940	71,141	14,365	-	108,703	96,889
Subordinated loans	-	-	837	27,292	-	-	28,129	21,306
Other financial liabilities	32,715	5,108	7,868	(296)	-	-	45,395	45,395
Total	397,188	92,454	100,764	118,739	42,707	-	751,852	719,519

Off-balance sheet liabilities show the amount of contractual obligations that the Bank has taken towards customers, either by committing to lend out money in the future or as third party guarantees. The amounts shown reflect the maximum amount, not taking into account the Bank's ability to reduce overdraft or credit card limits before the current undrawn amount is fully utilised by the customer. These obligations all fall into the first time bucket since contractually, on a case by case basis, the Bank could be required to fulfil these obligations instantaneously.

	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total
Off-balance sheet liabilities							
Financial guarantees	9,124	-	-	-	-	-	9,124
Undrawn loan commitments	31,023	-	-	-	-	-	31,023
Undrawn overdrafts	28,947	-	-	-	-	-	28,947
Credit card commitments	29,544	-	-	-	-	-	29,544
Total	98,638	-	-	-	-	-	98,638

Total non-derivative financial liabilities and off-balance sheet liabilities	495,826	92,454	100,764	118,739	42,707	-	850,490
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Notes to the Consolidated Financial Statements

70. Cont'd

The table below shows the contractual cash flow of the Bank's derivative liabilities, i.e. derivatives that have a negative carrying amount at the date of reporting. Derivatives with a positive carrying amount are detailed separately. For derivatives settled on a gross basis, the cash flow for both legs of the derivative is shown, since netting cannot be applied upon settlement.

Derivative financial liabilities	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total
Gross settled derivatives							
Inflow	-	2,371	7,758	56,798	-	-	66,927
Outflow	-	(2,292)	(8,165)	(60,437)	-	-	(70,894)
Total	-	79	(407)	(3,639)	-	-	(3,967)
Net settled derivatives	-	(133)	-	-	-	-	(133)
Total	-	(54)	(407)	(3,639)	-	-	(4,100)

Maturity classification of assets is based on contractual maturity. For loans that were acquired at a deep discount and have not yet been restructured, the contractual amount is scaled to reflect the carrying amount of the claim. For bonds and debt instruments in the banking book the maturity classification is based on contractual maturity dates while for bonds and debt instruments held for trading the maturity classification is based on the estimated liquidation time of the asset.

Financial assets	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total	Carrying amount
Cash and balances with CB	22,546	80,843	-	-	-	-	103,389	103,389
Bonds and debt instruments	1,076	20,645	25,298	35,209	5,119	-	87,347	87,347
Shares and equity instruments	-	-	-	-	-	10,531	10,531	10,531
Loans to credit institutions	23,185	11,837	50	-	-	-	35,072	35,072
Loans to customers	5,481	73,629	55,235	176,402	326,903	-	637,650	634,799
Other financial assets	1,703	825	1,865	54	27	3,144	7,619	7,619
Total financial assets	53,991	187,779	82,448	211,665	332,049	13,675	881,607	878,757

Derivative financial assets

Gross settled derivatives

Inflow	-	6,387	11,738	35,515	1,710	-	55,350
Outflow	-	(5,885)	(11,063)	(34,724)	(1,975)	-	(53,647)
Total	-	502	675	791	(265)	-	1,703
Net settled derivatives	-	242	-	-	-	-	242
Total	-	744	675	791	(265)	-	1,945

The tables below show the comparative amounts for financial assets and liabilities at the end of 2013.

Maturity analysis 31 December 2013

Financial liabilities	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total	Carrying amount
Short positions	9,462	-	-	-	-	-	9,462	9,462
Deposits from Central Bank	63	-	-	-	-	-	63	63
Deposits from credit institutions	26,804	2,457	413	-	-	-	29,674	29,626
Deposits from customers	346,352	47,265	52,685	29,918	29,429	-	505,649	489,331
Debt issued and other borrowed funds	2	6,765	15,988	52,993	28,397	-	104,145	89,193
Subordinated loans	-	-	749	6,869	24,919	-	32,537	21,890
Other financial liabilities	33,576	4,874	9,196	-	74	-	47,720	47,720
Total financial liabilities	416,259	61,361	79,031	89,780	82,819	-	729,250	687,285

Notes to the Consolidated Financial Statements

70. Cont'd

	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total
Off-balance sheet liabilities							
Financial guarantees	9,574	-	-	-	-	-	9,574
Undrawn loan commitments	19,401	-	-	-	-	-	19,401
Undrawn overdraft	23,671	-	-	-	-	-	23,671
Credit card commitments	28,487	-	-	-	-	-	28,487
Total	81,133	-	-	-	-	-	81,133

Total non-derivative financial liabilities and off-balance sheet liabilities	497,392	61,361	79,031	89,780	82,819	0	810,383
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	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total
Derivative financial liabilities							
Gross settled derivatives							
Inflow	-	3,865	8,742	65,955	-	-	78,562
Outflow	-	(3,906)	(8,321)	(71,328)	-	-	(83,555)
Total	-	(41)	421	(5,373)	-	-	(4,993)
Net settled derivatives	-	(195)	-	-	-	-	(195)
Total	-	(236)	421	(5,373)	-	-	(5,188)

	On demand	Up to 3 months	3-12 months	1-5 years	Over 5 years	No maturity	Total	Carrying amount
Financial assets								
Cash and balances with CB	12,695	99,084	-	-	-	-	111,779	111,779
Bonds and debt instruments	5,503	35,250	67	26	31,805	2,535	75,186	75,186
Shares and equity instruments	46	-	9	344	-	8,986	9,385	9,208
Loans to credit institutions	29,420	14,497	161	-	-	-	44,078	44,078
Loans to customers	932	75,481	42,852	150,591	289,067	-	558,923	554,741
Other financial assets	7,102	1,541	102	1,658	-	3,169	13,572	11,159
Total financial assets	55,698	225,853	43,191	152,619	320,872	14,690	812,923	806,151

Derivative financial assets

Gross settled derivatives							
Inflow	-	4,793	3,732	10,508	2,523	-	21,556
Outflow	-	(4,605)	(3,584)	(10,265)	(2,813)	-	(21,267)
Total	-	188	148	243	(290)	-	289
Net settled derivatives	-	58	-	-	-	-	58
Total	-	246	148	243	(290)	-	347

As a part of managing liquidity risk, the Bank holds a portfolio of liquid assets to meet unexpected outflow of funds or a temporary shortage in access to new funding. These assets are subject to strict criteria with respect to credit quality, liquidation time and price volatility. The table below shows the composition and amount of the Bank's liquidity back-up at the end of 2014 and end of 2013.

Composition and amount of liquidity back-up	31.12.2014	31.12.2013
Cash and balances with Central Bank	103,455	111,779
Domestic bonds eligible as collateral against borrowing at the Central Bank	29,478	20,873
Foreign government bonds	46,593	34,618
Short-term placements with credit institutions	34,006	41,192
Composition and amount of liquidity back-up	213,532	208,462

Notes to the Consolidated Financial Statements

Market risk

71. The Bank defines market risk as the current or prospective risk to earnings and capital arising from adverse movements in the level or volatility of prices of market instruments, such as those that arise from changes in interest rates, equity prices, commodity prices and foreign exchange rates.

Market risk management

The Bank's market risk appetite is determined by the Board of Directors. The Asset and Liability Committee (ALCO) decides on limits for portfolios and products in accordance with the market risk policy approved by the Board. Risk management is responsible for monitoring and reporting on the Bank's overall market risk positions and compliance to limits. The objective of market risk management is to manage and control market risk exposures within acceptable parameters.

The Bank separates exposures to market risk into trading book and banking book (non-trading portfolios). The Bank's primary sources of market risk in the trading portfolio are shares, debt instruments and foreign currency positions. All financial assets and liabilities in the trading portfolio are recognised at fair value and all resulting changes are immediately reflected in the income statement. Market risk in the banking book is mainly due to mismatches in interest rate terms and denomination currency of assets and liabilities. These mismatches are reported to management and are subject to regulatory and internal limits.

Interest rate risk

72. Interest rate risk is defined as the current or prospective risk to earnings or capital arising from adverse movements in interest rates.

The Bank uses sensitivity measures like Basis Point Value (BPV) to measure and manage risk arising from its fixed income exposures. The BPV measures the effect of a 0.01% (0.01 percentage point) upward parallel shift in the yield curve on the fair value of these exposures.

73. Interest rate risk in the trading portfolios

The fixed income trading unit invests mainly in government bonds and bonds issued by the Housing Financing Fund (HFF), which are guaranteed by the Icelandic government. These positions can include short positions. Government bonds are either indexed to the Icelandic Consumer Price Index (CPI) or non-indexed, with duration up to 10 years. HFF bonds are CPI-linked and have duration up to 13 years. All bond trading positions are subject to BPV limits, both intraday and end-of-day. In addition to BPV limits, short and long positions in each instrument are subject to separate limits. Risk Management monitors these limits and reports all breaches to ALCO.

Note that in the table below the total market value of long and short positions may not be exactly the same as reported in Note 8. The reason for this difference is that Note 8 sums up the net positions in each security while the table below ignores netting of long and short positions in specific securities between different portfolios.

Trading bonds and debt instruments, long positions	31.12.2014			31.12.2013		
	MV	Duration	BPV	MV	Duration	BPV
Indexed	1,772	8.03	(1.42)	3,282	7.41	(2.43)
Non-Indexed	48,260	0.41	(1.96)	35,848	0.32	(1.13)
Total	50,032	0.68	(3.38)	39,130	0.91	(3.56)

Trading bonds and debt instruments, short positions	31.12.2014			31.12.2013		
	MV	Duration	BPV	MV	Duration	BPV
Indexed	-	-	-	291	6.39	0.19
Non-Indexed	73	7.39	0.05	2,878	2.23	0.64
Total	73	7.39	0.05	3,169	2.61	0.83

Net position of trading bonds and debt instruments	49,959	0.67	(3.33)	35,961	0.76	(2.73)
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Notes to the Consolidated Financial Statements

73. Cont'd

The Bank holds a significant amount of foreign Aa1 and Aaa credit-rated government bills in its liquidity portfolio but the Bank's policy is to only invest in bills with a credit rating of Aa3 or higher according to Moody's long-term issuer rating. These bills are held for cash management purposes and can be liquidated with a short notice. Duration ranges up to seven months and the sensitivity measured in BPV was ISK -1.3 million at the end of 2014 (2013: ISK -0.8 million).

Foreign government bills		31.12.2014		31.12.2013	
Country		Market value	BPV	Market value	BPV
Canada		1,094	(0.02)	-	-
Denmark		1,036	(0.02)	1,063	(0.02)
France		6,944	(0.30)	1,585	(0.01)
Germany		15,434	(0.41)	4,755	(0.09)
Netherlands		6,944	(0.18)	2,377	(0.02)
Norway		1,708	(0.04)	3,760	(0.13)
Sweden		4,109	(0.14)	5,375	(0.13)
UK		-	-	1,902	(0.02)
USA		9,323	(0.24)	14,433	(0.44)
Total		46,592	(1.35)	35,250	(0.86)

74. Sensitivity analysis for interest rate risk in the trading portfolios

For the sensitivity analysis in the trading portfolio the Bank applies a 100 bps shift in ISK, non-indexed and indexed interest rates. Shifts in rates in other currencies are scaled down in accordance with lower volatility. The following table demonstrates the sensitivity of the Bank's equity and income statement to a reasonable change in interest rates, all other risk factors held constant.

Sensitivity analysis for trading bonds and debt instruments		31.12.2014		31.12.2013	
Currency (ISK million)	Parallel shift in yield curve (basis points)	Profit or (loss)			
		Downward shift	Upward shift	Downward shift	Upward shift
ISK, indexed	100	142	(142)	243	(243)
ISK, non-indexed	100	59	(59)	28	(28)
CHF	40	-	-	-	-
EUR	20	18	(18)	2	(2)
GBP	40	-	-	1	(1)
JPY	20	-	-	-	-
USD	40	10	(10)	18	(18)
Other total	40	-	-	-	-
Total		229	(229)	292	(292)

Notes to the Consolidated Financial Statements

75. Interest rate risk in the non-trading portfolio

Interest rate risk in the non-trading portfolio ("banking book") arises from the Bank's core banking activities. The main source of this type of interest rate risk is the risk of loss from fluctuations in future cash flows or fair value of financial instruments as interest rates change over time, reflecting the fact that the Bank's assets and liabilities are of different maturities and are priced relative to different interest rates.

The Bank holds a government bond designated at fair value amounting to ISK 30.6 billion (2013: ISK 30.8 billion). The bond pays floating rates and carries relatively low interest rate risk.

The Bank uses traditional measures for assessing the sensitivity of the Bank's financial assets, financial liabilities and earnings to changes in the underlying interest rates.

In the table below the total amount for loans to customers is shown before collective impairment allowance is subtracted and is therefore not the same as the total amount shown in the financial statement. Loans with specific impairment have been placed in the category 0-3 months since such loans bear no interest rate risk until possibly after debt restructuring. Note that collective impairment has been added to the total amount for loans to customers at 31 December 2013 as well.

Non-trading portfolio interest rate adjustment periods 31 December 2014

Assets	0-3 months	3-12 months	1-2 years	2-5 years	5-10 years	Over 10 years	Total
Balances with Central Bank	103,389	-	-	-	-	-	103,389
Bonds and debt instruments	31,119	-	67	1,230	291	367	33,074
Loans to credit institutions	35,072	-	-	-	-	-	35,072
Loans to customers	451,191	47,768	29,963	97,052	1,868	9,809	637,650
Total assets	620,771	47,768	30,030	98,282	2,159	10,176	809,185
Off-balance sheet items	68,186	7,508	21,649	112	-	-	97,455
Liabilities							
Short positions	-	-	-	-	-	-	-
Deposits from Central Bank	69	-	-	-	-	-	69
Deposits from credit institutions	25,306	421	-	-	-	-	25,727
Deposits from customers	514,898	3,643	1,030	2,383	7,493	-	529,447
Debt issued and other borrowed funds	17,723	9,403	22,760	34,421	12,582	-	96,889
Subordinated loans	21,306	-	-	-	-	-	21,306
Total liabilities	579,302	13,467	23,790	36,804	20,075	-	673,438
Off-balance sheet items	77,732	3,272	7,701	17,850	-	-	106,555
Net interest gap on 31 December 2014	31,923	38,537	20,188	43,740	(17,916)	10,176	126,647

Notes to the Consolidated Financial Statements

75. Cont'd

Non-trading portfolio interest rate adjustment periods 31 December 2013

Assets	0-3 months	3-12 months	1-2 years	2-5 years	5-10 years	Over 10 years	Total
Balances with Central Bank	111,779	-	-	-	-	-	111,779
Bonds and debt instruments	31,302	632	20	1,275	154	493	33,876
Loans to credit institutions	43,917	161	-	-	-	-	44,078
Loans to customers	401,397	46,565	57,552	38,803	1,586	12,516	558,419
Total assets	588,395	47,358	57,572	40,078	1,740	13,009	748,152
Off-balance sheet items	19,191	30,980	1,001	4,733	-	-	55,905
Liabilities							
Short positions	2,439	399	-	832	-	-	3,670
Deposits from Central Bank	63	-	-	-	-	-	63
Deposits from credit institutions	29,225	401	-	-	-	-	29,626
Deposits from customers	476,312	2,944	-	2,885	7,190	-	489,331
Debt issued and other borrowed funds	20,518	4,369	2,450	45,263	7,208	9,386	89,194
Subordinated loans	21,890	-	-	-	-	-	21,890
Total liabilities	550,447	8,113	2,450	48,980	14,398	9,386	633,774
Off-balance sheet items	20,046	23,638	5,338	8,195	-	-	57,217
Net interest gap on 31 December 2013	37,093	46,587	50,785	(12,364)	(12,658)	3,623	113,066

76. Sensitivity analysis for interest rate risk in the non-trading portfolios

For the sensitivity analysis in the banking book a 100 bps shift is applied for non-indexed ISK interest rates. Shifts in other currencies are chosen using the same scaling factors as in the trading portfolio. CPI-linked ISK rate shifts are also scaled down to reflect significantly stronger mean reversion than for non-indexed rates. The table shows how applied shifts would affect the fair value of the Bank's banking book.

Sensitivity analysis for non-trading bonds and debt instruments		31.12.2014	31.12.2013			
		Profit or (loss)				
Currency (ISK million)	Parallel shift in yield curve (basis points)	Downward shift	Upward shift	Downward shift	Upward shift	
ISK, indexed	40	891	(891)	113	(113)	
ISK, non-indexed	100	(82)	82	206	(206)	
CHF	40	(5)	5	(2)	2	
EUR	20	(7)	7	(6)	6	
GBP	40	1	(1)	1	(1)	
JPY	20	0	(0)	1	(1)	
USD	40	5	(5)	14	(14)	
Other	40	4	(4)	(4)	4	
Total		807	(807)	323	(323)	

Notes to the Consolidated Financial Statements

Currency risk

77. Currency risk is the risk that earnings or capital may be negatively affected from the fluctuations of foreign exchange rates, due to transactions in foreign currencies or due to a mismatch in the currency composition of assets or liabilities.

The analysis of the Bank's foreign currency exposure presented below is based on the contractual currency of the underlying balance sheet items. Additionally, there are off-balance sheet items that carry currency risk and are included in the total currency imbalance. The off-balance sheet amounts below represent the notional amounts of derivatives and unsettled spot agreements. The tables below summarise the Bank's exposure to currency risk at 31 December 2014 and 31 December 2013, based on contractual currencies, off-balance sheet items, but excluding assets categorised as held for sale.

Currency analysis 31 December 2014

Assets	EUR	USD	GBP	CHF	JPY	Other	Total
Cash and balances with Central Bank	263	168	95	30	9	202	767
Bonds and debt instruments	29,322	9,323	-	-	-	7,948	46,593
Shares and equity instruments	203	257	-	1	-	-	461
Loans to credit institutions	9,092	12,091	2,137	3,911	1,238	5,131	33,600
Loans to customers	62,131	25,654	6,124	7,869	7,206	10,990	119,974
Other assets	318	1,672	132	1	37	111	2,271
Total assets	101,329	49,165	8,488	11,812	8,490	24,382	203,666

Liabilities

Deposits from credit institutions	140	16	13	-	13	1	183
Deposits from customers	39,200	26,309	5,385	2,364	1,586	10,962	85,806
Debt issued and other borrowed funds	15,572	-	-	-	-	13,212	28,784
Subordinated loans	21,306	-	-	-	-	-	21,306
Other liabilities	3,704	5,792	763	-	117	510	10,886
Total liabilities	79,922	32,117	6,161	2,364	1,716	24,685	146,965

On-balance sheet imbalance	21,407	17,048	2,327	9,448	6,774	(303)	56,701
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Off-balance sheet items

Off-balance sheet assets	19,202	21,345	662	-	-	12,677	53,886
Off-balance sheet liabilities	29,552	34,234	79	8,979	6,468	4,694	84,006
Net off-balance sheet items	(10,350)	(12,889)	583	(8,979)	(6,468)	7,983	(30,120)

Net currency imbalance on 31 December 2014	11,057	4,159	2,910	469	306	7,680	26,581
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Notes to the Consolidated Financial Statements

77. Cont'd

Currency analysis 31 December 2013

Assets	EUR	USD	GBP	CHF	JPY	Other	Total
Cash and balances with Central Bank	326	194	108	29	10	252	919
Bonds and debt instruments	8,757	14,779	1,902	-	-	10,206	35,644
Shares and equity instruments	377	261	11	1	-	-	650
Loans to credit institutions	5,494	18,566	817	2,967	267	13,869	41,980
Loans to customers	56,060	10,813	4,661	6,486	6,834	4,665	89,519
Other assets	4,261	1,801	152	-	33	66	6,313
Total assets	75,275	46,414	7,651	9,483	7,144	29,058	175,025

Liabilities

Deposits from credit institutions	189	504	-	-	13	-	706
Deposits from customers	38,627	28,978	5,153	1,419	876	9,483	84,536
Debt issued and other borrowed funds	-	-	-	-	-	8,937	8,937
Subordinated loans	21,890	-	-	-	-	-	21,890
Other liabilities	1,911	5,839	875	2	33	156	8,816
Total liabilities	62,617	35,321	6,028	1,421	922	18,576	124,885

On-balance sheet imbalance	12,658	11,093	1,623	8,062	6,222	10,482	50,140
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Off-balance sheet items

Off-balance sheet assets	12,838	17,024	533	-	519	613	31,527
Off-balance sheet liabilities	17,022	24,558	437	7,582	4,651	3,689	57,939
Net off-balance sheet items	(4,184)	(7,534)	96	(7,582)	(4,132)	(3,076)	(26,412)

Net currency imbalance on 31 December 2013	8,474	3,559	1,719	480	2,090	7,406	23,728
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Notes to the Consolidated Financial Statements

78. Sensitivity analysis for currency risk

The table below shows how the currency imbalance is affected by either depreciation or appreciation of each currency assuming other risk factors being held constant. The shift number is the 99% percentile of a 10-day return distribution for each currency for the previous 365 days. The adverse movement of each currency is applied for the impact of the shift and demonstrates how the Bank's equity and income statement would be affected by the shifts.

Sensitivity analysis for currency risk 31 December 2014

Currency (shift)	Shift effect
EUR (1%)	(111)
USD (2%)	(83)
CHF (2%)	(9)
GBP (2%)	(58)
JPY (4%)	(12)
Other (3%)	(211)
Total	(484)

Sensitivity analysis for currency risk 31 December 2013

Currency (shift)	Shift effect
EUR (6%)	(508)
USD (5%)	(178)
CHF (5%)	(24)
GBP (5%)	(86)
JPY (9%)	(188)
Other (6%)	(444)
Total	(1,428)

Shares and equity instruments

79. The Bank's equity exposure in the trading book arises from flow trading, mainly in shares denominated in ISK. Limits on both aggregated market value and maximum exposure in single securities are aimed at reducing the equity risk and concentration risk in the Bank's portfolio. Shares and equity instruments in the banking book are designated at fair value through profit or loss or are classified as held for sale.

80. Sensitivity analysis for shares and equity instruments

The following table demonstrates how reasonable shifts in the prices of trading and banking book equities would affect the Bank's equity and net financial income. Shifts applied for the trading and banking book are 20% and 40% respectively.

Sensitivity analysis for equities		31.12.2014		31.12.2013	
		Profit or (loss)			
Portfolio (ISK million)	Change in equity prices	Downward shift	Upward shift	Downward shift	Upward shift
Trading	20%	(349)	349	(233)	233
Non-trading	40%	(2,366)	2,366	(2,792)	2,792
Total		(2,715)	2,715	(3,025)	3,025

Derivatives

81. The Bank uses derivatives to hedge currency exposure, interest rate risk in the banking book as well as inflation risk. The Bank carries relatively low indirect exposure due to margin trading with clients and the Bank holds collaterals for possible losses. Other derivatives in the Bank held for trading or for other purposes are insignificant.

Inflation risk

82. The Bank is exposed to inflation risk since the value of CPI-linked assets exceeds CPI-linked liabilities. The value of these assets and liabilities changes according to changes in the CPI at any given time and all changes in the CPI index affect profit and loss. On 31 December 2014 the CPI gap amounted to ISK 57.5 billion (31 December 2013: ISK 6.4 billion). Thus, a 1% increase in the index would lead to an ISK 575 million increase in the balance sheet and a 1% decrease would lead to a corresponding decrease, other risk factors held constant.

Notes to the Consolidated Financial Statements

Capital management

83. Risk exposure and capital base

The Bank's total capital ratio, calculated according to the Act on Financial Undertakings, was 29.6% and the Tier 1 ratio was 26.5%.

As required in the Basel II rules, the Bank's Board of Directors sets a minimum capital target for the Bank. The Board has approved a minimum capital target for the Bank to be 18% of RWA. The target is based on the Bank's internal capital adequacy assessment (ICAAP) and the views expressed by the regulator through the latest SREP results. The capital target is intended to support the Bank's business strategy and takes into account changes or uncertainties in the operating environment. Unlike the 8% regulatory minimum, the Bank's capital target can change over time reflecting changes in the Bank's risk profile, business strategy and external environment. Thus, falling below the capital target does not impose any direct regulatory actions but the Bank's dividend payments and remuneration can be impacted.

The Bank's regulatory capital calculations for credit risk and market risk are based on the standardised approach and the capital calculations for operational risk are based on the basic indicator approach.

The table below shows the capital base, risk weighted assets and the resulting capital ratios of the Bank at 31 December 2014 and 31 December 2013.

	2014	2013
Tier 1 capital		
Ordinary share capital	10,000	10,000
Share premium	55,000	55,000
Other reserves	2,535	2,471
Retained earnings	116,288	98,548
Non-controlling interests	1,664	1,299
Tax assets	(521)	(1,275)
Intangible assets	(619)	(299)
Other regulatory adjustments	-	(159)
Total Tier 1 capital	184,347	165,585
Tier 2 capital		
Other regulatory adjustments	-	(160)
Qualifying subordinated liabilities	21,306	21,890
Total regulatory capital	205,653	187,315
Risk weighted assets		
- due to credit risk	583,375	551,938
- due to market risk:	33,326	28,849
Market risk, trading book	6,594	5,105
Currency risk FX	26,732	23,744
- due to operational risk	78,401	78,970
Total risk weighted assets	695,102	659,757
Capital ratios		
Tier 1 ratio	26.5%	25.1%
Total capital ratio	29.6%	28.4%

Article 86 of the Act on Financial Undertakings (161/2002) details the measures taken in the case of insufficient own funds of a financial undertaking. If the board or managing directors of a financial undertaking have reason to expect that its own funds will be less than the minimum required by law, they must immediately notify the Financial Supervisory Authority (FME) thereof. The FME may grant the financial undertaking concerned a time limit of up to six months to increase its own funds to the minimum provided. If the remedies are not satisfactory in the opinion of the FME, or if the time limit provided for expires, the operating licence of the financial undertaking shall be revoked.

Notes to the Consolidated Financial Statements

Operational risk

84. The Bank has adopted the definition of operational risk from the Directive 2006/48/EC of the European Parliament and of the Council, where operational risk is defined “as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events”. The Bank’s definition of operational risk includes legal risk, compliance risk, and reputational risk.

The Board of Directors has approved an Operational Risk Management Policy, applicable to the Bank and its subsidiaries. The policy outlines a framework for operational risk management in the Bank. The operational risk management framework is described in further detail in several subdocuments, such as the Business Continuity Management Framework, the Security Policy, and the Crisis Communication Policy, all of which are approved by the Executive Board.

According to the Operational Risk Management Policy, the Executive Board is responsible for the operational risk management framework, and the Risk Monitoring Unit within Risk Management is responsible for the implementation of the operational risk framework throughout the Bank.

The Bank uses the Basic Indicator Approach of the Capital Requirements Directive (CRD) to calculate the capital requirements for Pillar 1 operational risks, in accordance with Rules on the Capital Requirement and Risk Weighted Assets of Financial Undertakings no. 215/2007.

Notes to the Consolidated Financial Statements

Accounting policies

85. Basis of measurement

The consolidated financial statements are prepared on a historical cost basis, except for the following assets and liabilities, which are measured at fair value: bonds and debt instruments, shares and equity instruments, short positions in listed bonds and derivative financial assets and liabilities.

Non-current assets and disposal groups held for sale are measured at the lower of carrying amount and fair value less costs to sell.

86. Changes in presentation

The following comparative amounts have been changed due to change in presentations between the years:

- a) The Bank no longer uses the term latent impairment allowance and now presents provision for impairment losses for loans in two categories, specific allowance and collective allowance. Specific allowance comprises impairment for financial assets that are assessed individually and collective allowance comprises estimates of impairment losses that have been incurred but not identified in the reporting period for a group of loans that have similar credit risk characteristics.
- b) The Bank has changed its presentation in Note 65 "Neither past due nor impaired loans" in that a separate column has been added disclosing unrated loans. These are loans without a formal risk rating or with an expired rating which were previously included in risk class nine. Comparable figures have been adjusted accordingly.
- c) The Bank has changed its presentation in Note 70 "Liquidity Risk" where a separate column has been added disclosing the carrying amount of financial assets and liabilities. The comparable disclosure has been adjusted accordingly.
- d) Comparable information in Note 75 "Interest rate risk in the non-trading portfolio" has been changed in that the total for loans to customer has increased from ISK 554,741 million to ISK 558,419 million bringing the total assets to ISK 748,152 million.
- e) The comparable information in Note 5 "Business Segments" has been changed in that Net segment revenue from external customers has changed from ISK 58,896 million to ISK 42,597 million as a result of a change in presentation of the Statement of Comprehensive Income for the year 2013 when impairment and net valuation changes on loans was no longer classified as part of the total operating income.

Notes to the Consolidated Financial Statements

87. Significant accounting policies

The accounting policies set out below have been applied consistently by all Bank entities to all periods presented in these consolidated financial statements.

Set out below is an index of the significant accounting policies, the details of which are available on the pages that follow.

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Notes to the Consolidated Financial Statements

87. Cont'd

1. Basis of consolidation

a) Business combinations

Business combinations are accounted for using the acquisition method on the acquisition date, when control is transferred to the Bank, with the identification of the acquirer, the combining entity that obtains control of the acquiree and recognition and measurement of the identifiable assets acquired, the liabilities assumed and any non-controlling interest in the acquiree.

The acquiree's identifiable assets, liabilities and contingent liabilities that meet the conditions for recognition under IFRS 3 Business combinations are recognised at their fair value at the acquisition date, except that:

- Deferred tax assets and liabilities are recognised and measured in accordance with IAS 12 Income Taxes;
- Assets and liabilities related to employee benefit arrangements are recognised and measured in accordance with IAS 19 Employee Benefits;
- Liabilities or equity instruments related to the replacement by the Bank of an acquiree's share-based payment awards are measured in accordance with IFRS 2 Share-based Payment;
- Assets (or disposal groups) that are classified as held for sale at the acquisition date in accordance with IFRS 5 Non-current Assets Held for Sale and Discontinued Operations are measured in accordance with that standard.

The consideration transferred by the Bank is measured at fair value, which is calculated as the sum of the acquisition date fair value of the assets transferred by the Bank, the liabilities incurred by the Bank to former owners of the acquiree and the equity interests issued by the Bank, if any. The consideration transferred does not include amounts related to the settlement of pre-existing relationships. Such amounts are generally recognised in profit or loss.

Where applicable, the consideration transferred includes any asset or liability resulting from a contingent consideration arrangement, measured at its acquisition date fair value. Subsequent changes in the fair value of contingent consideration classified as an asset or liability are accounted for in accordance with relevant IFRSs. Changes in the fair value of contingent consideration classified as equity are not recognised.

Any goodwill that arises on the acquisition is tested annually for impairment. Any gain on a bargain purchase is recognised in profit or loss immediately. Transaction costs are expensed as incurred, except if they are related to the issue of debt or equity securities.

Transaction costs, other than those associated with the issue of debt or equity securities, that the Bank incurs in connection with a business combination are expensed as incurred.

Where a business combination is achieved in stages, the Bank's previously held interests in the acquiree are remeasured to fair value at the acquisition date and the resulting gain or loss, if any, is recognised in profit or loss. Amounts arising from interests in the acquiree prior to the acquisition date that have previously been recognised in other comprehensive income are reclassified to profit or loss, where such treatment would be appropriate if that interest were disposed of.

If the initial accounting for a business combination is incomplete by the end of the reporting period in which the combination occurs, the Bank reports provisional amounts for the items for which the accounting is incomplete. Those provisional amounts are adjusted during the measurement period, or additional assets or liabilities are recognised, to reflect new information obtained about facts and circumstances that existed as of the acquisition date that, if known, would have affected the amounts recognised as of that date. The measurement period is the period from the date of acquisition to the date the Bank obtains complete information about facts and circumstances that existed as at the acquisition date, subject to a maximum of one year.

b) Non-controlling interests

Non-controlling interests represent the proportion of profit or loss and net assets not owned, directly or indirectly, by the Bank.

For each business combination, the Bank measures at the acquisition date components of non-controlling interests in the acquiree, that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation, at either:

- fair value; or
- the present ownership instruments' proportionate share in the recognised amounts of the acquiree's identifiable net assets.

All other components of non-controlling interests are measured at their acquisition-date fair values, unless another measurement basis is required by IFRSs.

When the proportion of the equity held by non-controlling interests changes, the carrying amounts of the controlling and non-controlling interests are adjusted to reflect the changes in their relative interests in the subsidiary. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognised directly in equity and attributed to the owners of the parent. No adjustments are made to goodwill and no gain or loss is recognised in profit or loss.

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The Bank presents non-controlling interests within equity in the consolidated statement of financial position, separately from the equity attributable to equity holders of the Bank. Profit or loss and each component of other comprehensive income attributed to the owners of the parent and to the non-controlling interests are presented separately in the consolidated statement of comprehensive income even if this results in the non-controlling interests having a deficit balance. The proportion allocated to the parent and non-controlling interests are determined on the basis of present ownership interests.

c) *Subsidiaries*

Subsidiaries are entities, or investees, controlled by the Bank. Control exists when the Bank is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee. Power exists if the Bank directly or indirectly holds more than half the voting rights in an undertaking or otherwise has power to control management and operating policy decisions. Operating policy control may be exercised through agreements about the undertaking's activities.

The Bank reassesses whether it has control if there are changes to one or more of the elements of control. This includes circumstances in which protective rights held, e.g. those resulting from a lending relationship, become substantive and lead to the Bank having power over an investee.

When assessing whether an investor controls an investee an investor with decision-making rights determines whether it acts as principal or as an agent of other parties. A number of factors, such as the remuneration of the decision-maker, are considered in making this assessment.

Subsidiaries which the Bank acquires exclusively with a view to resale, often through restructuring or repossession following a customer default when the Bank expects that their carrying amount to be recovered principally through a sale transaction, are classified as Non-current assets and disposal groups held for sale and measured according to IFRS 5 (see Note 87.13).

Changes in the Bank's ownership interest in a subsidiary that do not result in the Bank losing control of the subsidiary are accounted for as equity transactions i.e. transactions with owners in their capacity as owners.

d) *Loss of control*

When the Bank is committed to a sale plan involving the loss of control of a subsidiary and criteria for classification are met (see Note 87.13), it classifies all the assets and liabilities of that subsidiary as held for sale in its consolidated financial statements. This is regardless of whether the Bank will retain a non-controlling interest in the subsidiary after the sale.

On the loss of control, the Bank derecognises the assets and liabilities of the subsidiary, any non-controlling interests and the other components of equity related to the subsidiary. Any surplus or deficit arising on the loss of control is recognised in profit or loss in the line item "Net financial income (expenses)". If the Bank retains any interest in the previous subsidiary, then such interest is measured at fair value at the date that control is lost. Subsequently, that retained interest is accounted for as an equity-accounted investee or in accordance with the Bank's accounting policy for financial instruments, depending on the level of influence retained.

When the disposal of subsidiaries meets the definition of discontinued operations (see Note 87.29), the Bank presents the gain or loss from disposal in the income statement in the line item "Profit (loss) from discontinued operations, net of income tax".

e) *Transactions eliminated on consolidation*

The financial statements of subsidiaries are included in the consolidated financial statements from the date on which control commences until the date when control ceases.

In preparing the consolidated financial statements, the parent company combines its financial statements with those of its subsidiaries, line by line by adding together like items of assets, liabilities, equity, income and expenses, and applies the required consolidation procedures. In preparing the consolidated financial statements, intra-group balances and transactions and any unrealised income, expenses and cash flows, with the exception of foreign currency transaction gains and losses, arising from transactions between the group entities, are eliminated. Unrealised losses are eliminated in the same way as unrealised gain, but only to the extent that there is no evidence of impairment.

If a group entity uses accounting policies other than those adopted in the consolidated financial statements for like transactions and events in similar circumstances, the Bank makes appropriate adjustments to that entity's financial statements when preparing the consolidated financial statements.

Consolidation of subsidiaries held exclusively with a view to subsequent disposal requires the application of acquisition accounting (see Note 87.1(c)).

f) *Funds management*

The Bank manages and administers assets and securities held in investment funds on behalf of investors. The financial statements of these entities are not included in these consolidated financial statements, except when the Bank has control over the entity.

When assessing whether to consolidate an investment fund, the Bank reviews all facts and circumstances including its purpose and design to determine whether the Bank, as fund manager, is acting as agent or principal. The Bank is deemed to be a principal when the Bank acts as fund manager and cannot be removed without cause, has variable returns through significant holdings and is able to influence the returns of the funds by exercising its power. Holdings where all returns belong to the customers are not considered to be exposure to variable returns.

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2. Foreign currencies

a) Foreign currency transactions

Items included in the financial statements of each of the Bank's entities are measured using the functional currency of the respective entity. Transactions in foreign currencies are translated into functional currencies at the spot exchange rate at the date of the transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are retranslated into functional currencies at the spot exchange rate at that date. The foreign currency gain or loss on monetary items is the difference between amortised cost in the functional currency at the beginning of the year, adjusted for effective interest and payments during the year, and the amortised cost in foreign currency translated at the spot exchange rate at the end of the year.

Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the spot exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are measured at fair value are translated into the functional currency at the spot exchange rate at the date that the fair value was determined.

Foreign currency differences arising on retranslation are recognised in profit or loss (see Note 87.23).

3. Financial assets

For the purpose of measuring its financial assets, the Bank classifies them at inception in one of the following categories (see also Note 8):

- Loans and receivables; or
- Financial assets at fair value through profit or loss, either as:
 - held for trading; or
 - designated as at fair value through profit or loss.

a) Loans and receivables

Loans and receivables are non-derivative financial instruments with fixed or determinable payments that are not quoted in an active market and that the Bank does not intend to sell immediately or in the near term, other than those that the Bank designates upon initial recognition as financial assets at fair value through profit or loss. Loans and receivables include loans originated by the Bank to its customers and credit institutions, acquired loans, participations in loans from other lenders and finance lease receivables (see Note 87.10 (b)).

When the Bank purchases a financial asset and simultaneously enters into an agreement to resell the asset (or a substantially similar asset) at a fixed price on a future date (reverse repurchase transactions), the arrangement is accounted for as a loan or receivable, and the underlying asset is not recognised in the consolidated financial statements of the Bank.

Loans and receivables are recognised when cash is advanced to borrowers. On initial recognition they are measured at fair value plus incremental direct transaction costs. Subsequently, they are measured at amortised cost using the effective interest method. Amortised cost is calculated by taking into account the amount at which the loans and receivables are measured at initial recognition less principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount (such as due to discounts or premiums on acquisition and fees and costs that are an integral part of the effective interest rate), and minus any reduction for impairment (see Note 87.27). Accrued interest is included in the carrying amount of the loans and receivables in the statement of financial position.

Gains and losses on loans and receivables are recognised in profit or loss in the line item "Interest income" when the loans and receivables are derecognised and in the line item "Net foreign exchange gain (loss)" when the loans and receivables are re-measured for foreign exchange differences. The losses arising from impairment are recognised in profit or loss in the line item "Loan impairment charges and net valuation changes".

A large proportion of the Bank's current loans and receivables were acquired at a deep discount. Credit losses already incurred were reflected in the purchase price and included in the estimated future cash flows when computing the effective interest rates of the loans and receivables. A loan and receivable is defined as having been acquired at a deep discount when the fair value on acquisition is considerably lower than the balance according to the terms of the loan. The difference is explained by severe financial difficulties of the debtor which manifests itself in a higher credit spread when estimating the fair value of the loan and not because of changes in business environment since the terms of the loan were agreed, i.e. market interest rates.

Discounts arising at the initial recognition of the acquired loans and receivables and resulting from the difference between market interest rates and nominal interest rates of the loans and receivables are amortised over the expected life of the financial asset. However, a shorter period is used if this is the period to which the discounts relate.

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b) *Financial assets designated at fair value through profit or loss*

The Bank designates certain financial assets upon their initial recognition as financial assets at fair value through profit or loss when doing so results in more relevant information because:

- It eliminates or significantly reduces a measurement or recognition inconsistency that would otherwise arise from measuring assets or liabilities or recognising the gains and losses from them on different bases; or
- Financial assets and/or financial liabilities are managed and their performance is evaluated on a fair value basis, in accordance with the Bank's risk management or investment strategy, and information about it is provided internally on that basis to the Bank's key management personnel; or
- The financial assets and/or financial liabilities contain an embedded derivative that significantly modifies the cash flows that would otherwise have been required under the contract.

Assets classified according to the above-mentioned conditions consist of:

- Fixed interest rate loans originated by the Bank whose fixed interest has been swapped into floating by entering into corresponding interest rate swaps;
- Debt and equity instruments, which are acquired by the Bank with a view to profiting from their total return and which are managed and evaluated on a fair value basis.

Financial assets designated by the Bank as at fair value through profit or loss are initially recognised and subsequently measured at fair value in the statement of financial position, with transaction costs recognised immediately in profit or loss. Changes in fair value are recognised in profit or loss in the line item "Net financial income (expenses)", except for interest earned, which is recognised in the line item "Interest income" on an accrual basis.

c) *Financial assets held for trading*

Financial assets held for trading are financial assets acquired principally for the purpose of selling or repurchasing in the near term, or for holding as part of a portfolio that is managed together for short-term profit or position taking. Financial assets held for trading consist of bonds and debt instruments, shares and equity instruments, and derivatives with positive fair value which are not designated as hedging instruments.

Financial assets held for trading are initially recognised and subsequently measured at fair value in the statement of financial position, with transaction costs recognised immediately in profit or loss. Changes in fair value are recognised in profit or loss in the line item "Net financial income (expenses)", except for interest earned, which is recognised in the line item "Interest income" on an accrual basis.

4. Financial liabilities

Except for financial guarantees (see Note 87.14) and loan commitments (see Note 87.15), for the purpose of measuring its financial liabilities, the Bank classifies them in one of the following categories (see also Note 8):

- Financial liabilities held for trading; or
- Financial liabilities measured at amortised cost.

The Bank does not designate financial liabilities as at fair value through profit or loss.

a) *Financial liabilities held for trading*

Financial liabilities held for trading are financial liabilities incurred principally for the purpose of generating profits from short-term price fluctuations or from the dealer's margin. Financial liabilities held for trading consist of short positions in listed bonds and derivatives with negative fair value which are not classified as financial guarantees or are not designated as hedging instruments.

Financial liabilities held for trading are initially recognised and subsequently measured at fair value in the statement of financial position with transaction costs recognised directly in profit or loss. Changes in fair value are recognised in profit or loss in the line item "Net financial income (expenses)", except for interest incurred, which is recognised as "Interest expense" on an accrual basis.

b) *Financial liabilities measured at amortised cost*

Financial liabilities measured at amortised cost are non-derivative financial liabilities which are not classified by the Bank as financial liabilities held for trading. Financial liabilities measured at amortised cost include deposits, debt issued and other borrowed funds and subordinated loans.

Financial liabilities measured at amortised cost are recognised initially at fair value net of transaction costs incurred, and subsequently are carried at amortised cost using the effective interest method. Amortised cost is calculated by taking into account the amount at which the financial liabilities are measured at initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount (such as due to discounts or premiums and fees and costs that are an integral part of the effective interest rate). Accrued interest is included in the carrying amount of the liabilities in the statement of financial position.

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5. Determination of fair value of financial assets and financial liabilities

A number of the Bank's accounting policies and disclosures require the determination of fair value for measurement and/or disclosure purposes. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (i.e. an exit price).

When available, the Bank measures the fair value of financial assets and financial liabilities using quoted prices in an active market for that instrument. A market is considered active if quoted prices are readily and regularly available and those prices represent actual and regularly occurring transactions. The fair value is based on the most recent observed market prices at the balance sheet date. For all other financial instruments, the Bank determines fair value using other valuation techniques.

If a market for a financial instrument is not active, the Bank establishes its fair value using a valuation technique. The objective of valuation techniques is to arrive at a fair value measurement that reflects the price that would be received to sell the asset or paid to transfer the liability in an orderly transaction between market participants at the measurement date. Valuation techniques incorporate all factors that market participants would consider in setting a price and are consistent with accepted methodologies for pricing financial instruments. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Bank entity and the counterparty where appropriate. Periodically, the Bank calibrates the valuation techniques and tests them for validity using prices from observable current market transactions for the same instrument, without modification or repackaging, or based on other available observable market data.

All long and short positions are measured at the latest closing price as obtained from the relevant securities market. The best evidence of the fair value of a financial instrument at initial recognition is the transaction price unless the fair value of that instrument is evidenced by comparison with other observable current market transactions in the same instrument (i.e. without modification or repackaging) or based on a valuation technique whose variables include only data from observable markets. When such evidence exists, the Bank recognises the difference between the transaction price and fair value in profit or loss in the line item Net financial income (expenses) on initial recognition of the financial instrument. In cases where use is made of data which is not from observable markets, the difference between the transaction price and the value produced by the valuation technique, if any, is recognised in profit or loss in the line item Net financial income (expenses), depending upon individual facts and circumstances of each transaction and not later than when the data becomes observable or when the instrument is redeemed, transferred or sold.

a) Valuation models

The Bank measures fair values using a fair value hierarchy, which reflects the significance of the inputs used in making the measurements. Further discussion on the fair value hierarchy can be found in Note 9.

Valuation techniques include net present value and discounted cash flow models, comparison with similar instruments for which market observable prices exist, Black-Scholes option pricing models and other valuation models. Assumptions and inputs used in valuation techniques include risk-free and benchmark interest rates, credit spreads and other premia used in estimating discount rates, bond and equity prices, foreign currency exchange rates, equity and equity index prices and expected price volatilities and correlations.

The Bank uses widely recognised valuation models for determining the fair value of common and more simple financial instruments, such as interest rate and currency swaps that use only observable market data and require little management judgement and estimation. Observable prices or model inputs are usually available in the market for listed debt and equity securities, exchange-traded derivatives and simple over-the-counter derivatives such as interest rate swaps. Availability of observable market prices and model inputs reduces the need for management judgement and estimation and also reduces the uncertainty associated with determining fair values. Availability of observable market prices and inputs varies depending on the products and markets and is prone to changes based on specific events and general conditions in the financial markets.

For more complex financial instruments, the Bank uses proprietary models, which usually are developed from recognised valuation models. Some or all of the inputs into these models may not be market observable, in which case the inputs are derived from market prices or rates or estimated based on assumptions. The value produced by a model or other valuation technique is adjusted to allow for a number of factors as appropriate, because valuation techniques cannot appropriately reflect all factors market participants take into account when entering into a transaction. Valuation adjustments are recorded to allow for model risks, bid-ask spreads, liquidity risks, as well as other factors, to the extent that the Bank believes a third-party market participant would take them into account in pricing a transaction. Management believes that these valuation adjustments are necessary and appropriate to fairly state financial instruments carried at fair value in the statement of financial position.

Management judgement and estimation are usually required for selection of the appropriate valuation model to be used, determination of expected future cash flows of the financial instrument being valued, determination of the probability of counterparty default and prepayments and selection of appropriate discount rates.

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Fair value estimates obtained from models are adjusted for any other factors, such as liquidity risk or model uncertainties, to the extent that the Bank believes that a third party market participant would take them into account in pricing a transaction. Fair values reflect the credit risk of the instrument and include adjustments to take account of the credit risk of the Bank and the counterparty where appropriate. For measuring derivatives that might change classification from being an asset to a liability or vice versa such as interest rate swaps, fair values take into account both credit valuation adjustment (CVA) and debit valuation adjustment (DVA) when market participants take this into consideration in pricing the derivatives.

Model inputs and values are calibrated against historical data and published forecasts and, where possible, against current or recent observed transactions in different instruments and against broker quotes. This calibration process is inherently subjective and it yields ranges of possible inputs and estimates of fair value, and management judgement is required to select the most appropriate point in the range.

b) Valuation framework

The Bank has an established control framework with respect to the measurement of fair values. This framework includes the Bank's market risk function, which is independent of front office management and reports to the Chief Risk Officer, and which has overall responsibility for independently verifying the results of trading and investment operations and all significant fair value measurements. Specific controls include, model validation and review of significant unobservable inputs. The final decision on the validity of the valuation is in the hands of the Bank's investment committee.

6. Recognition and derecognition of financial assets and financial liabilities

The Bank uses trade date accounting to recognise purchases and sales of financial assets, i.e. they are recognised on the date on which the Bank commits to purchase or sell the asset, except for loans, which are recognised on the date when cash is advanced by the Bank to the borrowers. For a financial asset purchased, the Bank recognises on the trade date a financial asset to be received and a financial liability to pay. For a financial asset sold, the Bank derecognises the asset on the trade date, recognises any gains or losses on disposal and recognises a receivable from the buyer.

The Bank recognises financial liabilities held for trading on the trade date, i.e. on the date at which the Bank becomes a party to the contractual provisions of the financial instrument. The Bank recognises financial liabilities measured at amortised cost on the date when they originated. The Bank derecognises a financial liability when its contractual obligations are discharged or cancelled or expire.

The Bank derecognises financial assets in the following circumstances:

- When the contractual rights to the cash flows from the financial assets expire, or
- When the Bank transfers the rights to receive the contractual cash flows on the financial asset in a transaction in which:
 - The Bank transfers substantially all the risks and rewards of ownership of the financial assets, or
 - The Bank neither transfers nor retains substantially all the risks and rewards of ownership of the financial assets and it does not retain control of the financial assets.

Any interest in transferred financial assets that qualify for derecognition that is created or retained by the Bank is recognised as a separate asset or liability. On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognised in other comprehensive income is recognised in profit or loss.

The Bank enters into transactions whereby it transfers assets recognised in its statement of financial position, but retains either all or substantially all risks and rewards of the transferred assets or a portion of them. If all or substantially all risks and rewards are retained, then the transferred assets are not derecognised from the statement of financial position of the Bank. Transfers of assets with retention of all or substantially all risks and rewards include, for example, repurchase transactions and securities lending.

The Bank does not derecognise from its statement of financial position securities which the Bank sells under agreements to repurchase at a specified future date ("repos") at a fixed price or at the sale price plus a lender's return. The Bank recognises the cash received as a liability in its statement of financial position. The difference between the sale and repurchase prices is recognised as interest expense over the life of the agreement using the effective interest method.

Securities lending and borrowing transactions are usually collateralised by securities or cash. The transfer of securities to counterparties is only reflected in the statement of financial position if the risks and rewards of ownership are also transferred. Cash advanced or received as collateral is recorded as an asset or liability.

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In transactions in which the Bank neither retains nor transfers substantially all the risks and rewards of ownership of a financial asset and it retains control over the asset, the Bank continues to recognise the asset to the extent of its continuing involvement, determined by the extent to which it is exposed to changes in the value of the transferred asset.

Substantial modifications of terms of existing financial assets, or replacements with new ones with significantly different terms, result in the Bank derecognising the original financial assets and recognising new financial assets at fair value. (See also Note 87.27(a)) with respect to renegotiated loans.

7. Offsetting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount presented in the consolidated statement of financial position when, and only when, the Bank has a legal right to set off the amounts and it intends either to settle on a net basis or to realise the asset and settle the liability simultaneously.

8. Derivative financial instruments

Derivatives entered into by the Bank may be in the form of stand-alone contracts or embedded in other contracts, in which case the Bank assesses whether it is required to separate and account for the embedded derivatives as if they were stand-alone contracts. That would be the case when the economic characteristics and risks of the embedded derivatives are not closely related to the economic characteristics and risks of the host contracts; stand-alone contracts with the same terms as the embedded derivatives would meet the definition of a derivative for accounting purposes; and the combined contracts are not classified by the Bank as financial assets or financial liabilities held for trading or designated by the Bank as at fair value through profit or loss.

Derivatives which do not classify as equity instruments of the Bank are classified as financial assets or financial liabilities, measured at fair value and presented in the statement of financial position in separate line items as assets or liabilities, depending on whether their fair value at the reporting date is positive (assets) or negative (liabilities). When the Bank is required to separate and account for embedded derivatives as if they were stand-alone contracts, the Bank presents the fair value of the embedded derivatives in the statement of financial position in the same line items in which the Bank presents the related host contracts.

The Bank did not apply hedge accounting during the year ended 31 December 2014, nor during the comparative period. Accordingly, the Bank accounted for all its derivative financial assets and liabilities as financial assets or financial liabilities held for trading in accordance with Notes 87.3(b) and 87.4(a).

9. Investments in associates

Associates are those entities over which the Bank has significant influence, which is the power to participate in the financial and operating policy decisions of the entity but is not control or joint control over those policies. Significant influence generally exists when the Bank holds between 20% and 50% of the voting power, including potential voting rights that are currently exercisable or convertible, if any.

Investments in associates are accounted for using the equity method and are initially recognised at cost. The investments include goodwill identified on acquisition. The carrying amount of the investments is adjusted for post-acquisition changes in the Bank's share of net assets of the associates and for impairment losses, if any (see Note 87.27(b)). Therefore, the consolidated financial statements include the Bank's share of the total recognised gains and losses of associates, from the date that significant influence commences until the date that significant influence ceases. When the Bank's share of losses exceeds its interest in the associate, the carrying amount of that associate is reduced to nil and recognition of further losses is discontinued except to the extent that the Bank has incurred legal or constructive obligations or made payments on behalf of the associate. If the associate subsequently reports profits, the Bank resumes recognising its share of profits only after its share of profits equals the share of losses not recognised.

Whenever there is an objective evidence that an investment in associates may be impaired, the entire carrying amount of the investment is tested for impairment by comparing its recoverable amount with its carrying amount, goodwill included in the carrying amount of an investment in an associate is not recognised separately and is therefore not tested separately for impairment according to the requirements for impairment testing of goodwill.

Investments in associates which are classified as held for sale are not accounted for using the equity method but in accordance with the accounting policy disclosed in Note 87.13.

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10. Leases

The Bank classifies leases based on the substance of the arrangements and the extent of the transfer of risks and rewards incidental to ownership of leased assets. A lease is classified as an operating lease if the lessor does not transfer substantially all the risks and rewards incidental to ownership. A lease is classified as a finance lease if the lessor transfers substantially all the risks and rewards incidental to ownership.

a) Bank as a lessee

Lease payments under operating leases where the Bank is the lessee are recognised as an expense on a straight-line basis over the lease term.

b) Bank as a lessor

When the Bank is the lessor in a finance lease, the Bank recognises a finance lease receivable equal to the net investment in the lease and presents it in the line item "Loans to customers" in the statement of financial position. The Bank applies its accounting policies for derecognition and impairment of loans and receivables also to its finance lease receivables. The Bank recognises the finance income from finance lease receivables in profit or loss in the line item "Interest revenue" over the period of the lease so as to give a constant periodic rate of return on the net investment in the lease.

When the Bank is lessor in arrangements which involve the legal form of leases, but which in substance do not involve leases, the Bank does not apply lease accounting to those arrangements and instead the Bank accounts for them as loans and receivables.

11. Property and equipment

a) Recognition and measurement

Items of property and equipment are measured at cost less accumulated depreciation and impairment losses.

Where parts of an item of property and equipment have different useful lives, those components are accounted for as separate items of property and equipment.

b) Subsequent costs

The Bank recognises in the carrying amount of an item of property and equipment the cost of replacing part of such an item when that cost is incurred if it is probable that the future economic benefits embodied with the item will flow to the Bank and the cost of the item can be measured reliably. The decision if subsequent costs are added to the acquisition cost of the property or equipment, is based on whether an identified component, or part of such component, has been replaced or not, or if the nature of the subsequent cost means a contribution of a new component. All other costs are recognised in profit or loss as incurred.

c) Depreciation

Items of property and equipment are depreciated from the date they are available for use, except for land, which is not depreciated. Each part of a depreciable item of property and equipment with a cost that is significant in relation to the total cost of the item is depreciated separately. The depreciable amount of each significant item of property and equipment is determined after deducting its residual value. Depreciation is expensed in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of property and equipment. The estimated useful lives for the current and comparative periods of significant items of property and equipment are as follows:

Buildings	50 years
Fixtures	6 - 12 years
Equipment	4 years
Vehicles	3 years

The depreciation method, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate.

12. Intangible assets

a) Goodwill

The Bank recognises goodwill as an asset only when it results from a business combination. Goodwill relating to acquisition of associates is not recognised separately as an asset but it is included in the carrying amount of investments in associates in the statement of financial position. For the measurement of goodwill at initial recognition, (see Note 87.1(a)).

Goodwill is allocated from the acquisition date to cash-generating units (CGUs) and it is subsequently measured at cost less accumulated impairment losses. Goodwill is tested by the Bank for impairment annually or whenever there is an indication that the CGUs may be impaired.

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b) Software

Software acquired by the Bank is measured at cost less accumulated amortisation and impairment losses.

Expenditure on internally developed software is recognised as an asset when the Bank is able to demonstrate its intention and ability to complete the development and use the software in a manner that will generate future economic benefits, and can reliably measure the costs to complete the development. The capitalised costs of internally developed software include all costs directly attributable to developing the software and capitalised borrowing costs, and are amortised over its useful life. Internally developed software is stated at capitalised cost less accumulated amortisation and impairment.

Subsequent expenditure on software assets is capitalised only when it increases the future economic benefits embodied in the specific asset to which it relates. All other expenditure is expensed as incurred.

Software is amortised on a straight-line basis in profit or loss over its estimated useful life, from the date that it is available for use. The estimated useful life of software for the current and comparative periods is four years.

13. Non-current assets and disposal groups held for sale

Non-current assets and disposal groups (comprising groups of assets and liabilities associated with those assets, including non-current assets) are classified as held for sale and presented in separate line items on the face of the statement of financial position if the Bank expects to recover their carrying amount principally through a sale transaction rather than through continuing use. For this to be the case, the assets, or disposal groups, must be available for immediate sale in their present condition subject only to terms that are usual and customary for sales of such assets, or disposal groups, and their sale must be highly probable.

Immediately before classification as held for sale, the assets, or components of disposal groups, are remeasured in accordance with applicable IFRSs. Thereafter, the assets, or disposal groups, are measured at the lower of their carrying amount and fair value less costs to sell, except for deferred tax assets, financial assets and investment properties, which are measured in accordance with the accounting policies of the Bank applicable to those assets. Once classified as held for sale, intangible assets are no longer amortised, property and equipment is no longer depreciated and investments in associates are no longer equity accounted. Liabilities associated with assets classified as held for sale are measured in accordance with the accounting policies of the Bank applicable to those liabilities.

Non-current assets and the assets and liabilities of a disposal group classified as held-for-sale are presented separately from other assets and liabilities in the statement of financial position. Non-controlling interests in a disposal group classified as held-for-sale are presented within equity consistent with the requirements of IAS28 and are not reclassified as a liability.

Any impairment loss on a disposal group is allocated first to any goodwill included in the disposal group, and then to the remaining assets and liabilities on a pro rata basis, except for that no loss is allocated to inventories, financial assets, deferred tax assets and investment property.

Impairment losses on initial classification of non-current assets and disposal groups as held for sale and subsequent gains and losses on remeasurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss.

Income earned and expenses incurred on assets and disposal groups held for sale continue to be recognised in the appropriate line items in profit or loss until the transaction is complete. However, income and expenses on assets and liabilities of subsidiaries acquired by the Bank exclusively with a view to resale are recognised in profit or loss in the line item "Profit (loss) from discontinued operations, net of income tax" (see Note 87.29).

14. Financial guarantees

Financial guarantees are contracts that require the Bank to make specified payments to reimburse the holder for a loss it incurs because a specified debtor fails to make payments when due, in accordance with the terms of a debt instrument. Financial guarantees are issued by the Bank to credit institutions and other parties on behalf of its customers so that they can secure loans, overdrafts and banking facilities. Liabilities arising from financial guarantees issued by the Bank are initially measured at their fair value, being the premium received, and the initial fair value is amortised on a straight line basis over the life of the guarantee. The liabilities are subsequently carried at the higher of the unamortised premium and the best estimate of the expenditure required to settle the liability when a payment under the contracts has become probable. The estimates are determined based on experience of similar transactions and history of past losses, supplemented by a judgement by the management.

Any increase in the liabilities arising from financial guarantees is recognised in profit or loss. The premium received is recognised as revenue in profit or loss in the line item "Fee and commission income".

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15. Loan commitments

Loan commitments are firm commitments of the Bank to provide credit under pre-specified terms and conditions. All loan commitments issued by the Bank are outside the scope of IAS 39. As such, the Bank recognises a provision for loan commitments in the statement of financial position, in the line item "Other liabilities", only when the Bank is committed to making a loan that would be considered to be impaired or when the commitment becomes onerous. The related expense is then recognised in profit or loss. Loan commitment fees received by the Bank are recognised in accordance with the accounting policy disclosed in Note 87.21.

16. Provisions

Provisions are recognised when the Bank has a present obligation (legal or constructive) as a result of a past event, if it is probable that the Bank will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the balance sheet date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows. When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, the receivable is recognised as an asset if it is virtually certain that the reimbursement will be received and the amount of the receivable can be measured reliably.

The Bank recognises a contingent liability assumed in a business combination if it is a present obligation that arises from past events and its fair value can be measured reliably, even if it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation.

17. Employee benefits

All Bank entities are required to pay fixed contributions to publicly or privately administered pension plans on a mandatory and contractual basis. The Bank has no further payment obligations once these contributions have been paid by the Bank. The Bank recognises these contributions as salary related expenses when they become due. The Bank does not have a defined benefit pension plan.

Termination benefits are recognised by the Bank as a salary expense when the Bank is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Bank has made an offer of voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

Short-term employee benefits include salaries, short-term cash bonuses, social security contributions, short-term compensated absences and non-monetary benefits for current employees. Short-term employee benefit obligations are expensed by the Bank as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus plans if the Bank has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

18. Share capital

a) Share capital

The share capital disclosed in the consolidated financial statement represents the total nominal value of ordinary shares issued by the parent company and outstanding at the reporting date. Incremental costs directly attributable to the issuance of ordinary shares are recognised as a deduction from equity, net of any tax effects.

b) Dividends on shares

Dividends payable to shareholders of the parent company are recognised as a liability and deducted from equity in the period in which the dividends are approved by the shareholders in the parent company's annual general meeting. Dividends payable to non-controlling shareholders in subsidiaries are recognised as a liability and deducted from equity in the period in which the dividends are approved by the shareholders' meeting of the subsidiaries. Dividends declared after the reporting date are not recognised as a liability at the reporting date.

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19. Cash and cash equivalents

Cash and cash equivalents in the consolidated statement of cash flows consist of cash on hand, treasury bills, demand deposits with the Central Bank and with other credit institutions, short-term loans to credit institutions and other liquid debt securities at floating interest rates. Cash and cash equivalents comprise balances with less than three months maturity from the date of acquisition, that are subject to an insignificant risk of changes in their fair value and which are used by the Bank in the management of its short-term cash commitments.

20. Interest income and expense

For all financial assets and financial liabilities measured at amortised cost interest income and expense is recognised in profit or loss using the effective interest method. For all financial assets and financial liabilities held for trading and for all financial assets designated at fair value through profit or loss, interest income and expense is recognised through profit or loss on an accrual basis.

The effective interest method is a method of calculating the amortised cost of a financial asset or a financial liability (or group of financial assets or financial liabilities) and of allocating the interest income or interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or a shorter period, when appropriate, to the net carrying amount of the financial asset or financial liability. When calculating the effective interest rate, the Bank estimates cash flows, considering all contractual terms of the financial instrument, but does not consider future credit losses. The calculation generally includes all fees and amounts paid or received between parties to the contract that are an integral part of the effective interest rate, as well as transaction costs and all other premiums or discounts.

The effective interest rate is established on initial recognition of financial assets and financial liabilities and their carrying amount is subsequently adjusted if the Bank revises its estimates of payments or receipts. The adjusted carrying amount is calculated based on the original effective interest rate (i.e. the effective interest rate established at initial recognition) and the change in carrying amount is recorded as interest income or expense. For floating rate instruments, interest income or expense is generally recognised based on the current market rate plus or minus amortisation or accretion of the discount or premium based on the original effective interest rate. Interest on impaired financial assets is calculated by applying the original effective interest rate of the financial asset to the carrying amount as reduced by any allowance for impairment.

Interest income and expense include gains and losses on derecognition of loans and receivables and financial liabilities measured at amortised cost.

21. Net fee and commission income

Net fee and commission income comprises fees and commission income and expenses. Fees and commissions are generally recognised on an accrual basis when the service has been provided.

Fees and commission income and expense that are integral to the effective interest rate on a financial asset or liability are included in the measurement of the effective interest rate.

Loan commitment fees for loans that are likely to be drawn down are deferred and recognised as an adjustment to the effective interest rate of the loan. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised in profit or loss on a straight-line basis over the commitment period.

Loan syndication fees are recognised as revenue in profit or loss when the syndication has been completed and the Bank has retained no part of the loan package for itself or has retained a part at the same effective interest rate as the other participants.

Commission and fees arising from negotiating, or participating in the negotiation of, a transaction for a third party, such as the arrangement of the acquisition of shares or other securities or the purchase or sale of businesses, are recognised on completion of the underlying transaction.

Portfolio and other management advisory and service fees are recognised based on the applicable service contracts, usually on a time-apportionate basis.

Asset management fees related to investment funds are recognised rateably over the period in which the service is provided. The same principle is applied for wealth management, financial planning and custody services that are continuously provided over an extended period of time. Performance-linked fees or fee components are recognised when the performance criteria is fulfilled.

Notes to the Consolidated Financial Statements

87. Cont'd 22. Net financial income (expenses)

Net financial income (expenses) consist of net gains on financial assets and liabilities held for trading, net gain on financial assets designated at fair value through profit or loss and net gain on loss of control over subsidiaries.

a) *Net gain (loss) on financial assets and liabilities held for trading*

Net gain (loss) on financial assets and liabilities held for trading includes all realised and unrealised fair value changes of financial assets and liabilities classified by the Bank as held for trading, except for interest income and interest expense (which are included in the line items "Interest income" and "Interest expense", (see Note 87.20) and foreign exchange gains and losses (which are included in the line item "Net foreign exchange gain (loss)", (see Note 87.23). Dividend income from financial assets held for trading is recognised in profit or loss when the Bank's right to receive payment is established.

Changes in fair value of derivatives that are classified as held for trading but which are economic hedges of financial assets designated at fair value through profit or loss are presented in the notes to the consolidated financial statements as an offset to net gains on financial assets designated at fair value through profit or loss (see Note 15).

b) *Net gain (loss) on financial assets designated at fair value through profit or loss*

Net gain (loss) on financial assets designated at fair value through profit or loss includes all realised and unrealised fair value changes of financial assets designated by the Bank as at fair value through profit or loss, except for interest income and interest expense (which are included in the line items "Interest income" and "Interest expense", see Note 87.20) and foreign exchange gains and losses (which are included in the line item "Net foreign exchange gain (loss)", see Note 87.23). Dividend income from financial assets designated at fair value through profit or loss is recognised in profit or loss when the Bank's right to receive payment is established.

Net gain on financial assets designated at fair value through profit or loss also include changes in fair value of derivatives that are classified by the Bank as held for trading but which are economic hedges of financial assets designated by the Bank as at fair value through profit or loss.

23. Net foreign exchange gain (loss)

Net foreign exchange gain (loss) disclosed as a separate line item in the income statement comprises all foreign exchange differences arising on the settlement of foreign currency monetary assets and liabilities and on translating foreign currency monetary assets and liabilities at rates different from those at which they were translated on initial recognition during the period or in previous financial statements.

Net foreign exchange gain (loss) also includes foreign exchange differences arising on translating non-monetary assets and liabilities which are measured by the Bank at fair value in foreign currencies and whose other gains and losses are also recognised in profit or loss.

On the face of the income statement, net foreign exchange gain (loss) is offset by impairment losses and reversal of impairment losses due to foreign exchange gain on loans in foreign currencies to customers with revenue and cash flows in ISK, as the Bank does not expect to recover the foreign exchange gain on these loans.

24. Administrative expenses

Administrative expenses consist of salaries and related expenses, depreciation of property and equipment, amortisation of intangible assets and other administrative expenses, such as housing costs, advertising expenses and information system related expenses.

25. Impairment of non-financial assets

The carrying amounts of the Bank's non-financial assets, other than investment property and deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. For goodwill and intangible assets that have indefinite useful lives or that are not yet available for use, the recoverable amount is estimated each year at the same time. An impairment loss is recognised if the carrying amount of an asset or cash-generating unit (CGU) exceeds its estimated recoverable amount. Impairment losses on goodwill are recognised in profit or loss under the line item "Impairment of goodwill".

An impairment loss for non-financial assets is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. An impairment loss in respect of goodwill is never reversed.

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Impairment of associates

Whenever there is an objective evidence that an investment in associates may be impaired, the entire carrying amount of the investment is tested for impairment by comparing its recoverable amount with its carrying amount, goodwill included in the carrying amount of an investment in an associate is not recognised separately and is therefore not tested separately for impairment according to the requirements for impairment testing of goodwill.

26. Bank tax

Bank tax is a tax on credit institutions which stated purpose is to create revenue for the Icelandic government to meet increased costs attributable to the insolvency of the Icelandic banks in October 2008. Furthermore, the tax is intended as a deterrent to increased risk appetite. Following the Icelandic governments debt relief initiatives introduced in 2013, the bank tax rate was set at 0.376% of total liabilities in excess of ISK 50bn effective from 1 January 2013. The Bank tax is shown in a separate line in the income statement.

27. Loan impairment charges and net valuation changes

Loan impairment charges and net valuation changes is the net amount recognised in profit or loss following a revision of estimates of receipts from loans and receivables. It is made up of income due to revision of estimated future cash flows and expenses due to individually and collectively assessed impairment losses on loans and receivables (see Note 86.27).

a) Impairment charges

A financial asset or a group of financial assets is impaired and impairment losses are incurred if, and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. It may not be possible to identify a single, discrete event that caused the impairment. Rather the combined effect of several events may have caused the impairment. Losses expected as a result of future events, no matter how likely, are not recognised.

Impairment of loans and receivables

If there is objective evidence that an impairment loss has been incurred on loans and receivables, their carrying amount is reduced through the use of an allowance account to the present value of expected future cash flows, discounted at their original effective interest rate.

The criteria that the Bank uses to determine that there is objective evidence of an impairment loss include:

- Delinquency in contractual payments of principal or interest;
- Cash flow difficulties experienced by the borrower (for example, equity ratio, net income, percentage of sales);
- Breach of loan covenants or conditions;
- Initiation of bankruptcy proceedings;
- Deterioration of the customer's competitive position;
- Deterioration in the value of collateral;
- Downgrading of an asset;
- Restructuring and forbearance.

The Bank's management first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant. Loans and receivables that are not impaired individually become a part of a portfolio which is assessed for impairment. Collective assessment based on a portfolio assumes that loans and receivables have similar credit risk characteristics. Objective evidence of impairment of a group of loans and receivables exists if objective data indicates a decrease in expected future cash flows from a portfolio of loans and the decrease can be measured reliably but cannot be identified with the individual loans in the portfolio.

Interest income on impaired loans and receivables is recognised using the rate of interest used to discount the future cash flows for the purpose of measuring impairment losses.

Calculation of recoverable amount

The recoverable amount of the Bank's loans and receivables is calculated as the present value of estimated future cash flows. The discount rate used for fixed rate loans and receivables is the effective interest rate computed at initial recognition. For variable rate loans and receivables the discount rate is the current effective interest rate.

The recoverable amount of other assets or cash generating units (CGUs) is the greater of their value in use and fair value less cost to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset or CGU. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs.

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Loan write-offs:

When a loan is uncollectible, it is written-off against the related allowance for impairment. Such loans are written-off after all the necessary procedures have been completed and the amount of the loss has been determined.

Reversals of impairment

An impairment loss in respect of loans and receivables is reversed if the subsequent increase in recoverable amount can be related objectively to an event occurring after the impairment loss was recognised.

Renegotiated loans

Where possible, the Bank seeks to restructure loans rather than to take possession of collateral. This may involve extending the payment arrangements and the agreement of new loan conditions. Once the terms have been renegotiated, the loan is no longer considered past due. Management continuously reviews renegotiated loans to ensure that all criteria are met and that future payments are likely to occur. The loans continue to be subject to an individual or collective impairment assessment.

If the terms of a financial asset are renegotiated or modified or an existing financial asset is replaced with a new one due to financial difficulties of the customer then an assessment is made whether the financial asset should be derecognised. If the cash flows of the renegotiated asset are substantially different, then the contractual rights to the cash flows from the original financial asset are deemed to have expired. In this case the original financial asset is derecognised and the new financial asset is recognised at fair value. The impairment loss is measured as follows:

- If the expected restructuring does not result in derecognition of the existing asset, the estimated cash flows arising from the modified financial asset are included in the measurement of the existing asset based on their expected timing and amounts discounted at the original effective interest rate of the existing financial asset.
- If the expected restructuring results in derecognition of the existing asset, then the expected fair value of the new asset is treated as the final cash flow from the existing financial asset at the time of derecognition. This amount is discounted from the expected date of derecognition to the reporting date using the original effective interest rate of the existing financial asset.

Provision for collective impairment

Provision for collective impairment losses reflects estimates of impairment losses that have been incurred but not identified in the reporting period for a group of loans that have similar credit risk characteristics.

b) Net valuation changes

At each reporting date, the Bank assesses the current status of loans and advances and whether there is any objective evidence of changes in expected cash flows, for example due to differences in estimated and actual payments, changes in the value of collaterals and improvement in the financial situation of debtors. If, in a subsequent period, the amount of an impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised or acquired, the previously recognised impairment loss is reversed. The amount of any reversal is recognised in profit or loss in the line item "Net valuation changes on loans and receivables".

The Bank acquired part of the loans and advances at a deep discount. When loans and receivables are acquired at a deep discount, credit losses already incurred are reflected in the purchase price. The Bank includes such incurred credit losses in the estimated cash flows when computing the effective interest rate.

If the Bank revises its estimate of payments or receipts, the Bank adjusts the carrying amount of the loans and advances, to reflect actual and revised estimated cash flows. If there is any change in expected cash flows, the Bank recalculates the carrying amount of these loans and advances as the present value of the revised estimated future cash flows, using their effective interest rate method. The difference between the revised carrying amount of the loans and their current carrying amount, which includes accrued interest, indexation, foreign exchange differences and actual payments received by the Bank, is recognised in profit or loss in the line item "Net valuation changes on loans and receivables". Upwards changes in estimated future cash flows are first recognised as a reversal of previously recognised impairment losses.

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28. Income tax

Income tax, disclosed as a separate line item in the income statement comprises current and deferred tax from continuing operations, excluding the Bank's share of income tax of the Bank's equity-accounted associates. Income tax from discontinued operations is included in the line item "Profit (loss) from discontinued operations, net of income tax" in the income statement (see Note 87.29).

Income tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity, in which case the Bank recognises it in other comprehensive income or directly in equity, consistent with the recognition of the underlying item to which it relates.

Current tax is the expected tax payable on the taxable income for the year, using tax rates enacted or substantially enacted at the reporting date, and any adjustment to tax payable in respect of previous years.

Deferred tax is calculated based on temporary differences between the carrying amounts of assets and liabilities as presented in the tax return on the one hand, and in the consolidated financial statements on the other, taking into consideration any tax loss carry forwards. This difference is due to the fact that tax assessments are based on premises that differ from those governing the financial statements, mostly because revenues, especially of financial assets, are recognised earlier in the financial statements than in the tax return.

A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. A deferred tax asset is reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, using tax rates enacted or substantially enacted at the reporting date.

Tax assets and tax liabilities are presented separately from other assets and liabilities in the statement of financial position, whereby current tax liabilities are distinguished from deferred tax assets and deferred tax liabilities. However, tax assets and tax liabilities that are part of disposal groups held for sale (see Note 87.13) are included in the line items "Non-current assets and disposal groups held for sale" and "Non-current liabilities and disposal groups held for sale", respectively, in the statement of financial position.

Current tax assets and current tax liabilities are offset in the statement of financial position if the Bank has a legally enforceable right to set off the recognised amounts and intends either to settle on a net basis, or to realise the asset and settle the liability simultaneously. Deferred tax assets and liabilities are offset in the statement of financial position if the Bank has a legally enforceable right to set off current tax assets against current tax liabilities, and the deferred tax assets and the deferred tax liabilities relate to taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously.

29. Discontinued operations

The Bank presents in a separate line in the income statement the profit or loss from discontinued operations, net of income tax. Discontinued operations consist of subsidiaries acquired by the Bank exclusively with a view to resale that meet the criteria to be classified as held for sale (see Note 87.13) from acquisition date.

The profit or loss from discontinued operations consists of (a) the post-tax profit or loss of the subsidiaries acquired by the Bank exclusively with a view to resale, (b) the post-tax gain or loss recognised on the measurement to fair value less costs to sell and on the disposal of the subsidiaries acquired by the Bank exclusively with a view to resale and (c) the post-tax profit or loss from the sale of foreclosed assets held for sale.

30. Offsetting income and expenses

The Bank presents income and expenses on a net basis in the income statement only when required or permitted under IFRSs.

31. Earnings per share

The Bank presents basic and diluted earnings per share (EPS) for its ordinary shares. Basic EPS are calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS are determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares, if any.

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32. Segment reporting

A business segment is a component of the Bank that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Bank's other components. Each business segment is engaged in providing products or services which are subject to risk and return that are different from those of other business segments, and which are subject to regular review by the Bank's Board of Directors and Chief Executive Officer for the purpose of allocating resources and assessing performance.

33. Initial application of new standards and amendments to standards which had an effect on the consolidated financial statements of the Bank

The initial application of the following new standards and amendments to standards which became effective for the Bank on 1 January 2014 affected the consolidated financial statements of the Bank as follows:

- a) IFRS 10 Consolidated Financial Statements changed the definition of control such that the Bank is required to consolidate an investee when the Bank has (a) power over the investee, (b) exposure, or rights, to variable returns from its involvement with the investee, and (c) the ability to use its power over the investee to affect the Bank's returns from its involvement with the investee. The Bank initiated an application project where the potential effect of the initial application of IFRS 10 was examined and documented. The Bank has subsequently determined that the application does not have a material effect on the consolidated financial statements of the Bank.
- b) IFRS 12 Disclosure of Interests in Other Entities integrated in one standard and expanded the disclosures which the Bank must provide in respect of its interests in subsidiaries, associates and unconsolidated structured entities. The initial adoption of IFRS 12 has resulted in more extensive disclosures provided by the Bank in its consolidated financial statements in respect of its interests in subsidiaries (see Note 38) and associates (see Note 36).
- c) IAS 28 Investments in Associates and Joint Ventures (as amended in 2011) prescribes the accounting for investments in associates and sets out the requirements for the application of the equity method when accounting for investments in associates and joint ventures. The initial application of IAS 28 (2011) did not have a material effect on the consolidated financial statements of the Bank.

34. New standards and amendments to standards adopted in advance by the Bank

The Bank did not early adopt any standards or amendments to standards which become effective after 1 January 2014.

35. New standards and amendments to standards which become effective for the Bank for annual periods beginning on or after 1 January 2015 and which have not been adopted in advance by the Bank

The following new standards and amendments to standards which are relevant for the Bank become effective for annual periods beginning on or after 1 January 2015 and have not been early adopted by the Bank:

- a) IFRIC 21 Levies, which provides guidance on when to recognise in financial statements liabilities to pay levies imposed by governments, other than income taxes. IFRIC 21 clarifies that the obligating event that gives rise to a liability to pay a levy is the activity that triggers the payment of the levy, as identified by the relevant legislation. As such, a liability to pay a levy must be recognised progressively if the obligating event occurs over a period of time. However, if the obligating event is the reaching of a minimum activity threshold then the corresponding liability must be recognised when that minimum activity threshold is reached. IFRIC 21 clarifies that an entity does not have a present obligation to pay a levy that will be triggered by the entity operating in a future period. IFRIC 21 will become mandatory for the Bank starting with its consolidated financial statements for the year 2015, with retrospective application required. The Bank does not expect the initial application of IFRIC 21 to have a material impact on its consolidated financial statements.
- b) Annual Improvements to IFRSs (2010-2012 and 2011-2013 cycles), which consist of various non-urgent but necessary amendments to nine international financial reporting standards. The amendments will become mandatory for the Bank starting with its consolidated financial statements for the year 2015, with prospective application generally required. The Bank does not expect the initial application of the amendments to have a material impact on its consolidated financial statements.
- c) Annual Improvements to IFRSs (2012-2014 cycle), which consist of various non-urgent but necessary amendments to four international financial reporting standards. If endorsed by the EU, the amendments will become mandatory for the Bank starting with its consolidated financial statements for the year 2016, with some of them required to be applied prospectively but others retrospectively. The Bank does not expect the initial application of the amendments to have a material impact on its consolidated financial statements.

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- d) Amendments to IAS 16 and IAS 38 – Clarification of Acceptable Methods of Depreciation and Amortisation, which clarify that the use of revenue-based methods to calculate the depreciation of items of property, plant and equipment are not appropriate and that revenue is generally presumed to be an inappropriate basis for measuring the consumption of the economic benefits embodied in an intangible asset. If endorsed by the EU, the amendments will become mandatory for the Bank starting with its consolidated financial statements for the year 2016, with prospective application required. The Bank does not expect the initial application of the amendments to have a material impact on its consolidated financial statements.
- e) Amendments to IFRS 10 and IAS 28 – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture, which address an inconsistency between the requirements in IFRS 10 and those in IAS 28 in dealing with the sale or contribution of assets between an investor and its associate or joint venture. The main consequence of the amendments is that a full gain or loss must be recognised when a transaction involves a business but a partial gain or loss must be recognised when a transaction involves assets that do not constitute a business. If endorsed by the EU, the amendments will become mandatory for the Bank starting with its consolidated financial statements for the year 2016, with prospective application required. The Bank does not expect the initial application of the amendments to have a material impact on its consolidated financial statements.
- f) Amendments to IAS 1 – Disclosure Initiative, which clarify existing requirements in IAS 1 and emphasise the need to apply professional judgement in determining the information required to be disclosed in financial statements. The amendments clarify that materiality applies to the whole of financial statements and that a specific disclosure required by an IFRS need not be provided if the information resulting from that disclosure is not material. Furthermore, the amendments clarify that when an entity decides the manner of presentation of the notes to the financial statements the entity must consider the effect on the understandability and comparability of the financial statements of the entity. The amendments also provide for specific criteria for presenting subtotals on the balance sheet and in the statement of profit or loss and other comprehensive income and require additional reconciliations. If endorsed by the EU, the amendments will become mandatory for the Bank starting with its consolidated financial statements for the year 2016, with retrospective application required. The Bank does not expect the initial application of the amendments to have a material impact on its consolidated financial statements.
- g) IFRS 15 Revenue from Contracts with Customers, which establishes a single comprehensive framework for reporting to users of financial statements information about the nature, amount, timing and uncertainty of revenue and cash flows arising from contracts with customers. IFRS 15 does not apply to revenue arising from financial instruments and lease contracts but it may apply to the fees charged by the Bank which are not part of effective interest rate calculations. The core principle of IFRS 15 is that revenue must be recognised so as to depict the transfer of promised goods or services to customers in an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. Revenue must be recognised in accordance with that core principle by applying a five-step model to determine when to recognise revenue and at what amount. If endorsed by the EU, IFRS 15 will become mandatory for the Bank starting with its consolidated financial statements for the year 2017. The Bank will have a range of options on how to account for any changes in accounting policies which might result from the initial application of IFRS 15. The Bank does not plan to early adopt IFRS 15 and it is currently in the process of evaluating the possible effect of the initial application of IFRS 15 on its consolidated financial statements. More disclosures are however already anticipated.
- h) IFRS 9 Financial Instruments replaces the existing rules in IAS 39 Financial Instruments: Recognition and Measurement and introduces consequential amendments to other standards, such as IAS 1 Presentation of Financial Statements and IFRS 7 Financial Instruments: Disclosures. The key features of IFRS 9 are the following:
- Financial assets are required to be classified into one of three measurement categories, i.e. measured subsequently at amortised cost, measured subsequently at fair value through other comprehensive income or measured subsequently at fair value through profit or loss. The assessment as to how an asset should be classified is to be made at initial recognition. Reclassification between measurement categories is required if the objective of the business model in which the financial assets are held changes after initial recognition and if the change is significant to the entity's operations.
 - A financial asset is classified as being subsequently measured at amortised cost if the contractual terms of the financial asset give rise to cash flows that are solely payments of principal and interest and the asset is held within a business model whose objective is to collect contractual cash flows.
 - A financial asset is classified as being subsequently measured at fair value through other comprehensive income if the contractual terms of the financial asset give rise to cash flows that are solely payments of principal and interest and the asset is held in a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets.

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87. Cont'd

- All other financial assets are classified as being subsequently measured at fair value through profit or loss. In addition, there is an option at initial recognition to irrevocably designate a financial asset as at fair value through profit or loss if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.
- All investments in equity instruments are to be measured subsequently at fair value. Equity instruments that are held for trading will be measured at fair value through profit or loss. For all other investments in equity instruments, an irrevocable election can be made at initial recognition, to recognise unrealised and realised fair value gains and losses, including any related foreign exchange component, in other comprehensive income rather than profit or loss. For such investments there will be no recycling of fair value gains and losses to profit or loss. This election may be made on an instrument-by-instrument basis. Dividends are to be presented in profit or loss, as long as they represent a return on investment.
- IFRS 9 retains the existing requirements in IAS 39 for embedded derivatives where the host is not a financial asset in the scope of IFRS 9, e.g. a financial liability or a lease receivable. However, derivatives embedded in financial assets that are within the scope of IFRS 9 are not to be separated. Instead, the whole hybrid financial instrument is to be assessed for classification in its entirety.
- IFRS 9 retains the existing requirements in IAS 39 for the classification of financial liabilities. For financial liabilities designated at fair value through profit or loss, the amount of change in fair value attributable to changes in the credit risk of those liabilities must, in general, be presented in other comprehensive income, with only the remaining amount of the total gain or loss being included in profit or loss. The amounts presented in other comprehensive income may not be subsequently reclassified to profit or loss but may be transferred within equity. However, if the recognition of gains and losses in other comprehensive income creates or enlarges an accounting mismatch in profit or loss, then the whole fair value change must be presented in profit or loss. Additionally, all fair value gains and losses continue to be included in profit or loss for loan commitments and financial guarantee contracts designated as fair value through profit or loss.
- IFRS 9 replaces the incurred loss model in IAS 39 with an expected credit loss model for calculating impairment on financial assets. The expected credit loss model in IFRS 9 will not apply to investments in equity instruments and financial assets classified as being subsequently measured at fair value through profit or loss. The expected credit loss model in IFRS 9 uses a dual measurement approach, under which the loss allowance for expected credit losses is measured at each reporting date as either 12-month expected credit losses or lifetime expected credit losses, depending on whether there has been a significant increase in credit risk of the financial instrument since initial recognition. Special rules will apply to financial assets that are credit-impaired at initial recognition.
- IFRS 9 includes a new general hedge accounting model, which aligns hedge accounting more closely with risk management. The new model does not fundamentally change the types of hedging relationships or the requirement to measure and recognise ineffectiveness under IAS 39. However, under the new model more hedging strategies that are used for risk management may qualify for hedge accounting. In addition, the effectiveness test has been overhauled and replaced with the principle of economic relationship. Retrospective assessment of hedge effectiveness will also no longer be required. IFRS 9 carries forward guidance from IAS 39 on portfolio fair value hedges of interest rate risk and also allows entities to continue to apply all of the hedging requirements in IAS 39 rather than applying the new general hedge accounting model.
- IFRS 9 introduces new presentation requirements and extensive new and amended disclosure requirements, including requirements for disclosures about transition from IAS 39 to IFRS 9.

If endorsed by the EU, IFRS 9 will become mandatory for the Bank starting with its consolidated financial statements for the year 2018, with retrospective application generally required but subject to specific exceptions. The Bank does not plan to early adopt IFRS 9 but has initiated a formal implementation project to ensure that the Bank will be ready for parallel run in 2017 and for full disclosures with comparatives in 2018. The Bank is currently in the process of evaluating the potential effect of the initial application of IFRS 9 on its consolidated financial statements. Given the nature of the Bank's operations, if endorsed by the EU, the standard is expected to have a pervasive impact on the consolidated financial statements of the Bank in the period of initial application.

Unaudited Appendix: Corporate Governance Statement

The Board of Directors of Íslandsbanki is committed to excellence in corporate governance complying with the applicable regulatory standards and best international practices in the field of corporate governance.

Íslandsbanki's governance practises are consistent with general corporate governance guidelines for entities regulated by official supervisors and regulatory instruments. The regulatory framework for corporate governance practices within Íslandsbanki consists of the law applicable to entities subject to the supervision of the Financial Supervisory Authority (FME) as well as other applicable law and regulations, including those imposed by the FME and the NASDAQ OMX Nordic Exchange in Iceland, available at their websites (www.fme.is and www.nasdaqomxnordic.com). The applicable law includes, inter alia, the Act on Financial Undertakings No. 161/2002, the Act on Securities Transactions 108/2007, the Act on Competition No. 44/2005 and the Act on Public Limited Companies No. 2/1995, which along with the Íslandsbanki's Articles of Association lay the foundation for the Bank's existence and activities. The relevant law is available on the Icelandic legislature's website (www.althingi.is).

Exemplary in Corporate Governance

Íslandsbanki is committed to maintaining high standards of governance complying with best governance practices. Íslandsbanki was recognized as "Exemplary in Corporate Governance" in March 2014 by the Center of Corporate Governance at the Institute for Business Research, University of Iceland. The recognition was awarded following a comprehensive review of the practices of the Board, Board subcommittees and management.

Íslandsbanki has a good governance policy, the Decision Making Matrix, which outlines all major decisions that the Bank may wish to take under given circumstances. The policy is a part of the bank's effort to improve its material actions and enhance stakeholders trust. The Decision Making Matrix sets specific conditions to all major decision making. Furthermore, it sets the requirement that all such decisions are taken with the input of the best qualified parties within the Bank and on the basis of the best available information at the time.

Compliance to Corporate Governance Guidelines

In accordance with Paragraph 3 of Article 19 of the Act on Financial Undertakings No. 161/2002, the Bank is required to comply with accepted guidelines on the governance of financial undertakings. The Board of Directors follows the Corporate Governance guidelines issued in March 2012 (4th ed.) by the Iceland Chamber of Commerce, NASDAQ OMX Iceland and SA-Business Iceland (former Confederation of Icelandic Employers). The guidelines are available on the website of Icelandic Chamber of Commerce (www.vi.is).

Governance practices of the Bank are consistent with the guidelines. Íslandsbanki complies with them in all respects except for certain items in Articles 1.2., 2.10., 5.1. and 5.2.C.1. The following discussion explains the reasons behind these exceptions as well as measures taken in relation to them;

In accordance with Article 1.2. of the guidelines the Chairman of the Board and a required majority of the Board should preferably be present at a shareholders' meeting, together with the CEO. According to the said Article it is also preferable that auditors and not less than one member of the Bank's subcommittees be present, when appropriate. Íslandsbanki has followed this in detail in regards to the Annual General Meeting (AGM), but not in other shareholders' meetings because the bank has not considered it necessary since there are only two shareholders.

According to Article 2.10. of the guidelines it is preferred that the Board establishes a policy of social responsibility and code of ethics. The Executive Board of the Bank adopted a code of conduct for the Bank in January 2011. The Board of Directors has approved of a road map outlining a new Corporate Social Responsibility (CSR) Policy and strategic developmental projects are in progress. Subsequently, the Board will adopt a new CSR Policy.

Article 5.1. of the guidelines stipulates that the rules of procedure of all of the Board's subcommittees shall be posted on the Bank's website. Each subcommittee of the Board of Íslandsbanki operates under the terms of a mandate letter from the Board as well as the Rules of Procedure of the Board which are available on the Bank's website. Furthermore, a description of the role and responsibilities of the Board's subcommittees is provided on the Bank's website which the Board has considered sufficient in this respect.

In accordance with Article 5.2.C.1 of the guidelines the Board may decide to establish a Nomination Committee. Íslandsbanki's Board has not deemed it necessary to appoint a nomination committee.

Main aspects of Risk Management and Internal Control

The Board of Directors has a supervising role monitoring the execution of set policies, the sound control of accounting and financial management and ensures that group internal audit, compliance and risk management are effective at all times.

The management committees; The Executive Board, Risk Committee, Asset and Liability Committee and Investment Committee, are responsible for implementing risk management practises and internal monitoring in accordance with Board authorisation. Under this authorisation, these committees issue detailed guidelines for risk assessment and individual risk thresholds in accordance with the Bank's defined risk appetite.

Group Internal Audit operates independently from other departments in accordance with Article 16 of the Act on Financial Undertakings No. 161/2002. The department provides Íslandsbanki with independent, objective, assurance over the effectiveness of risk management, control and governance processes. The Chief Audit Executive is appointed by the Board and is responsible for internal audit on a group basis.

Unaudited Appendix: Corporate Governance Statement

As a financial undertaking licensed to conduct securities trading and an issuer of listed financial instruments, Íslandsbanki operates a compliance department. The Bank's Compliance Officer is appointed by the CEO, subject to Board confirmation, conferring the department's mandate, in accordance with Article 130 of the Act on Securities Transactions No. 108/2007. The Compliance officer maintains an independent position within the Bank's organisation and is responsible for monitoring and assessing regularly whether the Bank's operations, regarding securities transactions, are in compliance with applicable law. Furthermore, the Compliance Officer is the Bank's responsible officer under the US Foreign Account Tax Compliance Act (FATCA) and is also responsible for compliance with Act on measures against money laundering and terrorist financing No. 64/2006.

As provided for in the Bank's Articles of Association and the Act on Financial Undertakings, the Bank's audit firm shall be elected at the AGM for a term of five years. Deloitte hf. was elected to serve as Íslandsbanki's independent external auditing firm at the 2010 AGM and a new audit firm will be elected at the 2015 AGM.

Further information on risk management and internal control can be found in the bank's annual risk report which is published on its website.

In 2014 Íslandsbanki was found, by the Icelandic Consumer Agency, to be in violation of certain Articles of the expired Act on Consumer Credit no. 121/2014 and Act on Supervision of Commercial Practices and Transparency of the Market No. 51/2007. The Bank disagrees with the agency's decisions and has appealed both cases to the Consumer Appeals Committee. Further information on this, and other legal cases relating to Íslandsbanki, can be found in the notes to the consolidated financial statements.

Íslandsbanki Values, Code of Conduct and Social Responsibility

Íslandsbanki's values are the pillars of the Bank's corporate culture, shaping the conduct and attitudes of its employees. The values insist on employees being professional, disciplined in their working procedures, and following matters through – professional, positive and progressive.

In order to maintain and strengthen the credibility and the reputation of the Bank, all employees were involved in formulating the Bank's Code of Conduct which is available on the Bank's website. The aim of the code is to promote good operational and business practices, increase trust and guide employees in their daily work.

Íslandsbanki seeks to work in harmony with the communities in which it operates, delivering support for its immediate environment in the areas of culture, sports, community affairs as well as entrepreneurship and innovation. This participation in community programmes rests on Íslandsbanki's Corporate Social Responsibility Policy set by the Executive Board. The policy covers five key areas: business, education, environment, human capital, and society. Furthermore, the Bank produces an annual report, Íslandsbanki in the Community: Global Compact, which can be accessed on the Bank's website. For the last six years Íslandsbanki has been a signatory to the UN Global Compact on social responsibility. The compact is a guide for companies on how to be socially responsible in practice. The Board has approved of a road map that outlines a new Corporate Social Responsibility (CSR) Policy and strategic developmental CSR projects are in progress. Subsequently, the Board will adopt a new CSR Policy.

Board of Directors

The Board of Directors comprises seven non-executive directors, and three alternates, elected at each AGM for a term of one year. The Chairman of the Board is elected at a shareholders' meeting. There are no limitations on duration of Board membership.

The Board undertakes the Bank's affairs in between shareholders' meetings unless otherwise provided by law or the Articles of Association. The Board is responsible for the formulation of the Bank's general strategy and instructs the CEO on its further implementation and execution. The Board has a supervisory role in that it oversees that the Bank's organisation and activities are at all times in accordance with the relevant law, regulations and good business practices. The Board appoints the CEO and Chief Audit Executive.

The Rules of Procedure of the Board are adopted in accordance with Article 70 of the Act on Public Limited Companies No 2/1995 and Article 54 of the Act on Financial Undertakings No 161/2002. The Board's current rules of Procedure, adopted 27 August 2013, are available on the Bank's website. According to its Rules of Procedure, at meetings of the Board the presence of at least five members of the Board is required to constitute a quorum. The Board met 13 times in 2014, constituting a quorum each time.

In accordance with the rules governing its activities, the Board appoints subcommittees. Each subcommittee operates under the terms of a mandate letter from the Board as well as the Rules of Procedure of the Board. There are four Board appointed subcommittees:

The Board Audit Committee, comprising three Board members, assists the Board in fulfilling its oversight responsibilities concerning the financial reporting process, the system of internal control, the audit process and the bank's process for monitoring compliance with laws and regulations and its code of ethics. The committee met 11 times in 2014, all of which were valid.

The Board Risk Management Committee, which comprises three Board members, is responsible for assisting the Board in providing oversight of senior management's activities in managing risk relevant to the Bank's operations. It is also responsible for reviewing the Risk Management and Internal Control Policy set by the Board. The committee met 7 times in 2014, all of which were valid.

The Board Strategy Committee, which comprises of four Board members, oversees and approves key issues related to the strategy of the Bank and formulates general policies to effectively implement that strategy. The Committee sets out strategic and financial targets and monitors their progress. The committee met 7 times in 2014, all of which were valid.

Unaudited Appendix: Corporate Governance Statement

The Board Corporate Governance, Compensation and Human Resource Committee, which comprises four Board members, assists the Board in overseeing the development and the regular assessment of the Bank's approach to corporate governance issues and board effectiveness. Furthermore it is responsible for providing oversight regarding compensation and human resource issues. The committee met 7 times in 2014, all of which were valid.

Structure and composition of Board subcommittees is as follows:

	The Board Audit Committee	The Board Risk Management Committee	The Board Strategy Committee	The Board Corporate Governance, Compensation and HR Committee
Fridrik Sophusson				
John E. Mack				
Árni Tómasson				
Helga Valfells				
Marianne Økland				
Neil Graeme Brown				
Dr. Þóránn Jónsdóttir				

 Member  Chair

Members of the Board

Fridrik Sophusson, chairman of the Board, born in 1943 and is an Icelandic national. He holds a Cand. Jur. degree in Law from the University of Iceland. He joined the Board in January 2010. He also serves as board chairman of Hlíðarendi ses. and as an alternative board member of Fondament ehf.

John E. Mack, vice-chairman of the Board, born in 1947 and is a United States national. He has a MBA degree from the University of Virginia, Darden School of business and a B.A. degree in economics from Davidson College. He joined the Board in January 2010. He also serves as board member of Flowers National Bank, Incapital Holdings, Medley Capital Corporation, and Search Light Minerals (SRCH).

Neil Graeme Brown, born in 1959 and is a British national. He has an M.A. degree in classics from Emmanuel College, Cambridge and is an associate at of the Institute of Chartered Accountants (ACA). He joined the Board in January 2010. He is a founding partner of Subito Partners, a London based board advisory and investment business, specialising in private investments and restructuring. He also serves as board member of Gate Group AG, Magma Finance, AVC NEXT- GEN and Euro Car Parts Limited.

Árni Tómasson, born in 1955 and is an Icelandic national. He has a Cand. Oecon degree in business from the University of Iceland and is a state authorized public accountant. He joined the Board in January 2010. He runs his own consulting firm, AT ráðgjöf ehf. and serves as a board member of Reviva Capital S.A., AT Ráðgjöf ehf., Skjaldborg kröfuhafafélag 15 ehf., Skjaldborg Kröfuhafafélag 10 ehf. and Kaffitár hf.

Marianne Økland, born in 1962 and is a Norwegian national. She has a M.Sc. degree in finance and economics from the Norwegian School of Economics and Business Administration. She is the managing director of Avista Partners. She joined the Board in January 2010. She also serves as board member of IDFC and Scorpio Tankers Inc.

Dr. Þóránn Jónsdóttir, born in 1968 and is an Icelandic national. She has a Doctorate Degree in Business Administration from Cranfield University, UK, an MBA degree from IESE Barcelona and a MSc degree in Pharmaceuticals, and is chartered stockbroker. She joined the Board in September 2013. She is the Dean of Reykjavík University's School of Business, managing director and board member of Kaliber ehf., Ísarn ehf., Festi ehf. and Kaupás ehf. An alternate board member of Klak Innovit ehf. and Grunnstöð ehf.

Helga Valfells, born in 1964 and is an Icelandic national. She has a MBA degree from London Business School, UK, and a B.A. degree in Economics and English Literature from Harvard University. She joined the Board in September 2013. She is managing director of NSA Ventures, owner and managing director of Árhólmi ehf., owner and alternate board member of Uggi ehf. Board member of Mentor ehf., Klak Innovit ehf., Transmit ehf., Vesturgarður ehf., Frumtak GP hf. and Azazo hf. An alternate board member of AMP ehf., InfoMentor ehf., Norrænar myndir ehf., Akthelia ehf., FSÍ (Framtakssjóður Ísl) GP hf., Greencloud ehf. and Íslensk nýsköpun ehf.

Alternate members of the Board are three; **Margrét Kristmannsdóttir**, since September 2014, **Gunnar Fjalar Helgason**, since September 2013, and **Jón Eiríksson** since January 2011.

All members of the Board are considered independent from the Bank and large shareholders of the Bank except for Árni Tómasson who is not considered independent from the largest shareholder in the Bank on account of his work for the shareholder during the course of the past three years.

Unaudited Appendix: Corporate Governance Statement

Board Performance Assessment

At least once a year, as provided for in the Board's Rules of Procedure, the Board shall assess its work, procedures and practices. This performance assessment is intended to improve working methods and increase efficiency of the Board. The assessment entails the evaluation of the strengths and weaknesses of the Board's work and practices. This is i.a. based on Board members' self-assessment on whether the Board rules of procedure have been complied with in all respects, status taken of the specific priorities set by the Board regarding risk management and internal control within the Bank as well as a follow up on how certain decisions of the Board have been implemented.

Executive Management

The Chief Executive Officer (CEO) is responsible for overseeing the Bank's daily operations in accordance with set policy and Board decisions. The CEO is also to ensure that the Bank's operations are in compliance with the law and the Articles of Association at all times. The CEO appoints the Bank's Compliance Officer, members of the Executive Board and members of other management committees.

Birna Einarisdóttir is the CEO of Íslandsbanki, born in 1961 and is an Icelandic National. She has a Cand. Oecon. degree in business administration from the University of Iceland and a MBA degree from the University of Edinburgh. Birna has been with Íslandsbanki and its predecessors in various divisions for over 19 years. Previously she was a senior product manager at Royal Bank of Scotland and has worked as a marketing manager for Íslenska útvarpsfélagið and Íslensk Getspá.

Together with the CEO, the Executive Board manages the daily activities of the Bank according to the strategy set out by the Board. It consists of 9 people, including the CEO: **Birna Einarisdóttir**, CEO since October 2008, **Björgvin Ingi Ólafsson**, Managing Director of Relationship Banking since September 2014, **Elin Jónsdóttir**, Managing Director of Asset Management since July 2014, **Jón Guðni Ómarsson**, Chief Financial Officer since October 2011, **Sigríður Olgeirsdóttir**, Chief Operating Officer since September 2010, **Sverrir Örn Þorvaldsson**, Chief Risk Officer since November 2010, **Tryggvi Björn Davíðsson**, Managing Director of Markets since September 2011, **Una Steinsdóttir**, Managing Director of Retail Banking since October 2008 and **Vilhelm Már Þorsteinsson** Managing Director of Corporate Banking since October 2008.

The CEO and management committees are responsible for implementing risk management practices and internal monitoring in accordance with Board authorization. The committees are appointed by the CEO, and their letters of mandate and rules of procedure are approved by the Board:

The Executive Board sets the Bank's policy for operational risk at the group level and supervises reputational risk, business risk and strategic risk as well as the Bank's formal product approval policy.

The Risk Committee manages and supervises lending issues and other counterparty risk, in accordance with the Bank's credit policy and lending rules.

The Asset and Liability Committee monitors other financial risks, such as market risk, liquidity risk, and interest rate risk in the Bank's non-trading portfolio.

The Investment Committee makes decisions on the purchase or sale of equity holdings in companies, as well as other types of investments, including investment funds and real estate.

Further to this three other departments report directly to the CEO; Legal department, Human Resources, and Compliance.

Arrangement of communications between shareholders and the Board

The Board communicates with shareholders in accordance with the relevant laws, the Bank's Articles of Association and the Board's Rules of Procedure. Members of the Board of Directors shall, in their duties and decision-making, safeguard the interests of the Bank and shareholders in accordance with the provisions of Act No. 2/1995, on Public Limited Companies, Act No. 161/2002, on Financial Undertakings, and other current rules and guidelines about the activities of financial undertakings.

Glitnir Bank hf. holds 95% of the share capital in Íslandsbanki through its subsidiary ISB Holding ehf. The remaining 5% is held by the Icelandic government and is administered by Icelandic State Financial Investments (ISFI). Shareholder meetings are the general forum for informing and communicating with shareholders. In between meetings of the Bank's shareholders the Chairman of the Board, on behalf of the Board of directors, is responsible for communications with shareholders.

Shareholders can at any time express their views in relation to the operations of the Bank to the Board of Directors and submit queries to the Board for discussion.

This Corporate Governance Statement was approved by the Board Corporate Governance, Compensation and Human Resource Committee and the Board of Directors on 23 February 2015.

PILLAR 3 REPORT 2014

RISK AND CAPITAL MANAGEMENT — PILLAR 3 REPORT
March 2015

Pillar 3 Report

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ÍSLANDBANKI OFFERS UNIVERSAL BANKING SERVICES

Íslandsbanki is a universal bank with total assets of over ISK 900 billion and a 25–50% market share across all domestic business segments. Building on over 140 years of servicing key industries in Iceland, Íslandsbanki has developed specific expertise in the seafood, energy and offshore service vessel industries domestically and in the North Atlantic region. With over 1,000 employees and an efficient network of 18 branches, Íslandsbanki proudly ranked first among banks in the Icelandic Customer Satisfaction Index (2014), was voted the “Best Bank in Iceland” by Euromoney (2013, 2014) and by the Banker (2014) and the “Best Investment Bank in Iceland” by Euromoney (2014).

Íslandsbanki is majority-owned by Glitnir hf. which holds 95% of the Bank's shares through its subsidiaries. The remaining 5% share is held by the Icelandic Government and is managed by Icelandic State Financial Investments.

Standard & Poor's assigned Íslandsbanki a rating of BB+/B with a stable outlook in April 2014 and revised its outlook to positive from stable in October. The rating is one notch below the rating assigned to the Icelandic Sovereign.

Since its inception, Íslandsbanki has emphasised the importance of mapping out a clear strategic direction for the Bank and developing its business model. Annual Strategy Summits involving the Board of Directors, employees and customers have played a key role in defining particular aspects of the Bank's strategy, such as role, values and vision. The objective of the strategy is to create

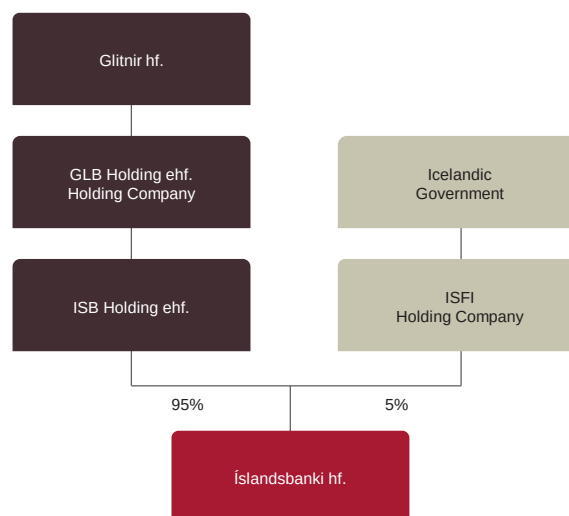


Exhibit 1. Íslandsbanki's ownership structure.

and deliver long-term sustainable value for all stakeholders of the Bank. The strategy is implemented with clear goals throughout the Bank.

More information about the Bank, its activities and strategic direction can be found in the Annual Report 2014.

Key economic parameters	2014	2013	2012	2011
Gross Domestic Product (ISK bn)	1,993*	1,881	1,780	1,703
Economic Growth	1.9%*	3.6%	1.3%	2.4%
General government financial balance (ISK bn)	0.3*	(37.1)	(65.3)	(90.7)
Inflation	0.8%	4.2%	4.2%	5.3%
Policy rate CBI	5.25%	6.0%	6.0%	4.8%
EUR/ISK	154.3	158.5	169.8	158.8
Unemployment	5.0%	5.4%	6.0%	7.1%
Sovereign CDS Spread	150	177	182	317
Bond market turnover (ISK bn)	1,533	1,822	2,324	2,602
Equity market turnover (ISK bn)	292	251	88	60
OMX Iceland 8 GI ISK (Stock Index)	1,377	1,293	1,074	915

Exhibit 2. Key economic parameters over the past four years (EOY). Sources: Central Bank of Iceland, Statistics Iceland and NASDAQ Iceland. *Preliminary figures.

Rating agency	Foreign Currency	Domestic Currency
	LT/Outlook/ST	LT/Outlook/ST
Moody's (Dec. 2013)	Baa3/Stable/P-3	Baa3/Stable/P-3
Standard & Poor's (Jan. 2015)	BBB-/Positive/A-3	BBB-/Positive/A-3
Fitch Ratings (Jan. 2015)	BBB/Positive/F3	BBB+/Positive

Exhibit 3. The Republic of Iceland's Sovereign Credit Rating. Source: Central Bank of Iceland.

CRO REVIEW 2014

Throughout 2014, the Bank was in compliance with its defined risk appetite; all regulatory requirements were fulfilled; and conventional risk measures show that the risk inherent in the Bank's operations is well managed. The restructuring of the Bank's loan portfolio has largely been completed, market risk is modest, liquidity is ample and the capitalisation is well in excess of both regulatory measures and internal targets.

Key economic figures indicate that the economy is in good health but the upcoming wage negotiations and delays and uncertainty related to the lifting of capital controls pose a threat to the system in the short-term. In addition, a successful implementation of the revised European capital requirements directive (CRD IV) and the accompanying regulations will be a challenge for the legislative and regulatory bodies in Iceland, both due to constitutional issues and the scope of the changes that are needed on current legislation to ensure full and complete implementation into Icelandic law. These changes are costly and require extensive expert knowledge within the public bodies managing the implementation in order to contain the cost to the economy while at the same time ensuring that the regulatory environment is at par with international standards.

Capital base and capital requirement

The Bank's capital position continued to improve in 2014, the Tier 1 ratio and total capital ratio were 26.5% and 29.6% compared to 25.1% and 28.4% at the end of 2013. Risk-weighted assets (RWA) increased by ISK 35 billion over the year, mainly due to new lending. At the end of 2014, the Bank's RWA amounted to ISK 695 billion, with 84% related to credit risk, 5% to market risk and 11% to operational risk. The ratio of RWA to total assets is stable around 76%.

The Bank's capital position is strong compared to domestic and European peers and the Bank is well prepared to address proposed changes in international regulation. The current minimum capital target approved by the Board of Directors is 18%. This

target may be revised as more clarity is gained regarding the implementation of the CRD IV into Icelandic legislation.

Credit risk

At the end of 2014, the Bank's total exposure due to credit risk, including both on- and off-balance sheet items, amounted to ISK 898 billion compared to ISK 817 billion at the end of 2013. Loans to customers represent the largest part of the Bank's total credit risk exposure or ISK 638 billion, compared to ISK 558 billion at the end of 2013.

Overall, the credit quality of the loan portfolio has improved as more customers have completed financial restructuring. Non-performing loans as defined by the FME have decreased from 8.3% to 5.9% and loans that are either impaired or more than 90 days past due have decreased from 7.4% to 3.5%. The Bank's cumulative write-offs and remissions in the restructuring of customers' debt in the period 2008–2014 now amount to ISK 588 billion, of which ISK 129 billion is to individuals and ISK 459 billion is to companies.

Market risk

The growth of the domestic financial markets continued in 2014 although at a slower pace than in 2013. The OMX Iceland 8 GI (gross return index) increased by 6.5%. Daily turnover increased by 18%, compared to 50% in 2013. Two new companies were listed on the Icelandic stock exchange and further listings are expected in 2015.

Development of key financial and risk figures	2014	2013	Δ
Total operating income (ISK bn)	42.4	42.6	(0.2)
Profit (ISK bn)	22.8	23.1	(0.3)
Return on equity after tax (ROE)	12.8%	14.7%	(1.9%)
Net interest margin (total assets)	3.0%	3.4%	(0.4%)
Cost to income ratio	57.7%	58.5%	(0.8%)
Total capital ratio	29.6%	28.4%	1.2%
Tier 1 ratio	26.5%	25.1%	1.4%
Total regulatory capital (ISK bn)	205.7	187.3	18.4
Loans to customers (ISK bn)	637.7	558.4	79.3
Loans to individuals (ISK bn)	262.8	255.0	7.8
Total deposits (ISK bn)	555.2	519.0	36.2
Customer deposits / Loans to customers	84.0%	88.2%	(4.2%)
Total risk weighted assets (ISK bn)	695.1	659.8	35.3
RWA / Total assets	76.3%	76.2%	0.1%
LPA metric	5.9%	8.3%	(2.4%)
Impaired loans and past due (>90 days) loans / Loans to customers	3.5%	7.4%	(3.9%)
Net currency imbalance (ISK bn)	26.6	23.7	2.9
Inflation imbalance (ISK bn)	57.5	6.4	51.1
Banking book interest rate sensitivity (Absolute BPV, ISK bn)	0.8	0.3	0.5

Exhibit 4. Development of key financial and risk figures for Íslandsbanki. The Δ column indicates changes from year-end 2013 to year-end 2014.

The contribution of market risk to the Bank's risk-weighted assets increased from 4.4% to 4.8% in 2014. The currency imbalance increased from ISK 23.7 billion in 2013 to ISK 26.6 billion in 2014. The Bank's total equity exposure amounted to ISK 10.5 billion at year-end 2014, compared to ISK 9.2 billion 2013, with most of the increase coming from higher positions in the trading book. New loans and lower inflation-linked liabilities affected both the inflation imbalance and interest rate risk in the banking book in 2014. The inflation imbalance increased from ISK 6.4 billion at the end of 2013 to ISK 57.5 billion at the end of 2014 partly due to increased demand for CPI-linked loans in the current environment of low inflation. Interest rate risk in the banking book, measured as basis-point-value (BPV), nearly tripled over the period although it is still considered modest.

Liquidity risk

The Bank maintained a strong liquidity position throughout 2014. At the end of 2014 the Central Bank adopted the net stable funding ratio (NSFR) for assets and liabilities in foreign currencies into the Icelandic rules on liquidity ratios. The initial minimum for the NSFR in foreign currencies in Iceland is 80%, increasing by 10 percentage points every year, reaching 100% in 2017.

The Bank's LCR ratio was 117% for the parent company and 130% at a consolidated level at the end of 2014. The ratio of total deposits to loans increased from 83% to 85% in 2014.

The Bank issued ISK 8.8 billion in covered bonds in 2014 and expects to issue ISK 10–13 billion per annum over the next few years. In addition, the Bank issued short-term unsecured papers throughout 2014 with an outstanding amount at year-end of just under ISK 5 billion. In 2014 the Bank issued a SEK 300 million tap into its inaugural SEK 500 million Floating Rate Note and the Bank furthermore issued its first Euro-denominated bond of EUR 100 million in May 2014.

Operational risk

In 2014, a total of 334 loss events were registered in the Bank's loss event database. Most of the registered operational risk events occurred without causing a loss. The loss events are categorised according to Basel classification by business line and event type.

The category "External Fraud" accounts for 38% of the number of all loss events. The category however caused only 6% of the total loss amount. The increase in the category is mainly due to enhanced surveillance, increase in credit card frauds reported and an increase in the number of phishing attacks but no losses were registered due to such attacks in 2014.

In 2014, 70% of the total operational risk loss amounts were categorised as "Clients, Products and Business Practices".

Sverrir Örn Þorvaldsson, Chief Risk Officer

1 INTRODUCTION

The objective of Íslandsbanki's Pillar 3 Report is to provide market participants and other stakeholders with information that facilitates a better understanding of the Bank's risk profile and capital adequacy, in accordance with the Basel Pillar 3 disclosure requirements. The Pillar 3 Report provides key information on the Bank's risk governance, risk assessment processes, material risk exposures, capital adequacy and capital composition. In addition, it provides information about the CRD IV implementation in Iceland together with a short introduction to other domestic legislative and regulatory changes. Information about the Bank's remuneration policy and processes is also disclosed in this report.

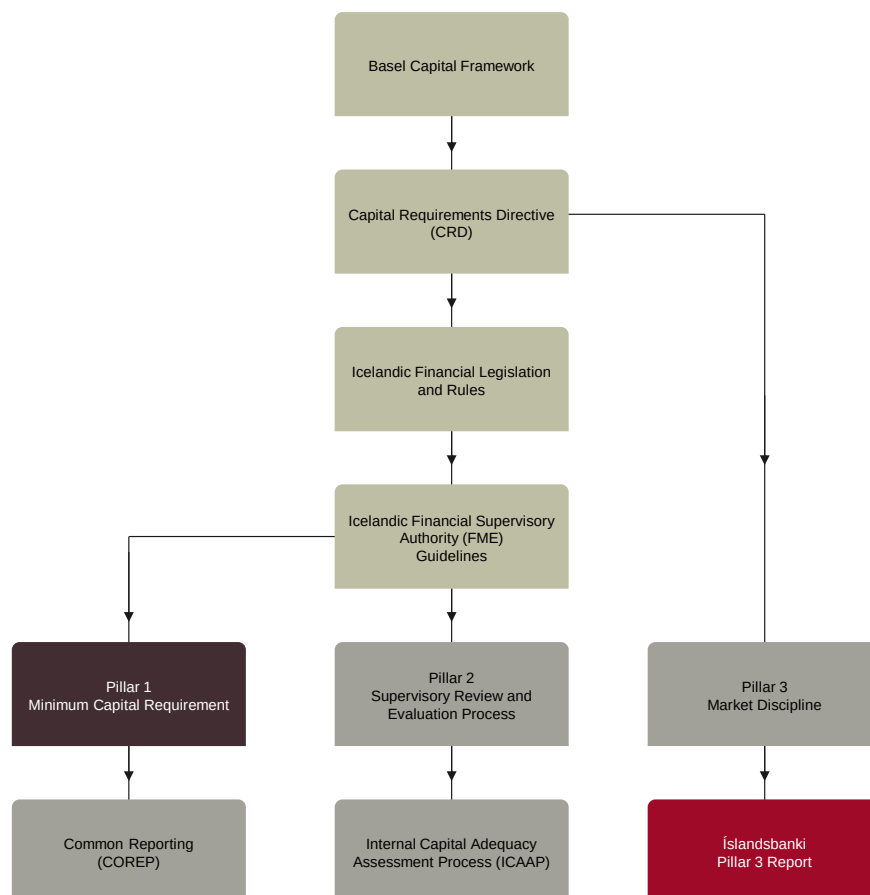


Exhibit 1.1. Regulation overview.

1.1 REGULATORY BACKGROUND

Íslandsbanki's capital management framework is based on the Basel framework and the EU Capital Requirement Directive (CRD).¹ The CRD has been implemented in the European Union (EU). As part of the European Economic Area (EEA) agreement Iceland is required to implement the directive into Icelandic legislation.

The scope of the Basel framework is broken into three pillars:

- Pillar 1 – Minimum capital requirement for credit, market and operational risk.
- Pillar 2 – Supervisory Review and Evaluation Process (SREP) and framework for banks' Internal Capital Adequacy Assessment Process (ICAAP).
- Pillar 3 – Market discipline through disclosure requirements.

This report is intended to fulfil the requirements under Pillar 3. Chapters 2–7 further describe the Bank's approach to Pillar 1 and Pillar 2. Since the Icelandic Financial Supervisory Authority has not issued any guidelines regarding Pillar 3 disclosure, the report is based on the requirements as stated in the CRD. Exhibit 1.1 provides an overview of the capital management regulatory framework under which Íslandsbanki operates.

The Basel Committee on Banking Supervision (BCBS) has introduced a revision of the Basel II framework, generally referred to as Basel III. The implementation of the revised framework within the European Union (EU) through the capital requirements directive, CRD IV, applied from 1 January 2014. The CRD IV framework has not been incorporated into the EEA Agreement, and it may not be possible to enact certain provisions of the directive into Icelandic law due to constitutional restraints. Nonetheless, proposals, at least for partial implementation of CRD IV, have been introduced in the Icelandic parliament in a

¹Capital Requirements Directive (CRD 2006/48&49/EC).

bill amending the law on financial undertakings.² The Central Bank has already adopted the CRD IV liquidity measures into the Icelandic rules on liquidity ratio. Further details about the implementation of the CRD IV can be found in Chapter 3 (Capital Management) and Chapter 6 (Liquidity risk).

1.2 CONSOLIDATION

The Pillar 3 Report applies to Íslandsbanki on a consolidated level, hereafter referred to as “the Bank” or “Íslandsbanki”. The definition of Íslandsbanki on a consolidated level is the same as used in the Consolidated Financial Statement 2014. Names and primary businesses of major subsidiaries at year-end 2014 are listed in Exhibit 1.2.

1.3 DISCLOSURE POLICY

As required under Pillar 3, Íslandsbanki has in place a formal *Disclosure and Communication Policy* approved by the Board of Directors. The policy outlines the governing principles and framework for external disclosure and communication.

Risk and capital management disclosure aims at giving a true and fair view of the Bank’s capital structure and adequacy, material risk exposures and risk assessment processes. Accordingly, Íslandsbanki may decide not to disclose information that is considered to be immaterial. In addition, the Bank will not disclose information that is deemed to be proprietary or confidential. The classification of proprietary and confidential information is based on Icelandic law and regulation as well as the Bank’s own assessment.

The main channel for Íslandsbanki’s risk and capital management disclosure is through the Pillar 3 Report, the Annual Report, the quarterly financial statements and investor presentations. All these documents are available on the Bank’s website, www.islandsbanki.is. The Pillar 3 Report is reviewed annually and published in conjunction with the Annual Report. If material risk exposures change significantly between reporting periods, the Bank can choose to disclose information thereon more frequently.

1.4 VERIFICATION

The Pillar 3 Report has not been audited by external auditors and does not form a part of Íslandsbanki’s audited financial statements. However, it has been appropriately verified internally and includes information from the audited Consolidated Financial Statement 2014.

The Pillar 3 Report has been prepared in accordance with the CRD, rather than in accordance with IFRS. This can cause some discrepancy between financial information in the Consolidated Financial Statement 2014 and information in the Pillar 3 Report 2014. For some parts, figures are only available or relevant on parent level and are clearly marked as such.

The Pillar 3 Report is informative in nature, and should not be interpreted as a recommendation to take, or not to take, any particular investment action. All views expressed herein are those of the authors at the time of writing and may be subject to change without notice. Íslandsbanki holds no obligation to update, modify or amend this report in the event that any matter contained herein changes or subsequently becomes inaccurate. Nothing in this report shall be interpreted as an offer to customers nor is it intended to constitute a basis for entitlement of customers.

²Act No. 161/2002 on Financial Undertakings.

Name	Main Business	Ownership	Country
Borgun hf.	Payment processing	63.5%	Iceland
Íslandssjóðir hf.	Fund management	100%	Iceland
Miðengi ehf.	Asset management	100%	Iceland
Hringur eignarhaldsfélag ehf.	Holding company	100%	Iceland
Allianz Ísland hf.	Life Insurance broker	100%	Iceland
D1 ehf.	Real estate company	100%	Iceland
Geysir Green Investment Fund slhf.	Holding company	100%	Iceland
Fergin ehf.	Holding company	80%	Iceland
Frumherji hf.	Commerce and services	100%	Iceland

Exhibit 1.2. Íslandsbanki’s major subsidiaries at year-end 2014.

2 RISK MANAGEMENT

Risk assessment and the prudent evaluation and pricing of risk are key elements in the Bank's operations. In turn, an efficient risk assessment framework forms the foundation of the Bank's risk and capital management strategy. Íslandsbanki aims for informed decision-making and strong risk awareness throughout the Bank. Risk Management strives to continuously improve its activities by virtue of its expertise and thereby increasing the value of the services and products provided by the Bank.

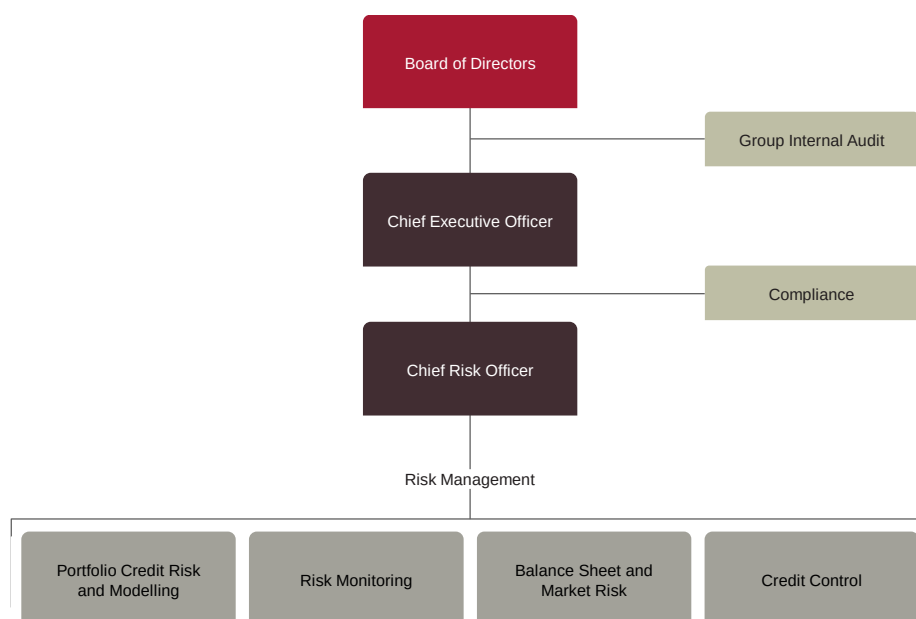


Exhibit 2.1. Risk governance and organisational structure of Risk Management.

2.1 RISK GOVERNANCE AND ORGANISATION

The Bank is exposed to various risk factors and managing these risk factors is an integral part of the Bank's operations. Íslandsbanki has an independent department, Risk Management, headed by the Bank's Chief Risk Officer, with staff of about 40 well educated and experienced employees.

The Bank's risk management and other control functions are organised as shown in Exhibit 2.1.

The Bank's management body has a dual structure, meaning that the Board of Directors has a supervising role and the Chief Executive Officer has responsibility for daily operations.

The ultimate responsibility for ensuring an adequate risk management framework lies with the Board of Directors. The Board defines and communicates the acceptable level of risk through the Bank's *Risk Appetite Statement* and the risk management policies.

The Chief Executive Officer (CEO) is responsible for developing and maintaining adequate and effective risk management and internal control functions within Íslandsbanki. In addition, the CEO appoints the Chief Risk Officer (CRO) as well as other members of the Executive Board, the Risk Committee, the Asset and Liability Committee and the Investment Committee.

The Chief Audit Executive (CAE) is appointed by the Board and directs Group Internal Audit by the Board's authorisation. The Chief Audit Executive is responsible for internal audit matters

within the group, the Bank and its subsidiaries, including outsourced projects. Group Internal Audit provides the Bank with independent, objective assurance and consulting services designed to add value and improve the Bank's operations. It helps the Bank to evaluate and improve the effectiveness of its risk management, controls, and governance processes. Summary reports are regularly submitted to the Board Audit Committee, Board of Directors and external supervisory authorities. Furthermore, Group Internal Audit leads investigations of suspected fraudulent activities in the Bank's operations. Group Internal Audit is not responsible for internal control or its implementation.

The Compliance Officer is responsible for regular monitoring and assessment of the suitability and efficacy of the Bank's measures concerning securities transactions. Its aim is to ensure that the work of the Bank, its Board and employees is consistent at all times with the applicable internal and external regulatory framework and with sound, appropriate business practice. The Board is authorised to entrust the Compliance department with additional tasks if they are in accordance with statutory requirements. The Compliance Officer submits a report to the CEO and the Board at least twice a year.

The Chief Risk Officer (CRO) is a member of the Executive Board and is responsible for the risk management organisation within Íslandsbanki. The CRO heads the risk management department and is responsible for defining the daily tasks of the department and to assess the adequacy of its professional skills. In addition, the CRO is responsible for organising risk management within Íslandsbanki in order to ensure that Íslandsbanki has the right

resources and an appropriate organisation to manage its risks efficiently. This includes risk management functions in branches and subsidiaries.

Risk Management is responsible for maintaining and developing internal directives and frameworks regarding risk management and internal control. The department is also responsible for setting competency standards and for training staff on the Bank's policies, internal directives and frameworks related to risk management and internal control. In addition, Risk Management provides the managers of business units with information and guidance regarding risk management and internal control issues.

Risk Management advises on risk and risk assessment. It develops, maintains and tests risk models and provides other forms of support within its expertise.

Risk Management reports on risk and compliance to limits to internal and external stakeholders and ensures an appropriate escalation in the event of limit breaches.

Risk Management is independent from business lines but provides strategic support aligned with the Bank's business objectives. The existence of an independent risk management department does not absolve management from its responsibility to manage all risks arising in their business and function.

Risk Management is comprised of four units:

2.1.1 PORTFOLIO CREDIT RISK AND MODELLING

The Portfolio Credit Risk and Modelling unit is responsible for measuring, monitoring and reporting on credit risk for all financial assets. This entails developing, maintaining and enhancing risk management models used for credit risk. The unit monitors credit risk limits set in the *Credit Risk Policy* and reports on credit risk to internal and external stakeholders. Any public or formal disclosure by the Bank on credit risk is reviewed by the unit. The Portfolio Credit Risk and Modelling unit does not take part in any individual credit decisions.

2.1.2 RISK MONITORING

The Risk Monitoring unit is responsible for the Bank's operational risk management framework and the development and maintenance of the *Operational Risk Policy*. Risk Monitoring collects operational risk loss event data and facilitates the Risk and Control Self-Assessment (RCSA) process for each business unit. Risk Monitoring measures Key Risk Indicators (KRIs) in order to detect changes in the Bank's operational risk profile. The implementation of the Bank's business continuity management framework is coordinated by Risk Monitoring.

Risk Monitoring performs inspections on the execution of credit processes and procedures in the Bank. Uniform and pre-defined inspections of the execution of all credit processes at individual branches or business units are performed on a regular basis, as well as special investigations on the execution of specific processes throughout the Bank.

Risk Monitoring is responsible for the Bank's quality management framework and the development and maintenance of the *Quality Management Policy*. Support is provided to the Bank's units for various matters regarding quality management, i.e. operational documentation, project management, product approval process and other support to continuous improvement efforts within the

Bank. In addition, Risk Monitoring is responsible for the Bank's data governance framework and the maintenance of the Bank's *Data Policy*.

2.1.3 BALANCE SHEET AND MARKET RISK

The Balance Sheet and Market Risk unit is responsible for the measuring, monitoring and reporting of market risk, liquidity risk and the Bank's capitalisation. This includes reporting to internal and external stakeholders on the respective risk positions.

The unit is responsible for the maintenance of the Bank's *Market Risk Policy* and *Liquidity Risk Policy* and the administration of the Asset and Liability Committee (ALCO) meetings.

The Balance Sheet and Market Risk unit manages the Internal Capital Adequacy Assessment Process (ICAAP), the Pillar 3 Report and maintains the pricing model for loans. The unit provides strategic support to the Markets operations of the Bank as well as to other business units on aspects related to market risk, liquidity risk or capital allocation.

2.1.4 CREDIT CONTROL

The Credit Control unit is responsible for the execution and implementation of the credit process in accordance with the Bank's *Credit Risk Policy* and *Credit Rules*. This entails administration of credit committees and taking part in individual credit decisions at the committee level, ensuring that all credit decisions are in line with the Bank's *Credit Risk Policy* and *Credit Rules*. Credit Control is independent from the business units and provides an objective balance to the credit decision making process.

Credit Control provides support and guidance to business units on credit and credit processing, while interacting with business units on a daily basis on all issues regarding credit. This includes monitoring of watch-list credits, non-performing loans and defaults. Credit Control is responsible for the distressed credit workout process, processing of individual distressed cases, as well as the development and implementation of standardised restructuring solutions.

Credit Control is also responsible for the assessment of specific impairments as well as final write-offs.

2.2 RISK MANAGEMENT COMMITTEE STRUCTURE

Íslandsbanki focuses on sound governance principles and all major decisions go through an internal approval process. This is done in order to ensure that the decisions taken within the Bank fulfil the appropriate requirements at any given time. The responsibilities regarding such decisions are outlined in the Bank's risk policies and the *Decision Making Matrix*. The corporate governance structure is further described in the Annual Report 2014.

The organisational structure for committees governing the different risk factors that the Bank's is exposed to is shown in Exhibit 2.2.

As mentioned, the ultimate responsibility for ensuring an adequate risk management framework lies with the Board of Directors. The Board has appointed four Board Subcommittees as shown in Exhibit 2.2.

The implementation of the risk management practises and internal monitoring in accordance with Board authorisation is delegated to the management committees: the Executive Board,

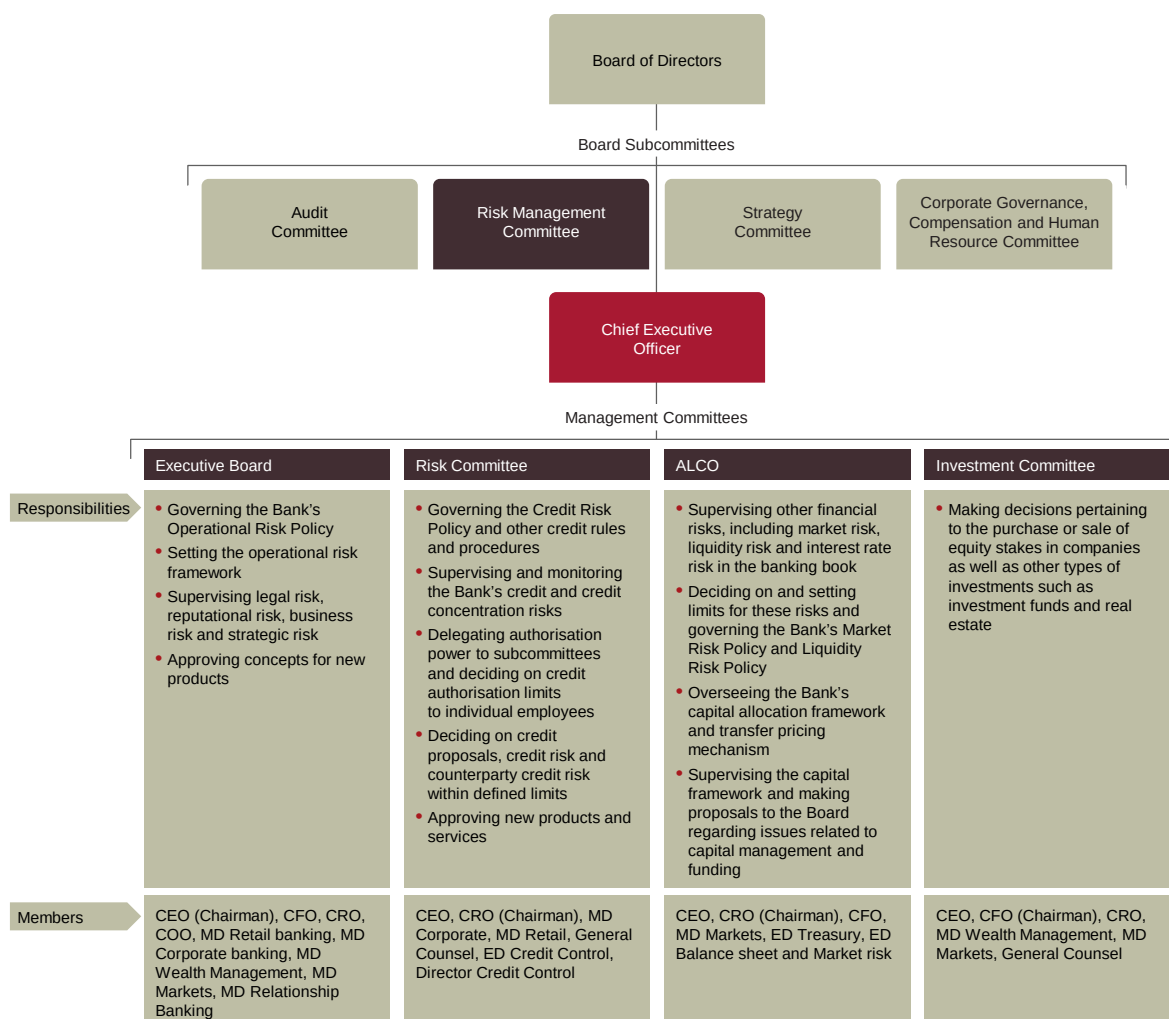


Exhibit 2.2. Risk Management committee structure.

the Risk Committee, the Asset and Liability Committee, and the Investment Committee. Under this authorisation, these management committees issue detailed guidelines for risk assessment and individual risk thresholds in accordance with the Bank's defined risk appetite. The members of the management committees are appointed by the CEO, and their mandate and rules of procedure are documented in a charter.

2.2.1 BOARD SUBCOMMITTEES

Board Audit Committee

The Board Audit Committee, comprising three Board members, assists the Board in fulfilling its oversight responsibilities concerning the financial reporting process, the system of internal control, the audit process, and the Bank's process for monitoring compliance with laws and regulations and its code of ethics. The Audit Committee's remit includes the parent company, its subsidiaries, and the group as a whole.

Board Risk Management Committee

The Board Risk Management Committee, comprising three Board members, is responsible for assisting the Board of Directors in providing oversight of senior management's activities in managing risk relevant to the Bank's operations. It is also responsible for reviewing the *Risk Management and Internal*

Control Policy, Risk Appetite Statement and other risk related policies set by the Board.

Board Strategy Committee

The Board Strategy Committee, comprising four Board members, oversees and approves key issues related to the Bank's overall strategy and formulates general policies to implement that strategy effectively. The committee sets out strategic and financial targets and priorities and monitors their progress.

Board Corporate Governance, Compensation and Human Resource Committee

The Board Corporate Governance, Compensation, and Human Resource Committee, comprising four Board members, assists the Board in overseeing the development and the regular assessment of the Bank's approach to corporate governance issues and board effectiveness. Furthermore it is responsible for providing oversight regarding compensation and human resource issues.

2.2.2 MANAGEMENT COMMITTEES

Executive Board

The Executive Board is responsible for the operational risk framework and governs the Bank's *Operational Risk Policy*.

The operational risk framework covers how operational risk is identified, assessed, measured, monitored, controlled and mitigated in the Bank. In addition, the Executive Board supervises reputational risk, business risk and strategic risk. The Executive Board approves concepts for new products and its approval is a prerequisite for product development according to the Bank's formal product approval process.

Risk Committee

The Risk Committee is responsible for supervising and monitoring the Bank's credit risk and credit concentration risk. The Risk Committee governs the Bank's *Credit Risk Policy* and other credit rules and procedures. The Risk Committee can delegate authorisation power to subcommittees and decides on credit authorisation limits to individual employees.

The Risk Committee and each of its subcommittees have the authority to decide on credit proposals, credit risk and counterparty credit risk within defined limits. Decisions on exposures that exceed committee limits must be referred to a more senior committee. If credit decisions exceed the limit of the Risk Committee then the Board of Directors can grant increased authorisation limits for particular cases.

The Risk Committee is also responsible for final approval of products and services according to a formal product approval process within the Bank as described in Section 7.5.

Asset and Liability Committee

The Asset and Liability Committee (ALCO) supervises other financial risks, including market risk, liquidity risk and interest rate risk in the banking book (non-trading portfolio). ALCO decides on and sets limits for these risks and governs the Bank's *Market Risk Policy* and *Liquidity Risk Policy*. ALCO also oversees the Bank's capital allocation framework and transfer pricing mechanism. The committee supervises the capital management framework and makes proposals to the Board regarding issues related to capital management and funding.

Investment Committee

The Investment Committee makes decisions pertaining to the purchase or sale of equity stakes in companies as well as other types of investments such as in investment funds and real estate.

The Decision Making Matrix

As part of the Bank's commitment to sound corporate governance, the Board adopted Íslandsbanki's *Good Governance Policy*, a decision-making matrix, in 2012. The policy was updated in 2014. The Decision Making Matrix outlines all major decisions that the Bank may wish to take under given circumstances. The matrix sets specific conditions for all major decision-making and requires that all such decisions be taken both with the input of the best qualified parties within the Bank and on the basis of the best information available at the time. This procedure was introduced in order to foster improved decision-making and ensure that decisions taken within the Bank fulfil the appropriate requirements at any given time.

2.3 RISK POLICIES AND REPORTING STRUCTURE

Each year the Board decides on material risk factors within Íslandsbanki and accordingly defines the risk appetite. The Risk

Management department is responsible for identifying the risk inherent in the Bank's operations. The identification is done at business unit level and then consolidated throughout the Bank. The results from the risk identification process are compared to the Bank's risk strategy and risk appetite. For the key risk factors a specific risk policy is defined and approved by the Board of Directors. The need for a specific risk policy is based on the assessment of the proportionality of the respective risk factors to the Bank's operations and business strategy.

Currently, the following four risk types have been defined as key to the Bank's operations and business strategy and their assessment, management and limits are defined in specific risk policies:

- Credit risk (Chapter 4)
- Market risk (Chapter 5)
- Liquidity risk (Chapter 6)
- Operational risk (Chapter 7)

Concentration risk is defined as material but currently managed according to the source of concentration. Concentration risk is considered in the *Credit Risk Policy*, the *Market Risk Policy* and the *Liquidity Risk Policy*.

The Bank has also identified business risk, strategic risk, IT risk, settlement risk and political risk as material to the Bank's operations. These risk types are not covered in separate risk policies, but closely monitored and addressed specifically in the regular ICAAP process.

The governing principles for risk management and internal control within Íslandsbanki are described in the Bank's *Risk Management and Internal Control Policy*.

Exhibit 2.3 provides an overview of the governance of risk management documents issued by the Board of Directors and the reporting lines for the respective risk positions.

Íslandsbanki's *Risk Appetite Statement* is a high level statement of the Bank's risk tolerance and financial targets. The *Risk Appetite Statement* is intended to support the Bank's business strategy by defining limits and targets for core factors in the Bank's risk profile and operations.

The *Risk Appetite Statement* is further implemented through the policies approved by the Board that provide more details for individual risk types. Finally, the risk appetite is translated to specific risk limits that are approved by the relevant management committees.

The strategic targets of the management are further defined in the Bank's business plan, approved by the Board of Directors. The business plan gives a 5-year view for the development of the Bank's operations and provides a basis for stress testing and capital planning.

The Internal Capital Adequacy Assessment Process (ICAAP) aims at identifying and assessing the risk inherent in the Bank's operations and for integrating the Bank's business strategy and business plan on one hand and its risk profile on the other hand. This is to ensure that the Bank at all times holds enough capital to support its risk profile and business strategy.

The *Pillar 2 framework* describes Íslandsbanki's approach for covering the Bank's responsibilities under Pillar 2 in the CRD. The objective of the document is to provide a high level overview of

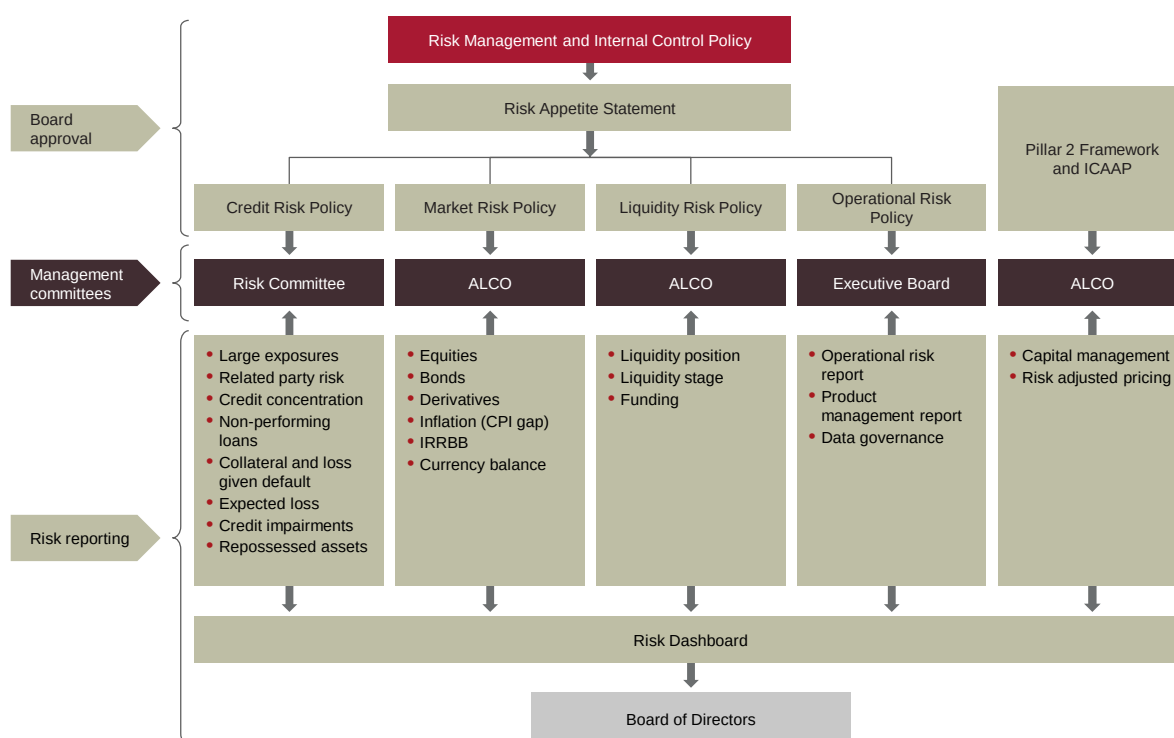


Exhibit 2.3. Risk Management organisational structure subject to Board approval and risk reporting structure.

how each of the Pillar 2 functional components is covered within the Bank's risk management and risk governance framework.

2.3.1 INTERNAL REPORTING

Íslandsbanki aims to have clearly defined and efficient reporting lines to ensure compliance with the approved risk limits and targets. Timely and accurate reporting on material risk factors is an essential part of the risk management and internal control governance. The Bank is continually working on improvements to the technological platform to better support risk management. Since the Bank's establishment, several initiatives have been taken to strengthen the risk governance by putting in place systems and work procedures required to manage and mitigate risk proactively.

Risk Management produces various internal reports. The main recipients of internal reports are the Board of Directors, the Executive Board, the Risk Committee, the Asset and Liability Committee, the Investment Committee and, when applicable, Internal Audit. The frequency varies from daily or intraday reporting on positions that change frequently or are of special concern, to weekly, monthly and quarterly reporting on positions and portfolios that are more stable in nature. At least at every Board meeting, the Board and management receive a *Risk Dashboard* summarising the main risk positions as compared to internal and regulatory limits. The Compliance function has access to all reports to regulators.

2.3.2 EXTERNAL REPORTING

The main official information that the Bank publishes is in the Annual Report, Financial Statements, the Pillar 3 Report, and investor presentations. All of these are available on the website: www.islandsbanki.is/ir.

Business segment	Credit risk	Market risk	Operational risk	Liquidity risk
Retail Banking	✓	-	✓	-
Corporate Banking	✓	-	✓	-
Markets	✓	✓	✓	-
Wealth Management	-	-	✓	-
Treasury	✓	✓	✓	✓
Subsidiaries and Equity Investments	✓	✓	✓	-

Exhibit 2.4. The key material risk factors identified within each business segment.

The Bank's financial accounts are prepared in accordance with International Financial Reporting Standards (IFRS). Regulatory reports are prepared based on the Capital Requirements Directive (CRD) along with discretionary rules and requirements set by the Central Bank (CB) and the Financial Supervisory Authority (FME).

In addition, the Bank works and reports according to the guidelines issued by NASDAQ Iceland for listed companies, since Íslandsbanki is an issuer of listed bonds. The framework for public disclosure regarding the Bank's risk and financial positions is described in the *Disclosure & Communication Policy* issued by the Board.

2.4 MATERIAL RISK ACROSS BUSINESS SEGMENTS

Íslandsbanki offers comprehensive financial services to individuals, households, corporations, municipalities and professional investors in Iceland. The risk inherent in each business segment differs depending on the products and services offered. Exhibit 2.4 shows the key risk factors identified in each business segment.

2.4.1 RETAIL BANKING

Retail Banking operates 18 branches and asset-based financing under the brand name Ergo. The branches provide services to individuals and small and medium-sized enterprises. In addition, the Retail Banking division operates Kreditkort, which is a credit card branch, a call centre and a centralised cash centre.

The main risk within Retail Banking is credit risk in relation to lending activities. Operational risk is inherently a part of the operations but is considered moderate in relative terms. Concentration risk can arise through the lending activity of Retail Banking.

Any market risk, e.g. due to mismatches between assets and liabilities, along with concentration risk in relation to deposits in Retail Banking is transferred to the Treasury department which manages the risk through internal pricing, lending quotas and hedges where applicable.

2.4.2 CORPORATE BANKING

Corporate Banking provides lending and tailor-made financial services to larger companies and professional investors. Furthermore, Corporate banking oversees the Bank's international business in the North Atlantic region where the focus is on the seafood, the offshore supply vessel and the energy industries.

Credit risk and credit concentration risk are the key risk factors for the Corporate Banking unit. As with Retail Banking, any market risk due to mismatches between assets and liabilities in Corporate Banking is transferred to the Treasury department, which manages the risk through internal pricing and lending quotas where applicable.

2.4.3 MARKETS

Markets offer brokerage services in securities, foreign currencies and derivatives as well as providing money market lending and interbank services. The division further offers an extensive range of corporate finance services locally as well as to the international business in the North Atlantic region.

Operational risk is a material risk factor since the volume of transactions is fairly high.

Market risk is mainly related to flow trading and interbank trading activities, including management of the Bank's liquidity portfolio, which is subject to strict limits. Credit risk is mainly related to derivative contracts with customers where collateral positions are valued and monitored intraday. Margin calls are performed when required according to a strict framework.

2.4.4 WEALTH MANAGEMENT

Wealth Management offers a range of wealth and asset management products and services for individuals, corporations as well as for institutional investors through the Wealth Management unit VÍB and the fund management company Íslandssjóðir. Operational risk is the key risk factor within Wealth Management due to transaction volume and obligations towards the customer to invest and administer their assets in line with the agreed investment strategy.

2.4.5 TREASURY

Treasury is a part of the Finance and Treasury department. Treasury is responsible for optimising the Bank's balance sheet in strict adherence to the risk limits set by the Board of Directors. One of the main responsibilities of Treasury is the management of the Bank's funding and liquidity risk. Market risk is also an integral part of Treasury's operations, since mismatches between the Bank's assets and liabilities are managed by Treasury. Operational risk is a material risk factor but is considered moderate in relative terms. Concentration risk is a material risk factor, mainly on the liability side and related to single large depositors or groups of depositors.

2.4.6 SUBSIDIARIES AND EQUITY INVESTMENTS

Subsidiaries and equity investments include equity investments in the banking book and subsidiaries. The main subsidiaries are listed in Exhibit 1.2. The main risks identified are credit risk through the credit card acquirer Borgun and market risk through the equity investments. In addition, operational risk is a key risk factor through their operations and transaction volume.

3 CAPITAL MANAGEMENT

The Bank's capital position continued to strengthen throughout 2014 and at the end of the year the Bank's capital ratio was 29.6%, well in excess of both the Bank's current minimum capital target and regulatory requirements.

The Bank's capital position is strong compared to both domestic and European peers and the Bank is well prepared to address proposed changes in international regulation. The current minimum capital target ratio approved by the Board of Directors is 18%. This target may be revised as more clarity is gained regarding the implementation of the new EU capital requirements directive (CRD IV) into Icelandic legislation.

For the Bank, one of the main challenges over the coming years will be to establish a prudent balance between the Bank's capitalisation and a healthy return on shareholder's equity. However, any decision that would entail reducing the Bank's capital ratios, for example through dividend payments, will be based on an assessment of the Bank's operating environment, the Bank's target credit rating and the credit ratings of the Icelandic sovereign and the Bank's liquidity position taking into account the restrictions inherent in the capital controls and other external factors.

DEFINITION OF CAPITAL

Banks' capital is intended to provide a buffer for unexpected losses or volatility in earnings and thereby provide protection for depositors and other creditors as well as promoting stability of the financial system.

The eligible capital for calculating the capital ratio is defined in law and further outlined in rules and regulations. The Icelandic law, which is based on the European capital requirements directive, defines both the type of capital eligible and restrictions to the reliance on specific instruments.

3.1 STRATEGY, ORGANISATION AND RESPONSIBILITY

The Bank's capital management framework is based on the Basel rules and the EU Capital Requirements Directive (CRD) as adopted into Icelandic law.

The Board of Directors is responsible for the Bank's capital framework and for ensuring that the Bank's capitalisation is adequate in relation to the risk inherent in the operations taking into account the Bank's business strategy and operating environment.

The Asset and Liability Committee (ALCO) supervises the capital management framework and makes proposals to the Board regarding issues related to capital management.

Risk Management is responsible for internal and external reporting on the Bank's capital adequacy. Risk Management is also responsible for the Bank's Internal Capital Adequacy Assessment Process (ICAAP) and for the allocation of capital to individual business units.

Treasury is responsible for the management of the Bank's capital in accordance with the targets set by the Board and is responsible for developing the Bank's dividend policy. Finance is responsible for reporting on the risk-adjusted performance down to individual business units.

3.2 CAPITAL POSITION AND MINIMUM CAPITAL REQUIREMENTS

At year-end 2014 the Bank's total capital base amounted to ISK 206 billion as compared to ISK 187 billion at year-end 2013. Most of the capital base, ISK 184 billion, is comprised of Core Tier 1 capital. In addition, the Bank has issued one 10-year EUR-denominated Tier 2 bond to the Icelandic government. The eligibility of the bond as Tier 2 capital will decrease by 20% in 2015 since the remaining term, at that point in time, is only five years. After that, there is an annual linear decrease by 20% until maturity

in 2019. A breakdown of the Bank's capital base is shown in Exhibit 3.1.

The Bank's minimum capital requirements, the corresponding RWA under Pillar 1 and the resulting capital ratios are shown in Exhibit 3.2. A further description of how the minimum capital requirements are calculated can be found in Section 3.3.1.

Exhibit 3.3 shows the main components contributing to changes in the Bank's risk-weighted assets over the year 2014.

The largest increase in RWA during the year was due to new lending. Increase in market risk positions and a larger currency imbalance also contribute to the RWA growth. The increase in RWA is partly offset by a decrease in non-current assets held for sale and fair value shares.

3.3 INTERNAL CAPITAL ADEQUACY ASSESSMENT AND CAPITAL TARGET

As required in the CRD the Board sets a minimum capital target for the Bank, expressed as the ratio between capital and risk-weighted assets.

The current minimum capital target ratio approved by the Board of Directors is 18%. The target is supported by the Bank's ICAAP results and the views expressed by the FME through the Supervisory Review and Evaluation Process (SREP). This target may be revised as more clarity is gained regarding the implementation of the new EU Capital Requirements Directive (CRD IV) into Icelandic legislation. The building blocks for defining the minimum capital target for the Bank are outlined in Exhibit 3.4 and further described in the following section.

3.3.1 PILLAR 1 MINIMUM CAPITAL REQUIREMENTS

The first pillar of the CRD defines the minimum capital requirements for credit risk, market risk and operational risk. The capital ratio, calculated as the ratio between the capital base and risk-weighted assets, must exceed 8%.

Capital	31.12.2014	31.12.2013
Tier 1 Capital	184,347	165,585
Ordinary share capital	10,000	10,000
Share premium	55,000	55,000
Other reserves	2,535	2,471
Retained earnings	116,288	98,548
Non-controlling interests	1,664	1,299
Tax assets	(521)	(1,275)
Intangible assets	(619)	(299)
Other regulatory adjustments	-	(160)
Tier 2 capital	21,306	21,730
Qualifying subordinated liabilities	21,306	21,890
Other regulatory adjustments	-	(160)
Capital base	205,653	187,315

Exhibit 3.1. Breakdown of the capital base at year-end 2014 and 2013 (ISK m).

Íslandsbanki's capital requirements and RWA	Minimum capital requirements		RWA	
	31.12.2014		31.12.2013	
Credit risk	46,670	583,375	44,155	551,938
Central governments or central banks	76	954	69	865
Regional governments or local authorities	231	2,884	77	968
Administrative bodies and non-commercial undertakings	93	1,162	150	1,874
Financial institutions	632	7,906	799	9,983
Corporates	25,578	319,730	20,517	256,466
Retail	11,998	149,976	11,792	147,395
Secured by real estate property	3,235	40,442	2,777	34,710
Past due items	1,125	14,066	1,617	20,211
Collective investments undertakings (CIU)	5	67	31	392
Property, equipment, non-current assets held for sale and other assets	2,904	36,305	5,191	64,886
Fair value shares, investment in associates and shares held for sale	791	9,884	1,135	14,189
Market risk	2,666	33,327	2,308	28,849
Traded debt instruments	318	3,975	269	3,366
Equity	210	2,620	139	1,739
Foreign Exchange	2,139	26,732	1,900	23,744
Operational risk	6,272	78,401	6,434	78,970
Total	55,608	695,102	52,897	659,758
Tier 1 capital		184,347		165,585
Capital base		205,653		187,315
Tier 1 capital ratio		26.5%		25.1%
Capital ratio		29.6%		28.4%

Exhibit 3.2. Minimum capital requirements, risk-weighted assets and capital ratios at year-end 2014 and 2013 (ISK m).

RISK-WEIGHTED ASSETS

For each of the Pillar 1 risk factors the CRD allows for different methods to be used for calculating the minimum capital requirement and thereby risk-weighted assets (RWA).

Credit risk

The Bank uses the standardised approach for calculating RWA for credit risk under Pillar 1. The RWA for credit risk are derived by

assigning a risk weight, in the range of 0–150%, to the Bank's assets depending on the creditworthiness of the counterparty, the underlying collateral and the type and term of the exposure. The minimum capital requirement for credit risk is then calculated as 8% of RWA.

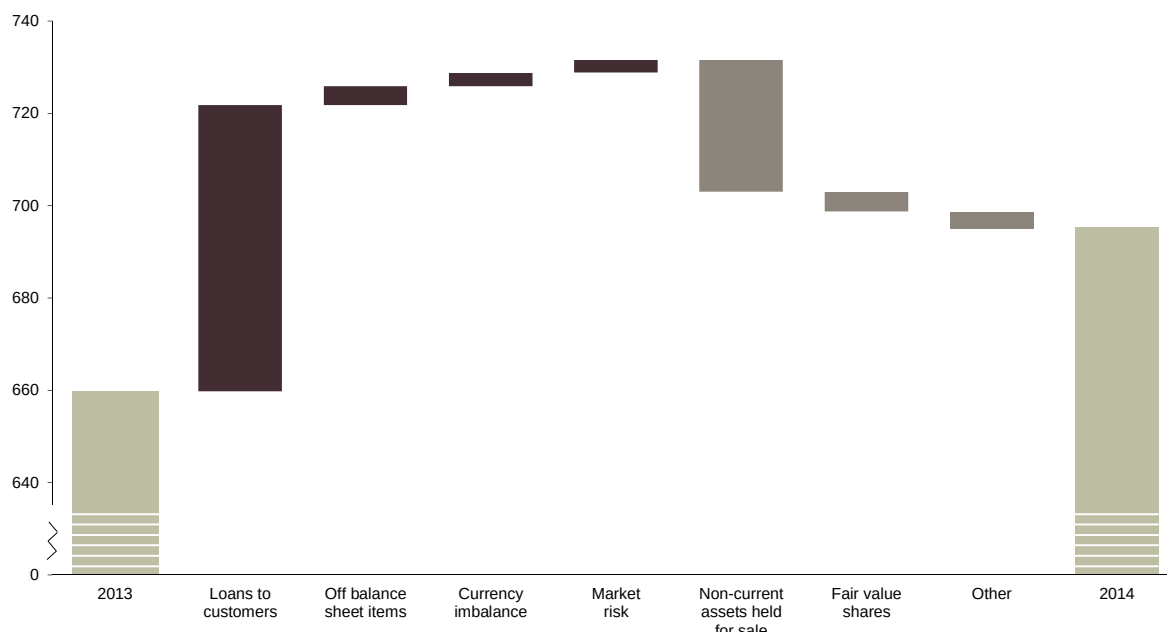


Exhibit 3.3. Changes in risk-weighted assets (ISK bn).

Market risk

The Bank uses the standardised approach for calculating capital requirements for market risk.

For traded debt instruments, the capital requirement is generally in the range of 0–12%, based on the creditworthiness of the issuer and the term of the instrument taking into account netting within each category.

For equities, the capital requirement is calculated by multiplying the net position with a risk charge between 8–12%, depending on the estimated liquidity of the underlying market.

For foreign exchange risk, RWA are calculated as the maximum of the Bank's total long and total short positions in foreign currencies. The minimum capital requirement for foreign exchange risk is then calculated as 8% of the RWA.

Operational risk

Under the Basic Indicator Approach, the minimum capital requirement for operational risk is equal to 15% of the relevant indicator, where the relevant indicator is the average over three years of the sum of net interest income and net non-interest income.

Total risk-weighted assets are determined by multiplying the capital requirements for market risk and operational risk by 12.5 (the reciprocal of the minimum capital ratio of 8%) and adding the resulting figures to the sum of risk-weighted assets for credit risk.

3.3.2 PILLAR 2 ADDITIONAL CAPITAL REQUIREMENTS

The Pillar 1 minimum capital requirements cover uncertainties that affect the banking population as a whole. In addition to the minimum capital required under Pillar 1 further capital might be required under Pillar 2 due to other bank-specific risk factors or due to understatement of the Pillar 1 risk factors.

The main factors contributing to additional capital requirements under Pillar 2 are concentration risk, interest rate risk in the

banking book (IRRBB), equities in the banking book and the inflation imbalance (CPI gap).

The Pillar 2 capital requirement is presented as an add-on to the regulatory capital minimum of 8% as a proportion of risk-weighted assets. The capital requirements under Pillar 1 and Pillar 2 form a baseline capital requirement specific to the Bank and the its capital management aims at ensuring that the capitalisation remains above that baseline level.

3.3.3 CAPITAL BUFFER TO ACCOUNT FOR STRESS EVENTS AND PLANNED GROWTH

The baseline capital requirement is estimated based on normal business conditions. The Bank however needs to make sure that its capital is sufficient to support the business under stressed market conditions taking into account the Bank's business strategy and planned growth.

The Bank's business plan is formulated with a bottom-up approach with the participation of all business units of the Bank. Each business unit prepares its individual business plan based on a baseline economic scenario provided by the Economic Research Unit and the consolidated business plan, approved by the Board, is then used as a basis for stress testing and capital planning.

In order to estimate the size of the capital buffer needed under stress, the Bank's business plan is stressed based on various assumptions relevant to the Bank's risk profile and business strategy. The stress testing process consists of impact assessment for different risk factors and the key drivers of the Bank's operations. The assessment is based both on statistical models and expert judgement.

The additional capital requirements under Pillar 2, the results from the stress testing process and the resulting capital plan constitute the main components of the Bank's ICAAP process and provide an important input for defining the capital target for the Bank.

As a part of the ICAAP process the business units performed a reverse stress test. A key objective of such stress testing is

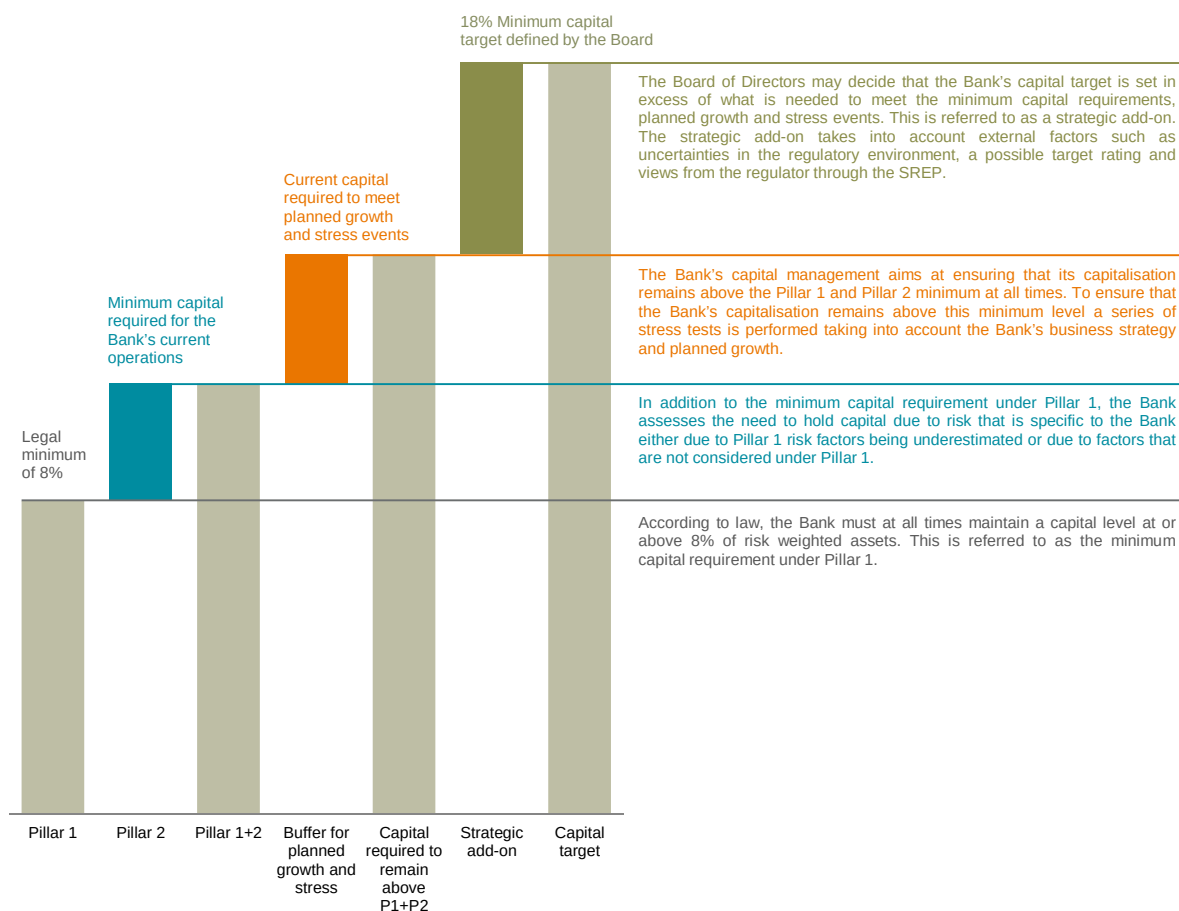


Exhibit 3.4. Building blocks of the Bank's capital target. (Not drawn to scale)

to overcome disaster myopia and the possibility that a false sense of security might arise from regular stress testing in which institutions identify manageable impacts.

Reverse stress testing consists of identifying a significant negative outcome and then identifying the causes and consequences that could lead to such an outcome.

3.3.4 STRATEGIC ADD-ON

The Board of Directors may decide that the Bank's capital target is set in excess of what is needed to meet the minimum capital requirements, planned growth and stress events. The difference is referred to as a strategic add-on in the Bank's capital management framework. The strategic add-on takes into account factors such as uncertainties in the regulatory or operating environment, a possible target rating and views from the regulator through the latest SREP.

3.4 SUPERVISORY REVIEW AND EVALUATION PROCESS

The SREP is an important component of the second pillar of the CRD. Through the SREP the regulator assesses the risk management framework of the Bank and whether the Bank's capitalisation is adequate to its risk profile and business strategy. As part of the SREP, the regulator reviews the Bank's ICAAP report but the review can also include on- or off-site inspections of specific parts of the operations.

Through the SREP, the supervisor has the authority to require institutions to hold own funds due to risk or risk elements not covered by the Pillar 1 minimum requirement. The CRD emphasises that if a supervisor chooses to set target or trigger ratios or to set categories of capital in excess of the regulatory minimum of 8%, factors that may be considered in doing so should be publicly available. Where the capital requirements are set above the minimum for an individual bank, the supervisor should explain to the bank the risk characteristics specific to the bank which resulted in the requirement and any remedial action necessary.

According to the CRD, supervisors will typically require banks to operate with a capital buffer over the baseline capital requirements to anticipate a combination of events that could impact the banks' capital position.

3.5 CAPITAL ALLOCATION

Allocation of capital across business units and individual positions is a key element in the Bank's capital management, pricing and performance measurement. Capital is allocated to all business segments, down to branch or department level, based on each unit's risk exposure. The return on allocated capital is then calculated for each unit as a risk-adjusted performance measure. Exhibit 3.5 shows the average proportional split of allocated capital in 2014.

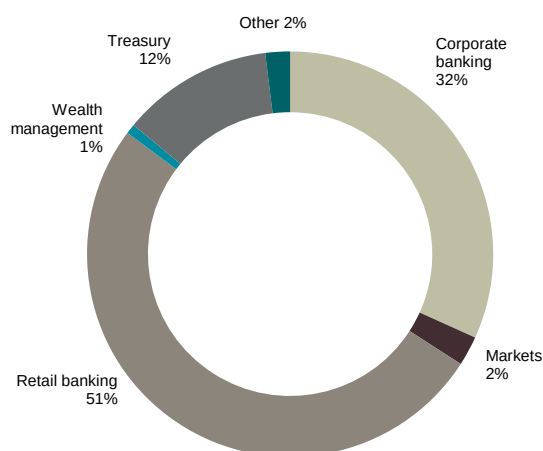


Exhibit 3.5. Proportional split of allocated capital in 2014.

3.6 NEW REQUIREMENTS IN THE CRD IV – CAPITAL BUFFERS

The implementation of the new European Capital Requirements Directive (CRD IV), often referred to as Basel III, into Icelandic law started in 2013 and is still ongoing. The Bank adapts its capital management framework and capital targets to the new rules and regulations as information thereon becomes available. One of the main changes following CRD IV relates to the introduction of various capital buffers. The combined buffer requirement consists of:

- a capital conservation buffer intended to strengthen banks' ability to withstand adverse changes in the environment by requiring them to hold a capital buffer outside periods of stress,
- a countercyclical capital buffer intended to protect the economy from system-wide risk by building up excess capital during periods of excessive credit growth which is then to be released in an economic downturn,
- a systemic risk buffer which is intended to prevent and mitigate long term non-cyclical systemic or macro-prudential risks not covered elsewhere,
- a specific capital surcharge for systemically important financial institutions.

The FME has indicated how the capital buffers will be introduced in Iceland through the SREP.

Exhibit 3.8 displays the different components of capital requirements considered by the FME under CRD IV and a reference range for the utilisation of each add-on component. The exhibit also shows how the FME intends to apply the capital add-on through the SREP and how these requirements interact with the Bank's internal capital target described in Section 3.3.

CRD IV Pillar 1 add-on

New risk weights for financial institutions	598
CVA	284
Equities in the trading book - increased risk weight	70
Cross default	276
Total CRD IV add-on	1,228

Exhibit 3.6. Effects of the changes in Pillar 1 in CRD IV (ISK m).

	2014	2013
Tier 1 capital	185	166
Total exposure	945	891
RWA	695	660
Total assets	911	866
Leverage ratio	19.5%	18.6%
RWA/ Total assets	76.3%	76.2%

Exhibit 3.7. Leverage ratio and RWA over total assets (ISK bn).

3.7 NEW REQUIREMENTS THROUGH CRD IV – INCREASE IN RISK-WEIGHTED ASSETS

As a part of the CRD IV implementation, the standardised Pillar 1 capital requirement calculations will be revised. The main components are a new method to determine risk weights for financial institutions where the rating of the institution is used instead of the sovereign rating; Credit Valuation Adjustment (CVA), an additional capital charge to cover the risk of mark-to-market losses on the expected counterparty risk; increased risk weight for equities in the trading book and cross default for corporates instead of facility based defaults in the current calculations. Exhibit 3.6 shows the changes in Pillar 1 capital requirements in relation to the CRD IV implementation, based on year-end 2014 positions.

3.8 NEW REQUIREMENTS THROUGH CRD IV – LEVERAGE RATIO

The leverage ratio is a new measure introduced in the CRD IV, supplementing the risk-based capital requirements. It is intended to prevent excessive leverage of the balance sheet. The leverage ratio is not risk based and is calculated as Tier 1 capital over total exposure, which consists of total assets and adjusted off-balance sheet exposures. Because the Bank uses the standardised approach to calculate capital requirements, the ratio between risk-weighted assets and total assets is relatively high. The new leverage ratio is therefore not expected to be restrictive in any way for the Bank. Currently, no minimum has been set for the leverage ratio under the CRD. Exhibit 3.7 shows the leverage ratio at year-end 2014 and 2013 as well as the ratio between RWA and total assets.



Exhibit 3.8. Capital buffers and capital target. *Under special circumstances the requirement can be higher.

REGULATORY CHANGES

The implementation of the CRD IV into Icelandic legislation started in 2013 and is still ongoing. The Bank adapts its capital management framework and capital targets to the new rules and regulations as information thereon becomes available.

Other new regulatory changes in 2014 had a limited impact on the Bank's capital management.

4 CREDIT RISK

The Bank undertakes credit risk by offering loans, guarantees and other credit products. Credit risk is the primary risk factor in the Bank's operations and taking on credit risk is a core activity of the Bank.

The Bank has policies and procedures dedicated to accepting, measuring and managing credit risk. The objective of the Bank's credit risk management is to achieve an appropriate balance between risk and return and to minimise potential adverse effects of credit risk on the Bank's financial performance.

At the end of 2014 the Bank's total exposure due to credit risk amounted to ISK 898 billion compared to ISK 817 billion at the end of 2013. This represents an increase of 10%.

Although the lending environment in Iceland has been quite competitive, the loan portfolio grew by almost 15% in 2014. New loans and refinancing exceeded instalments and other redemptions. A part of the growth comes from large loans to new and existing customers. As a result, the Bank now has one large exposure that amounts to 12% of the capital base. The Bank has emphasised to adhere to its prudent underwriting standards despite increased competition in the lending market, and pricing, as always, is risk based.

The credit quality of the loan portfolio continued to increase as more customers have received financial restructuring resulting in an improved financial standing. The LPA metric drops from 8.3% to 5.9% and loans that are either impaired or more than 90 days past due are down to 3.5% which is lower than the median for European banks.

The Bank's cumulative write-offs and remissions in the restructuring of customers' debt in the period 2008–2014 now amount to ISK 588 billion, of which ISK 129 billion is to individuals and ISK 459 billion is to companies.

This chapter includes a description of the Bank's credit process, risk assessment models and a detailed breakdown of the loan portfolio which gives an indication of concentration and credit quality. In particular, the chapter contains a discussion on things to consider when defining non-performing ratios and graphs that show the development of three such ratios. The Bank's write-offs and remissions are disclosed as well as the capital required to absorb both expected and unexpected credit loss in the future.

DEFINITION OF CREDIT RISK

Credit risk is defined as current or prospective risk to earnings and capital arising from an obligor's potential failure to meet the terms of any contract with the Bank or otherwise fail to perform as agreed. This risk comprises credit concentration risk, default risk, recovery risk, country risk and settlement risk.

Credit concentration risk is the increase in risk that is driven by common underlying factors, e.g. sector, economy, geographical location, type of financial instrument or due to connections or relations among counterparties. This includes large individual exposures to parties under common control and significant exposures to groups of counterparties whose likelihood of default is driven by common underlying factors.

4.1 STRATEGY, ORGANISATION AND RESPONSIBILITY

The Bank's strategy is to maintain a modest credit risk profile. At a consolidated level the Bank aims to have long-term average annual credit losses less than 0.9% of the loan portfolio. This risk appetite is reflected in the credit risk limit structure and guided through the use of credit risk assessment models.

Credit risk activities are controlled through exposure limits applied to counterparties, countries and sectors and with limits specific for different products.

The Bank's credit process is based on a committee structure shown in Exhibit 4.1. The Risk Committee is responsible for supervising and monitoring credit and counterparty risk and governs the Bank's credit rules and procedures. The Risk Committee appoints credit committees and allocates credit authorisation limits to its subcommittees and to individual employees. The Risk Committee handles credit cases in accordance with the authorisation limit set by the Board.

Branch managers and credit managers are assigned credit authorisation limits. If a proposed customer exposure exceeds

the credit authorisation limit of the manager handling the case, the credit proposal is taken to a committee that has sufficient authorisation to approve the proposal. All credit decisions at the individual authorisation level are based on the four eyes principle, where at least two authorised employees must approve each decision. All credit decisions are documented and registered.

The Credit Control unit is responsible for the execution and implementation of the credit process in accordance with the Bank's *Credit Risk Policy* and *Credit Rules*. The Risk Monitoring unit performs inspections on the execution of credit processes and procedures in the Bank. The Portfolio Credit Risk and Modelling unit is responsible for measuring, monitoring and reporting on credit risk. Further details on the Risk Management organisation structure can be found in Chapter 2.

The Bank's Credit Rules outline the general principles governing loans, guarantees and other products that expose the Bank to credit risk. All credit decisions are based on a careful evaluation of the inherent credit risk involved, the customers' financial standing, future projected cash flows and overall creditworthiness. Trust

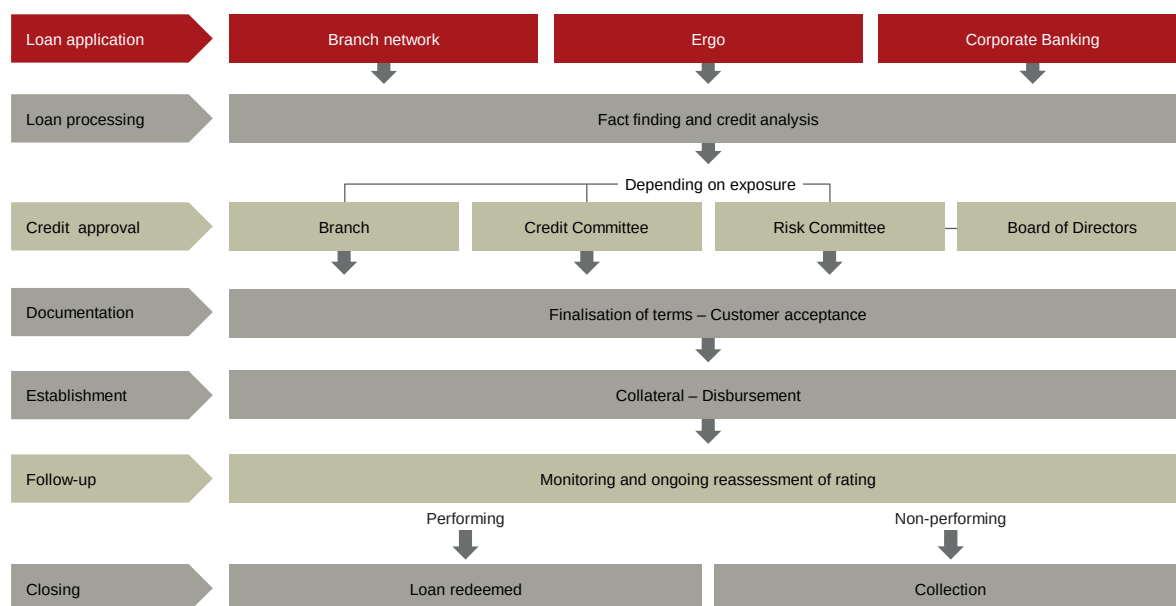


Exhibit 4.1. Schematic overview of the Bank's credit process.

between the Bank and its clients is a prerequisite for all lending. Sufficient collateral alone cannot justify lending to customers with insufficient payment capacity.

To mitigate risk the Bank requires collateral that is appropriate for the product offered. For some products, e.g. relatively small overdrafts to individuals, no collateral is required. Since the Bank does not seize collateral unless a borrower faces serious repayment difficulties, the valuation of collateral focuses on its future expected value at the time of default. The Risk Committee has appointed a Collateral Board and a Quota Board that review and propose guidelines for the valuation of collateral and pledged assets. The objective is to ensure that the valuation of collateral is co-ordinated throughout the Bank.

The main types of collateral accepted by the Bank are commercial and residential real estate, fishing vessels, vehicles and financial collateral. The potential correlation between collateral value and the obligor's financial condition is taken into consideration.

4.2 MEASUREMENT AND MONITORING

To ensure that the Bank charges an adequate interest rate and that it has sufficient capital reserves to ensure long-term sustainability, the Bank estimates expected and unexpected losses of its loan portfolio.

The Bank charges the long-term expected credit loss on the loan portfolio from its customers as a part of the loan's interest rate margin. Due to various underlying factors which make obligors correlated, the actually experienced annual losses can fluctuate significantly around the long-term average, sometimes up to an order of magnitude. These correlations may be due to common dependencies on macroeconomic factors or due to business relations between individual obligors. In order to be able to cover these unexpected losses at any time, the Bank holds a substantial capital buffer against these fluctuations. The required return on this capital buffer as expected by the shareholders also needs to be covered by the loan's interest rate margin.

The annual expected loss (EL) for a single obligor depends on the probability that the obligor defaults within the horizon of one year (PD), the expected exposure at time of default (EAD) and the loss given default (LGD), expressed as a fraction of the exposure at default:

$$EL = PD \cdot LGD \cdot EAD.$$

The unexpected portfolio loss, on the other hand, strongly depends on correlations between obligor defaults within the portfolio. Its estimation requires either simplifying assumptions about the default correlations within the portfolio, as made in the Basel regulations, for example, or an application of numerical simulation techniques. In the annual Internal Capital Adequacy Assessment Process (ICAAP), the Bank is required to test whether these simplifying assumptions are met and to revise its estimates if needed.

4.2.1 PROBABILITY OF DEFAULT (PD)

Obligors are in default according to the Bank's definition when they are more than 90 days past due on a material credit obligation or when a specific credit impairment has been recognised. Note that the definition is on the obligor level rather than the facility level.

The way an obligor's probability of default is assessed depends on the obligor type. Exhibit 4.2 shows the methods used to assess the risk of different obligor types and the corresponding number of obligors and relative size of exposure.

The Bank uses internal rating models to assess the default probability of companies and individuals. The rating of large companies is based on a company's most recent financial statement, together with a qualitative assessment of its management, market position and industry sector. The model assigns each obligor to one of ten risk classes. Risk class 10 is for obligors in default and risk classes 1-9 for other obligors.

For individuals and small companies the Bank uses two different statistical rating models. A small company is here defined as a company with a total exposure to the Bank of less than ISK 150

Obligor type	PD assessment	Number of obligors	Exposure
		(count)	(%)
Individuals	Statistical model	90,000	29.2
Small companies	Statistical model	8,900	9.5
Large companies	Hybrid model	430	36.1
Foreign banks	External rating agencies	42	4.7
Regional governments	Expert model	23	1.6
Sovereigns	External rating agencies	11	18.8
Public sector entities	Expert model	9	0.1

Exhibit 4.2. Methods used to assess the default risk of different obligor types, number of obligors and relative size of exposure. Parent.

Risk group	Risk class	Large companies	Small companies	Individuals
		(%)	(%)	(%)
Low	1	0.3	0.2	0.1
	2	0.4	0.4	0.2
	3	0.8	0.8	0.3
	4	1.3	1.7	0.5
Medium	5	2.3	2.7	1.3
	6	4.1	5.0	2.5
Increased	7	7.1	8.5	5.3
	8	12.5	17.0	10.6
High	9	21.8	41.1	32.0

Exhibit 4.3. Average long-term PD levels per risk class for the different rating models.

million. These models are behavioural scoring models and use information about a customer's payment history, amount of debt, deposits and demographic variables to assess the probability that a customer will default on any of his obligations within 12 months of the rating assessment.

Exhibit 4.3 shows the mapping from risk classes to default probability (PD) for the three different rating models. The PD corresponds to the observed long-term average default rate.

Note that PD values are relatively high in international comparison, especially for individuals and small companies. This is however not necessarily a reflection of a worse portfolio quality but rather an indication that the 90-day past due criterion is too sensitive as an indicator of payment difficulties for Icelandic payment behaviour and a consequence of the definition of default being on the obligor level. Generally, when loans go more than 90 days past due, they become performing again without any action taken by the Bank. Individuals that have a history of being more than 90 days past due in the last 12 months have a higher probability to default again. Further discussion on the risk profile is found in Section 4.7.

4.2.2 LOSS GIVEN DEFAULT (LGD)

The loss given default mostly depends on the collateralisation but in many cases defaulted customers become performing again without the need to seize collateral. This is a reflection of the payment behaviour discussed above. To take historically observed loss experience into account, while also allowing for a risk-sensitive differentiation of the portfolio, loss given default (LGD) is therefore modelled using loss severity and implied loss rate:

$$\text{LGD} = \text{loss rate} \cdot \text{loss severity}.$$

Loss rate is the probability that the Bank will need to seize collateral or experience a loss given that the obligor defaulted. Loss severity is the percentage of exposure at default that is lost in the case of loss or repossession of collateral. The loss rate is assumed to be the same for all assets within the same asset class but the loss severity depends on the collateral allocated to a particular loan. The asset classes used are mortgages, leasing and other loans to individuals, small companies and large companies.¹

Loss severity is computed from allocated collateral using a scenario-based approach, where different economic scenarios are assumed to occur with certain probabilities. For each scenario, collateral type dependent haircuts are applied to current collateral valuations and the resulting amounts are allocated to eligible exposures by minimising the total uncollateralised exposure amount subject to constraints imposed by the collateral agreements. These haircuts take cost of sales, depreciation of value and discounting of recovery cash flows into account.

The implied loss rate is inferred from historical loss experience and loss severities based on current collateralisation levels and the loss parameters. This takes the historical long-term losses into account while allowing for a risk-sensitive differentiation of the portfolio.

To model exposure at default, the Bank applies the supervisory credit conversion factors (CCF) stipulated by Basel to unutilised amounts:

$$\text{EAD} = \text{drawn amount} + \text{CCF} \cdot \text{undrawn amount}.$$

Having obtained the risk parameters PD, LGD and EAD, the expected loss can be computed. Exhibit 4.4 summarises the results for the performing part of the loan portfolio at year-end 2014. Loans to banks, sovereigns and regional governments are excluded from this analysis.

4.3 CREDIT CONCENTRATION

The Bank monitors credit concentration risk which arises from an unequal distribution of exposure to single borrowers, industry or geographic sectors. The portfolio concentration is both monitored with so called Herfindahl-Hirschmann Indices and relative to limits set in the *Credit Risk Policy*.

¹The Bank does not yet use an internal LGD model for loans to regional governments, sovereigns and banks.

Asset class	EAD	Loss rate	Severity	LGD	EL
	(% of portfolio)	(%)	(%)	(%)	(%)
Individuals – Mortgage	27.7	23	16	4	0.3
Individuals – Leasing	1.5	28	21	6	0.7
Individuals – Other	10.5	26	71	18	2.3
Small companies	10.6	29	47	14	1.7
Large companies	49.6	35	36	13	0.4
Total	100.0				0.7

Exhibit 4.4. Exposure at default (EAD), loss rate, severity, loss given default (LGD) and expected loss (EL) for various asset classes. Only the performing part of the portfolio is considered here. Parent.

4.3.1 BORROWER CONCENTRATION

The Bank actively seeks to limit large exposures. A large exposure is defined as an exposure to a group of connected clients that is 10% or more of the Bank's regulatory capital. The exposure is evaluated both gross and net of eligible credit risk mitigating effects according to FME rules no. 625/2013. When assessing the exposure, both on-balance sheet items and off-balance sheet items from all types of financial instruments are included.

The Bank has internal criteria that define connections between clients. These criteria reflect the Bank's interpretation of Article (1)(a) in Law no. 161/2002 on Financial Undertakings, where groups of connected clients are defined.

At year-end 2014, the Bank had one large exposure amounting to 12% of its capital base. In particular, no large exposure is above the maximum 25% single large exposure limit set by the law.

The Bank seeks to minimise borrower concentration risk and has an internal limit on the aggregated exposures to the 20 largest groups of connected clients. The usage of this limit is reported internally on a monthly basis.

4.3.2 INDUSTRY SECTOR CONCENTRATION

The Bank's industry sectors are groups of entities that have similar primary activities, underlying risk factors and behaviour characteristics. A see-through principle is applied for holding companies that own other companies but do not produce goods or services, i.e. the holding company can be classified in the same sector as its investments and not as an investment company.

The Bank has limits on both the exposure to any single economic industry sector as well as the aggregated exposure to the three largest economic industry sectors as a percentage of the Bank's total credit exposure. Exposure to retail individuals, as a separate economic industry sector, is also considered separately. These concentrations are reported internally on a monthly basis.

4.3.3 GEOGRAPHIC CONCENTRATION

Country risk is the risk of losses that may occur due to economic difficulties or political unrest in countries to which the Bank has exposures. Country risk includes political risk, exchange rate risk, economic risk, sovereign risk and transfer risk, i.e. economic factors that could have significant influence on the business environment.

Specific geographical limits are established to manage country risk. The geographical limits apply to the country from where the credit risk arises. Iceland is considered to be a home market and is as such not subject to geographical limits. The usage of these limits is reported internally on a monthly basis.

4.4 SETTLEMENT RISK

Settlement risk is the risk that a party will fail to deliver on the terms of a contract at the time of settlement. Settlement loss can occur because of a default at settlement and because of any timing differences in settlement between two parties. The amount at risk or the potential loss is the principal of the transaction.

To mitigate settlement risk on counterparties, the Bank utilises the services of clearing houses and also applies the general rule of delivery versus payment. If such a rule is not applicable due to the nature of the business relationship, a settlement limit is assigned to the counterparty to limit the risk.

4.5 LOAN PORTFOLIO EXPOSURES

Credit risk exposure comprises both on-balance sheet and off-balance sheet items. Exposure to credit risk for on-balance sheet assets is the carrying amount as reported in the Consolidated Financial Statements before the collective impairment is subtracted. The exposure for off-balance sheet items is the amount that the Bank might have to pay out against financial guarantees and loan commitments, less the provisions the Bank has made because of these items. Because of off-balance sheet items the credit exposure does not reconcile with the carrying amount in the Consolidated Financial Statements. For capital requirement purposes, credit conversion factors are applied to guarantees and undrawn commitments. For derivative contracts the exposure is calculated by adding expected future credit exposure to the market value of the contract. The Bank currently has no credit exposure to securitisation.

Exhibits 4.5 and 4.6 show the main sources for credit risk and asset risk at year-end 2013 and 2014. Exhibit 4.7 shows the development of credit risk from year-end 2012. Asset risk is further explained in Section 4.11.

4.5.1 LOANS TO CUSTOMERS

Loans to customers, both individuals and companies represent the largest part of the Bank's credit risk exposure. At year-end 2014 the loan portfolio was ISK 638 billion, having grown from ISK 558 billion at year-end 2013. The growth is mainly due to new lending to new and existing customers. The new lending surpasses instalments, repayments, write-offs and other items such as changes in overdrafts and credit cards. Exhibit 4.8 shows the development of the loan portfolio through the year 2014.

Credit risk	31.12.2014	31.12.2013
Loans to customers	637.7	558.4
Balances with the Central Bank and loans to credit institutions	138.5	155.9
Bonds and debt instruments	87.3	75.2
Guarantees and undrawn commitments	30.0	24.7
Derivatives	4.1	2.4
Total	897.6	816.5

Exhibit 4.5. The main sources for credit risk at year-end 2014 and 2013 (ISK bn). Consolidated.

Asset risk	31.12.2014	31.12.2013
Reposessed assets held for sale	8.6	10.7
Assets of disposal groups classified as held for sale	13.1	36.4
Total	21.6	47.1

Exhibit 4.6. Asset risk at year-end 2014 and 2013 (carrying amount, ISK bn). Consolidated.

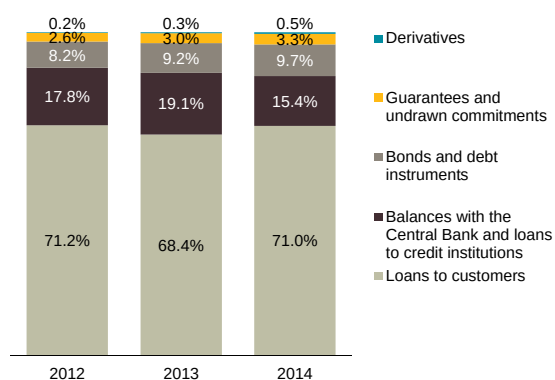


Exhibit 4.7. Credit risk at year-end 2012–2014. Consolidated.

Currency Composition of Loans to Customers

As a principle, the Bank aims to have the currency composition of loans to customers in balance with customer needs. In particular, loans to customers whose income is predominantly in ISK should be denominated in ISK. The Bank has actively been working on aligning its customers' currency balances through recalculation and principal adjustment of foreign currency loans. Exhibit 4.9 shows a breakdown of loans to customers by industry sector and three currency and indexation types. Exhibit 4.10 shows the development of the currency composition of customer loans from year-end 2012 to 2014.

Loans to Individuals

Loans to individuals amounted to ISK 263 billion at the end of the year 2014 compared to ISK 255 billion the year before. New loans and refinancing amounted to ISK 40 billion in the year 2014.

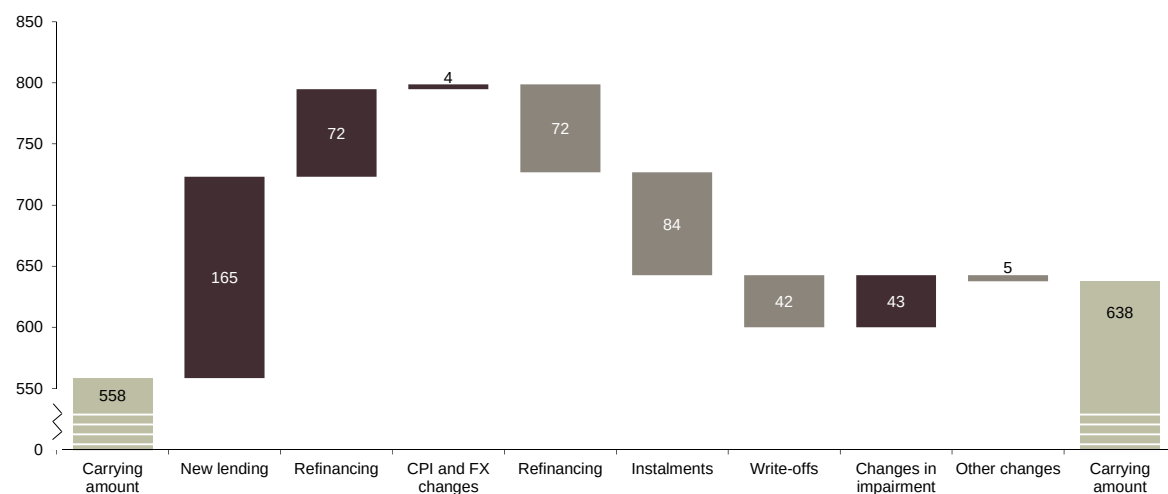


Exhibit 4.8. Loan bridge showing the main sources of changes in carrying amount from year-end 2013 to year-end 2014. Outstanding loans that are refinanced within the Bank are shown both as an increase and a decrease in the carrying amount. The effect of facilities that do not have a fixed repayment schedule such as overdrafts and credit cards is in Other changes. (ISK bn). Consolidated.

Industry sector	Non-indexed	CPI-linked	Foreign currency	Total
Individuals	123.2	139.0	0.7	262.8
Commerce & services	67.6	9.7	2.3	79.7
Construction	14.2	2.6	2.0	18.8
Energy	6.1	0.9	0.4	7.3
Financial services	0.1	-	-	0.1
Industrials and transportation	31.5	4.3	26.1	61.9
Investment companies	7.6	1.6	4.8	13.9
Public sector & NPO's	8.6	3.5	0.1	12.2
Real estate	38.9	50.6	10.0	99.5
Seafood	5.9	0.7	74.8	81.4
Total	303.6	213.0	121.1	637.7

Exhibit 4.9. Currency composition of loans to customers at year-end 2014 (carrying amount, ISK bn). Consolidated.

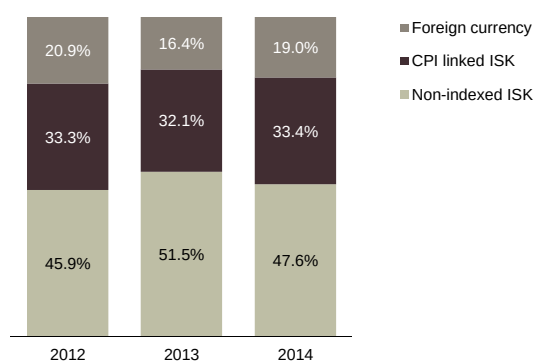


Exhibit 4.10. Currency composition of loans to customers at year-end 2012-2014 (percentage of portfolio). Consolidated.

Loans to individuals derive from lending activities to individuals and households and can be broken down by five product types namely mortgages, term loans, credit cards, overdrafts and leasing.

Mortgages are granted to individuals to buy or refinance real estate for their own use. Mortgages should be secured by the first lien on the real estate or consecutive liens from and including the first lien. Mortgages are discussed in detail later in this chapter.

Term loans to individuals are often secured with residential real estate but do not satisfy all the requirements needed to be classified as the product type mortgages. These loans may have

a non-standard term structure or the purpose of the loan may not have been to acquire the underlying property.

Credit cards and overdrafts to individuals are usually uncollateralised short-term consumer loans.

Leasing agreements are provided to individuals for vehicle purchases. Leasing is discussed later in this chapter.

Exhibit 4.11 shows the loan product types broken down by number of days past due or specific impairment. Note that amounts refer to the total loan and not only the payment or sum of payments that are past due. Payments three days in arrears or less are not considered relevant for past due analysis. Exhibit 4.12 shows the development of this breakdown for loans to individuals at year-end 2012 to 2014.

Mortgages

The largest part of loans to individuals is in the form of residential real estate mortgages.

The loan-to-value (LTV) ratio is an important risk factor when measuring risk of a mortgage portfolio. The LTV for a single mortgage is the current carrying amount of the loan divided by the value of the property. The value of the property is usually taken as the tax value obtained from Registers Iceland. For mortgages that are not on the first lien, the combined loan to value (CLTV) is the sum of the current carrying amount of the loan under consideration and the outstanding balance of all previous liens, divided by the value of the property. For a portfolio of mortgages, however, the LTV can be represented in various different ways

Loans to individuals	Neither past due nor impaired	4-90 days past due	> 90 days past due	Impaired	Total	> 90 days past due or impaired
Mortgages	168.8	8.1	4.6	5.0	186.6	5.2%
Term loans	32.4	2.6	1.3	1.4	37.7	7.1%
Credit cards	15.2	0.4	0.0	0.0	15.6	0.3%
Overdrafts	11.9	0.5	0.2	0.1	12.8	2.6%
Leasing	9.0	0.8	0.1	0.3	10.2	4.5%
Total	237.3	12.5	6.3	6.8	262.8	5.0%

Exhibit 4.11. Breakdown of loans to individuals by product type and number of days past due at year-end 2014 (carrying amount, ISK bn). Consolidated.

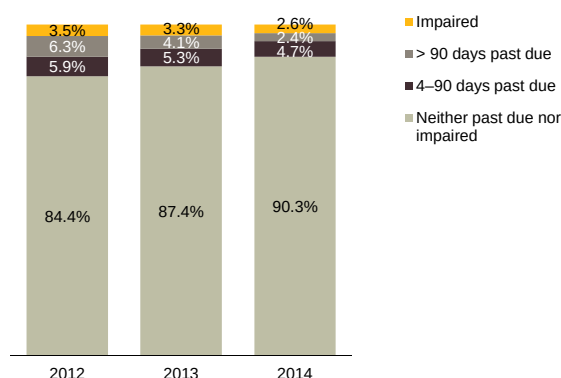


Exhibit 4.12. Loans to individuals broken down by past due status at year-end 2012-2014 (carrying amount). Consolidated.

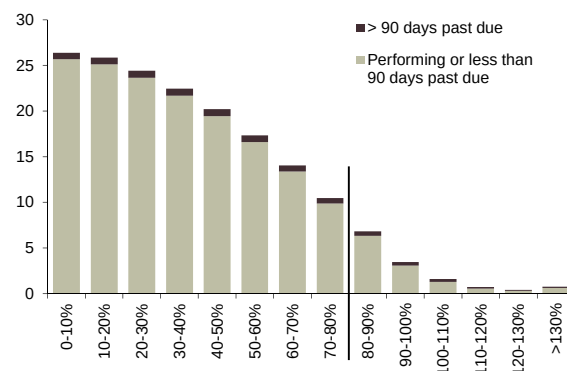


Exhibit 4.14. Breakdown of the mortgage portfolio by LTV bands, year-end 2014 (carrying amount, ISK bn). See main text for further explanation. Parent.

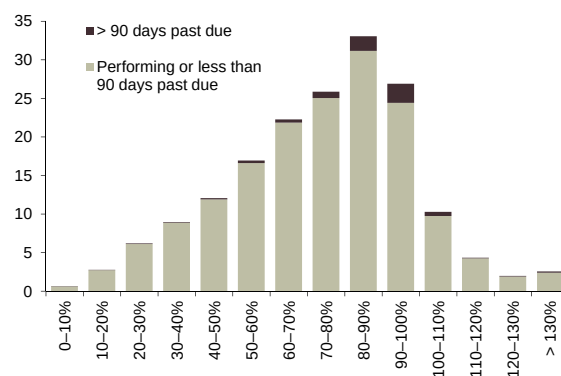


Exhibit 4.13. Breakdown of the mortgage portfolio by the LTV calculated for each property, year-end 2014 (carrying amount, ISK bn). Parent.

depending on the intended usage. Here, two such representations are presented.

The first representation is from the property point of view. To find the average LTV of a mortgage portfolio each property is assigned the maximum CLTV value of the Bank's mortgages on that property and that value is weighted with the total carrying amount of the Bank's loans on the property. The weighted average LTV calculated in that way was 74% year-end 2014 compared to 79% at year-end 2013. The change between years is mostly explained by an increase in real estate prices.

Exhibit 4.13 shows the LTV distribution by categorising the total carrying amount of the Bank's loans on each property in the mortgage portfolio by the maximum CLTV for that property. The top parts of the columns represent loans that are more than 90 days past due.

Another way to represent the LTV of a mortgage portfolio is to consider how each ISK lent is distributed in loan-to-value bands. In the breakdown, every ISK is categorised according to its seniority in the total debt on the property. The first band represents the part of the portfolio that falls in the 0-10% LTV band, the second represents the part that falls in the 10-20% LTV band and so on.

For example, if a loan with a current carrying amount of ISK 6 million is on the first lien of a property valued at ISK 20 million, then ISK 2 million is assigned to each of the 0-10%, 10-20% and 20-30% LTV bands (totalling to ISK 6 million). If the same loan had been on the second lien of the same property and another loan on the first lien amounts to ISK 10 million then ISK 2 million

is assigned to each of the 50-60%, 60-70% and 70-80% LTV bands.

Exhibit 4.14 shows how the mortgage portfolio is distributed in loan-to-value bands defined in this way.

For capital requirement assessment purposes, residential real estate mortgages to individuals are divided into two segments, the part that is covered up to 80% LTV and the amount that exceeds 80% LTV. The part with an LTV below 80% is potentially eligible for a 35% risk weight when calculating the capital requirements as compared to 75% for the remaining part.² One of the benefits of the representation shown in Exhibit 4.14 is that the part of the mortgage portfolio that is potentially eligible for a 35% risk weight is on the left side of a vertical line drawn at 80% LTV in Exhibit 4.14. Such a line cannot be drawn in Exhibit 4.13.

Loans to Companies

The category called loans to companies includes loans to companies as well as municipalities and public sector entities. These loans comprise a significant part of the Bank's balance sheet and operation. Loans to companies amounted to ISK 375 billion at year-end 2014 compared to ISK 303 billion at year-end 2013. New loans and refinancing of outstanding loans amounted to ISK 198 billion in the year 2014.

Loans more than 90 days past due or impaired were 2.5% of total loans at year-end 2014 compared to 7.2% the year before. Exhibit 4.15 shows the company loan portfolio by sector and number of days past due. Exhibit 4.16 shows the development of this breakdown for the portfolio of loans to companies at year-end 2012 to 2014.

Leasing

Leasing agreements are made under the brand Ergo which is the asset based financing part of the Bank. Ergo specialises in the financing of industrial equipment, commercial vehicles and commercial property for companies and the financing of vehicles for individuals.

The underlying asset of the lease agreement is the collateral for the Bank. The Bank obtains a third party collateral valuation for a large part of the leasing portfolio.

Exhibits 4.17 and 4.18 show the LTV distribution of the portfolio of lease agreements provided for vehicle purchases. Exhibit 4.17

²See more on risk weights in Exhibit 4.44.

Loans to companies by sector	Neither past due nor impaired	4-90 days past due	> 90 days past due	Impaired	Total	> 90 days past due or impaired
Commerce & services	75.6	1.9	0.3	1.8	79.7	2.7%
Construction	17.3	0.6	0.3	0.5	18.8	4.3%
Energy	7.3	-	-	-	7.3	-
Financial services	0.1	0.0	-	-	0.1	-
Industrials & transportation	60.3	0.7	0.2	0.7	61.9	1.5%
Investment companies	12.5	0.6	0.2	0.6	13.9	6.2%
Public sector & NPO's	12.2	0.1	-	-	12.2	-
Real estate	96.9	1.7	0.3	0.7	99.5	0.9%
Seafood	76.5	1.4	0.6	2.9	81.4	4.3%
Total	358.6	6.9	1.9	7.3	374.8	2.5%

Exhibit 4.15. Loans to companies by sector and by number of days past due at year-end 2014 (carrying amount, ISK bn). Consolidated.

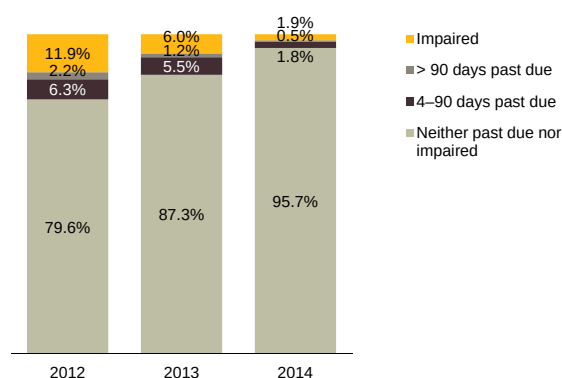


Exhibit 4.16. Loans to companies broken down by number of days past due at year-end 2012-2014 (carrying amount). Consolidated.

shows the LTV distribution by categorising the total carrying amount of the Bank's loans on each vehicle in the portfolio by the maximum LTV for that vehicle. The top part of the columns identify loans that are more than 90 days past due. The weighted average LTV percentage of the portfolio is calculated from the maximum LTV for each vehicle, weighted by the total carrying amount of the Bank's loans on that vehicle. The weighted average LTV was 69% at year-end 2014 compared to 68% the year before.

Exhibit 4.18 on the other hand shows how each ISK lent in the portfolio is distributed in LTV bands. Note that in these Exhibits leasing contracts to both individuals and companies are considered.

4.5.2 BALANCES WITH THE CENTRAL BANK AND LOANS TO CREDIT INSTITUTIONS

Cash and balances with the Central Bank and loans to credit institutions are amounts that can fluctuate considerably between periods due to liquidity management. Exhibit 4.19 shows loans to Central Bank and credit institutions at year-end 2013 and 2014. Exhibit 4.20 shows the development from year-end 2012.

Cash and balances with the Central Bank totalled ISK 103 billion at the end of 2014. This includes certificates of deposits, mandatory reserve deposits and other balances with the Central Bank.

The Bank has exposures to Icelandic and foreign credit institutions, mostly in the form of money-market deposits and nostro

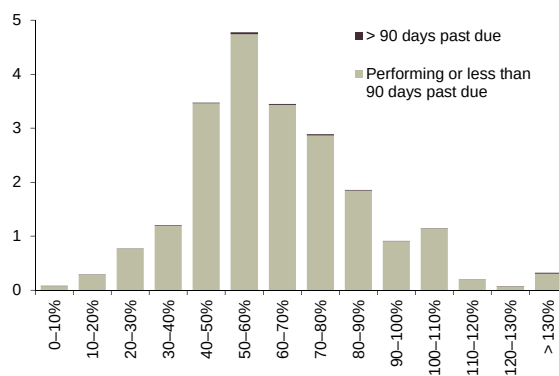


Exhibit 4.17. Breakdown of the leasing portfolio by the LTV calculated for each car at year-end 2014 (carrying amount, ISK bn). Parent.

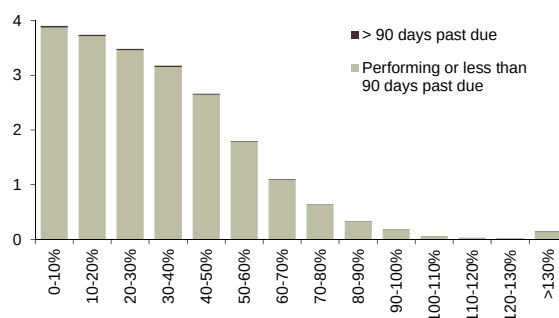


Exhibit 4.18. Breakdown of the leasing portfolio by LTV bands at year-end 2014 (carrying amount, ISK bn). Parent.

accounts. Exposures to foreign financial institutions are classified further in the country risk exposure section.

Exposures are only allowed to credit institutions that have been allocated a credit limit by the Risk Committee. When applying for a credit limit for a specific credit institution a thorough analysis of the institution is presented to the committee including credit ratings from rating agencies.

4.5.3 BONDS AND DEBT INSTRUMENTS

The Bank is exposed to credit risk as a result of trading and investing in bonds and debt instruments, e.g. as part of the Bank's liquidity management, and as a result of restructuring activities.

Loans to the Central Bank and credit institutions	31.12.2014	31.12.2013
Central Bank	103.4	111.8
Domestic credit institutions	1.6	2.1
Foreign credit institutions	33.5	42.0
thereof rated AA- and above	1.7	10.4
thereof rated A- to A+	31.5	31.4
thereof rated BBB+ and lower	0.3	0.3
thereof unrated	-	-
Total	138.5	155.9

Exhibit 4.19. Loans to Central Bank and credit institutions at year-end 2014 and 2013, with ratings based on Standard & Poor's ratings or equivalent (carrying amount, ISK bn). Consolidated.

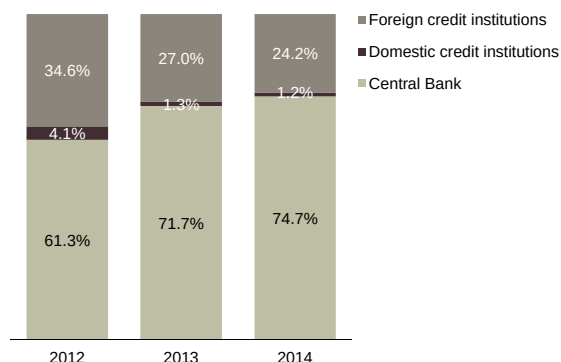


Exhibit 4.20. Loans to the Central Bank and credit institutions at year-end 2012–2014 (carrying amount). Consolidated.

Bonds and debt instruments	31.12.2014	31.12.2013
Icelandic government and government guaranteed bonds	35.6	34.3
Foreign government bills	45.5	34.6
thereof rated AAA	38.6	31.1
thereof rated AA+	-	3.5
thereof rated AA	6.9	-
Domestic corporates	1.3	1.4
Domestic credit institutions	4.9	4.5
Foreign credit institution	-	0.3
Total	87.3	75.2

Exhibit 4.21. Bonds and debt instruments at year-end 2014 and 2013, with ratings based on Standard & Poor's ratings or equivalent (carrying amount, ISK bn). Consolidated.

Exhibit 4.21 presents the Bank's position in bonds and debt instruments. Exhibit 4.22 shows bonds and debt instruments at year-end 2012 to 2014.

4.5.4 GUARANTEES AND UNDRAWN COMMITMENTS

The Bank's credit exposure deriving from guarantees and undrawn commitments totalled ISK 30 billion at year-end 2014 compared to ISK 25 billion the year before. The exposure is measured using regulatory credit conversion factors.

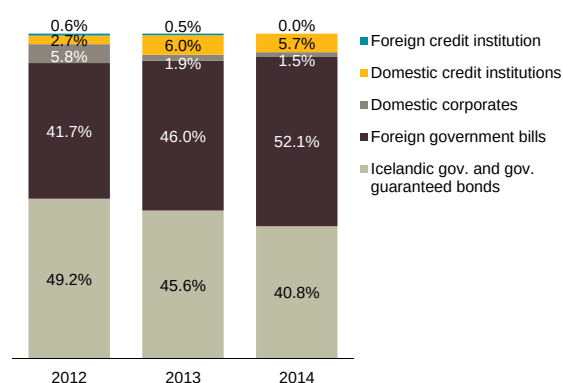


Exhibit 4.22. Bonds and debt instruments year-end 2012–2014 (carrying amount). Consolidated.

Type of issuer	Derivative trading	Lending	Total
Central governments	0.1	0.2	0.2
Financial services	5.8	0.2	6.0
Corporates	2.6	2.5	5.1
Total	8.4	2.8	11.3

Exhibit 4.23. Indirect exposure at year-end 2014 (ISK bn). Parent.

4.5.5 DERIVATIVES

The Bank uses derivatives to hedge currency, interest and inflation exposure. The Bank carries relatively low exposure due to margin trading with clients and in these cases the Bank holds collateral for possible losses. Credit risk for derivatives amounted to ISK 4.1 billion at year-end 2014 compared to ISK 2.4 billion the year before. Derivative trading can also be the source of indirect exposure discussed in the next section.

Derivative exposures are generally made under ISDA master agreements with Credit Support Annex, or corresponding terms with pledged collateral in the form of cash and eligible bonds.

See also discussion on derivatives in Section 5.3.5.

4.5.6 INDIRECT EXPOSURE

The Bank has indirect exposure to counterparties, i.e. an exposure that is not direct but becomes direct at the event of default of other counterparties. The indirect exposures are classified by the issuer's industry sector and whether the direct exposure originates from derivative trading or lending. Exhibit 4.23 shows indirect exposure at year-end 2014 and Exhibit 4.24 shows the development from 2012.

4.5.7 COUNTRY RISK EXPOSURE

Exposure to countries other than Iceland amounted to ISK 103 billion at year-end 2014 compared to ISK 93 billion the year before. This exposure relates mainly to the management of the Bank's foreign liquidity reserves.

Exhibit 4.25 shows a breakdown of credit exposure by country of domicile. Exposures to financial institutions, central government and individuals are shown separately. Loans to individuals are mostly loans that were granted in Iceland and later the individual moved to another country. The Bank has no retail lending activities outside of Iceland.

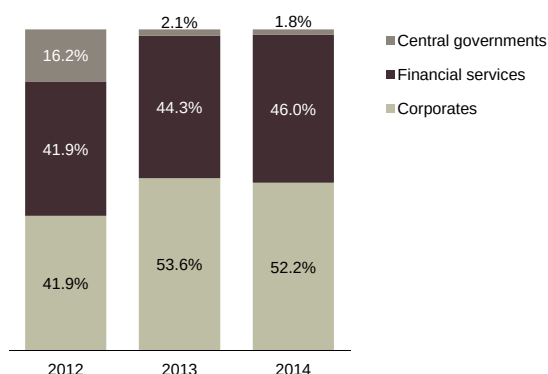


Exhibit 4.24. Indirect exposure at year-end 2012–2014. Consolidated.

4.6 LOANS COVERED BY COLLATERAL

Collateral and other credit risk mitigants vary between types of obligors and credit facilities. Loans to eligible credit institutions are usually unsecured. For loans to individuals the principal collateral taken is residential property against mortgages. Unsecured loans to individuals are mostly short-term consumer loans such as overdrafts and credit cards. In the case of large companies the Bank takes a charge over assets such as real estate, fishing vessels, cash and securities, as well as other collateral including accounts receivables, inventory, vehicles and equipment. Loans to government entities and to municipalities are more often than not unsecured.

In some cases the Bank uses guarantees as a credit enhancement but since guarantees effectively transfer credit risk from one counterparty to another they do not represent a reduction in exposure to credit risk although it may strengthen its quality. Covenants in loan agreements are also an important credit enhancement but do not reduce credit exposure.

For income producing real estate companies the collateral is sometimes in the form of a charge over rental agreements as well as the underlying property.

Valuation of collateral is based on market price, official valuation from the Registers Iceland or the expert opinion of the Bank's

employees, depending on availability. In the case of fishing vessels the associated fishing quota is included in the valuation based on a conservative valuation by the Bank's Quota Board.

For the simplest collateral agreements it is possible and useful to define and calculate the loan-to-value (LTV). This has been done for mortgages and car loans in previous sections. For more complicated collateral constellations where multiple loans are collateralised with many different assets the concept of LTV is not as well defined and not as useful. Instead the Bank allocates collateral to loans using an elaborate optimisation algorithm.

Collateral is measured without including the effect of overcollateralisation. This means that if some loans have collateral values in excess of their claim value, then the excess is removed in order to reflect the Bank's actual exposure to credit risk.

Exhibit 4.26 shows the financial effect of allocated collateral at year-end 2014 broken down by sector and type of collateral.

4.7 RISK PROFILE, CUSTOMER LOAN PORTFOLIO

As described in Section 4.2.1, each obligor is assigned a risk class 1–10, risk class 10 for customers in default and 1–9 for performing obligors. Not all subsidiaries of the Bank have risk classes for their customers which means that on a consolidated basis some obligors are unrated.

Exhibit 4.27 sums the risk classes up into five groups, risk classes 1–4 represent low risk, risk classes 5–6 moderate risk, risk classes 7–8 increased risk, risk class 9 high risk and risk class 10 represents those classified as defaults. The exposure is then shown by past due status.

Note that the same customer can have loans that are more than 90 days past due or impaired, and at the same time other loans that are neither past due nor impaired. The relatively large part of obligors in risk class 9 is a reflection of the Icelandic payment behaviour discussed in Section 4.2.1.

Exhibit 4.28 shows the portfolio of loans to individuals and Exhibit 4.29 shows the portfolio of loans to companies by risk groups and past due status. For the total loan portfolio, risk class migration was positive in the year 2014, that is, upgrades exceeded downgrades. This can be seen in Exhibit 4.30.

Country	Central government	Financial institutions	Individuals	Other obligor types	Total country exposure
Germany	15.4	9.3	0.2	0.0	25.0
Norway	1.7	7.4	2.6	6.2	17.9
USA	8.2	1.7	0.6	0.0	10.5
UK	-	7.7	0.6	1.2	9.5
Netherlands	6.9	-	0.2	-	7.1
France	6.9	-	0.0	0.0	7.0
Canada	1.1	0.2	0.1	5.3	6.7
Sweden	4.1	1.1	0.8	0.0	6.0
Denmark	1.0	1.9	1.2	0.0	4.2
Switzerland	-	3.9	0.2	0.0	4.1
Other countries	-	1.6	2.1	1.3	5.0
Total	45.5	34.8	8.6	14.1	103.0

Exhibit 4.25. Credit exposure by country and obligor type at year-end 2014 (carrying amount, ISK bn). Parent.

Collateral	Real estate	Fishing vessels	Cash & securities	Vehicles & equipment	Other collateral	Credit exposure	Unsecured Q4 2014	Unsecured Q4 2013
Individuals	213,550	41	469	9,901	12	262,848	15%	17%
Commerce & services	40,484	290	472	14,525	8,838	79,658	19%	38%
Construction	13,217	269	59	2,473	1,592	18,751	6%	22%
Energy	1,260	-	411	1	152	7,315	75%	5%
Financial services	39	-	32	1	-	121	41%	88%
Industrials & transportation	16,487	-	148	5,760	7,914	61,878	51%	40%
Investment companies	4,973	-	3,434	248	2,642	13,910	19%	32%
Public sector & NPO's	1,510	-	11	179	-	12,215	86%	76%
Real estate	94,859	0	650	143	564	99,540	3%	28%
Seafood	4,760	73,432	305	242	2,460	81,412	0%	2%
Total	391,139	74,032	5,991	33,472	24,174	637,650	17%	22%

Exhibit 4.26. Financial effect of allocated collateral at year-end 2014 (ISK m). Consolidated.

Risk group	Neither past due nor impaired	4-90 days past due	>90 days past due	Impaired	Total
Risk classes 1-4	131.0	0.0	-	-	131.0
Risk classes 5-6	254.7	0.5	-	-	255.2
Risk classes 7-8	140.3	2.7	0.0	-	143.1
Risk class 9	53.9	14.1	0.3	-	68.2
Risk class 10	11.7	1.8	8.0	14.1	35.5
thereof collateralised	8.8	1.6	7.5	14.1	32.1
Unrated	4.3	0.3	-	-	4.7
Total	595.9	19.4	8.2	14.1	637.7

Exhibit 4.27. Loans to customers by risk groups and past due status at year-end 2014 (carrying amount, ISK bn). Consolidated.

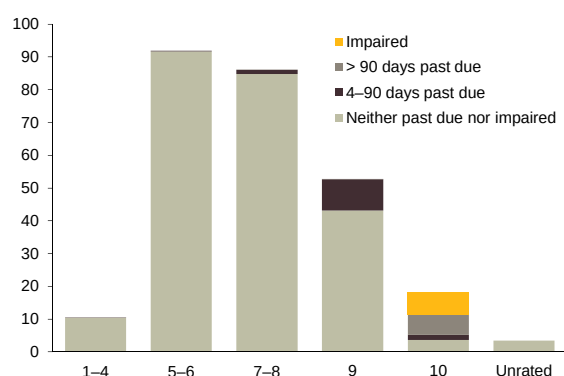


Exhibit 4.28. Loans to individuals by risk groups and number of days past due at year-end 2014 (carrying amount, ISK bn). Consolidated.

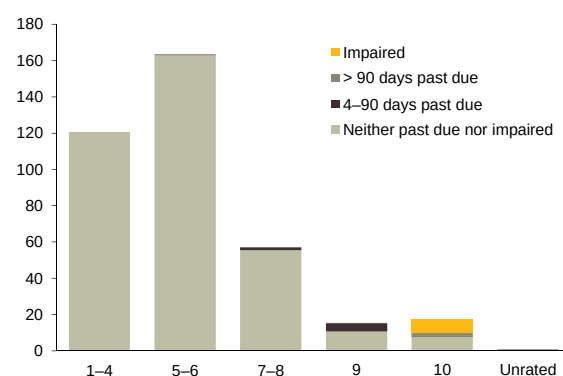


Exhibit 4.29. Loans to companies by risk groups and number of days past due at year-end 2014 (carrying amount, ISK bn). Consolidated.

4.8 DEFINITION OF NON PERFORMING RATIOS

In order to measure asset quality it is convenient to consider non-performing ratios. It is important to keep in mind that non-performing ratios and past due ratios can be defined in a variety of ways. Unfortunately, a harmonised definition does not exist which complicates comparison of asset quality between banks, countries and time periods. There are at least four degrees of freedom that need to be fixed in order to define a non-performing ratio. These decisions involve asset classes,

exposure type, cross default and non-performing triggers, e.g. as displayed in Exhibits 4.31, 4.32 and 4.35.

The Bank has for the past few years shown two measures of asset quality in the Pillar 3 Report, namely the 90 days past due ratio and the so-called LPA ratio. These measurements have also been used in the Bank's presentation for the financial results.

The 90 days past due ratio is a facility based measurement of loans to customers that are more than 90 days past due, either impaired

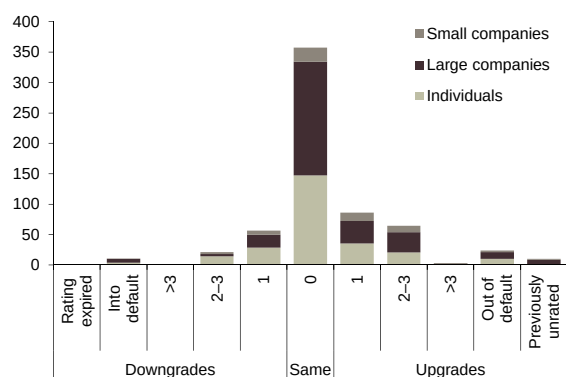


Exhibit 4.30. Migration of risk classes in the year 2014 (carrying amount, ISK bn). Consolidated.

or not impaired. See Exhibit 4.31. The exposure is measured by carrying amount which means that specific impairment has been subtracted from the claim value. This ratio has been decreasing, being 2.5% at year-end 2014 compared to 4.2% a year before.

The other non-performing ratio that the Bank has used is called the LPA ratio. It is based on a monthly report that is submitted to the FME with the purpose to monitor the restructuring progress of the loan portfolio. This ratio is a customer based (not facility based) non-performing measurement of loans to customers. See Exhibit 4.32. This measurement is stricter than the conventional cross default approach, both because customers with forbearance are included and because customers that have been restructured twice are included for 12 months post restructuring. This is sometimes called a cure period.

At year-end 2014 the LPA metric was 5.9%, compared to 8.3% a year earlier. This means that a smaller part of the loan portfolio is still in need of restructuring.

Exhibits 4.33 and 4.34 show the historical development of these two credit quality measures. The first graph is for individuals and the second is for companies.

Another non-performing ratio has become more popular in recent years and is e.g. used by the European Banking Authority (EBA).

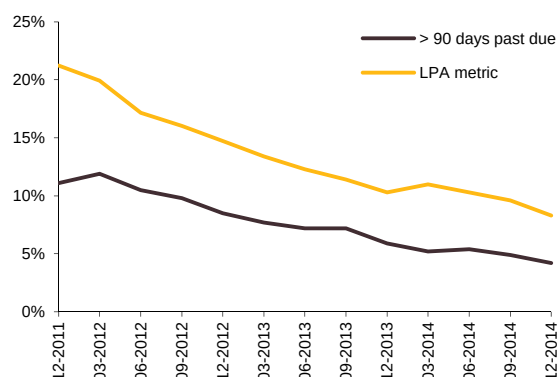


Exhibit 4.33. Two credit quality measures for the portfolio of loans to individuals. The ratios are defined in Exhibits 4.31 and 4.32.

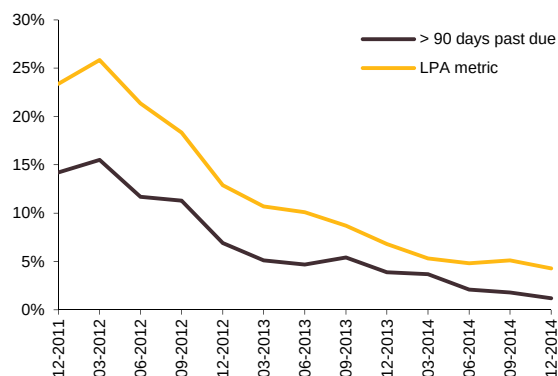


Exhibit 4.34. Two credit quality measures for the portfolio of loans to companies. The ratios are defined in Exhibits 4.31 and 4.32.

The ratio is based on impaired loans and loans that are more than 90 days past due, see Exhibit 4.35. One of the benefits of this definition is the fact that the ratio can be calculated for various banks based on mandatory information in financial statements. The difference between this measurement and the 90 days past due ratio that the Bank has used, lies in loans that have been specifically impaired without being more than 90 days past due.

Asset classes	Exposure	Cross default	Non-performing criteria
(can choose many)	(choose one)	(choose one)	(can choose many)
Loans to customers	Claim value	Per facility	>90 days past due
Loans to banks	Carrying amount	Per customer	Specific impairment
Other assets	Payments in arrears	Per group of connected clients	Forbearance
			Cure period

Exhibit 4.31. Definition of the 90 days past due ratio indicated with the shaded items.

Asset classes	Exposure	Cross default	Non-performing criteria
(can choose many)	(choose one)	(choose one)	(can choose many)
Loans to customers	Claim value	Per facility	>90 days past due
Loans to banks	Carrying amount	Per customer	Specific impairment
Other assets	Payments in arrears	Per group of connected clients	Forbearance
			Cure period

Exhibit 4.32. Definition of the LPA ratio indicated with the shaded items.

Asset classes	Exposure	Cross default	Non-performing criteria
(can choose many)	(choose one)	(choose one)	(can choose many)
Loans to customers	Claim value	Per facility	>90 days past due
Loans to banks	Carrying amount	Per customer	Specific impairment
Other assets	Payments in arrears	Per group of connected clients	Forbearance
			Cure period

Exhibit 4.35. Definition of the impaired loans and past due (>90 days) loans non-performing ratio used by EBA indicated with the shaded items.

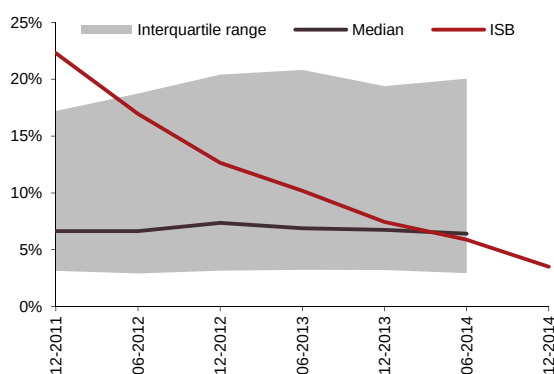


Exhibit 4.36. Impaired loans and past due (>90 days) loans as defined in Exhibit 4.35. Comparison between Íslandsbanki and over 50 large European banks. Data for the European banks not yet available for year-end 2014. Source: Íslandsbanki and EBA.

Exhibit 4.36 shows a comparison between Íslandsbanki and 56 large European banks. The ratio has been decreasing for Íslandsbanki and is now below the European median. At year-end 2014 the ratio was 3.5%, compared to 7.4% a year earlier.

4.9 FORBEARANCE

As the economic situation in Iceland returns to normal following the events of 2008 and the subsequent large scale restructuring of debt nears completion it becomes more and more important to develop tools and processes to monitor forbearance measures which are granted to customers facing temporary challenges or financial difficulties. Such forbearance measures are granted for a predefined time period and entail adjustments to the repayment schedule, interest-only payments, extension of terms, fixed payments or payment holidays.

For households, forbearance measures are used to accommodate temporary changes in household disposable income e.g. due to illness, unemployment or parental leave. Temporary changes in terms are also granted to companies when needed, e.g. to meet adverse changes in the operating environment, which affect revenue and cash flows or to meet necessary but unforeseen capital expenditures. The customer is expected to resume normal repayments after the concession period. Furthermore, covenants are sometimes waived when customers are in minor difficulties.

There is some uncertainty about how wide or narrow the definition of forbearance measures should be taken. In a narrow sense it refers only to those measures where the terms of a loan are modified due to the debtor not being able to meet the original terms. On the other hand it happens regularly that loan contracts are modified as part of banks' normal business practices. If the modifications are not made due to obligors' financial difficulties and the modified terms do not represent a substantially increased

Restructuring measure for individuals	Write-offs and remissions	Thereof in 2014
Recalculation of FX loans	32.9	0.5
110% adjustment of mortgages	12.0	-
Principal adjustment	10.8	-
FX loans	6.6	-
CPI-linked loans	2.4	-
Interest rate discount	4.5	-
Specific debt adjustment	4.3	0.5
Other restructuring measures	55.0	8.8
Total	129.0	9.9

Exhibit 4.37. Aggregated write-offs and remissions for individuals 2008–2014 (ISK bn). Parent.

credit risk then these activities are not forbearance measures in the narrow sense. However, changes in the amount of these activities as a portion of the whole loan portfolio may be indicative of upcoming system-wide problems and the activities therefore constitute forbearance activities in a wider sense of the word.

4.10 LOAN WRITE-OFFS AND REMISSIONS

Final write-offs of loans are generally made when all means of legal recourse have been exhausted, when an agreement has been reached with a borrower on a final settlement of a claim or when a decision has been made by courts that limit recourse. Final write-offs are also made through restructuring schemes where part of loans are written off in order to lower the debt of obligors. These schemes include the 110% mortgage adjustment, debt adjustment, principal adjustment and more. In the notes of the Financial Statement, the amount written off refers only to the part of the claim value that is visible in the statements. This means that when only the deep discount is used against write-offs then nothing is shown in the Financial Statement³.

In this section, however, the cumulative write-offs and remissions based on claim value are presented. This gives the perspective as seen from the customers' point of view. The term remission is used here for recalculations and principal reductions that are not write-offs in the usual sense but rather correction of claims due to their legitimacy or because of general offers made by the Bank.

Exhibits 4.37 and 4.38 show aggregated write-offs and remissions to individuals and companies divided into various programs offered by the Bank and Exhibit 4.39 shows the cumulative development from 2008.

³For more information on the deep discount on loans acquired from Glitnir and the difference between claim value and carrying amount, see the Bank's Risk Report from 2011, Section 4.4.2.

Restructuring measure for companies	Write-offs and remissions	Thereof in 2014
Recalculation of FX loans	48.9	3.0
Debt adjustment	18.4	0.1
Principal adjustment of FX loans	13.2	-
Other restructuring measures	378.4	26.6
Total	458.8	29.7

Exhibit 4.38. Aggregated write-offs and remissions for companies 2008–2014 (ISK bn). Parent.

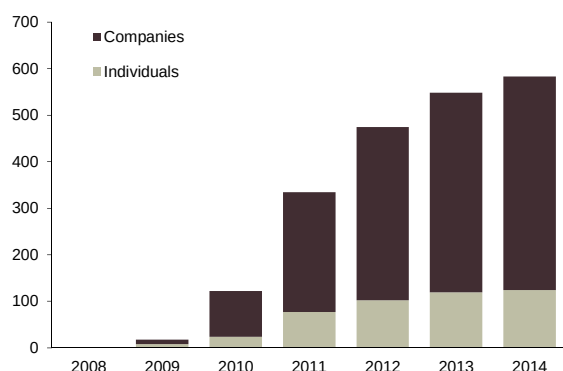


Exhibit 4.39. Cumulative write-offs and remissions 2008–2014 (ISK bn). Parent.

4.10.1 RECALCULATION OF FX LOANS

In 2012 the Supreme Court in Iceland passed two rulings (no. 600/2011 and no. 464/2012) that affected the legitimacy of the Icelandic banks' method of recalculating loans that were illegally linked to the value of foreign currencies, so-called "Receipt Ruling". The Bank has recalculated according to the Receipt Ruling loans to various types of borrowers, including individuals, companies and municipalities as well as loans that are both long and short term.

Two rulings by the Supreme Court in the year 2013 (no. 386/2012 and no. 430/2013) affected the Bank's recalculation process. Both of these rulings increased the number of loans that were recalculated according to the Receipt Ruling. New rulings in 2014 did not significantly affect the recalculation methodology in Íslandsbanki.

At year-end 2014 the Bank had recalculated according to the Receipt Ruling approximately 12 thousand loans out of approximately 15 thousand illegal loans.

4.10.2 THE GOVERNMENT CPI-LINKED MORTGAGE RELIEF SCHEME

Following extensive preparation, the first applications for the Government CPI-linked mortgage relief scheme were processed in the very last days of 2014. The scheme is eventually expected to decrease the claim value of loans at Íslandsbanki by around ISK 7 billion, whereof 75% will fall in 2015 and 25% in 2016, subject to approval in the Government budget. The Government will compensate Íslandsbanki using a fair value-inspired approach to accomplish the goal that banks should realise neither profit nor loss as a consequence of the scheme.

The implementation is that each qualifying loan is divided into a stub which the Government pays and a remainder which

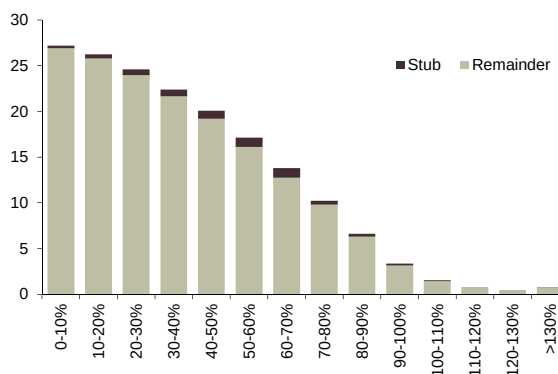


Exhibit 4.40. Division of each ISK in the mortgage portfolio at year-end 2014 by LTV bands showing whether the ISK was moved to a stub before end of February 2015. Parent.

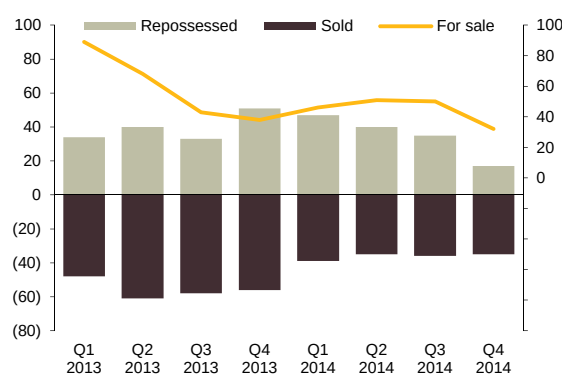


Exhibit 4.41. Number of repossessed and sold vehicles (left hand axis) and vehicles for sale (right hand axis) at quarter-end 2013 and 2014. Consolidated.

remains the responsibility of the obligor. Exhibit 4.40 shows the division of the mortgage portfolio at year-end 2014 into stubs and remainders which were created before end of February 2015.

4.11 REPOSSESSED ASSETS HELD FOR SALE

In most cases it is in the best interest of the Bank and the customer to improve the customer's position and their ability to serve their loans rather than to acquire assets from the customer. The Bank acquires assets only if all other means to improve the customer's financial standing have been exhausted. The Bank acquires these assets through repossessions following loan defaults, debt restructuring and bankruptcies of its customers. The Bank's employees are not permitted to purchase repossessed assets.

Repossessed assets held for sale are classified into two groups, repossessed collateral and assets of disposal groups classified as held for sale. The first group represents collateral that has been repossessed and the second group represents assets of companies in which the Bank holds more than 50% share, without being consolidated subsidiaries. These companies also have corresponding liabilities which are not subtracted here.

At year-end 2014 the Bank's repossessed collateral amounted to ISK 8.6 billion, of which ISK 8.2 billion were land and property. In comparison, repossessed collateral amounted to ISK 10.7 billion at the year-end 2013 of which ISK 8.5 billion were land and property. Exhibits 4.41 and 4.42 show the development of the

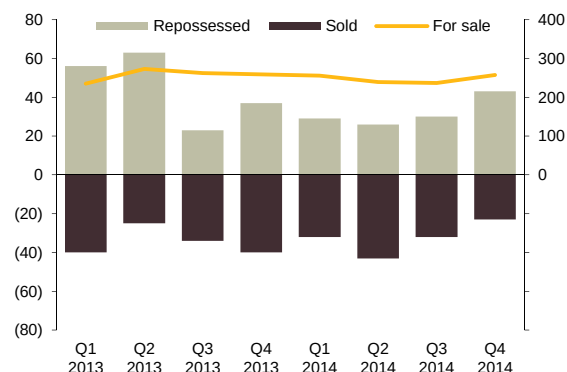


Exhibit 4.42. Number of repossessed and sold residential properties (left hand axis) and residential properties for sale (right hand axis) at quarter-end 2013 and 2014. Consolidated.

number of repossessed vehicles and residential properties held for sale through the last two years and the factors influencing that number.

At year-end 2014 the Bank had 257 residential properties held for sale. This number is partially explained by the fact that the former owners are usually permitted to rent their homes for a certain time period after foreclosure. Out of 257 properties owned by the Bank, 95 are being rented out.

Exhibit 4.43 shows assets of disposal groups held for sale, those are assets of companies in which the Bank holds more than 50% of the shares.

4.12 CAPITAL REQUIREMENTS

The Bank reports its Pillar 1 capital requirements for credit risk according to the standardised Basel approach. Exhibit 4.44 shows exposure amounts, risk weights and corresponding risk-weighted assets for the different portfolios as at year-end 2014. Currently, residential real estate, commercial real estate and securities issued by the Central government are used as credit risk mitigants to reduce capital requirements. Furthermore the Bank has exposure to one counterparty that is secured by a government guarantee.

Capital add-on for credit risk under Pillar 2 is estimated in the annual ICAAP/SREP process. This add-on includes concentration

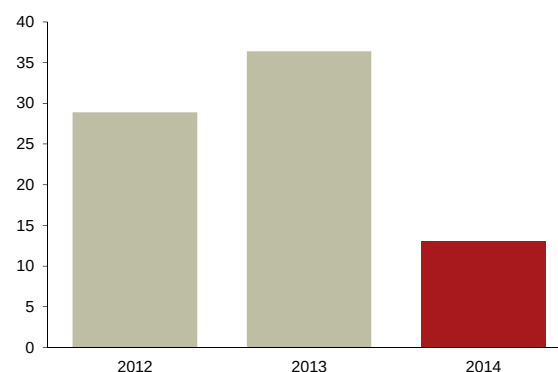


Exhibit 4.43. Assets of disposal groups classified as held for sale at year-end 2012–2014 (carrying amount, ISK bn). Consolidated.

risk and underestimation of credit risk under Pillar 1. The ICAAP/SREP discussion with the regulator in Iceland is still maturing but for the last few years the add-on for credit risk in Pillar 2 has included an increased risk weight for certain asset classes where the standardised approach may not be representative of the inherent risk. These asset classes comprise municipalities with low payment capacity, loans to holding companies to buy shares in operating companies and cross default using the LPA definition.

4.13 STRESS TESTING

As part of the annual ICAAP process, the Bank performs a stress test on its loan book. Stress testing is the process of determining the effect of extreme but realistic events on the portfolio. To compute expected loss under the stress scenario, assumptions about the development of default probability and loss given default are required.

The development of risk class distributions is computed by migration of the existing risk class distribution using scenario specific yearly migration matrices. Loss given default is computed by applying severe haircuts to the value of collateral that is then allocated to eligible loans.

The effect of increased losses on operational income and, therefore, available capital on one hand and capital need on the other hand are then used to assess the effect of the stress scenario on the solvency of the Bank.

	On balance sheet	Off balance sheet (after CCF)	Guarantees	Financial collateral	Inflow	RWA
Central governments or central banks	135,894	1,917	-	-	8,687	954
0%	135,894	9	-	-	4,871	-
50%	-	-	-	-	1,908	954
Regional governments or local authorities	10,108	3,961	-	-	-	2,884
20%	10,021	3,961	-	-	-	2,796
100%	87	-	-	-	-	87
Financial institutions	37,557	40	-	-	-	7,906
20%	37,113	-	-	-	-	7,423
100%	443	40	-	-	-	483
Administrative bodies and non-commercial undertakings	1,140	21	-	-	-	1,162
100%	1,140	21	-	-	-	1,162
Collective investment undertakings (CIU)	67	-	-	-	-	67
100%	67	-	-	-	-	67
Corporates	310,433	13,617	3,509	810	-	319,730
100%	310,433	13,617	3,509	810	-	319,730
Retail	189,893	10,478	-	403	-	149,976
75%	189,893	10,478	-	403	-	149,976
Secured by real estate	114,699	-	-	-	-	40,442
35%	112,719	-	-	-	-	39,452
50%	1,980	-	-	-	-	990
Past due items	12,903	7	-	151	-	14,066
50%	1,218	-	-	-	-	609
100%	7,770	3	-	65	-	7,708
150%	3,915	4	-	86	-	5,749
Other items	42,894	-	-	-	-	46,188
100%	36,305	-	-	-	-	36,305
150%	6,589	-	-	-	-	9,884
Grand total	855,588	30,042	3,509	1,364	8,687	583,375

Exhibit 4.44. Exposure, risk weights, flow between exposure classes (outflow due to guarantees and financial collateral and corresponding inflow) and risk-weighted assets per asset class at year-end 2014 (ISK m). Consolidated.

REGULATORY CHANGES

Act No. 9/2014 on financial assistance, for the payment of collateral security for costs of bankruptcy proceedings

The Act's aim is to make it possible for individuals, who are experiencing severe payment difficulties and have sought remedies for payment difficulties without success, to receive financial assistance to pay a court requested collateral security for the costs of bankruptcy proceedings. Applications for financial assistance should be sent to the Debtors' Ombudsman, who evaluates whether requirements for the assistance are fulfilled.

Act No. 35/2014 on the CPI-linked mortgage relief scheme

In November 2013, the Government's mortgage relief scheme was presented. The plan allowed for tax relief as well as debt cancellation of up to ISK 4 million on CPI-indexed mortgages per affected household. With Act no. 35/2014, the plan was put into effect. The Act entails that all individuals who had indexed mortgages in 2008–2009 can apply to have their loans reduced by the amount corresponding to the difference between real inflation compensation and adjusted inflation compensation for up to a maximum of ISK 4 million for each household. The Treasury will pay the adjusted part of the loan over the next year, the final payment being subject to Parliament approval.

Act No. 40/2014 on personal pension savings and their use for mortgage payments and for down payment on a new home

The Act is part of the Government's housing debt relief plan. Households with mortgages can use payments which would otherwise go to personal pension savings as additional payments for their mortgages or, in the event that an applicant is not a home owner, as down payment on a new home. The Treasury will waive income tax on the wage earner's contribution of up to 4% of the salary together with the employer's contribution of up to 2%. However the maximum tax exemption will be ISK 500,000 per individual or up to ISK 750,000 per household, per annum over the period mid-2014 to mid-2017. The amount accumulated over the three year period can be used as down payment for a new home for first time buyers until 30 June 2019.

Amendment to Act No. 38/2001 on interest and price indexation, with changes (statute of limitation for claims to recalculate illegal foreign currency loans), no. 38/2014

The amendment prescribes that the limitation of the settlement of claims arising from illegal foreign currency loans will be eight years, measured from 16 June 2010. The Act is intended to prevent the limitation of such claims to expire on 16 June 2015.

Amendment to Act No. 90/1991 on Judicial Sale

In December 2013, the Icelandic Parliament passed an interim act amending the Act on Judicial Sale. The provision added a stipulation that a relevant district commissioner must grant the judgment debtors stayed proceedings until 1 September 2014 in relation to property on which the judgment debtor is domiciled and resides. In September 2014 the provision to grant stayed proceedings was extended and stayed proceedings shall be granted until 1 March 2015. A condition was added that the obligation to grant stayed proceedings would only apply to debtors who have applied for debt relief under Act no. 35/2014 on the CPI-linked mortgage relief scheme. In February 2015, the provision was extended until 1 October 2015, for stayed proceedings up to three months at a time.

5 MARKET RISK

The rise of the domestic stock market slowed down in 2014. The market started and ended the year positively but between mid-January and mid-October the OMXI8 gross return index decreased by 10% and daily turnover decreased. However from mid-October the daily turnover started to catch up and the index increased by 15% until year-end 2014. Overall, the index increased by 6.5% in 2014 compared to 19% in 2013. The average daily turnover increased by 18% compared to 50% in 2013. Two new companies, Sjóvá and HB Grandi, were listed in 2014 and further listings are expected in 2015.

The Bank's market risk profile changed somewhat in 2014 with market risk accounting for 4.8% of the Bank's risk-weighted assets at year-end 2014 compared to 4.4% at year-end 2013. The Bank's trading equity exposure increased in 2014 as the average position was considerably higher than in 2013. In the fixed income market the Bank's main activity was still in Icelandic Treasury bonds and government-guaranteed bonds issued by the Housing Financing Fund (HFF) but the corporate bonds market is gradually increasing and is expected to play a bigger role in the coming years. The Bank's currency imbalance increased in 2014, mainly due to revaluation of loans as the ISK trade-weighted index changed only marginally over the year. The inflation imbalance and the interest rate risk in the banking book increased in 2014, mainly due to increased CPI-linked lending and maturing CPI-linked liabilities.

DEFINITION OF MARKET RISK

Market risk is the current or prospective risk to earnings and capital arising from adverse movements in the level or volatility of prices of market instruments, such as those that arise from changes in interest rates, equity prices and foreign exchange rates.

5.1 STRATEGY, ORGANISATION AND RESPONSIBILITY

Market risk has been identified as one of the key risk factors in the Bank's operations. The Bank takes on market risk as a part of its business strategy and aims to maintain a moderate market risk profile. The objective of the market risk management framework is to manage and control market risk exposures and ensure that the market risk profile is in line with the Bank's risk appetite.

Market risk mainly originates in the banking book due to mismatches in assets and liabilities with respect to currencies, interest reset dates and inflation indexation and due to shares and equity instruments initially acquired through restructuring. The Bank also takes on market risk in relation to its trading activities or other activities of the Markets or Treasury units.

The overall responsibility for managing market risk within the Bank lies with the Board of Directors. The Board determines the market risk appetite for the Bank in the *Market Risk Policy* which also states the roles and responsibilities in relation to market risk management.

The Asset and Liability Committee (ALCO) supervises market risk. The committee decides on market risk limits for individual positions and desks based on the overall market risk appetite approved by the Board. Risk Management is responsible for monitoring and reporting on the Bank's overall market risk exposure and limit compliance to ALCO and to the Board on a consolidated level. Individual business units are responsible for adhering to the Bank's risk management policies and procedures, defining investment policies where applicable and managing their market risk within approved limits. Subsidiaries that have market risk related business operations are responsible for identifying, measuring, monitoring and reporting on the risk in their operations.

5.2 MEASUREMENT AND MONITORING

The Bank uses various tools to monitor and limit market risk exposures. These tools consist of conventional risk measures,

such as limits on notional amounts and sensitivity measures, which contribute to the limit hierarchy used to manage market risk. The Bank also uses stress tests to simulate the effects on portfolios from extreme but plausible market events and Value-at-Risk (VaR) based measures for margin requirement calculations, capital calculations and determination of trading limits. These tools provide complementary information to notional limits and sensitivity measures but the limit structure for market risk is not formally VaR based.

Risk Management monitors the trading activities of the Bank and ensures that positions and margin requirements comply with limits. All market risk limit breaches are handled in accordance with the Bank's limit breach process and are reported to ALCO, which decides on appropriate actions, depending on the severity of the breach. Exhibit 5.1 shows the risk factors related to market risk in the Bank's operations, their origination and main limit types.

The Bank separates market risk exposures into two portfolios, trading book and banking book (non-trading portfolio). Positions in the trading portfolio are undertaken mainly as a part of the Bank's flow trading and through the Bank's liquidity portfolio. The positions are managed with specific limits on risk factors, products and portfolios. Limits are also set to manage the concentration risk towards single issuers or instruments, as well as to manage trading liquidity risk which is significant in the current domestic environment. The Bank is also exposed indirectly to market risk through customers' derivative positions. Those positions are subject to strict margin requirements.

Banking book positions that contribute to market risk are subject to various limits. Positions in the banking book mainly relate to assets and liabilities from commercial and retail banking activities, or within the Treasury unit, which contribute to the Bank's interest rate, inflation and currency risk exposures. The Bank's equity exposure includes both listed and unlisted shares.

Risk type	Description	Origination	Main limit types
Interest rate risk	Current or prospective risk to earnings or capital arising from adverse movements in interest rates. Main sources of interest rate risk are as follows: • Re-pricing risk: Arising from differences between the timing of rate changes and the timing of cash flows. • Yield curve risk: Arising from changing rate relationships across the spectrum of maturities (change in slope and shape of the yield curve). • Basis risk: Arising from changing rate relationships among yield curves that affect the institution's activities. • Optionality risk: Arising from interest-rate related options embedded in the institution's products.	• Bonds and debt instruments. • Interest rate derivatives. • Loans and deposits.	• End-of-day BPV (basis point value). • Total long and short positions in underlying securities. • Open delta position of underlying securities. • Duration of underlying securities.
Inflation risk	The risk that earnings or capital may be negatively affected from unexpected changes in inflation.	• Inflation-linked bonds and debt instruments. • Inflation-linked loans and deposits. • Inflation-linked derivatives.	• Size of the inflation imbalance.
Credit spread risk	The risk that earnings or capital may be negatively affected from adverse movements in bond risk premium for an issuer.	• Bonds and debt instruments.	• Issuer-specific notional limits.
Currency risk	The risk that earnings or capital may be negatively affected from the fluctuations of foreign exchange rates, due to transactions in foreign currencies or holding assets or liabilities in foreign currencies.	• Spot positions in currencies. • Foreign exchange derivatives. • Foreign-currency-denominated loans and deposits.	• Total open position per currency. • Total notional in underlying derivatives.
Price risk	The risk that earnings or capital may be negatively affected from the changes in the price level or volatility of debt instruments or equity instruments.	• Equities. • Bonds and debt instruments. • Interest rate and equity derivatives.	• Total position in equities. • Total position in individual securities.
Trading liquidity risk	The risk that the Bank is unable to easily liquidate or offset a particular position without moving market prices due to inadequate market depth or market disruption, thus negatively affecting the earnings or capital.	• Bonds and debt instruments. • Equities. • Derivatives.	• Total position in individual securities. • Total notional of foreign exchange derivatives.

Exhibit 5.1. Main types of market risk within Íslandsbanki.

5.3 MARKET RISK EXPOSURE

The Bank's market risk appetite defines the maximum market risk exposure that the Bank is willing to take on. The market risk exposure is measured according to an internal framework taking into account the amount and volatility of the underlying positions. The Board has set the market risk appetite relative to the Bank's capital such that for predetermined shifts in risk factors, the amount at risk shall not exceed 20% of Tier 1 capital. Exhibit 5.2 shows how the Bank's market risk exposure evolved in 2014 with respect to the average quarterly contribution of each risk factor according to the market risk framework. Currency risk, including the CPI-imbalance, was the largest market risk factor in 2014. Equity risk decreased towards the end of 2014 at the same time as interest rate risk increased.

Exhibit 5.3 displays the main categories of the Bank's market risk trading book exposures in 2014 and 2013. Since many of these exposures are quite volatile in nature, the figures displayed represent the maximum, minimum and average exposure in each

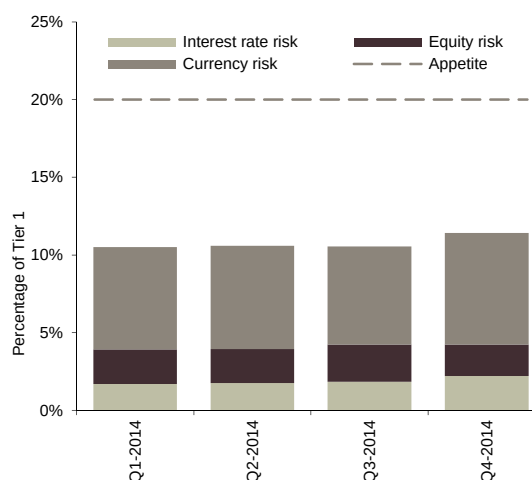


Exhibit 5.2. Market risk exposure and market risk appetite, average positions. Consolidated.

Exposure	Maximum	Minimum	Average	Maximum	Minimum	Average
	2014			2013		
Equity (net position)	4.585	630	3.019	2.944	358	1.651
Interest rate (100 bp parallel upward shift)	335	83	213	445	8	170
Foreign currency (net position)	1.601	(602)	166	996	(1.372)	(38)

Exhibit 5.3. Market risk trading book exposure (ISK m). Consolidated.

Exposure	31.12.2014	31.12.2013
Equity risk (net position)	5,721	6,113
Interest rate risk (weighted 100 bp shift)	(807)	(323)
Inflation risk (net position)	57,547	6,389
Currency risk (net position)	25,514	23,477
Derivatives (total MV)	(999)	196

Exhibit 5.4. Market risk exposure in the banking book at year-end 2014 and 2013 (ISK m). Consolidated.

category per year. As shown in Exhibit 5.3 the average trading book position in 2014 was higher in every category than in 2013. A more detailed discussion on the methodology for measuring the interest rate risk in the banking book can be found in Section 5.3.2.

The market risk exposures in the banking book at year-end 2014 and 2013 are displayed in Exhibit 5.4. Overall equity risk in the banking book decreased in 2014, mainly due to the Bank selling shares originally acquired through restructuring of customer debt. Interest rate risk in the banking book increased in the last quarter of 2014 but still remains modest. The total market value of outstanding derivatives contracts decreased in 2014 mainly due to cross currency interest rate swaps. Further details on the changes in the market risk exposure can be found in Sections 5.3.1 to 5.3.5.

5.3.1 SHARES AND EQUITY INSTRUMENTS

The Bank's equity exposure arises mainly from shares acquired through restructuring of companies but also from flow trading and market making. Most of the shares are denominated in ISK. The Bank was a market maker for nine listed companies on the domestic stock exchange at the end of 2014. The overall equity risk is managed through limits on the aggregated market value

and concentration risk is further managed through limits on the maximum exposure in single securities. An overview of the equity position on a consolidated basis is presented in Exhibit 5.5. The Bank's trading equity exposure increased in 2014 with the average position about 80% higher in 2014 than in 2013. The equity hedge portfolio consists of hedge positions against customers' equity forward contracts. In line with the development in the equity market the demand for derivatives increased which explains the increase in securities used for hedging. The market value of fair value shares and shares held for sale decreased, mainly due to the Bank selling a 2.0% share in Icelandair Group, a 4.7% share in N1 and an 8.6% share in Sjóvá in relation to its listing in April 2014.

Sensitivity Analysis

For sensitivity analysis the Bank uses a 20% decrease in equity prices for the trading portfolio and a 40% decrease for the banking book. At year-end 2014 and 2013 the impact of the sensitivity measure was a decrease of ISK 2.7 billion and ISK 2.5 billion, respectively.

5.3.2 INTEREST RATE RISK

To manage interest rate risk the Bank uses sensitivity measures like basis point value (BPV). The BPV measures the effect of a 0.01 percentage point (1 basis point) parallel upward shift in the yield curve on the market value of the underlying position. Thus a BPV of ISK 1 million means that a 0.01 percentage point parallel upward shift in the yield curve would result in a reduction of approximately ISK 1 million in the market value of the underlying position.

Interest Rate Risk in the Trading Portfolio

The fixed income trading book is divided into three portfolios: Flow trading, hedge portfolio and liquidity portfolio.

The flow trading portfolio consists of positions that the Bank takes on as a market maker for Icelandic Treasury bonds and

	Held for trading	Designated at fair value	Non-current assets and disposal groups held for sale	Securities used for hedging	Total
31.12.2014					
Listed	1,746	2,917	-	3,064	7,727
Unlisted	-	2,804	365	-	3,169
Total	1,746	5,721	365	3,064	10,896
31.12.2013					
Listed	1,167	3,322	-	1,927	6,417
Unlisted	-	2,791	677	-	3,468
Total	1,167	6,113	677	1,927	9,885

Exhibit 5.5. Shares and equity instruments including held-for-sale equities at year-end 2014 and 2013 (ISK m). Consolidated.

Country	MV	BPV	MV	BPV
	31.12.2014		31.12.2013	
Canada	1,094	(0.02)	-	-
Denmark	1,036	(0.02)	1,063	(0.02)
France	6,944	(0.30)	1,585	(0.01)
Germany	15,434	(0.41)	4,755	(0.09)
Netherlands	6,944	(0.18)	2,377	(0.02)
Norway	1,708	(0.04)	3,760	(0.13)
Sweden	4,109	(0.14)	5,375	(0.13)
UK	-	-	1,902	(0.02)
USA	9,323	(0.24)	14,433	(0.44)
Total	46,593	(1.34)	35,250	(0.86)

Exhibit 5.6. Origin of government issued bills and BPV in the Bank's liquidity portfolio (ISK m) at year-end 2014 and 2013. Consolidated.

government-guaranteed bonds issued by the Housing Financing Fund (HFF) as well as bonds issued by Municipality Credit Iceland (LSS), Reykjavík City and real estate funds. The role of the Bank as a market maker is to enhance price formation in the secondary market and to be a provider of liquidity to clients.

The flow trading portfolio invests mainly in highly liquid government bonds and HFF bonds, but significantly less in municipal and corporate bonds. Government bonds can be either non-index linked or CPI-linked. Duration ranges up to ten years for the non-indexed bonds, while the CPI-linked HFF bonds have duration of up to 13 years.

All positions in the flow trading portfolio are subject to BPV limits, both intraday and end-of-day limits. In addition to BPV limits, both the total short and long positions in the underlying bonds are limited. As a part of the market making agreements with the Government Debt Management and the Housing Financing Fund the Bank has access to securities lending which enables the Bank to take short positions in government and government-guaranteed bonds.

At year-end 2014, the total BPV for indexed and non-indexed bonds in the flow trading portfolio was ISK -1.9 million, the same as at year-end 2013.

The Bank's liquidity management assumes that part of the liquidity portfolio in foreign currencies can be invested in highly liquid bills issued by foreign governments with a long-term issuer

rating of AA- from S&P or Fitch or Aa3 from Moody's. At year-end 2014 the Bank held a significant amount of foreign AAA and AA+ credit-rated government bills for liquidity management purposes. These bills have a duration ranging up to seven months and the sensitivity measured in BPV was ISK -1.3 million at year-end 2014 compared to ISK -0.9 million at year-end 2013. Exhibit 5.6 displays the origin of the Bank's position in foreign government bills through its liquidity portfolio.

The hedge portfolio consists of hedge positions against customers' bond options, bond forward and interest rate swap contracts. Bond options and interest rate swaps are subject to BPV limits. Additionally, bond options are subject to, for example, net delta limits. The net BPV of unhedged positions was close to zero at the end of 2014.

The maximum total position in the trading portfolios over the year, excluding the hedge portfolio, was ISK 53.0 billion compared to ISK 43.7 billion in 2013 and mainly originated in the liquidity portfolio. The largest aggregated position in indexed securities was ISK 5.0 billion compared to ISK 3.8 billion in 2013 and the largest aggregated position in non-indexed securities was ISK 51.2 billion compared to ISK 41.3 billion in 2013. Exhibit 5.7 displays the total market value and BPV of the trading portfolios at year-end 2014 and 2013.

For the sensitivity analysis of the trading portfolios, the Bank uses a substantial but plausible shift in interest rates. The Bank applies a 100 bps shift in ISK, non-indexed and indexed interest rates. Shifts in rates in other currencies are scaled down to reflect lower volatility. Exhibit 5.8 shows sensitivity to the change in interest rates, with all other variables held constant.

Interest Rate Risk in the Banking Book

Interest rate risk in the banking book arises from the Bank's core banking activities. The main source of this type of interest rate risk is the risk of loss from fluctuations in future cash flows or fair value of financial instruments as market rates change over time, reflecting the fact that the Bank's assets and liabilities are of different maturities and are priced relative to different interest rates.

The Bank's main source of interest rate risk in the banking book is fixed rate mortgage loans, covered bond debt, loans in adjustments to the repayment schedule and fixed-term deposits.

	31.12.2014			31.12.2013		
	MV	Duration	BPV	MV	Duration	BPV
		(years)			(years)	
Long positions						
Indexed	1,772	8.03	(1.42)	3,282	7.41	(2.43)
Non-indexed	48,260	0.41	(1.96)	35,848	0.32	(1.13)
Total	50,032	0.68	(3.38)	39,130	0.91	(3.56)
Short positions						
Indexed	-	-	-	291	6.39	0.19
Non-indexed	73	7.39	0.05	2,878	2.23	0.64
Total	73	7.39	0.05	3,169	2.61	0.83
Net position	49,959	0.67	(3.33)	35,961	0.76	(2.73)

Exhibit 5.7. Bonds and debt instruments in the trading portfolio at year-end 2014 and 2013 (ISK m). Consolidated.

Currency	Parallel upward shift in yield curve (basis points)	Profit or loss 31.12.2014	Profit or loss 31.12.2013
ISK, indexed	100	(142)	(243)
ISK, non-indexed	100	(59)	(28)
CHF	40	-	-
EUR	20	(18)	(2)
GBP	40	-	(1)
JPY	20	-	-
USD	40	(10)	(18)
Other	40	-	-
Total		(229)	(292)

Exhibit 5.8. Sensitivity analysis for bonds and debt instruments in the trading portfolio at year-end 2014 and 2013 (ISK m). Consolidated.

The Bank issued one new index-linked and one new non-indexed covered bond series in 2014 and now has two non-index linked and four index-linked covered bonds series outstanding. The market value of outstanding covered bonds increased by ISK 9 billion in 2014, mainly due to new issuance. The Bank issued its first EUR-denominated notes in May 2014 for EUR 100 million and added SEK 300 million to its outstanding SEK-denominated notes. Including domestic covered bonds the Bank's total net securities issuance in 2014 was ISK 25 billion.

Interest rate risk in the banking book is managed using limits reflecting the Bank's market risk appetite. All assets and liabilities are divided into four interest rate groups and given weights based on historical interest rate volatilities in the respective groups. These four groups are:

- ISK indexed interest rates

- ISK non-indexed interest rates
- Interest rates in EUR or JPY
- Interest rates in other currencies

The weights are used to scale the base shift of the yield curves. In Exhibits 5.9 and 5.10 all interest bearing assets and liabilities are bucketed according to their next interest reset as at year-end 2014 and 2013. Sensitivity calculations are based on the duration of the underlying assets and liabilities. The calculations exclude loans with specific impairment since the valuation of such loans is based on the underlying collateral and is thus not affected by changes in the underlying interest rates.

For the sensitivity analysis in the banking book the Bank considers a 100 bp shift in ISK non-indexed interest rates to be reasonable. Shifts in other currencies are chosen using the same scaling factors as for the trading portfolios. ISK index-linked rate shifts are also scaled down since on longer time scales a stronger mean reversion is exhibited for index-linked rates than for non-indexed rates.

The net fair value impact of the applied shifts on the Bank's assets and liabilities based on the duration of the underlying exposures is shown in Exhibit 5.11.

The Bank measures interest rate risk in the banking book both in terms of parallel shifts and adverse shifts in interest rates. The development of the Bank's interest rate risk in the banking book in 2014 based on weighted adverse shifts is shown in Exhibit 5.12. The changes in the interest rate risk in the banking book were relatively large over the year mainly due to new lending and maturing offsetting liabilities. However, the interest rate risk in the banking book is still modest.

	0-3 months	3-12 months	1-2 years	2-5 years	5-10 years	> 10 years	Total
Assets							
Balances with Central Bank	103,389	-	-	-	-	-	103,389
Bonds and debt instruments	31,119	-	67	1,230	291	367	33,074
Loans to credit institutions	35,072	-	-	-	-	-	35,072
Loans to customers	451,191	47,768	29,963	97,052	1,868	9,809	637,650
Total assets	620,771	47,768	30,030	98,282	2,159	10,176	809,185
Off-balance sheet items							
	68,186	7,508	21,649	113	-	-	97,455
Liabilities							
Short positions	-	-	-	-	-	-	-
Deposits from Central Bank	69	-	-	-	-	-	69
Deposits from credit institutions	25,306	421	-	-	-	-	25,727
Deposits from customers	514,898	3,643	1,030	2,383	7,493	-	529,447
Debt issued and other borrowed funds	17,723	9,403	22,760	34,421	12,582	-	96,889
Subordinated loans	21,306	-	-	-	-	-	21,306
Total liabilities	579,302	13,467	23,790	36,804	20,075	-	673,438
Off-balance sheet items							
	77,732	3,272	7,701	17,850	-	-	106,555
Net interest gap on 31 December 2014	31,924	38,537	20,188	43,741	(17,916)	10,176	126,648

Exhibit 5.9. Interest rate reset periods in the banking book at year-end 2014 (ISK m). Consolidated.

Currency	Parallel upward shift in yield curve (basis points)	Fair value impact 31.12.2014	Fair value impact 31.12.2013
ISK, indexed	40	(891)	(113)
ISK, non-indexed	100	82	(206)
CHF	40	5	2
EUR	20	7	6
GBP	40	(1)	(1)
JPY	20	(0)	(1)
USD	40	(5)	(14)
Other	40	(4)	4
Total		(807)	(323)

Exhibit 5.11. Sensitivity analysis for bonds and debt instruments in the banking book at year-end 2014 and 2013 (ISK m). Consolidated.

5.3.3 INFLATION RISK

The Bank is exposed to inflation risk since assets linked to the CPI exceed liabilities linked to the CPI. The carrying amount of all indexed assets and liabilities changes according to changes in the CPI at any given time and all changes in the CPI affect the Bank's profit and loss through interest income. The mismatch between the CPI-indexed assets and liabilities is reported to ALCO and is subject to a limit decided by the committee. At year-end 2014 the CPI gap amounted to ISK 57.5 billion compared to ISK 6.4 billion at year-end 2013.

The inflation imbalance increased in 2014 mainly due to an increase in CPI-linked loans to customers and a reduction in CPI-linked liabilities. Exhibit 5.13 displays the development of the Bank's inflation imbalance in 2014. The parent and consolidated inflation imbalances converged in 2014 following the sale of one

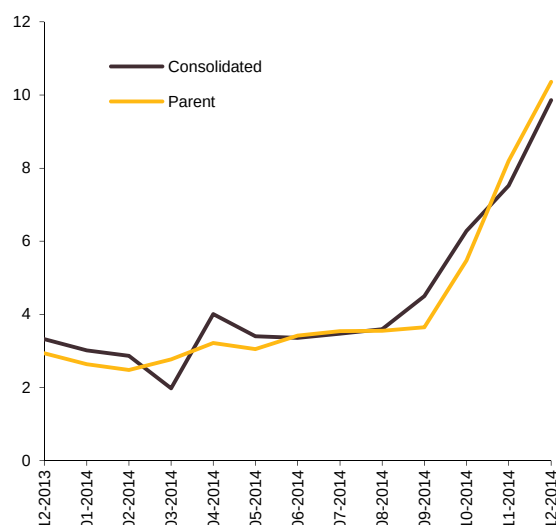


Exhibit 5.12. Monthly development of interest rate risk in the banking book in 2014 (weighted adverse BPV in ISK m). Consolidated and parent.

of the Bank's subsidiaries which had an inflation-linked loan from the parent company.

5.3.4 CURRENCY RISK

Currency risk arises when financial instruments are not denominated in the Bank's reporting currency, especially if there is a mismatch in the currency denomination of assets and liabilities.

Currency risk is managed within limits approved by the Board and also subject to regulatory limits where the net position per currency and the overall currency imbalance may not exceed

	0-3 months	3-12 months	1-2 years	2-5 years	5-10 years	> 10 years	Total
Assets							
Balances with Central Bank	111,779	-	-	-	-	-	111,779
Bonds and debt instruments	31,302	632	20	1,275	154	493	33,876
Loans to credit institutions	43,917	161	-	-	-	-	44,078
Loans to customers	401,397	46,565	57,552	38,803	1,586	12,516	558,419
Total assets	588,395	47,358	57,572	40,078	1,740	13,009	748,152
Off-balance sheet items	19,191	30,980	1,001	4,733	-	-	55,905
Liabilities							
Short positions	2,439	399	-	832	-	-	3,670
Deposits from Central Bank	63	-	-	-	-	-	63
Deposits from credit institutions	29,225	401	-	-	-	-	29,626
Deposits from customers	476,312	2,944	-	2,885	7,190	-	489,331
Debt issued and other borrowed funds	20,518	4,369	2,450	45,263	7,208	9,386	89,194
Subordinated loans	21,890	-	-	-	-	-	21,890
Total liabilities	550,447	8,113	2,450	48,980	14,398	9,386	633,774
Off-balance sheet items	20,046	23,638	5,338	8,195	-	-	57,217
Net interest gap on 31 December 2013	37,093	46,587	50,785	(12,364)	(12,658)	3,623	113,066

Exhibit 5.10. Interest rate reset periods in the banking book at year-end 2013 (ISK m). Consolidated.

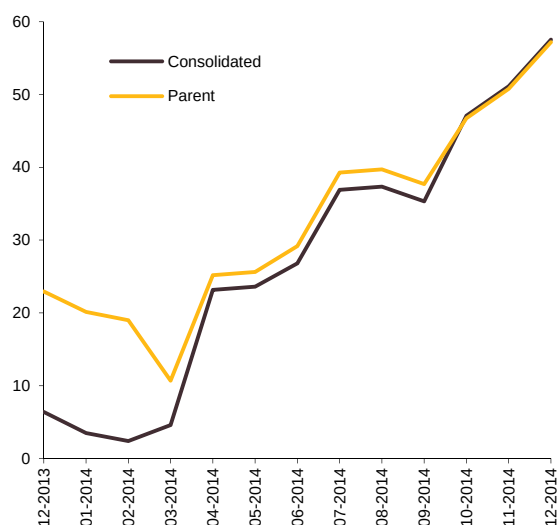


Exhibit 5.13. Monthly development of the inflation imbalance in 2014 (ISK bn). Consolidated and parent.

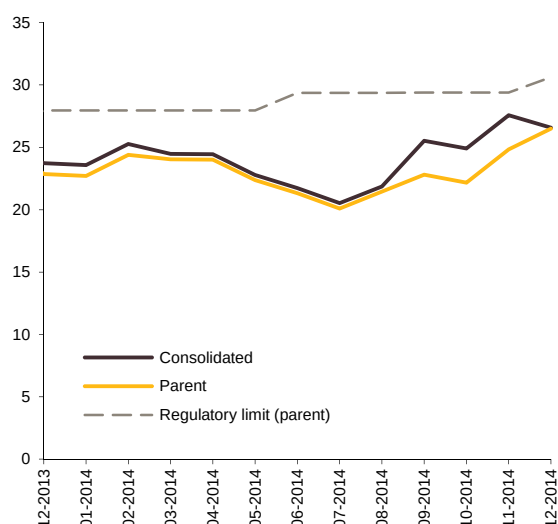


Exhibit 5.14. Monthly development of the currency imbalance in 2014 (ISK bn). Consolidated and parent.

15% of the Bank's capital base. Exhibit 5.14 displays the development of the Bank's currency imbalance in 2014. The currency imbalance at year-end 2014 was slightly higher than at year-end 2013, mainly due to revaluation of loans and new cross-currency interest rate swaps as the ISK trade-weighted index changed only marginally over the year.

5.3.5 DERIVATIVES

The Bank offers various types of derivative products to its customers. The main products are interest rate swaps (IRS), cross currency interest rate swaps (CIRS), bond options, foreign currency options (FX options), foreign exchange swaps (FX swaps), outright forwards (FX forwards), equity forwards, bond forwards and repurchase agreements (REPOs). All derivative positions that carry market risk are subject to market risk limits. The overall position in interest rate swaps and cross currency interest rate swaps is limited with BPV and maturity limits while options are subject to several limits, including a limit on the open delta position per underlying instrument.

Derivatives that do not carry direct market risk (due to hedging), e.g. forward agreements for foreign currency and securities, are subject to notional limits that cap the Bank's indirect exposure to the underlying risk factors. The Bank uses derivatives to hedge out currency exposure, interest rate risk in the banking book as well as inflation risk. Other derivatives in the Bank held for trading or for other purposes are insignificant.

5.4 CAPITAL REQUIREMENTS

The Bank uses the standardised approach for calculating its capital requirements for market risk. Exhibit 5.15 shows the Pillar 1 capital requirements for market risk at the Bank at year-end 2014 and 2013. The Bank's market risk profile changed somewhat in 2014 with market risk accounting for 4.8% of the Bank's capital requirement under Pillar 1 at year-end 2014 compared to 4.4% at year-end 2013. The capital requirement and risk-weighted assets increased for each of the underlying factors due to larger end-of-year position in the trading book for both equities and bonds and a slightly larger currency imbalance.

The implementation of the new Capital Requirements Regulation and Directive (CRD IV) is imminent in the year 2015. Under the new directive the Pillar 1 capital requirements for market risk will increase due to higher requirements for trading equities and new requirements (CVA or Credit Value Adjustment) regarding counterparty risk related to derivatives transactions. Based on positions at year-end 2014 the changes would result in a roughly 13% increase in the Pillar 1 capital requirement for market risk.

The Bank accounts for the market risk not covered under Pillar 1 in its Internal Capital Adequacy Assessment under Pillar 2 (ICAAP).

5.5 STRESS TESTING

The Bank runs stress tests on both its trading and banking book in order to quantify the effect that severe changes in micro- and macroeconomic factors might have on the Bank's balance sheet

Risk exposure	Capital requirement	RWA	Capital requirement	RWA
	31.12.2014		31.12.2013	
Equity risk	210	2,620	139	1,739
Currency risk	2,139	26,732	1,900	23,744
Interest rate risk	318	3,974	269	3,366
Total	2,666	33,326	2,308	28,849

Exhibit 5.15. Pillar 1 capital requirements and risk-weighted assets (RWA) for market risk at year-end 2014 and 2013 (ISK m). Consolidated.

and total capital. These two portfolios are handled differently due to their inherent differences. The following risk exposures are simulated on a forward looking basis:

- Equities: All shares owned by the Bank.
- Interest rate risk: All market bonds as well as interest rate risk in the banking book.
- Currency risk: The Bank's currency imbalance.
- Inflation risk: The Bank's inflation imbalance.
- Direct market risk through derivatives: For example, bond options, FX options, interest rate swaps and currency interest rate swaps carry direct market risk.
- Indirect market risk through derivatives: Credit losses can occur in the case of severe market movements and insufficient collateral.

According to law 11/2008 and FME's regulation 528/2008 the Bank runs weekly stress tests for its covered bond issuance comparing the net present value of issued covered bonds and the collateralised loans under various stress scenarios, including a sudden and permanent interest rate shock of 100 basis points and a 2.5% change in the CPI. At year-end 2014 the Bank withstood all of these stress tests.

REGULATORY CHANGES

The following Acts will affect the Bank's inflation imbalance and interest rate risk in the banking book, see Regulatory Changes in Chapter 4 for details. All else equal, they are expected to lower both the inflation imbalance and the interest rate risk in the banking book.

Act No. 35/2014 on the CPI-linked mortgage relief scheme

Act No. 40/2014 on personal pension savings and their use for mortgage payments and for down payment on a new home

6 LIQUIDITY RISK

The Bank maintained a strong liquidity position throughout 2014 and all regulatory and internal metrics were well above limits. At year-end 2014, the Bank's LCR ratio was 117% for the parent company and 130% at a consolidated level. The deposit base remained fairly stable in 2014 despite increased investment opportunities in the equity and bond markets. This is reflected in high deposit-to-loan ratios throughout the banking system. The ratio of customer deposits to loans to customers was 84% at the end of 2014 compared to 88% at the end of 2013. The ratio of total deposits to total loans increased from 83% to 85% over the same period.

The Bank issued ISK 8.8 billion in covered bonds in 2014. In addition, the Bank issued short-term unsecured papers throughout 2014 with an outstanding amount at year-end of just under ISK 5 billion. In 2014 the Bank issued a SEK 300 million tap into its inaugural SEK 500 million Floating Rate Note and the Bank furthermore issued its first Euro-denominated bond of EUR 100 million in May 2014.

DEFINITION OF LIQUIDITY RISK

The Bank defines liquidity risk as the risk of not being able to fund its financial obligations or planned growth, or only being able to do so substantially above the prevailing market cost of funds.

6.1 STRATEGY, ORGANISATION AND RESPONSIBILITY

Sound and efficient management of liquidity risk is a key factor to ensure the viability of the Bank's operations and to achieve and maintain access to funding markets. The Bank takes a conservative and prudent approach to the management of liquidity risk and its liquidity strategy assumes that the Bank can sustain a prolonged period of stress. This strategy is fulfilled by ensuring that the Bank:

- Has a portfolio of liquid assets to be able to honour its obligations as they fall due, even under stressed conditions in funding markets.
- Enforces a prudent amortisation profile on its portfolio of loans to customers in order to reduce the refinancing risk of both the Bank's customers and the Bank itself.
- Has a clear limit with respect to liquidity risk in the main operating currencies.
- Fulfils external limits on liquidity at all times.
- Has in place well defined liquidity risk stages and a contingency plan which details the management actions at each stage.

The overall responsibility for the Bank's liquidity risk management lies with the Board of Directors. The Board defines the Bank's risk appetite and approves the Bank's *Liquidity Risk Policy* which also states the roles and responsibilities regarding liquidity risk management.

The Asset and Liability Committee (ALCO) supervises liquidity risk. The committee decides on and implements the risk limits set forth in the *Liquidity Risk Policy* by the Board of Directors.

The Risk Management unit is responsible for communicating the Bank's *Liquidity Risk Policy* to the Bank's business units and the subsidiaries. Risk Management makes proposals to ALCO and the Board of Directors on the liquidity risk appetite, limit structure and the liquidity risk management framework. Risk Management is also responsible for reporting on the Bank's overall liquidity position both for the parent company and the consolidated bank and compliance to limits, both internally and externally.

Treasury is responsible for managing the liquidity of the Bank within limits set by ALCO and for reporting on the funding status of

the Bank. Treasury makes proposals to ALCO for internal pricing. Day-to-day liquidity management is delegated to the interbank desk.

The Bank complies with the Guidelines no. 2/2010 for Sound Liquidity Risk Management and Supervision issued by the FME. These Guidelines are based on the Principles for Sound Liquidity Risk Management and Supervision, issued by the Basel Committee on Banking Supervision.

According to the Central Bank rules on liquidity ratios, the Bank submits monthly reports on the LCR and NSFR ratios to the Central Bank.

6.2 MEASUREMENT AND MONITORING

The Bank uses various metrics and measures, both static and forward looking, to assess and quantify its liquidity position and thereby its liquidity risk. The main measures are based on:

- Assessing the ratio between the Bank's liquidity back-up and maturing liabilities.
- Assessing the balance between long-term assets and long-term funding sources.
- Analysing the mismatch in cash flows from assets and liabilities under normal and stressed business conditions.
- Assessment of the liquidity stage.

The assumptions for the internal liquidity measures are reviewed regularly.

6.3 LIQUIDITY POSITION

The Bank maintained a very strong, and relatively stable, liquidity position throughout 2014 and all regulatory and internal metrics were well above limits.

The Bank's liquidity strategy aims at maintaining a healthy ratio of liquid assets in order to fulfil internal and external liquidity requirements but at the same time earning an acceptable return on the Bank's assets. Exhibit 6.1 shows the composition of the Bank's liquidity backup at the end of 2014 and 2013.

In addition to internal limits, the Bank is subject to liquidity requirements posed by the FME and the Central Bank of Iceland.

Composition and amount of liquidity back-up	31.12.2014	31.12.2013
Cash and balances with Central Bank	92,651	105,161
Domestic bonds eligible as collateral against borrowing at the Central Bank	29,478	20,873
Foreign government bonds	45,517	34,618
Total High Quality Liquid Assets (HQLA)	167,645	160,652
Short-term placements with credit institutions	32,505	41,192
Total liquidity back-up	200,151	201,844

Exhibit 6.1. Composition and amount of liquidity back-up (ISK m). Parent.

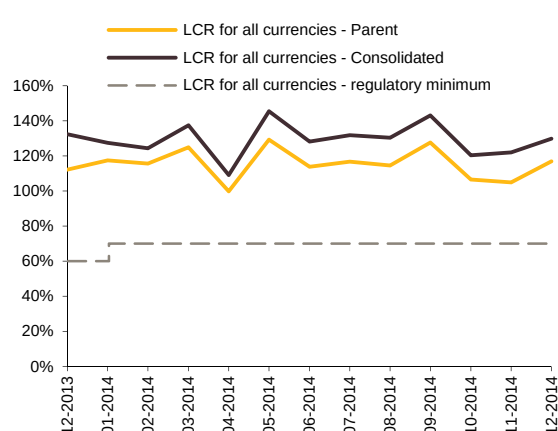


Exhibit 6.2. LCR for all currencies.

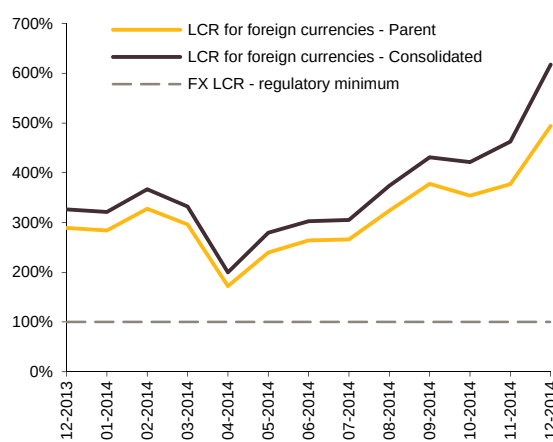


Exhibit 6.3. LCR in foreign currency.

6.4 REGULATORY REQUIREMENTS

Liquidity Coverage Ratio and Net Stable Funding Ratio

The Central Bank of Iceland, which is the main supervisory authority regarding liquidity risk, has incorporated the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio (NSFR) based on the CRD IV standards into the *Rules on liquidity ratio*¹ and the *Rules on funding ratio in foreign currencies*². Full implementation of the CRD IV liquidity standards, especially with respect to foreign currency denominated liabilities, is considered an important step in preparing for the removal of the capital controls.

The LCR implementation started in December 2013 with the current regulatory minimum at 100% for LCR in foreign currencies and at 80% for the total LCR. As of 1 December 2014 the Central Bank requires that the Icelandic banks maintain a minimum NSFR in foreign currencies of 80%. Exhibit 6.10 displays the implementation plan for the LCR and NSFR in Iceland compared to the EU implementation guidelines.

At year-end 2014 the total LCR for the Bank was 117% and for foreign currencies 494% at parent level and 130% for all currencies and 617% for foreign currencies on a consolidated level. The FX-NSFR was above regulatory limits at year-end 2014.

Exhibit 6.2 and 6.3 shows the development of the LCR liquidity ratios for the Bank in 2014.

Definition of the Liquidity Coverage Ratio

The Liquidity Coverage Ratio (LCR) is defined as the proportion of High Quality Liquid Assets (HQLA) to net cash outflow over the next 30 calendar day period.

$$LCR = \frac{\text{Stock of HQLA}}{\text{Cash outflow} - \text{Minimum}\{\text{Cash inflow}, 75\% \text{ Cash outflow}\}}$$

High Quality Liquid Assets (HQLA) are defined as assets that can be easily and immediately converted into cash at little or no loss of value. These include Central Bank deposits, government bonds and corporate debt securities. The main outflow factors include on-demand deposits, committed credit and liquidity facilities, contractual lending obligations within a 30-day period, derivative cash outflow and other contractual cash outflows. This is offset by contractual cash inflows from outstanding exposures that are fully performing and derivative cash inflows.

In order to prevent banks from relying too much on anticipated inflows to meet their liquidity requirements the amount of inflows that can offset outflows is capped at 75% of total expected cash outflows. This requires that banks must maintain a minimum stock of HQLA equal to 25% of the total cash outflows.

Definition of the Net Stable Funding Ratio

At the end of 2014, The Bank for International Settlements introduced reforms to the NSFR standards and implementation timeline. The NSFR measures the proportion of stable funding to long-term assets for a time horizon of over one year. In particular, the NSFR is structured to ensure that long-term assets are funded

¹Central Bank rules on liquidity no. 1055 from 1 December 2013

²Central Bank rules on funding ratio in foreign currencies no. 1032 from 1 December 2014

with at least a minimum amount of stable liabilities and thus to limit over-reliance on short-term wholesale funding.

$$\text{NSFR} = \frac{\text{Available amount of stable funding}}{\text{Required amount of stable funding}}$$

The amount of Available Stable Funding (ASF) is measured based on the broad characteristics of the relative stability of an institution's funding sources, including the contractual maturity of its liabilities and the differences in the propensity of different types of funding providers to withdraw their funding. The available amount of stable funding is mainly comprised of retail deposits, wholesale deposits with remaining maturity of greater than one year, equity and borrowings with a residual maturity over 1 year. The amount of Required Stable Funding (RSF) is measured based on the broad characteristics of the liquidity risk profile of an institution's assets and off-balance sheet exposures. The required amount of stable funding is mainly in the form of encumbered assets for a period of one year or more, unencumbered residential mortgages with a residual maturity of one year or more that would qualify for a 35% or lower risk weight under the Basel standardised approach for credit risk, other loans that do not qualify for the 35% or lower risk weight under the Basel standardised approach for credit risk and have residual maturities of one year or more and other assets. All categories are weighted by the appropriate ASF or RSF factor.

6.5 LIQUIDITY STRESS TESTING

The Bank has in place a stress testing framework for liquidity that incorporates multiple scenarios with varying degree of likelihood and severity. The stress tests are intended to assess the development of the Bank's liquidity position under stressed market conditions without access to new funding and develop a strategic course of action. The stress testing framework is supplemented by a liquidity contingency plan. The results from all stress tests are reported to the Board of Directors.

6.6 LIQUIDITY CONTINGENCY PLAN

The Bank's *Liquidity Risk Policy* postulates that the Bank has in place a *Liquidity Contingency Plan*. The main purpose of the contingency plan is to identify liquidity or funding problems as early as possible and thereby to improve the Bank's ability to respond to such situations. As a part of the *Liquidity Contingency Plan*, the Bank has defined five liquidity stages reflecting different levels of severity. The liquidity stage is determined based on both predefined risk triggers and on qualitative assessment. For each stage, management and reporting actions have been defined and communicated to the relevant parties, including the Board of Directors, the Central Bank and the FME. The *Liquidity Contingency Plan*, which forms a part of the Bank's *Business Continuity Plan*, which is discussed in Chapter 7, is tested regularly and the findings from the test are used to improve the contingency plan if needed.

6.7 FUNDING

Deposits remain the Bank's main source of funding. At the end of 2014, the ratio of total deposits to total loans was 85%, whilst the ratio of customer deposits to customer loans was 84%. The

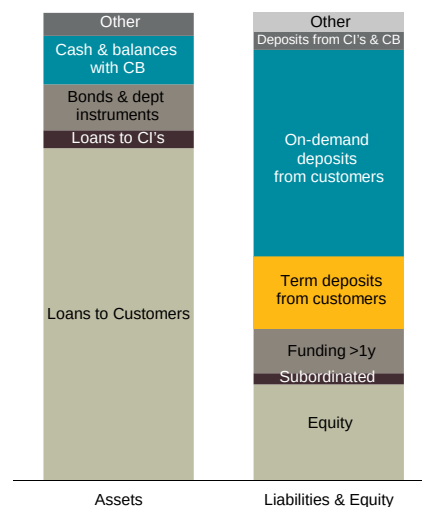


Exhibit 6.4. Funding profile and the Bank's matching assets at year-end 2014. Parent.

deposit-to-loan ratio has remained relatively stable for the last few years, ranging from 84% to 88%, despite an increase in other investment opportunities and in an environment of falling interest rates. The Bank is actively working on increasing the diversity of its funding base and has been successful in doing so with issuance of bonds, notes and bills both domestically and in foreign markets. Deposits are however expected to remain the Bank's main source of funding, Exhibit 6.4.

The overall deposit/loan ratios in Iceland are at the moment very high in a historical context. Deposit ratios could be expected to converge to a lower long-term average in the coming years but the path for such an adjustment is highly dependent on various external factors such as the possible lifting of capital controls and the removal of the state guarantee of deposits.

6.7.1 DEPOSITS

In an effort to manage liquidity risk the Bank has put emphasis on increasing the portion of customer deposits with effective term of 31 days or greater. This is evident through the introduction of new term deposit products and considerable marketing effort in that area. The share of term deposits was 30% at the end of 2014 compared to 26% at the end of 2013. The Bank puts emphasis on managing its deposits to reduce concentration. The Bank's deposits have been categorised into six different groups, based on the CRD IV categorisation. The groups are listed in Exhibit 6.5 in order of estimated stability and the respective LCR run-off rates as adapted by the Central Bank of Iceland.

Exhibit 6.6 shows a breakdown of the Bank's deposits at year-end 2013 and 2014, according to the CRD IV definitions in Exhibit 6.5.

The share of on-demand retail deposits from individuals and small businesses remained unchanged at 44% between years. Thereof, 10% have a term period greater than 31-days, 11% are considered stable in nature and 23% less stable. The distinction between stable and less stable deposits is based on the type of relationship that the Bank has with the customer and the fraction of the deposits that are fully covered by an effective deposit insurance scheme. Currently the Icelandic Deposit insurance scheme covers EUR 20,887 whereas most EU members have increased the maximum insured amount to EUR 100,000.

Deposit class	CRD IV criteria	LCR run-off rates
Foreign entities and financial institutions	Financial institutions, foreign individuals and foreign legal entities	100%
Domestic Financial institutions and fiduciaries	Financial institutions, insurance companies, fiduciaries, beneficiaries and special purpose vehicles	100%
Non-financial corporates	Legal entities with total deposits greater than EUR 1,000,000, as well as sovereign, central bank and public sector entities	40%
Individuals and small businesses, less stable	Individuals and legal entities with total deposits less than EUR 1,000,000, part of deposits that are not covered by an effective deposits insurance scheme or do not have other established relationships with the Bank	10%
Individuals and small businesses, stable	Individuals and legal entities with total deposits less than EUR 1,000,000, deposits that are fully covered by an effective deposits insurance scheme in Iceland and have other established relationships with the Bank	10%
Term deposits from individuals and small businesses	Deposits with an effective term period of 31 days or greater from individuals and small businesses	0%
Term deposits from other entities	Deposits with an effective term period of 31 days or greater	0%

Exhibit 6.5. CRD IV criteria for deposit categorisation.

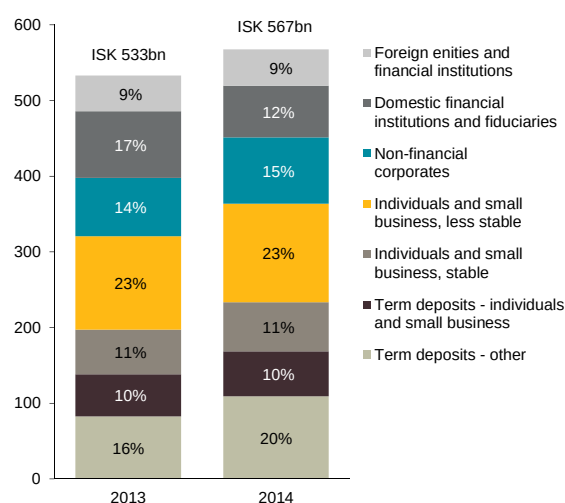


Exhibit 6.6. Deposits by LCR categorisation at year-end 2014. Parent.

6.7.2 BOND ISSUANCE

The Bank established a position as the market leader in the issuance of covered bonds in the domestic market in December 2011. The Bank issued ISK 8.8 billion of covered bonds in 2014, compared to ISK 9.9 billion issued the previous year. The total outstanding amount of covered bonds at year-end 2014 was ISK 32.1 billion. The Bank has been able to issue at relatively attractive terms and the spread between yields on the Bank's covered bonds and government-guaranteed bonds has narrowed considerably since the program was launched. On average there is a spread of 12 bps for shorter bonds and 16 bps for longer bonds in 2014, see Exhibit 6.7.

In April 2013 the Bank began issuing unsecured short-dated bonds (i.e. commercial papers) in the domestic market, the first listed issue of such securities by an Icelandic bank since the

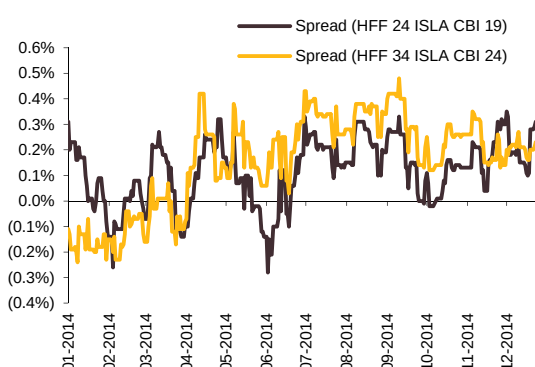


Exhibit 6.7. Development of covered bond spread relative to HFF bonds.

autumn of 2008. At year-end the Bank had just under ISK 4.4 billion of debt outstanding in short-term unsecured bonds, with maturities ranging from one to six months.

In the spring, the Bank issued a SEK 300 million tap of its inaugural SEK 500 million December 2017 Floating Rate Note. The new tranche was issued at a lower spread to maturity of 3-month STIBOR + 330 bps, 70bp tighter than the original issue in December 2013.

In May 2014, the Bank followed that transaction with a EUR 100 million fixed rate bond, paying 3% coupon for a 2-year maturity. This issue was the first in Euros issued by an Icelandic bank since 2008, and was predominantly placed with investors in Germany and Scandinavia.

Exhibit 6.8 shows the maturity profile of the Bank's bond issues.

6.7.3 RATING

In April, Standards & Poor's assigned Íslandsbanki a credit rating of BB+/B with a stable outlook. In October, the outlook was revised to positive. The Bank's ratings are somewhat constrained by the

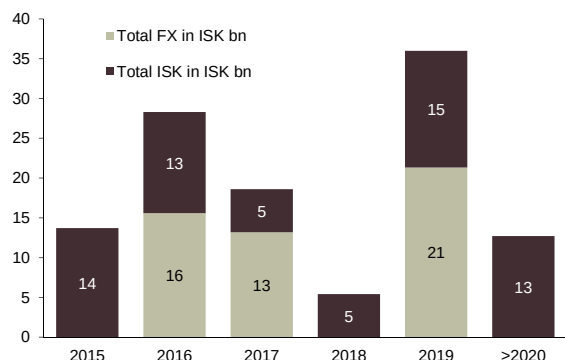


Exhibit 6.8. Maturity profile of long-term funding (ISK bn). Parent.

BBB- rating of the Republic of Iceland, so progress with the government's plans to ease capital controls will have a significant bearing on the Bank's own ratings.

6.7.4 ASSET ENCUMBRANCE

Asset encumbrance, the percentage of assets pledged as collateral, is a measure that has gained increased attention from regulators, investors and others. The Bank's asset encumbrance comes mainly in the form of:

- Loans and securities serving as collateral for covered bond issuance which is one of the Bank's strategic long-term funding sources.
- Loans and securities as collateral for mortgage-backed bonds.
- Loans and securities as collateral for currency swap agreements.

Exhibit 6.9 shows the development of asset encumbrance as percentages of total assets.

6.7.5 FUNDING OUTLOOK

The deposit to loan ratio has remained relatively stable in recent years despite increasing number of other investment opportunities and an environment of falling interest rates. Deposits are expected to remain the main source of funding for the Bank, but a lowering of the deposit to loan ratio over the course of the next few years may be expected as banks are dis-intermediated in the face of a broadening choice for investors. The Bank's funding

	Percent of total assets pledged as collateral
2010	8.6%
2011	9.6%
2012	11.5%
2013	12.2%
2014	10.8%

Exhibit 6.9. Development of asset encumbrance as a percentage of total assets. Parent.

diversification strategy is squarely aimed at managing such a possibility.

It is assumed that an annual covered bond issuance of around ISK 10 billion in the domestic market will form the basis for the Bank's new mortgage lending.

The Bank also aims to use the capital markets to issue unsecured bonds both domestically and abroad. The Bank increased the size of its Global Medium Term Note Programme ("GMTN") in the summer to a headline USD 750 million. The GMTN, which enables the listing of transactions on the Irish Stock Exchange, is the Bank's principal vehicle for foreign currency term funding. It will afford the Bank all the usual flexibilities an MTN programme can offer and enable the refinancing of current sources of foreign currency debt at more attractive terms.

Domestically, there is a risk is that investors' appetite for covered bonds will not be sufficient to fund the demand for new mortgages which could result in a spike in yields which would in turn suppress demand. Internationally, volatility in the foreign markets as well as the Icelandic economy associated with lifting of capital controls could result in increased costs of funding in foreign currency. A successful lifting of the controls is vital for the long-term health and stability of the financial system. The Bank is well prepared to deal with the short-term outflow of funds that could be associated with the lifting of capital controls.

6.7.6 REGULATORY CHANGES AND OUTLOOK

The Central Bank of Iceland, has already implemented the Liquidity Coverage Ratio (LCR) and the Net Stable Funding Ratio into the Icelandic liquidity rules well ahead of the general implementation plan in Europe. Exhibit 6.10 outlines the implementation plan for Iceland as compared to Europe.

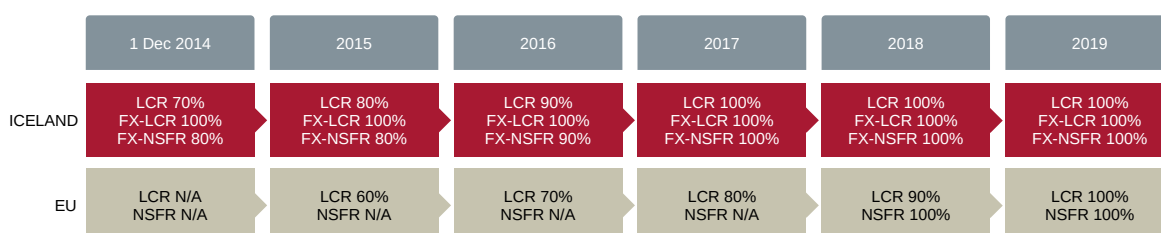


Exhibit 6.10. The planned implementation of the LCR in Iceland compared to the EU plan.

REGULATORY CHANGES

Central Bank liquidity rule no. 1032/2014 on the implementation of the NSFR

The Central Bank of Iceland has issued new Rules on foreign currency funding ratios³, no. 1032/2014, in accordance with the provision contained in Article 12 of the Act on the Central Bank of Iceland, no. 36/2001. The Rules took effect on 1 December 2014. The funding ratio is intended to ensure a minimum level of stable one-year funding in foreign currencies and therefore restrict the degree to which the commercial banks can rely on unstable short-term funding to finance long-term foreign-denominated lending.

In view of experience, the Central Bank considers it important to reduce the risk that could result from excessive maturity mismatches between the commercial banks' assets and liabilities by explicitly limiting maturity mismatches in foreign currency. The funding ratio that the Bank has now adopted is based on the Basel Committee's rules concerning Net Stable Funding Ratio (NSFR).

The Central Bank intends to implement the rules on funding ratios, which are designed to cover periods ranging up to three years, in 2015. This is in accordance with the declared objectives set forth in the Central Bank publication "Prudential Rules Following Capital Controls", according to which domestic financial institutions should be able to withstand closure of foreign credit markets for up to three years.

Amendment to the liquidity rules no. 1031/2014 on the liquidity ratios

On 31 December 2014, the Central Bank of Iceland tightened the rules on liquidity ratios (LCR) regarding the treatment of deposits from financial institutions. From 1 January 2015 to 1 October 2015, the outflow rate for foreign currency denominated deposits with term ranging from 30-days to 6-months will increase stepwise from 25% to 100%.

³New liquidity rules for credit institutions, No. 1032/2014.

7 OPERATIONAL RISK

In 2014, a total of 334 loss events were registered in the Bank's loss event database. Most of the registered operational risk events occurred without causing a loss. The loss events are categorised according to Basel convention. The category "External Fraud" accounts for 38% of all loss events, and the category "Execution, Delivery and Process Management" accounts for 35% of all loss events. The loss events in the category "Clients Products and Business Practices" account for 70% of the total loss amount attributed to operational risk in 2014.

DEFINITION OF OPERATIONAL RISK

The Bank has adopted the definition of operational risk from the CRD of the European Parliament and of the European Council, where operational risk is defined "as the risk of loss resulting from inadequate or failed internal processes, people and systems or from external events, and includes legal risk". The Bank's definition of operational risk includes compliance risk and reputational risk.

7.1 STRATEGY, ORGANISATION AND RESPONSIBILITY

The Board of Directors has approved an *Operational Risk Management Policy*, applicable to the Bank and its subsidiaries. The policy outlines a framework for operational risk management in the Bank. The operational risk management framework is described in further detail in several subdocuments, such as the *Quality Management Policy*, *Data Policy*, the *Business Continuity Management Framework*, the *Security Policy*, and the *Crisis Communication Policy*, all of which are approved by the Executive Board.

The operational risk strategy can be summarised by the following principles:

- Increase operational risk awareness, and promote a culture of reliable business continuity.
- Accept no unnecessary operational risk unless the cost of avoiding risk outweighs the benefits.
- Mitigate unacceptable risks and prevent loss.

The Executive Board is responsible for the operational risk framework, and the Risk Monitoring Unit within Risk Management is responsible for the implementation of the operational risk framework throughout the Bank.

7.2 MEASUREMENT AND MONITORING

The Bank has implemented an operational risk management framework within the parent company that fulfils the Basel Accord's requirements for the standardised approach.

The main tools for operational risk management are:

- Registration of all significant operational risk loss events occurring in the Bank.
- Risk and Control Self-Assessment (RCSA) throughout the Bank.
- Monitoring of Key Risk Indicators (KRI) throughout the Bank.
- Business Continuity Management.
- Management reporting that provides operational risk reports to relevant functions within the Bank.

Thresholds for acceptable quarterly losses are defined in the *Operational Risk Management Policy* in accordance with the Risk Appetite Statement, approved by the Board of Directors. If the loss exceeds a lower threshold a report of the causing events and a risk mitigation plan is presented to the Executive Board. However, if the

loss exceeds a higher threshold, a report and a mitigation plan is presented to the Board of Directors.

The Risk Monitoring Unit is responsible for the development of the operational risk management framework and for monitoring operational risk, whereas each business unit is primarily responsible for managing and controlling its own operational risk. The Risk Monitoring Unit produces management reports intended to provide an overview of the Bank's operational risk profile to support or stimulate the management's decisions. The reports are based on registered operational risk loss events, KRI measurements and RCSA results and are submitted at least quarterly to the Board of Directors, the Executive Board and relevant business owners.

7.3 LOSS EVENT DATA

The Bank has implemented a framework to capture both actual and potential operational risk losses.

Operational risk loss events which result in losses of more than ISK 100,000 and incidents that could potentially cause substantial losses (near-misses) are collected through a web-based system and are registered in the Bank's loss event database. The database holds information on all significant actual losses, categorised according to Basel convention, and provides a basis for management reports. Also, the loss event data are used in the Internal Capital Adequacy Assessment Process (ICAAP) to model the Bank's operational risk profile in order to assess the appropriate capital requirements for operational risk.

In 2014 a total of 334 loss events were registered in the Bank's loss event database. The category "External Fraud" accounts for 38% of all loss events, and the category "Execution, delivery and process management" accounts for 35% of all loss events. The increase in the category "External Fraud" is mainly due to enhanced surveillance, an increase in credit card frauds reported and an increase in the number of phishing attacks but no losses were registered due to such attacks in 2014.

In 2014, 70% of the total operational risk losses were categorised as "Clients Products and Business Practices".

Further division of loss events is presented in Exhibits 7.1 and 7.2.

7.4 RISK AND CONTROL SELF ASSESSMENT

In addition to the collection of loss data, the Bank uses the Risk and Control Self-Assessment (RCSA) process to identify and assess

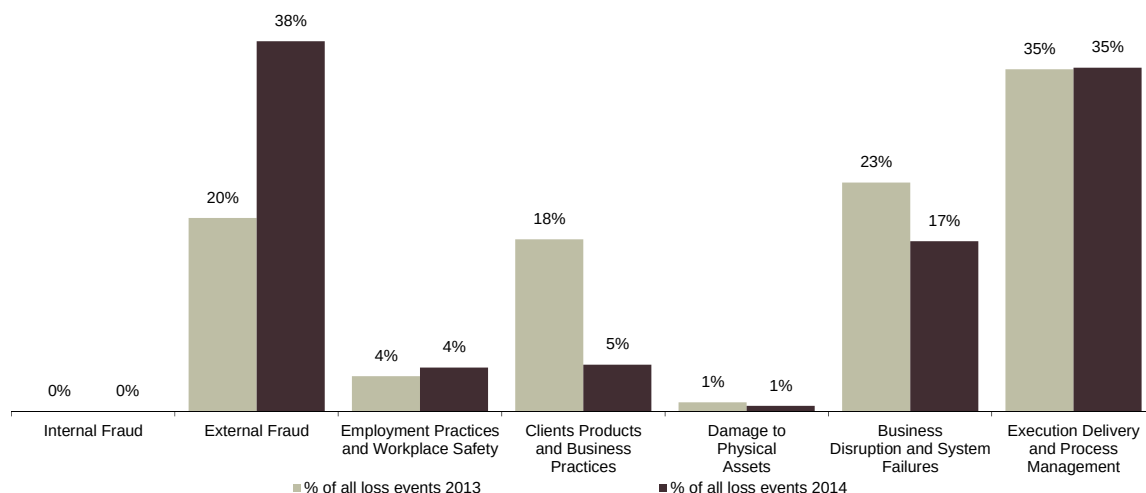


Exhibit 7.1. Number of loss events in 2013–2014 based on Basel event categories. Parent.

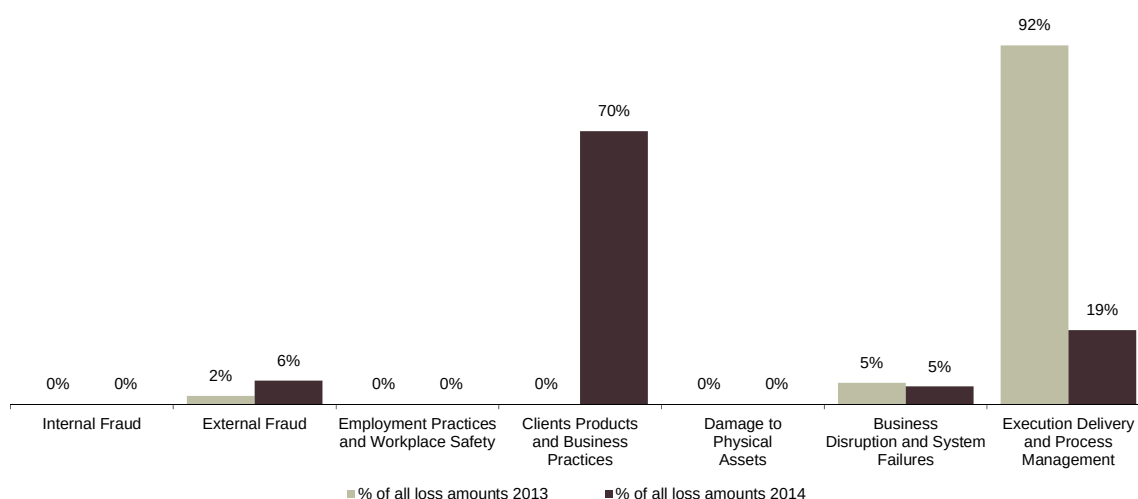


Exhibit 7.2. Loss amounts in 2013–2014 based on Basel event categories. Parent.

potential operational risks. The purpose of this framework is to improve the way the Bank operates through regular review of policies, processes and systems.

The risk identification is based on a thorough review of current processes. Each business unit reviews processes that are critical to the sound delivery of its products and services, and if any weaknesses are found, the probability of a loss event and the expected loss amount are estimated, thereby giving a measure of the value at risk. For all risks determined unacceptable, a mitigation plan is created. The RCSA is undertaken at least once a year by all business units within the Bank and the main findings and mitigation plans are reported to senior management. All risks identified in the RCSA process throughout the Bank are registered in a database, managed by Risk Monitoring. The database is used for management reporting on the Bank's operational risk profile.

7.5 QUALITY MANAGEMENT

The Quality Management Unit, within Risk Monitoring, is responsible for supervising, maintaining and developing the Bank's *Qual-*

ity Management Policy. The policy is based on seven quality management principles: business process management, continuous improvement, good governance, product management, project management, quality management framework and record management.

The *Product Management Policy* documents the product approval process within the Bank, in accordance with Basel convention. The main objective is to ensure implementation of products in compliance with the Bank's policy and legal requirements. The process is a synchronisation and communication tool between product stakeholders, as well as a monitoring and risk management tool for new products. It also gives an overview of the full product range and the diversity of products within the Bank. All new products have to be approved by the Risk Committee before they are implemented and launched to the market.

7.6 DATA GOVERNANCE

Risk Monitoring is responsible for the Bank's data governance framework and the maintenance of the Bank's *Data Policy*.

In general the data governance aim is to ensure the availability, usability, integrity, consistency, auditability and security of the Bank's data. This is achievable through the interworking of data standards, data strategy, communication, policies and processes.

The Bank's *Data Policy* lays the foundation on how the Bank's data should be treated. The *Data Policy* is based on the Basel Committee on Banking Supervision (BCBS) consultative document Principles for Effective Risk Data Aggregation and Risk Reporting.

7.7 BUSINESS CONTINUITY MANAGEMENT

The Bank's Business Continuity Management Framework documents the measures taken by the Bank to mitigate risks that could disrupt the Bank's operations, resulting in a loss or negative customer's experience. The primary objective of the framework is to create a culture of business continuity by raising employee and management awareness, and providing guidelines for creating business continuity plans for the Bank's business units.

Employees, systems and processes are included in the scope of the Business Continuity Plans. The consideration given to each element depends on the element's sensitivity to disruption and importance in the assurance of business continuity. Sensitivity and importance are evaluated by each of the Bank's business units, as well as the accompanying alert levels and testing frequencies. Each business unit appoints a Business Continuity Team and is responsible for maintaining its Business Continuity Plan.

The Business Continuity Management Framework is approved by the Executive Board of Íslandsbanki. Risk Monitoring is responsible for the coordination of all efforts by the Bank described in the Business Continuity Management Framework.

In case of a serious disruption in the Bank's operations a Crisis Management Plan has been documented in order to provide a set of guidelines for the Bank's Executive Board. The document also states the principles that should guide the Executive Board in case of a major disruption and specifies which of the Bank's functions should be the Executive Board's main concern during a major disruption.

7.8 CAPITAL REQUIREMENT

The Bank uses the Basic Indicator Approach of the Capital Requirements Directive (CRD) to calculate the capital requirements for Pillar 1 operational risks, in accordance with Rules on the Capital Requirement and Risk Weighted Assets of Financial Undertakings no. 215/2007.

Under the Basic Indicator Approach the capital requirement for operational risk is equal to 15% of the relevant indicator. The relevant indicator is the average over three years of the sum of net interest income and net non-interest income.

The Bank uses statistical modelling, based on registered loss events and risks discovered in the RCSA process in the ICAAP process to assess the need (if any) for Pillar 2 capital in addition to the Pillar 1 regulatory minimum.

7.9 REPUTATIONAL RISK

Reputational risk is the risk to earnings or capital arising from adverse perceptions of the Bank by customers, counterparties, shareholders, investors, or regulators.

Unfavourable perceptions can affect the Bank's ability to maintain existing business relationships or establish new relationships, and a serious harm to the Bank's reputation may limit the Bank's access to funding.

To address reputational risk, internal procedures have been set up to limit reputational risk. The Executive Board has also approved a *Crisis Communication Policy* where responses to reputational crises are outlined.

Changes in the Bank's reputation according to specific measures are portrayed in management reports on operational risk.

7.10 LEGAL AND COMPLIANCE RISK

Legal risk is the risk to earnings or capital arising from uncertainty in the applicability or interpretation of contracts, law or regulation, for example when legal action against the Bank is concluded with unexpected results or when contracts are not legally enforceable or rendered illegal by a court's ruling. Legal risk is defined as part of operational risk and managed as such. There are various legal issues that the Bank faces that could significantly impact the Bank's financial and reputational standing. The main legal issues are described further in the Financial Statement 2014, note 57. The Bank is actively reviewing contract documentation in order to mitigate possible further litigation cases of significance to the Bank. Should a significant financial implication become likely from legal proceedings, the Bank will address such issues immediately and report to the Board of Directors and if relevant through the financial statements. A special consideration is given to possible financial implications of legal disputes in the ICAAP process.

Compliance risk is defined as the risk of legal or regulatory sanctions, financial loss, or damage to the Bank's reputation in the event of failure to comply with applicable laws, regulations, and codes of conduct and standards of good practice.

The Bank has implemented a *Competition Policy* approved by the Executive Board of Íslandsbanki. The main objective of the policy is to ensure that the Bank operates in every respect in accordance with the competition laws and rules. The Bank's legal division is responsible for controlling the Bank's competitive issues. Main competition issues are described further in the Financial Statement 2014, note 57.

7.11 IT RISK

IT risk is defined as the risk of loss to earnings or capital due to a malfunction or unintended action of the Bank's IT systems. IT risk events can involve loss of confidentiality through the unintended disclosure of data, loss of integrity through accidental corruption of data and loss of availability or data due to a system malfunction. The Bank relies heavily on its IT systems in the processing of financial transactions and serious malfunctions in the IT systems may result in disruptions in the processing of financial transactions, causing both financial and reputational damage to the Bank.

The Bank gives information security high priority. Appropriate preventive and monitoring measures are taken in the IT operations,

and disruptions are handled according to business continuity plans which are updated regularly. The Bank's security managers perform regular risk assessments on the Bank's IT-systems and certain measures of IT risk are among the KRIs presented to the Executive Board.

7.12 INSURANCE

The Bank takes out insurance against operational risk loss events when it is deemed to be a cost effective mitigation of operational risk.

The insurance coverage limits financial loss caused by serious unexpected events or legal liabilities that occur in spite of other operational risk management procedures. The Bank's

insurance policies include: Bankers *Comprehensive Crime policy*, *Professional Indemnity policy* and *Directors and Officers Liability Insurance*.

7.13 OUTSOURCING

The Bank has outsourced some of its operations to various service providers. An *Outsourcing Policy*, which all outsourcing contracts must comply to, has been approved by the Executive Board. The *Outsourcing Policy* reflects the provisions of FME rules No. 670/2013 regarding Sound Business Practices of Financial Undertakings, FME Guidelines No. 2/2014 on the IT-Operations of Supervised Entities and FME Guidelines No. 6/2014 on outsourcing for regulated entities.

REGULATORY CHANGES

Act No. 78/2014 on cross-border payments in Euro

The Act implements EU regulations no. 924/2009 and no. 260/2012 into national law. The Act contains standardised rules on transfers and direct payments in euros in the EEA area when both the payment service provider of the payer and the payment service provider for the recipient of the payment are located within the EEA or the only payment service provider involved in the payment is situated within area. The basic principle is that the charges for payment transactions offered by a payment service provider have to be the same, for the payment of the same value, whether the payment is national or cross-border.

Amendments to Act No. 87/1992, on Foreign exchange (dividends and penalty provisions)

On 16 May 2014, two amendments were made to the provisions of Act no. 87/1992. First concerning the definition of what dividends are exempt from the Act. A paragraph was added that stated that dividends, which derive from a reduction in share capital or the liquidation of a company, are not exempt. Secondly, a new paragraph was added to the penalty provisions of the Act which states that a legal entity may be fined for violations of the Act regardless whether a violation was committed intentionally or negligently by an employee or a representative of the legal entity. If an employee or a representative is guilty of a violation of the Act, in addition to the punishment to the individual involved, the legal entity may be fined and deprived of its operating license if the violation was made for the benefit of the legal entity or the legal entity has profited from the violation.

8 REMUNERATION

Íslandsbanki's Remuneration Policy is based on principles of good corporate governance and is intended to support the Bank's policy of providing exceptional services while laying the foundation for acceptable return on equity, taking into consideration the long-term interests of the company, its shareholders, customers and employees.

The Bank's remuneration practices aim at supporting a sound risk culture that does not encourage excessive risk taking but at the same time attract, develop and retain highly motivated employees with the right competence and skills. The Bank's policy is to offer its employees competitive compensation that is aligned with their responsibilities and contribution to the Bank's performance and appropriate to the Bank's size and environment in which it operates.

8.1 REGULATORY FRAMEWORK

The Icelandic Financial Supervisory Authority (FME) has published rules on *Remuneration Policy* for financial undertakings¹ in adherence to the current Act on Financial Undertakings². The rules reflect a conservative framework for remuneration schemes within the financial sector. According to the rules a bank intending to pay variable remuneration to one or more employees is required to have in place a remuneration policy approved by its Board of Directors. The *Remuneration Policy* shall be reviewed at least annually and the Bank shall account for the *Remuneration Policy* to the FME. According to the rules the policy shall fulfil the following requirements:

- Not encourage unreasonable risk taking.
- Not contravene the long-term interests of the Bank and the stability of the financial system.
- Conform to viewpoints related to the protection of the Bank's customers, its creditors and shareholders.
- Conform in other respects to proper and sound business practices.

The rules state that the aggregate of variable remuneration including deferred payments shall not amount to more than 25% of the annual salary of the person in question, exclusive of variable remuneration. Payment of at least 40% of the variable remuneration shall be deferred for a minimum of three years. If the total sum of an employee's variable remuneration, on yearly basis, is less than 10% of his fixed salary without variable remuneration, the Bank can pay out the variable part without delay. Risk Management, Compliance and Internal Audit shall review and analyse whether variable remuneration complies with the Bank's *Remuneration Policy* and the FME rules. Variable remuneration cannot be paid to employees in control functions.

A recent bill in the parliament proposes changes to the Act on Financial Undertakings. This includes changes to restrictions on variable remuneration and introduces into Icelandic law the concept of material risk takers, employees whose professional activities have a material impact on the institution's risk profile. The bill is still subject to change and thus the effect of it and any rules set based on it is still uncertain.

8.2 REMUNERATION GOVERNANCE

Íslandsbanki's Remuneration Policy is approved by the Annual Shareholder's Meeting. The Remuneration Policy is in compliance with Icelandic law and regulation described in Section 8.1 and is published on the official website of the Bank³.

The Board's Corporate Governance, Compensation and Human Resource Committee⁴ provides general guidance on remuneration within the Bank. The Committee held seven meetings in the year 2014.

The CEO and Head of Human Resources submit proposals to the Committee regarding variable remuneration at the Bank. Such proposals are subject to a review from Risk Management, Compliance and Internal Audit.

8.3 CURRENT VARIABLE REMUNERATION SYSTEM

In 2012 a variable remuneration system was introduced at Íslandsbanki. The system is a Budgeted Performance Plan (BPP) where a variable performance payment can materialise if specific budgeted numbers and Key Performance Indicators (KPI's) are met. The system metrics are based on the operational performance of the relevant business unit, the performance of the relevant employee and the overall profit of the Bank. Examples of employee performance metrics are: leadership skills, customer satisfaction, employee engagement, cost control initiatives and corporate responsibility and ethics. The system is designed with a view to the Bank's long-term interests. The model for calculating the variable payment is risk adjusted and discourages excessive risk taking.

8.4 REMUNERATION IN 2014

In 2014, 102 employees were a part of the variable remuneration system at Íslandsbanki. Performance based remuneration is at the moment only in the form of cash and the Bank offers no share-based remuneration to employees.

Information on remuneration including the salaries and other benefits of the Bank's management and Board of Directors are disclosed in the Annual Report.

The Bank will provide Pillar 3 remuneration disclosure when the domestic legal and regulatory definitions and requirements have been clarified.

¹Rules No. 700/2011 on remuneration policy for financial undertakings

²Changes No. 75/2010 to the Act No. 161/2002 on Financial Undertakings

³www.islandsbanki.is

⁴See the Company part of the Annual Report 2014 for more information about the governance structure.

DEFINITIONS

Asset risk The risk of loss that may occur due to changes in value of assets held for sale.

Basel International recommendations on banking laws and regulations issued by the Basel Committee on Banking Supervision.

Basel III A pending set of reform measures, developed by the Basel Committee on Banking Supervision, to strengthen the regulation, supervision and risk management of the banking sector.

Basis point value (BPV) The BPV measures the effect of a 0.01 percentage point (1 basis point) parallel upward shift in the yield curve on the market value of the underlying position. Thus a BPV of ISK 1 million means that a 0.01 percentage point upward shift in the yield curve would result in a reduction of approximately ISK 1 million in the market value of the underlying asset.

Basis risk Arising from changing rate relationships among yield curves that affect the institution's activities.

Business risk The risk that operating income decreases because of lower revenues or increases in costs not caused by one of the other risk types.

Capital Requirements Directive (CRD) The CRD rules are based on the Basel guidelines and came into force on 1 January 2007. The supervisory framework in the EU is designed to ensure the financial soundness of credit institutions and reflects the Basel rules on capital measurement and capital standards. The European Commission has proposed a series of amendments which they have numbered for ease of reference (CRD IV).

Carrying amount Book value of loans as displayed in the Financial Statements.

Claim value The remaining amount of obligor's debt.

Collateral Board The Risk Committee has appointed a Collateral Board that reviews and proposes guidelines for the valuation of collateral and pledged assets to ensure that the valuation of collateral is co-ordinated throughout the Bank.

Collective impairment Reflects losses that have been incurred but not identified in the reporting period. These losses are estimated on a portfolio level and cannot be allocated to individual loans.

Concentration risk The significantly increased risk of any type that is driven by common underlying factors, e.g. sector, economy, geographical location, type of financial instrument or due to connections or relations among counterparties. This includes large individual exposures or liabilities to parties under common control and significant exposures to groups of counterparties whose likelihood of default is driven by common underlying factors.

COREP Common Reporting is the term used to describe harmonised European Capital Requirements Directive reporting.

Country risk The risk of losses that may occur due to economic difficulties or political unrest in countries to which the Bank has exposures.

Credit risk Current or prospective risk to earnings and capital arising from an obligor's potential failure to meet the terms of any contract with the Bank or otherwise fail to perform as agreed.

Credit risk exposure Credit risk exposure comprises both on-balance sheet and off-balance sheet items. Exposure to credit risk for on-balance sheet assets is the carrying amount as reported in the Consolidated Financial Statements before the collective impairment is subtracted. The exposure for off-balance sheet items is the amount that the Bank might have to pay out against financial guarantees and loan commitments, less provisions the Bank has made because of these items. Because of off-balance sheet items the credit exposure does not reconcile with the carrying amount in the Consolidated Financial Statements. For capital requirement purposes, credit conversion factors are applied to guarantees and undrawn commitments. For derivative contracts the exposure is calculated by adding expected future credit exposure to the market value of the contract.

Credit spread risk The risk that earnings or capital may be negatively affected by the adverse movements in bond risk premium for an issuer.

Currency risk The risk that earnings or capital may be negatively affected from the fluctuations of foreign exchange rates, due to transactions in foreign currencies or holding assets or liabilities in foreign currencies.

Deep discount A loan is defined as having been acquired at a deep discount when the fair value purchase price is considerably lower than the claim value according to the terms of the loan. A large part of the Bank's assets was acquired at a deep discount. The deep discount was intended to meet both incurred credit losses at the acquisition date and expected future losses.

Default Obligors are in default according to the Bank's definition when they are more than 90 days past due on a material credit obligation or when a specific credit impairment has been recognised. Note that the definition is on the obligor level rather than the facility level.

European Economic Area (EEA) Agreement On 1 January 1994 the EEA signed agreement that allows the EFTA states to participate in the Internal Market. The EEA agreement is concerned principally with the four fundamental pillars of the Internal Market, i.e. freedom of movement of goods, persons, services and capital.

Exposure at default Expected credit exposure of facility at time of default.

Financial Collateral Simple Method Method to determine the effects of financial collateral on solvency requirements under the Basel II standardised approach. Institutions that apply the standardised approach may choose between the Financial Collateral Simple Method and the Financial Collateral Comprehensive Method.

Forbearance An agreement modifying the terms of a loan agreement to accommodate temporary financial difficulties on the side of the borrower.

High Quality Liquid Assets (HQLA) Assets that can be easily and immediately converted into cash at little or no loss of value and include Central Bank certificates of deposits, government bonds, corporate debt securities and quality equities.

Indirect exposure An exposure to counterparties that is not direct but becomes direct at the event of default of other counterparties.

Inflation risk The risk that earnings or capital may be negatively affected from the adverse movements in inflation level, referred to as CPI gap.

Interest rate risk Current or prospective risk to earnings or capital arising from adverse movements in interest rates. Main sources of interest rate risk are re-pricing risk, yield curve risk, basis risk and optionality risk.

Internal Capital Adequacy Assessment Process (ICAAP) The ICAAP includes an evaluation of the capital needed under Pillar 2. The Bank identifies and measures its risks and ensures that it has sufficient capital in relation to its risk appetite statement. The assessment is based on minimum capital under Pillar 1, capital add-on for other risk factors under Pillar 2 and reduction in available capital due to stress testing results. Once a year a full ICAAP report is submitted to the FME.

IT risk The risk of loss to earnings or capital due to a malfunction or unintended action of the Bank's IT systems.

Large exposure An exposure to a group of connected clients that is 10% or more of the Bank's regulatory capital. The exposure is evaluated net of credit risk mitigating effects eligible according to FME rules no. 625/2013.

Legal risk The risk to earnings or capital arising from uncertainty in the applicability or interpretation of contracts, law or regulation, for example when legal action against the Bank is concluded with unexpected results, when contracts are not legally enforceable or rendered illegal by a court's ruling.

Liquidity coverage ratio (LCR) The proportion of HQLA to net cash outflow over the next 30 calendar day period.

Liquidity risk The risk of not being able to fund its financial obligations or planned growth, or only being able to do so substantially above the prevailing market cost of funds.

Loan Portfolio Analysis (LPA) metric Total carrying amount of loans to customers that are in need of further restructuring (as defined by the FME) divided by the total carrying amount of loans to customers.

Loss given default (LGD) Expected loss on a credit facility in the case of default as fraction of the exposure at default.

Loss rate The probability that the Bank will need to claim collateral or experience a loss given that the obligor defaulted.

Loss severity The percentage of exposure at default that is lost in the case of loss or repossession of collateral.

Market risk Current or prospective risk to earnings and capital arising from adverse movements in the level or volatility of prices of market instruments, such as those that arise from changes in interest rates, equity prices and foreign exchange rates.

Net Stable Funding Ratio (NSFR) The proportion of long-term assets to long-term stable funding with a time horizon of one year.

Obligor A customer that has a loan or other credit facility with the Bank.

Operational risk The risk of loss resulting from inadequate or failed internal processes, people and systems or from external events.

Optionality risk Arising from interest rate related options embedded in the institution's products.

Pillar 1 This contains generic rules for calculating credit, market and operational risks to determine a bank's risk-weighted assets (RWA). It also stipulates the minimum capital requirement.

Pillar 2 This sets forth the framework for the Supervisory Review and Evaluation Process (SREP) and the framework for banks' Internal Capital Adequacy Assessment Process (ICAAP). Pillar 2 concerns banks' risks in a wider sense, including risks not defined under Pillar 1 (e.g. business, pension and concentration risks as well as the banks' situation and expectations in general). It also covers stress tests.

Pillar 3 Market discipline sets disclosure requirements which will allow market participants to assess key pieces of information on the scope of application, capital, risk exposures, risk assessment process, and hence the capital adequacy of the institution.

Political risk The risk that a government policy, significantly different from current law or regulation, will be enforced, resulting in new legislation or new regulation that adversely affects the Bank's business or the value of the Bank's assets.

Price risk The risk that earnings or capital may be negatively affected from the changes in the price level or volatility of debt instruments, equity instruments or commodity products.

Probability of default (PD) Probability that a counterparty is going to default within the time horizon of 12 months. Default is defined as a counterparty being more than 90 days overdue on a material credit obligation, or existence of a specific provision against counterparty's credit obligation.

Quota Board The Risk Committee has appointed a Quota Board that reviews and proposes guidelines for the valuation of for credit mitigants in the seafood sector, including fishing quota, to ensure that the valuation of collateral is co-ordinated throughout the Bank.

Recalculation Correction of the claim value of loans that were linked to the value of foreign currencies.

Receipt Ruling Ruling passed by the Supreme Court in Iceland on 15 February 2012 clarifying the method to be used for recalculation of loans that were illegally linked to the value of foreign currencies.

Remission The term remission is used for recalculations and principal reductions that are not write-offs in the usual sense but rather correction of claims due to their legitimacy or because of general offers made by the Bank.

Re-pricing risk Arising from differences between the timing of rate changes and the timing of cash flows.

Reputational risk The risk to earnings or capital arising from adverse perceptions of the Bank by customers, counterparties, shareholders, investors, or regulators.

Risk and Control Self Assessment (RCSA) A structured approach to identify and assess all potential risks in order to plan appropriate actions to mitigate them. The ultimate purpose of this framework consists in improving the way a bank operates through regular review of policies, processes and systems. The RCSA process is undertaken at least once a year by all units within the Bank.

Risk class Each obligor is categorised in one of ten risk classes. The risk classes 1–9 are for performing obligors and indicate the 12 month probability of default. Risk class 10 is for obligors that are in default.

Risk-weighted assets (RWA) Assets adjusted for their associated risks using weightings established in accordance with the Basel Capital Accord. Certain assets are not weighted but deducted from capital.

Settlement risk The risk that a party will fail to deliver on the terms of a contract at the time of settlement. Settlement loss can occur because of default at settlement and because of any timing differences in settlement between two parties. The amount at risk or the potential loss is the principal of the transaction.

Specific impairment Loans are classified as impaired or with specific impairment if contractual cash payments are not expected to be fully honoured and the financial restructuring of the obligor is expected to lead to a loss for the Bank.

Strategic risk The current or prospective risk to earnings and capital arising from changes in the business environment and from adverse business decisions, improper implementation of decisions or lack of responsiveness to changes in the business environment.

Subordinated loans Debt that ranks after other debts should a company fall into receivership or go bankrupt.

Supervisory Review and Evaluation Process (SREP) The heart of the second pillar of the Basel II rules. Through the SREP the regulator assesses the risk management framework of the Bank and whether the Bank's capitalisation is adequate to its risk profile and business strategy. As part of the SREP, the regulator reviews the Bank's ICAAP report but the review can also include on- or off-site inspections of specific parts of the operations.

Tier 1 capital Is composed of Common Tier 1 capital and Tier 1 hybrid capital:

- *Common Tier 1 capital:* Consists of paid-in share capital, share premium account and other premium accounts, reserve accounts and retained earnings, net of the book value of own shares or guarantee capital certificates, goodwill, deferred tax credit and other intangible assets.
- *Tier 1 hybrid capital:* Contingent convertible capital and non-innovative hybrid capital subject to conditions on maturity, repayment, interest and conversion to equity as defined in rules and regulations.

Tier 2 capital Tier 2 allows for inclusion of subordinated loans which state clearly that the repayment period of the loan is not less than five years with further restrictions defined in rules and regulations.

Tier 3 capital Tier 3 capital includes short-term subordinated loans which clearly state that the repayment period is not less than two years. Further restrictions to repayments of Tier 3 subordinated debt is described in rules and regulations.

Total capital base Tier 1 capital in addition to Tier 2 and Tier 3 capital.

Total capital ratio Total capital base divided by risk-weighted assets. (Also referred to as solvency ratio.)

Trading liquidity risk The risk that the Bank is unable to easily liquidate or offset particular position without moving market prices due to inadequate market depth or market disruption, thus negatively affecting the earnings or capital.

Value-at-risk (VaR) A statistical method used to measure and quantify the level of financial risk within a portfolio over a specified time horizon at given confidence levels.

Yield curve risk Arising from changing rate relationships across the spectrum of maturities (change in slope and shape of the yield curve).

ABBREVIATIONS

ALCO	Asset and Liability Committee	GMTN	Global Medium Term Note
ASF	Available Stable Funding	HFF	Housing Financing Fund
BCBS	Basel Committee on Banking Supervision	HQLA	High Quality Liquid Assets
BIS	The Bank for International Settlements	ICAAP	Internal Capital Adequacy Assessment Process
BoD	Board of Directors	IFRS	International Financial Reporting Standards
BPP	Budgeted Performance Plan	IRRBB	Interest Rate Risk in the Banking Book
BPV	Basis Point Value	IRS	Interest Rate Swap
CAE	Chief Audit Executive	ISDA	International Swaps and Derivatives Association
CB	Central Bank	ISK	Icelandic Krona
CCF	Credit Conversion Factor	KPI	Key Performance Indicators
CEO	Chief Executive Officer	KRI	Key Risk Indicators
CFO	Chief Financial Officer	LCR	Liquidity Coverage Ratio
CET1	Core Tier 1 Capital	LED	Loss Event Data
CIRS	Cross Currency Interest Rate Swap	LGD	Loss Given Default
CLTV	Combined Loan to Value	LPA	Loan Portfolio Analysis
COO	Chief Operating Officer	LTV	Loan to Value
COREP	Common Reporting	MD	Managing Director
CPI	Consumer Price Index	MV	Market Value
CRD	Capital Requirement Directive	NPO	Non-profit Organisation
CRO	Chief Risk Officer	NSFR	Net Stable Funding Ratio
CVA	Credit Valuation Adjustment	PD	Probability of Default
EAD	Exposure at Default	RCSA	Risk and Control Self-Assessment
EBA	European Banking Authority	ROE	Return on Equity
ED	Executive Director	RSF	Required Stable Funding
EEA	European Economic Area	RWA	Risk-Weighted Assets
EL	Expected Loss	SME	Small and Medium-sized Enterprises
ESMA	European Securities and Markets Authority	SREP	Supervisory Review and Evaluation Process
EU	European Union	STIBOR	Stockholm Interbank Offered Rate
FME	Financial Supervisory Authority, Iceland	VaR	Value-at-Risk
FX	Foreign Currency		

